

# Risk and Capital

- Information according to Pillar 3

# 2019

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# Introduction

Handelsbanken provides this information in compliance with Part Eight of Regulation (EU) No 575/2013 (CRR) and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) regarding prudential requirements and capital buffers.

Requirements on disclosures regarding banks' risk and capital management are stipulated in the accounting and capital requirement regulations. This report together with the Bank's Annual Report, in particular note G2 and note G49 provides information about risk and capital.

The disclosures pursuant to CRR can be found in this report in the form of quantitative information to be provided as stipulated in the European Banking Authority's (EBA's) Guidelines on disclosure requirements under Part Eight of Regulation (EU) No 575/2013, (EBA/GL/2016/11), Guidelines on management of non-performing and forborne exposures (EBA/GL/2018/06) and explanatory texts to the tables.

This information has been produced in accordance with the EBA's Guidelines on materiality, proprietary and confidentiality and of disclosure frequency under Articles 432(1), 432(2) and 433 of Regulation (EU) No 575/2013 (EBA/GL/2014/14). For information items not disclosed under EBA/GL/2014/14 see page 89.

Svenska Handelsbanken AB (publ) is the parent company in the Handelsbanken Group. In the context of capital adequacy, in addition to the individual institution, capital requirements apply to the consolidated situation and not to the Group. This report therefore principally provides information about the consolidated situation. Handelsbanken is also covered by the rules applying to financial conglomerates. For Handelsbanken, the conglomerate rules mean that the capital requirements for the consolidated situation and the capital requirement for the insurance operations are combined. The conglomerate is not covered by the Pillar 3 rules.

As in the consolidated accounts, associated companies are consolidated using the equity method in the regulatory consolidated situation. Furthermore, subsidiaries are consolidated according to the acquisition method. Handelsbanken's Annual Report provides information about the subsidiaries in the Group. Companies that are part of the consolidated situation and that are thus covered by the capital adequacy requirements according to the capital adequacy regulations are listed in table 2.10. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds. Related party disclosures can be found in the Annual Report, note G47. Information about own funds and the capital requirement is also presented in the Annual Report, note G49.

For periodic information, for which Handelsbanken has identified a need to submit information more often than once a year, please refer to the Bank's interim reports. Information to be provided quarterly as stipulated in EBA/GL/2016/11 is published on Handelsbanken's website.

The information is presented as at 31 December 2019, and the comparative figures as at 31 December 2018 unless otherwise specified. The amounts in brackets are the figures for the preceding year.

For the subsidiaries Stadshypotek AB and Handelsbanken plc, information in compliance with articles 437, 438, 440, 442, 450, 451, and 453 of CRR is to be provided at a sub-consolidated level in compliance with article 13 of CRR.

## REGULATIONS AND REGULATORY DEVELOPMENTS

### Capital adequacy

According to the current capital adequacy framework, Regulation (EU) 575/2013 (CRR), the Swedish Capital Buffers Act (2014:966), and the Swedish Special Supervision of Credit Institutions and Investment Firms Act (2014:968), the Bank must have common equity tier 1 capital of at least 4.5 per cent, tier 1 capital of at least 6 per cent, and total own funds that correspond to at least 8 per cent of the total risk exposure amount for credit risks, market risks and operational risks.

In addition to maintaining capital to meet the minimum requirements, the Bank must also maintain common equity tier 1 capital to comply with the combined buffer requirement, which in Sweden comprises the sum of a capital conservation buffer of 2.5 per cent, a countercyclical buffer of up to 2.5 per cent, and a systemic risk buffer of 3 per cent.

The capital conservation buffer builds up capital during good times with the aim of preventing banks from breaching capital requirements during difficult periods.

The countercyclical buffer, which is decided by the Swedish Financial Supervisory Authority, varies over the business cycle, with the aim of counteracting excessively high credit growth. At present, a countercyclical buffer of 2.5 per cent applies in Sweden and Norway. The UK apply a buffer requirement of 1.0 per cent and the Danish authorities apply a buffer of 1.0 per cent (both will be increased to 2.0 per cent by 30 December 2020). Finally, the Hong Kong Monetary Authority have increased their buffer requirement to 2.5 per cent, France has introduced a buffer of 0.25 per cent that will be increased to 0.50 per cent on 2 April 2020 and Germany will have a buffer requirement of 0.25 per cent from 1 July 2020. No other countries where Handelsbanken has operations have decided on a countercyclical buffer requirement.

The aim of the systemic risk buffer is to create a buffer at the largest banks in Sweden to protect the banking system as a whole in times of financial instability.

The established combined buffer requirements must be satisfied, for example, to avoid restrictions on dividends.

The Swedish Financial Supervisory Authority decided (SFSA ref no 18-6251) on 22 August 2018 to impose an institution specific Pillar 1 risk weight floor of 25 per cent for exposures in Swedish mortgages covered by the IRB approach. This means that Svenska Handelsbanken AB, corporate identity no. 502007-7862 and its

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consolidated situation, are required to apply an average risk weight floor of 25 per cent for exposures to Swedish mortgages in Pillar 1. This also applies to Stadshypotek AB, corporate identity no. 556459-6715 and its consolidated situation. The measure entered into force on 31 December 2018 and applies for a period of two years or until the macro prudential risk ceases to exist, with the possibility of an extension of one additional year at a time according to Articles 458(4) and 458(9) of CRR.

### Capital requirements within the framework of Pillar 2

In addition to the above-mentioned capital requirement, referred to as the Pillar 1 requirement, the Bank must hold capital for requirements under Pillar 2 of the regulations. These requirements are specific to each institution and are decided by the Swedish Financial Supervisory Authority. Various factors are assessed within Pillar 2, such as concentration risks, pension risk, interest rate risk in the non-trading book, and additional systemic risk needs. This capital requirement can be divided into requirements for credit risk, market risk, systemic risk, and other risks.

The Swedish Financial Supervisory Authority has introduced a risk weight floor in Pillar 2 on exposures to property companies. The floors are 35 per cent for exposures to property companies with collateral in commercial property in Sweden and 25 per cent for exposures to property companies with collateral in residential property in Sweden.

The Norwegian Ministry of Finance intends to adopt temporary floors for average risk weights for Norwegian residential and commercial real estate exposures at 20 and 35 per cent, respectively. The floors will be applicable for a period of two years from year-end 2020. The measure will be formally adopted in early 2020, following notification procedures vis-à-vis relevant EU/EEA authorities.

In Pillar 2, the Swedish Financial Supervisory Authority has also introduced a floor of 2.5 years for maturity assumptions for corporate exposures.

The capital requirement for market risk in Pillar 2 consists of a capital charge for market risk in the non-trading book; other capital charges include a charge for pension risk.

The Pillar 2 capital requirement for systemic risk includes a buffer requirement of 2 per cent.

The Swedish Financial Supervisory Authority also calculates the need to hold a capital planning buffer. The capital planning buffer does not result in any further capital requirements for the Bank as long as it is not larger than the capital conservation buffer.

In addition to the regulatory minimum capital and buffer requirements, the Bank must perform an internal capital adequacy assessment, in which all risks and capital requirements are assessed in an unbiased manner. Since the introduction of Basel II in 2007, Handelsbanken has, in its internal capital adequacy assessment process, kept considerably more capital than is formally required under Pillar 1. This is because the Bank's capital assessment is based on calculations of economic capital and conservative stress tests, which indicate that the capital supply in a normal business cycle should be sufficient to cover potential losses and capital requirement changes which may occur under stressed conditions.

All capital charges within the framework of Pillar 2 are made in the overall capital assessment, that is, the Swedish Financial Supervisory Authority's individual assessment of the Bank's capital requirements. This is in addition to the minimum requirements set out in Pillar 1, and normally the Swedish Financial Supervisory Authority does not formally decide on the Pillar 2 requirements. In the absence of a formal decision, the Swedish Financial Supervisory Authority's overall capital assessment will not affect, for example, the level at which automatic restrictions on dividends come into force.

### Leverage ratio

The leverage ratio is a capital ratio defined in CRR. The ratio is defined as the tier 1 capital in relation to total assets, including certain off-

balance-sheet items recalculated using the credit conversion factor defined in the standardised approach, as well as regulatory adjustments of own funds.

A binding leverage ratio requirement of 3 per cent has been introduced in CRR to complement the current system for the reporting and disclosure of the leverage ratio. The requirement will be applicable from June 2021.

### Liquidity

The liquidity coverage ratio (LCR) has been a binding requirement for banks in the EU since the European Commission introduced its delegated regulation. The figure stipulates the ratio between the Bank's liquidity buffer and its net cash flows in a very stressed scenario during a 30-day period. The requirement applies at aggregate level and the ratio must be at least 100 per cent. In addition to this the Swedish Financial Supervisory Authority also exercises supervision of LCR in individual currencies within the framework of the supervisory review and evaluation process in Pillar 2 as the minimum requirements within the EU currently do not apply to individual currencies.

Minimum requirements for the net stable funding ratio (NSFR) – the structural liquidity measure comprising the ratio between available stable funding and the stable funding required – will be introduced in the EU in June 2021.

### 'Risk reduction package'

In May 2019, the Council adopted a comprehensive legislative package containing amendments to the capital requirement legislation (regulation 575/2013 and directive 2013/36/EU) which reinforces the capital and liquidity positions of banks, and strengthens the framework for the recovery and resolution of banks in difficulty (directive 2014/59/EU and regulation 806/2014). The purpose of these regulations is to increase financial stability, to improve banks' lending capacity within the EU, and to make it easier for banks to contribute to deeper and more liquid capital markets within the EU.

The package includes measures such as a binding leverage ratio requirement of 3 per cent, the introduction of a binding net stable funding ratio (NSFR) and revisions to the market risk framework (Fundamental review of Trading Book, FRTB).

The proposed Swedish implementation of the measures were published on 13 December 2019 (EU:s bankpaket om riskreducerande åtgärder, SOU 2019:60) and are scheduled to enter into force by the end of 2020.

### Basel IV

In December 2017, the Basel Committee published a proposal for changes to all parts of Capital Requirements Regulation; for credit risk, a revised standardised approach will be introduced with a larger component of risk sensitivity. In addition, restrictions will be introduced on how methods based on internal models may be used. The method for credit valuation adjustment (CVA) will be developed and the option of using internal models will be revoked. For measuring operational risk banks must use a new, uniform standardised approach based on a combination of the bank's earnings and historical operational losses.

In addition to the changes in individual risk measurement methods, a new overall risk weight floor of 72.5 per cent of the exposure amount is being introduced according to the standardised approach for all banks that use internal models.

The Basel Committee recommends that the new rules apply as of 1 January 2022, as will the previously proposed changes in the FRTB. However, the risk weight floor requirements will be phased in between 2022 and 2027.

The EBA will introduce guidelines and technical standards regarding the methods for calculating various components in the IRB approach. These guidelines and standards are intended to clarify specific sections of CRR. The EBA aims for these regulations to come into effect at the end of 2020.

# Own funds and capital requirement

Handelsbanken aims to be well capitalised in relation to its risks at all times, and to fulfil the capital adequacy requirements established by supervisory authorities, including in situations of financial stress. This is part of the Bank's strategy to have a business model that is independent of changes in the business cycle.

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Handelsbanken is obliged to meet the requirements of the capital adequacy regulations and also requirements regarding the financial conglomerate.

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## DESCRIPTION OF THE CONSOLIDATED SITUATION

The regulatory consolidation (consolidated situation) consists of the parent company and subsidiaries and associated companies that are included in the consolidated accounts, as shown in table 2.10. The companies that are included in the consolidated accounts but are excluded from the consolidated situation are also shown in table 2.10. Just as in the consolidated accounts, associated companies are consolidated using the equity method in the regulatory consolidated situation. Further, subsidiaries are consolidated according to the acquisition method. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

## OWN FUNDS

The Bank's Annual Report provides a description of the composition of own funds for the consolidated situation, the terms applying to the different parts of own funds, and the deductions made from various items.

For the Bank's risk management, it is important that in risk terms, both the Group and the regulatory consolidation can be viewed as one unit. To enable efficient risk management in the Group, capital may need to be re-allocated among the various companies in the Group. In general, Handelsbanken is able to reallocate capital among the Group companies, to the extent that is permitted by legislation, for example, with reference to capital adequacy requirements and restrictions in corporate law. The Bank sees no other material or legal obstacles to a rapid transfer of funds from own funds, or repayment of liabilities between the parent company and its subsidiaries.

Table 2.1 Balance sheet

| Balance sheet                                                                                           | 2019                   |                  | 2018                   |                  |
|---------------------------------------------------------------------------------------------------------|------------------------|------------------|------------------------|------------------|
|                                                                                                         | Consolidated situation | Banking group    | Consolidated situation | Banking group    |
| SEK m                                                                                                   |                        |                  |                        |                  |
| <b>ASSETS</b>                                                                                           |                        |                  |                        |                  |
| Cash and balances with central banks                                                                    | 327 958                | 327 958          | 317 217                | 317 217          |
| Other loans to central banks                                                                            | 19 547                 | 19 547           | 33 557                 | 33 557           |
| Interest-bearing securities available as collateral with central banks                                  | 103 387                | 103 387          | 118 929                | 122 260          |
| Loans to other credit institutions                                                                      | 17 934                 | 17 939           | 22 133                 | 22 137           |
| Loans to the public                                                                                     | 2 293 735              | 2 292 603        | 2 190 223              | 2 189 092        |
| Value change of interest-hedged item in portfolio hedge                                                 | 25                     | 25               | 33                     | 33               |
| Bonds and other interest-bearing securities                                                             | 42 640                 | 42 640           | 47 850                 | 50 729           |
| <i>of which interest-bearing instruments classified as available for sale (carrying amount)</i>         | 4 953                  | 4 953            | 5 373                  | 5 373            |
| <i>of which interest-bearing instruments classified as available for sale, accumulated value change</i> | -73                    | -73              | -79                    | -79              |
| Shares and participating interests                                                                      | 14 340                 | 21 390           | 13 168                 | 13 821           |
| <i>of which shares classified as available for sale (carrying amount)</i>                               | 2 303                  | 2 303            | 1 841                  | 1 841            |
| <i>of which shares classified as available for sale, accumulated value change</i>                       | 739                    | 739              | 367                    | 367              |
| Investments in associates                                                                               | 6 560                  | 285              | 6 534                  | 259              |
| Assets where the customer bears the value change risk                                                   | 6 514                  | 174 988          | 5 345                  | 136 346          |
| Derivative instruments                                                                                  | 41 545                 | 41 545           | 58 041                 | 58 041           |
| <i>of which cash flow hedges</i>                                                                        | 4 203                  | 4 203            | 1 263                  | 1 263            |
| Reinsurance assets                                                                                      | -                      | 11               | -                      | 12               |
| Intangible assets                                                                                       | 11 051                 | 11 185           | 10 322                 | 10 455           |
| Property and equipment                                                                                  | 6 644                  | 6 645            | 2 229                  | 2 229            |
| Current tax assets                                                                                      | 50                     | 53               | 615                    | 617              |
| Deferred tax assets                                                                                     | 693                    | 693              | 1 044                  | 1 044            |
| <i>of which related to cash flow hedges</i>                                                             | -                      | -                | -                      | -                |
| <i>of which related to interest-bearing instruments classified as available for sale</i>                | 20                     | 20               | 21                     | 21               |
| Pension assets                                                                                          | 700                    | 654              | -                      | -                |
| Assets held for sale                                                                                    | 1                      | 1                | 19                     | 19               |
| Other assets                                                                                            | 5 917                  | 6 167            | 16 652                 | 16 880           |
| Prepaid expenses and accrued income                                                                     | 1 925                  | 1 951            | 3 406                  | 3 426            |
| <b>Total assets</b>                                                                                     | <b>2 901 166</b>       | <b>3 069 667</b> | <b>2 847 317</b>       | <b>2 978 174</b> |
| <b>LIABILITIES AND EQUITY</b>                                                                           |                        |                  |                        |                  |
| Liabilities to credit institutions                                                                      | 147 934                | 147 989          | 194 033                | 194 082          |
| Deposits and borrowing from the public                                                                  | 1 117 260              | 1 117 825        | 1 007 837              | 1 008 487        |
| Liabilities where the customer bears the value change risk                                              | 6 514                  | 174 988          | 5 345                  | 136 346          |
| Issued securities                                                                                       | 1 384 961              | 1 384 961        | 1 394 647              | 1 394 647        |
| Derivative instruments                                                                                  | 20 642                 | 20 642           | 17 361                 | 17 360           |
| <i>of which cash flow hedges</i>                                                                        | -                      | -                | -                      | -                |
| Short positions                                                                                         | 1 856                  | 1 856            | 6 163                  | 6 163            |
| Insurance liabilities                                                                                   | -                      | 578              | -                      | 542              |
| Current tax liabilities                                                                                 | 1 264                  | 1 284            | 1 105                  | 1 118            |
| Deferred tax liabilities                                                                                | 5 594                  | 5 634            | 5 746                  | 5 786            |
| <i>of which related to cash flow hedges</i>                                                             | 1 144                  | 1 144            | 344                    | 344              |
| <i>of which related to shares classified as available for sale</i>                                      | 27                     | 27               | 6                      | 6                |
| Provisions                                                                                              | 1 132                  | 1 141            | 213                    | 222              |
| Pension obligations                                                                                     | 0                      | 0                | 3 171                  | 3 226            |
| Liabilities related to assets held for sale                                                             | -                      | -                | -                      | -                |
| Other liabilities                                                                                       | 13 714                 | 14 038           | 12 694                 | 12 984           |
| Accrued expenses and deferred income                                                                    | 3 271                  | 3 353            | 3 784                  | 3 865            |
| Subordinated liabilities                                                                                | 35 546                 | 35 546           | 51 085                 | 51 085           |
| <i>of which tier 1 capital loans</i>                                                                    | 15 819                 | 15 819           | 13 053                 | 13 053           |
| <i>of which loans with remaining time to maturity &gt; 5 yrs</i>                                        | 18 639                 | 18 639           | 18 325                 | 18 325           |
| <i>of which loans with remaining time to maturity &lt; 5 yrs</i>                                        | -                      | -                | -                      | -                |
| <i>of which other loans</i>                                                                             | 2                      | 2                | 18 514                 | 18 514           |
| <b>Total liabilities</b>                                                                                | <b>2 739 688</b>       | <b>2 909 835</b> | <b>2 703 184</b>       | <b>2 835 913</b> |
| Minority interest                                                                                       | 8                      | 8                | 12                     | 12               |
| Share capital                                                                                           | 3 069                  | 3 069            | 3 013                  | 3 013            |
| <i>Holdings of own shares</i>                                                                           | 0                      | 0                | 0                      | 0                |
| Share premium reserve                                                                                   | 8 758                  | 8 758            | 5 629                  | 5 629            |
| <i>of which equity from combined financial instruments</i>                                              | 0                      | 0                | 466                    | 466              |
| Other reserves                                                                                          | 13 130                 | 13 141           | 5 105                  | 5 098            |
| Retained earnings                                                                                       | 119 799                | 117 934          | 113 799                | 111 155          |
| Profit for the year (belonging to shareholders of Svenska Handelsbanken AB)                             | 16 714                 | 16 922           | 16 575                 | 17 354           |
| <b>Total equity</b>                                                                                     | <b>161 478</b>         | <b>159 832</b>   | <b>144 133</b>         | <b>142 261</b>   |
| <b>Total liabilities and equity</b>                                                                     | <b>2 901 166</b>       | <b>3 069 667</b> | <b>2 847 317</b>       | <b>2 978 174</b> |

Table 2.2 Own funds

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013. Excluded rows are deemed not relevant for Handelsbanken at present.

| Own funds                                                   |                                                                                                                                                                                                                                                                         | 2019                      |                                                                                                                           | 2018                                                  |                           |                                                                                                                           |
|-------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|---------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------|---------------------------|---------------------------------------------------------------------------------------------------------------------------|
|                                                             |                                                                                                                                                                                                                                                                         | Amount at disclosure date | Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013 | Regulation (EU) No 575/2013 article reference         | Amount at disclosure date | Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013 |
| SEK m                                                       |                                                                                                                                                                                                                                                                         |                           |                                                                                                                           |                                                       |                           |                                                                                                                           |
| Common equity tier 1 capital: instruments and reserves      |                                                                                                                                                                                                                                                                         |                           |                                                                                                                           |                                                       |                           |                                                                                                                           |
| 1                                                           | Capital instruments and the related share premium accounts                                                                                                                                                                                                              | 11 827                    |                                                                                                                           | 26 (1), 27, 28, 29, EBA list 26 (3)                   | 8 177                     |                                                                                                                           |
|                                                             | of which: share capital                                                                                                                                                                                                                                                 | 11 827                    |                                                                                                                           | EBA list 26 (3)                                       | 8 177                     |                                                                                                                           |
|                                                             | of which: convertible securities                                                                                                                                                                                                                                        | -                         |                                                                                                                           | EBA list 26 (3)                                       | -                         |                                                                                                                           |
| 2                                                           | Retained earnings                                                                                                                                                                                                                                                       | 119 799                   |                                                                                                                           | 26 (1) (c)                                            | 113 799                   |                                                                                                                           |
| 3                                                           | Accumulated other comprehensive income (and any other reserves, to include unrealised gains and losses according to the applicable accounting standards)                                                                                                                | 13 130                    |                                                                                                                           | 26 (1)                                                | 5 536                     |                                                                                                                           |
| 5a                                                          | Independently reviewed interim profits net of any foreseeable charge or dividend                                                                                                                                                                                        | 5 824                     |                                                                                                                           | 26 (2)                                                | 5 881                     |                                                                                                                           |
| 6                                                           | Common equity tier 1 (CET1) capital before regulatory adjustments                                                                                                                                                                                                       | 150 580                   |                                                                                                                           |                                                       | 133 393                   |                                                                                                                           |
| Common equity tier 1 (CET1) capital: regulatory adjustments |                                                                                                                                                                                                                                                                         |                           |                                                                                                                           |                                                       |                           |                                                                                                                           |
| 7                                                           | Additional value adjustments (negative amount)                                                                                                                                                                                                                          | -399                      |                                                                                                                           | 34, 105                                               | -375                      |                                                                                                                           |
| 8                                                           | Intangible assets (net of related tax liability) (negative amount)                                                                                                                                                                                                      | -11 119                   |                                                                                                                           | 36 (1) (b), 37                                        | -10 390                   |                                                                                                                           |
| 11                                                          | Fair value reserves related to gains or losses on cash flow hedges                                                                                                                                                                                                      | -4 203                    |                                                                                                                           | 33.1 (a)                                              | -1 263                    |                                                                                                                           |
| 12                                                          | Negative amounts resulting from the calculation of expected loss amounts                                                                                                                                                                                                | -1 581                    |                                                                                                                           | 36 (1) (d), 40, 159                                   | -2 047                    |                                                                                                                           |
| 14                                                          | Gains or losses on liabilities valued at fair value resulting from changes in own credit standing                                                                                                                                                                       | -                         |                                                                                                                           | 33.1 (b)                                              | -                         |                                                                                                                           |
| 15                                                          | Defined benefit pension fund assets (negative amount)                                                                                                                                                                                                                   | -                         |                                                                                                                           | 36 (1) (e), 41                                        | -                         |                                                                                                                           |
| 16                                                          | Direct and indirect holdings by an institution of own CET1 instruments (negative amount)                                                                                                                                                                                | -527                      |                                                                                                                           | 36 (1) (f), 42                                        | -508                      |                                                                                                                           |
| 19                                                          | Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount) | -                         |                                                                                                                           | 36 (1) (i), 43, 45, 47, 48 (1) (b), 49 (1) to (3), 79 | -                         |                                                                                                                           |
| 20a                                                         | Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative                                                                                                                                        | -20                       |                                                                                                                           | 36 (1) (k)                                            | -                         |                                                                                                                           |
| 20c                                                         | of which: securitisation positions (negative amount)                                                                                                                                                                                                                    | -20                       |                                                                                                                           | 36 (1) (k) (ii), 243 (1) (b), 244 (1) (b), 258        | -                         |                                                                                                                           |
| 21                                                          | Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)                                                                                      | -                         |                                                                                                                           | 36 (1) (c), 38, 48 (1) (a)                            | -                         |                                                                                                                           |
| 22                                                          | Amount exceeding the 15% threshold (negative amount)                                                                                                                                                                                                                    | -                         |                                                                                                                           | 48 (1)                                                | -                         |                                                                                                                           |
| 23                                                          | of which: direct and indirect holdings by the institution of CET1 instruments of financial sector entities where the institution has significant investments in those entities                                                                                          | -                         |                                                                                                                           | 36 (1) (i), 48 (1) (b)                                | -                         |                                                                                                                           |
| 25                                                          | Of which: deferred tax assets arising from temporary differences                                                                                                                                                                                                        | -                         |                                                                                                                           | 36 (1) (c), 38, 48 (1) (a)                            | -                         |                                                                                                                           |
| 25a                                                         | Losses for the current financial year (negative amount)                                                                                                                                                                                                                 | -                         |                                                                                                                           | 36 (1) (a)                                            | -                         |                                                                                                                           |
| 25b                                                         | Foreseeable tax charges relating to CET1 items (negative amount)                                                                                                                                                                                                        | -                         |                                                                                                                           | 36 (1) (i)                                            | -                         |                                                                                                                           |
| 27                                                          | Qualifying AT1 deductions that exceed the AT1 capital of the institution (negative amount)                                                                                                                                                                              | -                         |                                                                                                                           | 36 (1) (i)                                            | -                         |                                                                                                                           |
| 28                                                          | Total regulatory adjustments to common equity tier 1 (CET1) capital                                                                                                                                                                                                     | -17 849                   |                                                                                                                           |                                                       | -14 583                   |                                                                                                                           |
| 29                                                          | Common equity tier 1 (CET1) capital                                                                                                                                                                                                                                     | 132 731                   |                                                                                                                           |                                                       | 118 810                   |                                                                                                                           |
| Additional tier 1 (AT1) capital: instruments                |                                                                                                                                                                                                                                                                         |                           |                                                                                                                           |                                                       |                           |                                                                                                                           |
| 30                                                          | Capital instruments and the related share premium accounts                                                                                                                                                                                                              | 15 819                    |                                                                                                                           | 51, 52                                                | 10 701                    |                                                                                                                           |
| 32                                                          | of which: classified as liabilities under applicable accounting standards                                                                                                                                                                                               | 15 819                    |                                                                                                                           |                                                       | 10 701                    |                                                                                                                           |
| 33                                                          | Amount of qualifying items referred to in Article 484 (4) and the related share premium accounts subject to phase-out from AT1                                                                                                                                          | -                         |                                                                                                                           | 486 (3)                                               | 2 352                     | 2 352                                                                                                                     |
| 36                                                          | Additional tier 1 (AT1) capital before regulatory adjustments                                                                                                                                                                                                           | 15 819                    |                                                                                                                           |                                                       | 13 053                    |                                                                                                                           |
| Additional tier 1 (AT1) capital: regulatory adjustments     |                                                                                                                                                                                                                                                                         |                           |                                                                                                                           |                                                       |                           |                                                                                                                           |
| 37                                                          | Direct and indirect holdings by an institution of own AT1 instruments (negative amount)                                                                                                                                                                                 | -                         |                                                                                                                           | 52 (1) (b), 56 (a), 57                                | -400                      | -400                                                                                                                      |
| 40                                                          | Direct and indirect holdings of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)                                | -                         |                                                                                                                           | 56 (d), 59, 79                                        | -                         |                                                                                                                           |
| 42                                                          | Qualifying (T2) deductions that exceed the T2 capital of the institution (negative amount)                                                                                                                                                                              | -                         |                                                                                                                           | 56 (e)                                                | -                         |                                                                                                                           |
| 43                                                          | Total regulatory adjustments to additional tier 1 (AT1) capital                                                                                                                                                                                                         | 0                         |                                                                                                                           |                                                       | -400                      |                                                                                                                           |
| 44                                                          | Additional tier 1 (AT1) capital                                                                                                                                                                                                                                         | 15 819                    |                                                                                                                           |                                                       | 12 653                    |                                                                                                                           |
| 45                                                          | Tier 1 capital (T1 = CET1 + AT1)                                                                                                                                                                                                                                        | 148 550                   |                                                                                                                           |                                                       | 131 463                   |                                                                                                                           |

| Own funds                                                                                                                |                                                                                                                                                                                                                                                                                                                                   | 2019                      |                                                                                                                                                                            | 2018                                                                                                                                                   |
|--------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                                                                          |                                                                                                                                                                                                                                                                                                                                   | Amount at disclosure date | Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013<br>Regulation (EU) No 575/2013 article reference | Amount at disclosure date<br>Amounts subject to pre-regulation (EU) No 575/2013 treatment or prescribed residual amount of regulation (EU) No 575/2013 |
| SEK m                                                                                                                    |                                                                                                                                                                                                                                                                                                                                   |                           |                                                                                                                                                                            |                                                                                                                                                        |
| <b>Tier 2 (T2) capital: instruments and provisions</b>                                                                   |                                                                                                                                                                                                                                                                                                                                   |                           |                                                                                                                                                                            |                                                                                                                                                        |
| 46                                                                                                                       | Capital instruments and the related share premium accounts                                                                                                                                                                                                                                                                        | 18 639                    | 62, 63                                                                                                                                                                     | 33 704                                                                                                                                                 |
| 50                                                                                                                       | Credit risk adjustments                                                                                                                                                                                                                                                                                                           | 0                         | 62 c and d                                                                                                                                                                 | 0                                                                                                                                                      |
| <b>51</b>                                                                                                                | <b>Tier 2 (T2) capital before regulatory adjustments</b>                                                                                                                                                                                                                                                                          | <b>18 639</b>             |                                                                                                                                                                            | <b>33 704</b>                                                                                                                                          |
| <b>Tier 2 (T2) capital: regulatory adjustments</b>                                                                       |                                                                                                                                                                                                                                                                                                                                   |                           |                                                                                                                                                                            |                                                                                                                                                        |
| 52                                                                                                                       | Direct and indirect holdings by an institution of own T2 instruments and subordinated loans (negative amount)                                                                                                                                                                                                                     | 0                         | 63 (b) (i), 66 (a), 67                                                                                                                                                     | -15 379                                                                                                                                                |
| 55                                                                                                                       | Direct and indirect holdings of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amounts)                                                                                                  | -1 129                    | 66 (d), 69, 79                                                                                                                                                             | -1 129                                                                                                                                                 |
| <b>57</b>                                                                                                                | <b>Total regulatory adjustments to tier 2 (T2) capital</b>                                                                                                                                                                                                                                                                        | <b>-1 129</b>             |                                                                                                                                                                            | <b>-16 508</b>                                                                                                                                         |
| <b>58</b>                                                                                                                | <b>Tier 2 (T2) capital</b>                                                                                                                                                                                                                                                                                                        | <b>17 510</b>             |                                                                                                                                                                            | <b>17 196</b>                                                                                                                                          |
| <b>59</b>                                                                                                                | <b>Total capital (TC = T1 + T2)</b>                                                                                                                                                                                                                                                                                               | <b>166 060</b>            |                                                                                                                                                                            | <b>148 659</b>                                                                                                                                         |
| <b>60</b>                                                                                                                | <b>Total risk-weighted assets</b>                                                                                                                                                                                                                                                                                                 | <b>716 462</b>            |                                                                                                                                                                            | <b>707 579</b>                                                                                                                                         |
| <b>Capital ratios and buffers</b>                                                                                        |                                                                                                                                                                                                                                                                                                                                   |                           |                                                                                                                                                                            |                                                                                                                                                        |
| 61                                                                                                                       | Common equity tier 1 capital (as a percentage of total risk exposure amount)                                                                                                                                                                                                                                                      | 18.5                      | 92 (2) (a)                                                                                                                                                                 | 16.8                                                                                                                                                   |
| 62                                                                                                                       | Tier 1 capital (as a percentage of total risk exposure amount)                                                                                                                                                                                                                                                                    | 20.7                      | 92 (2) (b)                                                                                                                                                                 | 18.6                                                                                                                                                   |
| 63                                                                                                                       | Total capital (as a percentage of total risk exposure amount)                                                                                                                                                                                                                                                                     | 23.2                      | 92 (2) (c)                                                                                                                                                                 | 21.0                                                                                                                                                   |
| 64                                                                                                                       | Institution-specific buffer requirement (CET1 requirement in accordance with Article 92 (1) (a) plus capital conservation and countercyclical buffer requirements, plus systemic risk buffer, plus the systemically important institution buffer (G-SII or O-SII buffer) expressed as a percentage of total risk exposure amount) | 7.4                       | CRD 128, 129, 130                                                                                                                                                          | 7.0                                                                                                                                                    |
| 65                                                                                                                       | of which: capital conservation buffer requirement                                                                                                                                                                                                                                                                                 | 2.5                       |                                                                                                                                                                            | 2.5                                                                                                                                                    |
| 66                                                                                                                       | of which: countercyclical buffer requirement                                                                                                                                                                                                                                                                                      | 1.9                       |                                                                                                                                                                            | 1.5                                                                                                                                                    |
| 67                                                                                                                       | of which: systemic risk buffer requirement                                                                                                                                                                                                                                                                                        | 3.0                       |                                                                                                                                                                            | 3.0                                                                                                                                                    |
| 67a                                                                                                                      | of which: Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer                                                                                                                                                                                                            | 0.0                       | CRD 131                                                                                                                                                                    | 0.0                                                                                                                                                    |
| 68                                                                                                                       | Common equity tier 1 capital available to meet buffers (as a percentage of risk exposure amount)                                                                                                                                                                                                                                  | 14.0                      | CRD 128                                                                                                                                                                    | 12.3                                                                                                                                                   |
| <b>Capital ratios and buffers</b>                                                                                        |                                                                                                                                                                                                                                                                                                                                   |                           |                                                                                                                                                                            |                                                                                                                                                        |
| 72                                                                                                                       | Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities (amount below 10% threshold and net of eligible short positions)                                                                                                          | 0                         | 36 (1) (h), 45, 46, 472 (10), 56 (c), 59, 60, 66 (c), 69, 70                                                                                                               | 0                                                                                                                                                      |
| 73                                                                                                                       | Direct and indirect holdings of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount below 10% threshold and net of eligible short positions)                                                                                                           | -                         | 36 (1) (i), 45, 48                                                                                                                                                         | -                                                                                                                                                      |
| 75                                                                                                                       | Deferred tax assets arising from temporary differences (amount below 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met)                                                                                                                                                                  | -2                        | 36 (1) (c), 38, 48                                                                                                                                                         | -960                                                                                                                                                   |
| <b>Applicable caps on the inclusion of provisions tier 2 capital</b>                                                     |                                                                                                                                                                                                                                                                                                                                   |                           |                                                                                                                                                                            |                                                                                                                                                        |
| 76                                                                                                                       | Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to the application of the cap)                                                                                                                                                                                             | -                         | 62                                                                                                                                                                         | -                                                                                                                                                      |
| 77                                                                                                                       | Cap on inclusion of credit risk adjustments in T2 under standardised approach                                                                                                                                                                                                                                                     | 1 084                     | 62                                                                                                                                                                         | 1 093                                                                                                                                                  |
| 78                                                                                                                       | Credit risk adjustments included in T2 in respect of exposures subject to internal ratings-based approach (prior to the application of the cap)                                                                                                                                                                                   | -                         | 62                                                                                                                                                                         | -                                                                                                                                                      |
| 79                                                                                                                       | Cap for inclusion of credit risk adjustments in T2 under internal ratings-based approach                                                                                                                                                                                                                                          | 3 308                     | 62                                                                                                                                                                         | 3 247                                                                                                                                                  |
| <b>Capital instruments subject to phase-out arrangements (only applicable between 1 January 2013 and 1 January 2022)</b> |                                                                                                                                                                                                                                                                                                                                   |                           |                                                                                                                                                                            |                                                                                                                                                        |
| 80                                                                                                                       | Current cap on CET1 instruments subject to phase-out arrangements                                                                                                                                                                                                                                                                 | -                         | 484 (3), 486 (2) and (5)                                                                                                                                                   | 58                                                                                                                                                     |
| 81                                                                                                                       | Amount excluded from CET1 due to cap (excess over cap after redemptions and maturities)                                                                                                                                                                                                                                           | -                         | 484 (3), 486 (2) and (5)                                                                                                                                                   | -                                                                                                                                                      |
| 82                                                                                                                       | Current cap on AT1 instruments subject to phase-out arrangements                                                                                                                                                                                                                                                                  | -                         | 484 (4), 486 (3) and (5)                                                                                                                                                   | 2 445                                                                                                                                                  |
| 83                                                                                                                       | Amount excluded from AT1 due to cap (excess over cap after redemptions and maturities)                                                                                                                                                                                                                                            | -                         | 484 (4), 486 (3) and (5)                                                                                                                                                   | -                                                                                                                                                      |
| 84                                                                                                                       | Current cap on T2 instruments subject to phase-out arrangements                                                                                                                                                                                                                                                                   | -                         | 484 (5), 486 (4) and (5)                                                                                                                                                   | 1 481                                                                                                                                                  |
| 85                                                                                                                       | Amount excluded from T2 due to cap (excess over cap after redemptions and maturities)                                                                                                                                                                                                                                             | -                         | 484 (5), 486 (4) and (5)                                                                                                                                                   | -                                                                                                                                                      |



Table 2.3 EU INS1 – Non-deducted participations in insurance undertakings

| EU INS1 – Non-deducted participations in insurance undertakings                                                                                                       |  |        |        |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|--------|--------|
| SEK m                                                                                                                                                                 |  | 2019   | 2018   |
| Holdings of own funds instruments of a financial sector entity where the institution has a significant investment not deducted from own funds (before risk-weighting) |  | 6 253  | 6 253  |
| Total RWAs                                                                                                                                                            |  | 15 633 | 15 633 |

Table 2.4 Amount of institution-specific countercyclical capital buffer

The table shows the total amount for the institution-specific countercyclical capital buffer.  
The capital requirement for the countercyclical capital buffer has increased compared to the previous period.

| Amount of institution-specific countercyclical capital buffer |                                                         | 2019    | 2018    |
|---------------------------------------------------------------|---------------------------------------------------------|---------|---------|
| SEK m                                                         |                                                         | 010     | 010     |
| 10                                                            | Total risk exposure amount                              | 716 462 | 707 579 |
| 20                                                            | Institution specific countercyclical buffer rate        | 1.9%    | 1.5%    |
| 30                                                            | Institution specific countercyclical buffer requirement | 13 639  | 10 764  |

Table 2.5 Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer

The table shows the geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer. The capital requirement for the countercyclical capital buffer has increased compared to the previous period.

Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer 2019

| Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer 2019 |                      |                          |                    |                                                 |                                                    |                         |                        |                                    |                                  |                                    |        |                                  |                                      |
|--------------------------------------------------------------------------------------------------------------------|----------------------|--------------------------|--------------------|-------------------------------------------------|----------------------------------------------------|-------------------------|------------------------|------------------------------------|----------------------------------|------------------------------------|--------|----------------------------------|--------------------------------------|
|                                                                                                                    |                      | General credit exposures |                    | Trading book exposure                           |                                                    | Securitisation exposure |                        | Own funds requirements             |                                  |                                    |        |                                  |                                      |
|                                                                                                                    |                      | Exposure value for SA    | Exposure value IRB | Sum of short and long position for trading book | Value of trading book exposure for internal models | Exposure value for SA   | Exposure value for IRB | Of which: General credit exposures | Of which: Trading book exposures | Of which: Securitisation exposures | Total  | Own funds requirement weights, % | Counter-cyclical capital buffer rate |
| Row                                                                                                                |                      | 010                      | 020                | 030                                             | 040                                                | 050                     | 060                    | 070                                | 080                              | 090                                | 100    | 110                              | 120                                  |
| SEK m                                                                                                              |                      |                          |                    |                                                 |                                                    |                         |                        |                                    |                                  |                                    |        |                                  |                                      |
| 10                                                                                                                 | Breakdown by country |                          |                    |                                                 |                                                    |                         |                        |                                    |                                  |                                    |        |                                  |                                      |
|                                                                                                                    | Sweden               | 15 503                   | 1 486 247          | 1 529                                           | -                                                  | -                       | -                      | 28 911                             | 232                              | -                                  | 29 143 | 58.8                             | 8 020                                |
|                                                                                                                    | Norway               | 2 980                    | 305 616            | 775                                             | -                                                  | -                       | -                      | 4 575                              | 44                               | -                                  | 4 619  | 9.3                              | 1 268                                |
|                                                                                                                    | Other countries      | 152 010                  | 482 768            | 65                                              | -                                                  | -                       | -                      | 15 778                             | 26                               | -                                  | 15 804 | 31.9                             | 4 351                                |
| 20                                                                                                                 | Total                | 170 493                  | 2 274 631          | 2 369                                           | -                                                  | -                       | -                      | 49 264                             | 302                              | -                                  | 49 566 | 100                              | 13 639                               |

Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer 2018

| Geographical breakdown of credit exposures relevant for the calculation of the counter-cyclical capital buffer ratio |                      |                          |                    |                                                 |                                                    |                         |                        |                                    |                                  |                                    |        |                                      |                                  |
|----------------------------------------------------------------------------------------------------------------------|----------------------|--------------------------|--------------------|-------------------------------------------------|----------------------------------------------------|-------------------------|------------------------|------------------------------------|----------------------------------|------------------------------------|--------|--------------------------------------|----------------------------------|
| Row                                                                                                                  |                      | General credit exposures |                    | Trading book exposure                           |                                                    | Securitisation exposure |                        | Own funds requirements             |                                  |                                    |        | Counter-cyclical capital buffer rate |                                  |
|                                                                                                                      |                      | Exposure value for SA    | Exposure value IRB | Sum of short and long position for trading book | Value of trading book exposure for internal models | Exposure value for SA   | Exposure value for IRB | Of which: General credit exposures | Of which: Trading book exposures | Of which: Securitisation exposures | Total  |                                      | Own funds requirement weights, % |
| SEK m                                                                                                                |                      | 010                      | 020                | 030                                             | 040                                                | 050                     | 060                    | 070                                | 080                              | 090                                | 100    | 110                                  | 120                              |
| 10                                                                                                                   | Breakdown by country |                          |                    |                                                 |                                                    |                         |                        |                                    |                                  |                                    |        |                                      |                                  |
|                                                                                                                      | Sweden               | 18 079                   | 1 447 197          | 705                                             | -                                                  | -                       | -                      | 28 834                             | 122                              | -                                  | 28 957 | 59.6                                 | 6 415                            |
|                                                                                                                      | Norway               | 2 662                    | 284 468            | 30                                              | -                                                  | -                       | -                      | 4 602                              | 6                                | -                                  | 4 608  | 9.5                                  | 1 023                            |
|                                                                                                                      | Other countries      | 137 409                  | 476 061            | 80                                              | -                                                  | -                       | 22                     | 14 982                             | 54                               | 4                                  | 15 040 | 30.9                                 | 3 326                            |
| 20                                                                                                                   | Total                | 158 150                  | 2 207 726          | 815                                             | -                                                  | -                       | 22                     | 48 418                             | 182                              | 4                                  | 48 605 |                                      | 10 764                           |

**Table 2.6 Change in own funds**

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

| Change in own funds                                                      |                |                |
|--------------------------------------------------------------------------|----------------|----------------|
| SEK m                                                                    | 2019           | 2018           |
| <b>Common equity tier 1 capital – opening amount</b>                     | <b>118 810</b> | <b>115 753</b> |
| Profit for the period                                                    | 16 581         | 16 575         |
| Dividend                                                                 | -10 890        | -10 693        |
| Conversions                                                              | 3129           | 102            |
| Minority interests                                                       | 0              | 0              |
| Deferred tax                                                             | 138            | -64            |
| Capital contributions outside consolidated situation                     | 0              | 0              |
| Securitisation positions                                                 | -20            | 0              |
| Goodwill and other intangible assets                                     | -729           | -602           |
| Value adjustments for positions measured at fair value                   | -25            | 33             |
| Own shares                                                               | -19            | 61             |
| Negative amounts resulting from the calculation of expected loss amounts | 468            | 310            |
| Items affected via other comprehensive income                            |                |                |
| AFS shares                                                               | 352            | -185           |
| AFS interest                                                             | 5              | -10            |
| Pensions (IAS 19)                                                        | 3 341          | -3 417         |
| Exchange rate effects                                                    | 2716           | 659            |
| Net investment hedging                                                   | -1 186         | -657           |
| Other, incl. changes in investment portfolio                             | 60             | 945            |
| <b>Common equity tier 1 capital – closing amount</b>                     | <b>132 731</b> | <b>118 810</b> |
| <b>Additional tier 1 capital – opening amount</b>                        | <b>12 653</b>  | <b>11 746</b>  |
| <i>Additional tier 1 instruments</i>                                     |                |                |
| Issues                                                                   | 4 599          | 0              |
| Calls                                                                    | -2 350         | 0              |
| Exchange rate effects                                                    | 517            | 907            |
| Conversions                                                              | 0              | 0              |
| Regulatory adjustments capital                                           | 400            | 0              |
| <b>Additional tier 1 capital – closing amount</b>                        | <b>15 819</b>  | <b>12 653</b>  |
| <b>Total tier 1 capital</b>                                              | <b>148 550</b> | <b>131 463</b> |
| <b>Tier 2 capital – opening amount</b>                                   | <b>17 196</b>  | <b>16 616</b>  |
| <i>Tier 2 capital instruments</i>                                        |                |                |
| Issues                                                                   | 0              | 15 394         |
| Calls                                                                    | 0              | -15 684        |
| Exchange rate effects                                                    | 314            | 870            |
| Adjustment for time to maturity                                          | 0              | 0              |
| <b>Tier 2 capital – closing amount</b>                                   | <b>17 510</b>  | <b>17 196</b>  |
| <b>Total own funds</b>                                                   | <b>166 060</b> | <b>148 659</b> |

**Table 2.7 EU LI1 – Differences between accounting and regulatory scopes of consolidation and the mapping of financial statement categories with regulatory risk categories**

The table shows which regulatory framework is used to calculate the capital requirement for each asset type in the balance sheet. Derivatives, repos and securities lending capital requirements are calculated according to both the CCR framework and the market risk framework. Because of this, the sums of rows including those exposures are larger than the total in column b. Further note that column g stems from the equity section of the balance sheet.

**EU LI1 – Differences between accounting and regulatory scopes of consolidation and the mapping of financial statement categories with regulatory risk categories 2019**

| SEK m                                                                  | Carrying values as reported in published financial statements | Carrying values under scope of regulatory consolidation | Carrying values of items             |                              |                                         |                                      |                                   |
|------------------------------------------------------------------------|---------------------------------------------------------------|---------------------------------------------------------|--------------------------------------|------------------------------|-----------------------------------------|--------------------------------------|-----------------------------------|
|                                                                        |                                                               |                                                         | Subject to the credit risk framework | Subject to the CCR framework | Subject to the securitisation framework | Subject to the market risk framework | Subject to deduction from capital |
| Assets                                                                 |                                                               |                                                         |                                      |                              |                                         |                                      |                                   |
| Cash and balances with central banks                                   | 327 958                                                       | 327 958                                                 | 327 958                              |                              |                                         |                                      |                                   |
| Other loans to central banks                                           | 19 547                                                        | 19 547                                                  | 19 547                               | 0                            |                                         |                                      |                                   |
| Interest-bearing securities available as collateral with central banks | 103 387                                                       | 103 387                                                 | 1 427                                | 0                            |                                         | 101 960                              |                                   |
| Loans to other credit institutions                                     | 17 939                                                        | 17 934                                                  | 17 934                               | 0                            |                                         |                                      |                                   |
| Loans to the public                                                    | 2 292 603                                                     | 2 293 735                                               | 2 281 020                            | 10 438                       | 1 148                                   |                                      | 1 129                             |
| Value change of interest-hedged item in portfolio hedge                | 25                                                            | 25                                                      | 25                                   |                              |                                         |                                      |                                   |
| Bonds and other interest-bearing securities                            | 42 640                                                        | 42 640                                                  | 4 953                                |                              |                                         | 38 265                               |                                   |
| Shares and participating interests                                     | 21 390                                                        | 14 340                                                  | 2 303                                | 2 179                        |                                         | 19 087                               |                                   |
| Investments in associates                                              | 285                                                           | 6 560                                                   | 6 492                                |                              |                                         |                                      | 68                                |
| Assets where the customer bears the value change risk                  | 174 988                                                       | 6 514                                                   | 6 514                                |                              |                                         |                                      |                                   |
| Derivative instruments                                                 | 41 545                                                        | 41 545                                                  |                                      | 41 545                       |                                         | 41 545                               |                                   |
| Reinsurance assets                                                     | 11                                                            |                                                         |                                      |                              |                                         |                                      |                                   |
| Intangible assets                                                      | 11 185                                                        | 11 051                                                  | 0                                    |                              |                                         |                                      | 11 051                            |
| Property and equipment                                                 | 6 645                                                         | 6 644                                                   | 6 644                                |                              |                                         |                                      |                                   |
| Current tax assets                                                     | 53                                                            | 50                                                      | 50                                   |                              |                                         |                                      |                                   |
| Deferred tax assets                                                    | 693                                                           | 693                                                     | 0                                    |                              |                                         |                                      | 693                               |
| Pension assets                                                         | 654                                                           | 700                                                     | 582                                  |                              |                                         |                                      | 118                               |
| Assets held for sale                                                   | 1                                                             | 1                                                       | 1                                    |                              |                                         |                                      |                                   |
| Other assets                                                           | 6 167                                                         | 5 917                                                   | 2 865                                |                              |                                         | 3 052                                |                                   |
| Prepaid expenses and accrued income                                    | 1 951                                                         | 1 925                                                   | 1 925                                |                              |                                         |                                      |                                   |
| Total assets                                                           | 3 069 667                                                     | 2 901 166                                               | 2 680 240                            | 54 162                       | 1 148                                   | 203 909                              | 13 059                            |
| Liabilities                                                            |                                                               |                                                         |                                      |                              |                                         |                                      |                                   |
| Liabilities to credit institutions                                     | 147 989                                                       | 147 934                                                 |                                      |                              |                                         |                                      |                                   |
| Deposits and borrowing from the public                                 | 1 117 825                                                     | 1 117 260                                               |                                      |                              |                                         |                                      |                                   |
| Liabilities where the customer bears the value change risk             | 174 988                                                       | 6 514                                                   |                                      |                              |                                         |                                      |                                   |
| Issued securities                                                      | 1 384 961                                                     | 1 384 961                                               |                                      |                              |                                         | 3 261                                |                                   |
| Derivative instruments                                                 | 20 642                                                        | 20 642                                                  |                                      | 20 642                       |                                         | 20 645                               |                                   |
| Short positions                                                        | 1 856                                                         | 1 856                                                   |                                      |                              |                                         | 1 856                                |                                   |
| Insurance liabilities                                                  | 578                                                           | 0                                                       |                                      |                              |                                         |                                      |                                   |
| Current tax liabilities                                                | 1 284                                                         | 1 264                                                   |                                      |                              |                                         |                                      |                                   |
| Deferred tax liabilities                                               | 5 634                                                         | 5 594                                                   |                                      |                              |                                         |                                      |                                   |
| Provisions                                                             | 1 141                                                         | 1 132                                                   |                                      |                              |                                         |                                      |                                   |
| Pension obligations                                                    | 0                                                             | 0                                                       |                                      |                              |                                         |                                      |                                   |
| Liabilities related to assets held for sale                            | 0                                                             | 0                                                       |                                      |                              |                                         |                                      |                                   |
| Other liabilities                                                      | 14 038                                                        | 13 714                                                  |                                      |                              |                                         |                                      |                                   |
| Accrued expenses and deferred income                                   | 3 353                                                         | 3 271                                                   |                                      |                              |                                         |                                      |                                   |
| Subordinated liabilities                                               | 35 546                                                        | 35 546                                                  |                                      |                              |                                         |                                      |                                   |
| Total liabilities                                                      | 2 909 835                                                     | 2 739 688                                               |                                      | 20 642                       |                                         | 25 762                               |                                   |

## EU L11 – Differences between accounting and regulatory scopes of consolidation and the mapping of financial statement categories with regulatory risk categories 2018

| SEK m                                                                  | Carrying values as reported in published financial statements | Carrying values under scope of regulatory consolidation | Carrying values of items             |                              |                                         |                                      |                                   |
|------------------------------------------------------------------------|---------------------------------------------------------------|---------------------------------------------------------|--------------------------------------|------------------------------|-----------------------------------------|--------------------------------------|-----------------------------------|
|                                                                        |                                                               |                                                         | Subject to the credit risk framework | Subject to the CCR framework | Subject to the securitisation framework | Subject to the market risk framework | Subject to deduction from capital |
| Assets                                                                 |                                                               |                                                         |                                      |                              |                                         |                                      |                                   |
| Cash and balances with central banks                                   | 317 217                                                       | 317 217                                                 | 317 217                              |                              |                                         |                                      |                                   |
| Other loans to central banks                                           | 33 557                                                        | 33 557                                                  | 33 557                               |                              |                                         |                                      |                                   |
| Interest-bearing securities available as collateral with central banks | 122 260                                                       | 118 929                                                 | 1 236                                |                              |                                         | 121 024                              |                                   |
| Loans to other credit institutions                                     | 22 137                                                        | 22 133                                                  | 19 381                               | 2 752                        |                                         |                                      |                                   |
| Loans to the public                                                    | 2 189 092                                                     | 2 190 223                                               | 2 178 817                            | 9 049                        | 1 228                                   |                                      | 1 129                             |
| Value change of interest-hedged item in portfolio hedge                | 33                                                            | 33                                                      | 33                                   |                              |                                         |                                      |                                   |
| Bonds and other interest-bearing securities                            | 50 729                                                        | 47 850                                                  | 5 373                                |                              |                                         | 45 356                               |                                   |
| Shares and participating interests                                     | 13 821                                                        | 13 168                                                  | 1 841                                | 13 129                       |                                         | 11 981                               |                                   |
| Investments in associates                                              | 259                                                           | 6 534                                                   | 6 466                                |                              |                                         |                                      | 68                                |
| Assets where the customer bears the value change risk                  | 136 346                                                       | 5 345                                                   | 5 345                                |                              |                                         |                                      |                                   |
| Derivative instruments                                                 | 58 041                                                        | 58 041                                                  |                                      | 58 041                       |                                         | 12 547                               |                                   |
| Reinsurance assets                                                     | 12                                                            |                                                         |                                      |                              |                                         |                                      |                                   |
| Intangible assets                                                      | 10 455                                                        | 10 322                                                  | -                                    |                              |                                         |                                      | 10 322                            |
| Property and equipment                                                 | 2 229                                                         | 2 229                                                   | 2 229                                |                              |                                         |                                      |                                   |
| Current tax assets                                                     | 617                                                           | 615                                                     | 615                                  |                              |                                         |                                      |                                   |
| Deferred tax assets                                                    | 1 044                                                         | 1 044                                                   | 5                                    |                              |                                         |                                      | 1 039                             |
| Pension assets                                                         | 0                                                             | 0                                                       | -                                    |                              |                                         |                                      | -                                 |
| Assets held for sale                                                   | 19                                                            | 19                                                      | 19                                   |                              |                                         |                                      |                                   |
| Other assets                                                           | 16 880                                                        | 16 652                                                  | 6 153                                |                              |                                         | 10 499                               |                                   |
| Prepaid expenses and accrued income                                    | 3 426                                                         | 3 406                                                   | 3 406                                |                              |                                         |                                      |                                   |
| Total assets                                                           | 2 978 174                                                     | 2 847 317                                               | 2 581 693                            | 82 971                       | 1 228                                   | 201 407                              | 12 558                            |
| Liabilities                                                            |                                                               |                                                         |                                      |                              |                                         |                                      |                                   |
| Liabilities to credit institutions                                     | 194 082                                                       | 194 033                                                 |                                      |                              |                                         |                                      |                                   |
| Deposits and borrowing from the public                                 | 1 008 487                                                     | 1 007 837                                               |                                      |                              |                                         |                                      |                                   |
| Liabilities where the customer bears the value change risk             | 136 346                                                       | 5 345                                                   |                                      |                              |                                         |                                      |                                   |
| Issued securities                                                      | 1 394 647                                                     | 1 394 647                                               |                                      |                              |                                         | 2 250                                |                                   |
| Derivative instruments                                                 | 17 360                                                        | 17 361                                                  |                                      | 17 361                       |                                         | 13 160                               |                                   |
| Short positions                                                        | 6 163                                                         | 6 163                                                   |                                      |                              |                                         | 6 132                                |                                   |
| Insurance liabilities                                                  | 542                                                           | 0                                                       |                                      |                              |                                         |                                      |                                   |
| Current tax liabilities                                                | 1 118                                                         | 1 105                                                   |                                      |                              |                                         |                                      |                                   |
| Deferred tax liabilities                                               | 5 786                                                         | 5 746                                                   |                                      |                              |                                         |                                      |                                   |
| Provisions                                                             | 222                                                           | 213                                                     |                                      |                              |                                         |                                      |                                   |
| Pension obligations                                                    | 3 226                                                         | 3 171                                                   |                                      |                              |                                         |                                      |                                   |
| Liabilities related to assets held for sale                            | 0                                                             | 0                                                       |                                      |                              |                                         |                                      |                                   |
| Other liabilities                                                      | 12 984                                                        | 12 694                                                  |                                      |                              |                                         |                                      |                                   |
| Accrued expenses and deferred income                                   | 3 865                                                         | 3 784                                                   |                                      |                              |                                         |                                      |                                   |
| Subordinated liabilities                                               | 51 085                                                        | 51 085                                                  |                                      |                              |                                         |                                      |                                   |
| Total liabilities                                                      | 2 835 913                                                     | 2 703 184                                               |                                      | 17 361                       |                                         | 21 542                               |                                   |

**Table 2.8 EU LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements**

The table shows the difference between the carrying amount under the scope of regulatory consolidation and exposures considered for regulatory purposes.

| EU LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements 2019 |                                                                                                        | Items subject to |                       |               |                          |                       |
|---------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|------------------|-----------------------|---------------|--------------------------|-----------------------|
|                                                                                                                           |                                                                                                        | Total            | Credit risk framework | CCR framework | Securitisation framework | Market risk framework |
| SEK m                                                                                                                     |                                                                                                        |                  |                       |               |                          |                       |
| 1                                                                                                                         | Assets carrying value amount under the scope of regulatory consolidation (as per template EU LI1)      | 2 939 459        | 2 680 240             | 54 162        | 1 148                    | 203 909               |
| 2                                                                                                                         | Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1) | 46 404           |                       | 20 642        |                          | 25 762                |
| 3                                                                                                                         | Total net amount under the regulatory scope of consolidation                                           | 2 965 221        | 2 680 240             | 54 162        | 1 148                    | 229 671               |
| 4                                                                                                                         | Off-balance-sheet amounts                                                                              | 522 450          | 522 450               |               |                          |                       |
| 5                                                                                                                         | Differences in valuations                                                                              |                  |                       |               |                          |                       |
| 6                                                                                                                         | Differences due to different netting rules, other than those already included in row 2                 | -187 257         |                       | -12 023       |                          | -175 234              |
| 7                                                                                                                         | Differences due to consideration of provisions                                                         | 3 793            | 3 793                 | 0             |                          |                       |
| 8                                                                                                                         | Differences due to prudential filters                                                                  |                  |                       |               |                          |                       |
| 9                                                                                                                         | Differences due to derivative exposure add-ons                                                         | 27 096           |                       | 27 096        |                          |                       |
| 10                                                                                                                        | Exposure amounts considered for regulatory purposes                                                    | 3 331 303        | 3 206 483             | 69 235        | 1 148                    | 54 437                |

| EU LI2 – Main sources of differences between regulatory exposure amounts and carrying values in financial statements 2018 |                                                                                                        | Items subject to |                       |               |                          |                       |
|---------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------|------------------|-----------------------|---------------|--------------------------|-----------------------|
|                                                                                                                           |                                                                                                        | Total            | Credit risk framework | CCR framework | Securitisation framework | Market risk framework |
| SEK m                                                                                                                     |                                                                                                        |                  |                       |               |                          |                       |
| 1                                                                                                                         | Assets carrying value amount under the scope of regulatory consolidation (as per template EU LI1)      | 2 867 299        | 2 581 693             | 82 971        | 1 228                    | 201 407               |
| 2                                                                                                                         | Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1) | 38 903           |                       | 17 361        |                          | 21 542                |
| 3                                                                                                                         | Total net amount under the regulatory scope of consolidation                                           | 2 888 840        | 2 581 693             | 82 971        | 1 228                    | 222 948               |
| 4                                                                                                                         | Off-balance-sheet amounts                                                                              | 535 815          | 535 815               |               | -                        |                       |
| 5                                                                                                                         | Differences in valuations                                                                              |                  |                       |               |                          |                       |
| 6                                                                                                                         | Differences due to different netting rules, other than those already included in row 2                 | -207 218         |                       | -12 604       |                          | -194 614              |
| 7                                                                                                                         | Differences due to consideration of provisions                                                         | 2 830            | 2 830                 | 0             | -                        |                       |
| 8                                                                                                                         | Differences due to prudential filters                                                                  |                  |                       |               |                          |                       |
| 9                                                                                                                         | Differences due to derivative exposure add-ons                                                         | 31 001           |                       | 31 001        |                          |                       |
| 10                                                                                                                        | Exposure amounts considered for regulatory purposes                                                    | 3 251 268        | 3 120 338             | 101 368       | 1 228                    | 28 334                |

**Table 2.9 EU LI3 – Outline of the differences in the scopes of consolidation (entity by entity)**

The table outlines the scopes of consolidation for the companies included in the consolidated situation at year-end.

| EU LI3 – Outline of the differences in the scopes of consolidation (entity by entity) 2019 | Method of regulatory consolidation |                    |                            |                                   |          | Description of the entity                             |
|--------------------------------------------------------------------------------------------|------------------------------------|--------------------|----------------------------|-----------------------------------|----------|-------------------------------------------------------|
|                                                                                            | Method of accounting consolidation | Full consolidation | Proportional consolidation | Neither consolidated nor deducted | Deducted |                                                       |
| Name of the entity                                                                         |                                    |                    |                            |                                   |          |                                                       |
| Handelsbanken Finans AB                                                                    | Full consolidation                 | X                  |                            |                                   |          | Credit institution                                    |
| Handelsbanken Finans (Shanghai) Financial Leasing Co., Ltd                                 | Full consolidation                 | X                  |                            |                                   |          | Credit institution                                    |
| Stadshypotek AB                                                                            | Full consolidation                 | X                  |                            |                                   |          | Credit institution                                    |
| Svenska Intecknings Garanti AB Sigab                                                       | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Handelsbanken Fondbolagsförvaltning AB                                                     | Full consolidation                 | X                  |                            |                                   |          | Financial corporations other than credit institutions |
| Handelsbanken Fonder AB                                                                    | Full consolidation                 | X                  |                            |                                   |          | Financial corporations other than credit institutions |
| Handelsinvest Investeringsförvaltning A/S                                                  | Full consolidation                 | X                  |                            |                                   |          | Financial corporations other than credit institutions |
| Xact Kapitalförvaltning AB                                                                 | Full consolidation                 | X                  |                            |                                   |          | Financial corporations other than credit institutions |
| AB Handel och Industri                                                                     | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Ecster AB                                                                                  | Full consolidation                 | X                  |                            |                                   |          | Credit institution                                    |
| Handelsbanken plc                                                                          | Full consolidation                 | X                  |                            |                                   |          | Credit institution                                    |
| Heartwood Wealth Management Limited                                                        | Full consolidation                 | X                  |                            |                                   |          | Financial corporations other than credit institutions |
| Heartwood Nominees Limited                                                                 | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Heartwood Second Nominees Limited                                                          | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Heartwood ACD Limited (inactive)                                                           | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| SIL (Nominees) Limited                                                                     | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Svenska Property Nominees Limited                                                          | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Optimix Vermogensbeheer N.V.                                                               | Full consolidation                 | X                  |                            |                                   |          | Financial corporations other than credit institutions |
| Add Value Fund Management B.V.                                                             | Full consolidation                 | X                  |                            |                                   |          | Financial corporations other than credit institutions |
| Optimix Beheer en Belegging B.V.                                                           | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Ejendomsselskabet af 1. maj 2009 A/S                                                       | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Forva AS                                                                                   | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Handelsbanken Markets Securities, Inc.                                                     | Full consolidation                 | X                  |                            |                                   |          | Credit institution                                    |
| Handelsbanken Rahoitus Oy                                                                  | Full consolidation                 | X                  |                            |                                   |          | Credit institution                                    |
| Lokalbolig A/S                                                                             | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Rådstuplass 4 AS                                                                           | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Lila stugan i Stockholm AB                                                                 | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Blå stugan i Stockholm AB                                                                  | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Handelsbanken Fastigheter AB                                                               | Full consolidation                 | X                  |                            |                                   |          | Non-financial corporation                             |
| Bankomat AB                                                                                | Equity method                      |                    | X                          |                                   |          | Non-financial corporation                             |
| BGC Holding AB                                                                             | Equity method                      |                    | X                          |                                   |          | Non-financial corporation                             |
| Bankgirocentralen BGC AB                                                                   | Equity method                      |                    | X                          |                                   |          | Non-financial corporation                             |
| Torig AB                                                                                   | Equity method                      |                    | X                          |                                   |          | Non-financial corporation                             |
| Finansiell ID-teknik BID AB                                                                | Equity method                      |                    | X                          |                                   |          | Non-financial corporation                             |
| USE Intressenter AB                                                                        | Equity method                      |                    | X                          |                                   |          | Non-financial corporation                             |
| Getswish AB                                                                                | Equity method                      |                    | X                          |                                   |          | Non-financial corporation                             |

Table 2.10 Companies included in consolidated situation

| Companies included in consolidated situation               | Ownership share % | Corporate identity number | Domicile         |
|------------------------------------------------------------|-------------------|---------------------------|------------------|
| <b>Handelsbanken AB (publ)<sup>1</sup></b>                 |                   | <b>502007-7862</b>        | <b>Stockholm</b> |
| <b>SUBSIDIARIES</b>                                        |                   |                           |                  |
| <b>Handelsbanken Finans AB<sup>1</sup></b>                 | <b>100</b>        | <b>556053-0841</b>        | <b>Stockholm</b> |
| Handelsbanken Finans (Shanghai) Financial Leasing Co., Ltd | 100               | 310101717882194           | Shanghai         |
| <b>Stadshypotek AB<sup>1</sup></b>                         | <b>100</b>        | <b>556459-6715</b>        | <b>Stockholm</b> |
| Svenska Intecknings Garanti AB Sigab (inactive)            | 100               | 556432-7285               | Stockholm        |
| <b>Handelsbanken Fondbolagsförvaltning AB</b>              | <b>100</b>        | <b>556070-0683</b>        | <b>Stockholm</b> |
| Handelsbanken Fonder AB                                    | 100               | 556418-8851               | Stockholm        |
| Handelsinvest Investeringsförvaltning A/S                  | 100               | 12930879                  | Copenhagen       |
| Xact Kapitalförvaltning AB                                 | 100               | 556997-8140               | Stockholm        |
| <b>AB Handel och Industri</b>                              | <b>100</b>        | <b>556013-5336</b>        | <b>Stockholm</b> |
| <b>Ecster AB</b>                                           | <b>100</b>        | <b>556993-2311</b>        | <b>Stockholm</b> |
| <b>Handelsbanken plc<sup>1,3</sup></b>                     | <b>100</b>        | <b>11305395</b>           | <b>London</b>    |
| Heartwood Wealth Management Limited                        | 100               | 04132340                  | London           |
| Heartwood Nominees Limited (inactive)                      | 100               | 2299877                   | London           |
| Heartwood Second Nominees Limited (inactive)               | 100               | 3193458                   | London           |
| Heartwood ACD Limited (inactive)                           | 100               | 4332528                   | London           |
| Svenska Property Nominees Limited (inactive)               | 100               | 2308524                   | London           |
| <b>Optimix Vermogensbeheer N.V.</b>                        | <b>100</b>        | <b>33194359</b>           | <b>Amsterdam</b> |
| Add Value Fund Management B.V.                             | 80                | 19196768                  | Amsterdam        |
| Optimix Beheer en Belegging B.V. (inactive)                | 100               | 33186584                  | Amsterdam        |
| <b>Other</b>                                               |                   |                           |                  |
| Ejendomsselskabet af 1. maj 2009 A/S <sup>1</sup>          | 100               | 59173812                  | Hillerød         |
| Forva AS                                                   | 100               | 945812141                 | Oslo             |
| Handelsbanken Markets Securities, Inc <sup>1</sup>         | 100               | 11-3257438                | New York         |
| Handelsbanken Rahoitus Oy                                  | 100               | 0112308-8                 | Helsinki         |
| Lokalbolig A/S                                             | 71,05             | 78488018                  | Hillerød         |
| Rådstuplass 4 AS                                           | 100               | 910508423                 | Bergen           |
| Lila stugan i Stockholm AB (inactive)                      | 100               | 556993-9084               | Stockholm        |
| Bla stugan i Stockholm (inactive)                          | 100               | 556993-9357               | Stockholm        |
| <b>Subsidiary of Handelsbanken Liv Försäkrings AB</b>      |                   |                           |                  |
| Handelsbanken Fastigheter AB                               | 100               | 556873-0021               | Stockholm        |
| <b>ASSOCIATES</b>                                          |                   |                           |                  |
| Bankomat AB                                                | 20                | 556817-9716               | Stockholm        |
| BGC Holding AB                                             | 25,38             | 556607-0933               | Stockholm        |
| Bankgirocentralen BGC AB <sup>2</sup>                      | 100               | 556047-3521               | Stockholm        |
| Torig AB                                                   | 100               | 556564-5404               | Stockholm        |
| Finansiell ID-teknik BID AB                                | 28,3              | 556630-4928               | Stockholm        |
| USE Intressenter AB                                        | 24,48             | 559161-9464               | Stockholm        |
| Getswish AB                                                | 20                | 556913-7382               | Stockholm        |

| Companies not included in consolidated situation                           | Ownership share % | Corporate identity number | Domicile   |
|----------------------------------------------------------------------------|-------------------|---------------------------|------------|
| Handelsbanken Liv Försäkring AB (group excl. Handelsbanken Fastigheter AB) | 100               | 516401-8284               | Stockholm  |
| Svenska Re S.A.                                                            | 100               | RCS Lux B-32053           | Luxembourg |
| Handelsbanken Skadeförsäkrings AB                                          | 100               | 516401-6767               | Stockholm  |
| Dyson Group plc                                                            | 27                | 00163096                  | Sheffield  |
| Dyson Industries Ltd                                                       | 100               | 1187031                   | Sheffield  |
| Beepart Ltd                                                                | 100               | 177682                    | Sheffield  |
| Pickford Holland & Company Ltd                                             | 100               | 128414                    | Sheffield  |
| Millennium Materials Inc                                                   | 100               | -                         | Knoxville  |
| Dyson US holdings Inc                                                      | 100               | -                         | Wilmington |
| EFN Ekonomikanalen AB                                                      | 100               | 556930-1608               | Stockholm  |
| SHB Liv Försäkringsaktiebolag                                              | 100               | 2478149-7                 | Helsinki   |
| Svenska RKA International Insurance Services AB (inactive)                 | 100               | 556324-2964               | Stockholm  |

<sup>1</sup>Credit institution.<sup>2</sup>Ownership in subsidiaries and associates.<sup>3</sup>As from December 1 2018 Handelsbanken's operations in UK are run as a subsidiary

**CAPITAL REQUIREMENT****Credit risk**

The capital requirements for credit risk are calculated by a risk-weighted exposure amount being calculated for all the exposures in the regulatory consolidation. The risk-weighted exposure amount is calculated for credit risk – partly using the IRB approach with and without own estimates of LGD and CCF, and partly using the standardised approach.

**Market risk**

The capital requirements for market risk are calculated for the Bank's consolidated situation. The capital requirements for interest rate risk and equity price risk are, however, only calculated for positions in the trading book. When calculating the capital requirements for market risk, the standardised approach is applied.

**Operational risk**

Handelsbanken uses the standardised approach to calculate the capital requirements for operational risk. According to the standardised approach, the capital requirements are calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

Table 2.11 shows the total capital requirement and its various components.

**Capital requirement in Pillar 2**

At the end of the fourth quarter, the Bank's assessment of the Swedish Financial Supervisory Authority's (SFSA) common equity tier 1 (CET1) capital requirement pursuant to Pillar 2 was SEK 27.9 billion, corresponding to 3.9 per cent of Pillar 1 REA. The capital requirement is derived from requirements for credit risk, market risk, systemic risk, and other risks.

A Pillar 2 risk weight floor of 22 per cent applies to Norwegian mortgage loans. The resulting CET1 requirement amounts to SEK 1.8 billion or 0.3 per cent of REA. Also within Pillar 2, the SFSA still applies a maturity floor of 2.5 years for maturity assumptions pertaining to corporate exposures and a model for credit related concentration risk. The CET1 capital charge was SEK 2.6 billion and SEK 2.8 billion respectively, corresponding to approximately 0.4 per cent of REA in each case. Altogether, the CET1 capital requirement for credit risk within Pillar 2 was SEK 7.3 billion or 1 per cent of REA.

The Bank is also subject to a CET1 capital requirement for interest rate risk in the banking book and pension risk based on the SFSA benchmark models. The CET1 requirement for interest risk in the banking book amounts to SEK 4.4 billion as of the fourth quarter while there is currently no requirement for pension risk. CET1 capital charges pertaining to other risks amounts to SEK 1.9 billion.

In conclusion, the Pillar 2 CET1 capital requirement for systemic risk, a buffer requirement of 2 per cent of Pillar 1 REA, amounts to SEK 14.3 billion.

As of the fourth quarter, the Bank's assessment of the SFSA's total requirement for common equity tier 1 capital, including Pillar 1 requirements, was SEK 113.2 billion, corresponding to a common equity tier 1 ratio of 15.8 per cent of REA.



**Table 2.11 EU OV1 – Overview of RWAs**

The table shows risk exposure amounts (REA) for credit, counterparty, market and operational risk at the end of the previous and current period. Credit risk is calculated by the standardised approach, the Foundation IRB approach and the Advanced IRB approach. Market risk and operational risk is calculated by the standardised approach. REA for credit risk has increased compared to the previous period. REA for counterparty risk has decreased compared to the previous period. REA for market risk has decreased compared to the previous period. REA for operational risk has increased compared to the previous period.

| EU OV1 – Overview of RWAs                                   |    |                                                                              | RWAs           |                | Minimum capital requirements |
|-------------------------------------------------------------|----|------------------------------------------------------------------------------|----------------|----------------|------------------------------|
| SEK m                                                       |    |                                                                              | 2019           | 2018           | 2019                         |
|                                                             | 1  | Credit risk (excluding CCR)                                                  | 626 682        | 616 009        | 50 132                       |
| Article 438(c)(d)                                           | 2  | Of which the standardised approach                                           | 86 573         | 87 147         | 6 926                        |
| Article 438(c)(d)                                           | 3  | Of which the foundation IRB (FIRB) approach                                  | 53 846         | 53 978         | 4 305                        |
| Article 438(c)(d)                                           | 4  | Of which the advanced IRB (AIRB) approach                                    | 475 964        | 467 474        | 38 077                       |
| Article 438(d)                                              | 5  | Of which equity IRB under the simple risk-weighted approach or the IMA       | 10 299         | 7 410          | 824                          |
| Article 107                                                 |    |                                                                              |                |                |                              |
| Article 438(c)(d)                                           | 6  | CCR                                                                          | 11 371         | 12 603         | 910                          |
| Article 438(c)(d)                                           | 7  | Of which mark to market                                                      | 11 359         | 12 598         | 909                          |
| Article 438(c)(d)                                           | 8  | Of which original exposure                                                   |                |                |                              |
|                                                             | 9  | Of which the standardised approach                                           |                |                |                              |
|                                                             | 10 | Of which internal model method (IMM)                                         |                |                |                              |
| Article 438(c)(d)                                           | 11 | Of which risk exposure amount for contributions of the default fund of a CCP | 12             | 5              | 1                            |
| Article 438(c)(d)                                           | 12 | CVA                                                                          | 4 114          | 5 219          | 329                          |
| Article 438 e                                               | 13 | Settlement risk                                                              | 9              | 0              | 1                            |
| Article 449(o)(i)                                           | 14 | Securitisation exposures in the non-trading book (after the cap)             | -              | 51             | -                            |
|                                                             | 15 | Of which IRB Approach                                                        | -              | 51             | -                            |
|                                                             | 16 | Of which IRB supervisory formula approach (SFA)                              |                |                |                              |
|                                                             | 17 | Of which internal assessment approach (IAA)                                  |                |                |                              |
|                                                             | 18 | Of which standardised approach                                               |                |                |                              |
| Article 438 e                                               | 19 | Market risk                                                                  | 8 263          | 9 765          | 662                          |
|                                                             | 20 | Of which the standardised approach                                           | 8 263          | 9 765          | 662                          |
|                                                             | 21 | Of which IMA                                                                 |                |                |                              |
| Article 438 e                                               | 22 | Large exposures                                                              |                |                |                              |
| Article 438(f)                                              | 23 | Operational risk                                                             | 66 023         | 63 932         | 5 282                        |
|                                                             | 24 | Of which basic indicator approach                                            |                |                |                              |
|                                                             | 25 | Of which standardised approach                                               | 66 023         | 63 932         | 5 282                        |
|                                                             | 26 | Of which advanced measurement approach                                       |                |                |                              |
| Article 437(2),<br>Article 48 and Article 60<br>Article 500 | 27 | Amounts below the thresholds for deduction (subject to 250% risk weight)     |                |                |                              |
|                                                             | 28 | Floor adjustment                                                             |                |                |                              |
|                                                             | 29 | <b>Total</b>                                                                 | <b>716 462</b> | <b>707 579</b> | <b>57 317</b>                |

## CAPITAL ADEQUACY FOR THE FINANCIAL CONGLOMERATE

Institutions and insurance companies which are part of the financial conglomerate must have own funds which are adequate in relation to the capital requirements for the financial conglomerate. Own funds for the financial conglomerate have been calculated pursuant to the deduction and aggregation method (method 2, Annex I, Directive 2002/87/EC). The financial conglomerate's total own funds exceed the financial conglomerate's capital requirement.

**Table 2.12 Capital adequacy financial conglomerate**

The table shows the relation between capital and capital requirement for the financial conglomerate. The surplus has increased compared to the previous year.

| Capital adequacy financial conglomerate   |  |               |               |
|-------------------------------------------|--|---------------|---------------|
| SEK m                                     |  | 2019          | 2018          |
| Own funds after reduction and adjustments |  | 174 186       | 152 229       |
| Capital requirement                       |  | 153 484       | 139 687       |
| <b>Surplus</b>                            |  | <b>20 702</b> | <b>12 542</b> |

## LEVERAGE RATIO

Handelsbanken's leverage ratio for 2019 was 4.85 per cent (4.37). The leverage ratio has increased compared to the previous period. The increase was attributable to an increase in the Bank's tier 1 capital.

**Table 2.13 LRCom: Leverage ratio common disclosure**

The table shows the leverage ratio for the current and previous period. The exposures are specified for the categories on-balance, derivatives, securities finance and off-balance. The leverage ratio is calculated as tier 1 capital divided by the total exposures. The leverage ratio has increased compared to the previous period.

| LRCom: Leverage ratio common disclosure |                                                                                                                                           | 2019             | 2018             |
|-----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
| SEK m                                   |                                                                                                                                           |                  |                  |
|                                         | <b>On-balance-sheet exposures (excluding derivatives and SFTs)</b>                                                                        |                  |                  |
| 1                                       | On-balance-sheet items (excluding derivatives, SFTs and fiduciary assets, but including collateral)                                       | 2 843 612        | 2 777 127        |
| 2                                       | (Asset amounts deducted in determining Tier 1 capital)                                                                                    | -17 849          | -14 583          |
| <b>3</b>                                | <b>Total on-balance sheet exposures (excluding derivatives, SFTs and fiduciary assets) (sum of lines 1 and 2)</b>                         | <b>2 825 763</b> | <b>2 762 544</b> |
|                                         | <b>Derivative exposures</b>                                                                                                               |                  |                  |
| 4                                       | Replacement cost associated with all derivatives transactions (ie net of eligible cash variation margin)                                  | 6 667            | 8 183            |
| 5                                       | Add-on amounts for PFE associated with all derivatives transactions (mark-to-market method)                                               | 27 096           | 31 001           |
| EU-5a                                   | Exposure determined under Original Exposure Method                                                                                        | -                | -                |
| 6                                       | Gross-up for derivatives collateral provided where deducted from the balance sheet assets pursuant to the applicable accounting framework | -                | -                |
| 7                                       | (Deductions of receivables assets for cash variation margin provided in derivatives transactions )                                        | -8 466           | -5 418           |
| 8                                       | (Exempted CCP leg of client-cleared trade exposures)                                                                                      |                  |                  |
| 9                                       | Adjusted effective notional amount of written credit derivatives                                                                          | 5 621            | 5 774            |
| 10                                      | (Adjusted effective notional offsets and add-on deductions for written credit derivatives)                                                | -116             | -                |
| <b>11</b>                               | <b>Total derivatives exposures (sum of lines 4 to 10)</b>                                                                                 | <b>30 802</b>    | <b>39 540</b>    |
|                                         | <b>SFT exposures</b>                                                                                                                      |                  |                  |
| 12                                      | Gross SFT assets (with no recognition of netting), after adjusting for sales accounting transactions                                      | 16 010           | 12 149           |
| 13                                      | (Netted amounts of cash payables and cash receivables of gross SFT assets)                                                                | -                | -                |
| 14                                      | Counterparty credit risk exposure for SFT assets                                                                                          | 3 342            | 3 850            |
| EU-14a                                  | Derogation for SFTs: Counterparty credit risk exposure in accordance with Article 429b(4) and 222 of Regulation (EU) No 575/2013          | -                | -                |
| 15                                      | Agent transaction exposures                                                                                                               | -                | -                |
| EU-15a                                  | (Exempted CCP leg of client-cleared SFT exposure)                                                                                         | -                | -                |
| <b>16</b>                               | <b>Total securities financing transaction exposures (sum of lines 12 to 15a)</b>                                                          | <b>19 352</b>    | <b>15 999</b>    |
|                                         | <b>Other off-balance-sheet exposures</b>                                                                                                  |                  |                  |
| 17                                      | Off-balance-sheet exposures at gross notional amount                                                                                      | 522 450          | 535 815          |
| 18                                      | (Adjustments for conversion to credit equivalent amounts)                                                                                 | -338 171         | -343 827         |
| <b>19</b>                               | <b>Other off-balance-sheet exposures (sum of lines 17 and 18)</b>                                                                         | <b>184 279</b>   | <b>191 988</b>   |
|                                         | <b>Exempted exposures in accordance with Article 429(7) and (14) of Regulation (EU) No 575/2013 (on and off balance sheet)</b>            |                  |                  |
| EU-19a                                  | (Intragroup exposures (solo basis) exempted in accordance with Article 429 (7) of Regulation (EU) No 575/2013 (on and off balance sheet)) | -                | -                |
| EU-19b                                  | (Exposures exempted in accordance with Article 429 (14) of Regulation (EU) No 575/2013 (on and off balance sheet))                        | -                | -                |
|                                         | <b>Capital and total exposure measure</b>                                                                                                 |                  |                  |
| 20                                      | Tier 1 capital                                                                                                                            | 148 550          | 131 463          |
| 21                                      | Leverage ratio total exposure measure (sum of lines 3, 11, 16, 19, EU-19a and EU-19b)                                                     | 3 060 195        | 3 010 071        |
|                                         | <b>Leverage ratio</b>                                                                                                                     |                  |                  |
| 22                                      | Leverage ratio                                                                                                                            | 4.85%            | 4.37%            |
|                                         | <b>Choice on transitional arrangements and amount of derecognised fiduciary items</b>                                                     |                  |                  |
| EU-23                                   | Choice on transitional arrangements for the definition of the capital measure                                                             | Transitional     | Transitional     |
| EU-24                                   | Amount of derecognised fiduciary items in accordance with Article 429 (13) of Regulation (EU) No 575/2013                                 | 0                | 0                |

**Table 2.14 LRSum: Summary reconciliation of accounting assets and leverage ratio exposures**

The table shows the summary reconciliation of accounting assets and leverage ratio exposures. The leverage ratio total exposure measure has increased compared to the previous period.

| LRSum: Summary reconciliation of accounting assets and leverage ratio exposures |                                                                                                                                                                                                                                           | 2019             | 2018             |
|---------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|
| SEK m                                                                           |                                                                                                                                                                                                                                           |                  |                  |
| 1                                                                               | Total assets as per published financial statements                                                                                                                                                                                        | 3 069 667        | 2 978 174        |
| 2                                                                               | Adjustment for entities which are consolidated for accounting purposes but are outside the scope of regulatory consolidation                                                                                                              | -168 500         | -130 857         |
| 3                                                                               | (Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the leverage ratio exposure measure in accordance with Article 429(13) of Regulation (EU) No 575/2013) | 0                | 0                |
| 4                                                                               | Adjustments for derivative financial instruments                                                                                                                                                                                          | -10 743          | -18 501          |
| 5                                                                               | Adjustments for securities financing transactions (SFTs)                                                                                                                                                                                  | 3 342            | 3 850            |
| 6                                                                               | Adjustment for off-balance sheet items (i.e. conversion to credit equivalent amounts of off-balance sheet exposures)                                                                                                                      | 184 279          | 191 988          |
| EU-6a                                                                           | (Adjustment for intragroup exposures excluded from the leverage ratio total exposure measure in accordance with Article 429(7) of Regulation (EU) No 575/2013)                                                                            | 0                | 0                |
| EU-6b                                                                           | (Adjustment for exposures excluded from the leverage ratio total exposure measure in accordance with Article 429(14) of Regulation (EU) No 575/2013)                                                                                      | -                | -                |
| 7                                                                               | Other adjustments                                                                                                                                                                                                                         | -17 850          | -14 583          |
| <b>8</b>                                                                        | <b>Leverage ratio total exposure measure</b>                                                                                                                                                                                              | <b>3 060 195</b> | <b>3 010 071</b> |

**Table 2.15 LRSpl: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures)**

The table specifies on-balance-sheet exposures excluding derivatives, SFTs, and exposures exempt from the leverage ratio calculation. The total exposure has increased compared to the previous period.

| LRSpl: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures) |                                                                                                       | 2019      | 2018      |
|----------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------|-----------|-----------|
| SEK m                                                                                              |                                                                                                       |           |           |
| EU-1                                                                                               | Total on-balance sheet exposures (excluding derivatives, SFTs, and exempted exposures), of which:     | 2 833 306 | 2 757 336 |
| EU-2                                                                                               | Trading book exposures                                                                                | 160 009   | 180 589   |
| EU-3                                                                                               | Non-trading book exposures, of which:                                                                 | 2 673 297 | 2 576 747 |
| EU-4                                                                                               | Covered bonds                                                                                         | 4 952     | 5 372     |
| EU-5                                                                                               | Exposures treated as sovereigns                                                                       | 411 782   | 419 788   |
| EU-6                                                                                               | Exposures to regional governments, MDB, international organisations and PSE not treated as sovereigns | 0         | 25        |
| EU-7                                                                                               | Institutions                                                                                          | 7 346     | 8 476     |
| EU-8                                                                                               | Secured by mortgages of immovable properties                                                          | 1 984 322 | 1 843 389 |
| EU-9                                                                                               | Retail exposures                                                                                      | 52 512    | 64 218    |
| EU-10                                                                                              | Corporate                                                                                             | 186 732   | 211 962   |
| EU-11                                                                                              | Exposures in default                                                                                  | 4 703     | 4 797     |
| EU-12                                                                                              | Other exposures (e.g. equity, securitisations, and other non-credit obligation assets)                | 20 948    | 18 720    |

# Credit risk

Handelsbanken's low risk tolerance is maintained by means of a strong credit policy and credit culture that cover the whole Group and are sustainable over time. The Bank's decentralised organisation with a local presence provides high quality in credit decisions and ensures that credit risk is managed close to the customer

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Credit risk is defined as the risk of the Bank facing economic loss because the Bank's counterparties cannot fulfil their contractual obligations.

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## Introduction

In 2018 the European Banking Authority (EBA) published its final Guidelines on disclosure of non-performing and forborne exposures. The Guidelines aim to enhance credit institutions' disclosures on the credit quality of assets by defining the common content and uniform disclosure formats for disclosures of NPEs, forborne exposures and foreclosed assets. The Guidelines include a set of common templates applicable to all banks and additional templates applicable only to significant credit institutions with a gross NPL ratio of 5 per cent or above. Handelsbanken's disclosures in accordance with the EBA guidelines are made using the common templates since Handelsbanken has a gross NPL ratio well below 5 per cent. Tables T3, T4, T8 and T9 show the credit quality of performing and non-performing exposures by past due days, performing and non-performing exposures and related provisions, credit quality of forborne exposures and collateral obtained by taking possession and execution processes.

## Expected credit losses

The impairment rules presented in IFRS 9 apply to financial assets at amortised cost, financial assets at fair value through other comprehensive income, as well as financial guarantees and other irrevocable commitments, and are based on a model for the recognition of expected credit losses (ECL). The assets to be tested for impairment are divided into the following three stages, depending on the degree of credit impairment.

Stage 1 comprises financial assets with no significant increase in credit risk since initial recognition.

Stage 2 comprises financial assets with a significant increase in credit risk since initial recognition, but for which there is no objective evidence that the claim is credit-impaired at the time of reporting.

Stage 3 comprises financial assets for which objective circumstances have been identified indicating that the claim is credit-impaired. For a definition of credit-impaired assets, see the section titled Default/Credit-impaired asset in note G1 of the Annual Report.

For further information of expected credit losses please see note G2 of the Annual report, Calculation of expected credit losses.

## Capital Requirements Regulation

In the Capital Requirements Regulation (CRR), credit risk adjustments are loss provisions that are divided into two categories: specific and general. The term 'Credit risk adjustments' in CRR corresponds to 'provisions' in accounting rules. Expected credit losses (ECL) determined in accordance with IFRS 9 correspond to Specific Credit Risk Adjustments in CRR. This is in accordance with the European Banking Authority's Opinion on transitional arrangements and credit risk adjustments due to the introduction of IFRS 9 (EBA/OP/2017/02).

**Table 3.1 EU CR1-A – Credit quality of exposures by exposure class and instrument**

The following table specifies gross exposures by exposure class and by instrument. It further specifies credit risk adjustments, write-offs and net values. It comprises figures obtained using both the standardised and the IRB Approach. Total net values have increased compared to the previous period. (For on-balance-sheet items, the net value is the gross carrying value of exposure less allowances/impairments. For off-balance-sheet items, the net value is the gross carrying value of exposure less provisions.)

| EU CR1-A – Credit quality of exposures by exposure class and instrument 2019 |                                                                           | Gross carrying values of |                         |                                 |                                |                        |                                              |            |
|------------------------------------------------------------------------------|---------------------------------------------------------------------------|--------------------------|-------------------------|---------------------------------|--------------------------------|------------------------|----------------------------------------------|------------|
|                                                                              |                                                                           | Defaulted exposures      | Non-defaulted exposures | Specific credit risk adjustment | General credit risk adjustment | Accumulated write-offs | Credit risk adjustment charges of the period | Net values |
| SEK m                                                                        |                                                                           |                          |                         |                                 |                                |                        |                                              |            |
| 1                                                                            | Central governments or central banks                                      | -                        | 382 485                 | 1                               |                                | -                      | -                                            | 382 484    |
| 2                                                                            | Institutions                                                              | -                        | 23 792                  | 5                               |                                | -                      | -                                            | 23 787     |
| 3                                                                            | Corporates                                                                | 6 339                    | 1 449 969               | 3 384                           |                                | 50                     | 1 092                                        | 1 452 924  |
| 4                                                                            | Of which: Specialised lending                                             |                          |                         |                                 |                                |                        |                                              |            |
| 5                                                                            | Of which: SMEs                                                            | 2 590                    | 770 541                 | 1 330                           |                                | 45                     | 337                                          | 771 801    |
| 6                                                                            | Retail                                                                    | 2 503                    | 1 122 658               | 1 307                           |                                | 29                     | 384                                          | 1 123 854  |
| 7                                                                            | Secured by real estate property                                           | 1 449                    | 1 057 029               | 444                             |                                | 8                      | 127                                          | 1 058 034  |
| 8                                                                            | SMEs                                                                      | 182                      | 11 911                  | 93                              |                                | 1                      | 30                                           | 12 000     |
| 9                                                                            | Non-SMEs                                                                  | 1 267                    | 1 045 118               | 351                             |                                | 7                      | 96                                           | 1 046 034  |
| 10                                                                           | Qualifying revolving                                                      |                          |                         |                                 |                                |                        |                                              |            |
| 11                                                                           | Other retail                                                              | 1 054                    | 65 630                  | 863                             |                                | 21                     | 257                                          | 65 821     |
| 12                                                                           | SMEs                                                                      | 297                      | 13 289                  | 239                             |                                | 19                     | 83                                           | 13 347     |
| 13                                                                           | Non-SMEs                                                                  | 757                      | 52 342                  | 624                             |                                | 2                      | 174                                          | 52 475     |
| 14                                                                           | Equity                                                                    | -                        | 3 028                   | -                               |                                | -                      | -                                            | 3 028      |
| 15                                                                           | Total IRB Approach                                                        | 8 842                    | 2 981 932               | 4 697                           |                                | 79                     | 1 476                                        | 2 986 077  |
| 16                                                                           | Central governments or central banks                                      | -                        | 36                      | -                               |                                | -                      | -                                            | 36         |
| 17                                                                           | Regional governments or local authorities                                 | -                        | -                       | -                               |                                | -                      | -                                            | -          |
| 18                                                                           | Public sector entities                                                    |                          |                         |                                 |                                |                        |                                              |            |
| 19                                                                           | Multilateral development banks                                            | -                        | -                       | -                               |                                | -                      | -                                            | -          |
| 20                                                                           | International organisations                                               |                          |                         |                                 |                                |                        |                                              |            |
| 21                                                                           | Institutions                                                              | -                        | 4 290                   | 10                              |                                | -                      | -                                            | 4 280      |
| 22                                                                           | Corporates                                                                | 51                       | 14 359                  | 18                              |                                | -                      | 6                                            | 14 392     |
| 23                                                                           | Of which: SMEs                                                            | 20                       | 3 121                   | 5                               |                                | -                      | 1                                            | 3 136      |
| 24                                                                           | Retail                                                                    | 551                      | 24 828                  | 58                              |                                | 1                      | 19                                           | 25 321     |
| 25                                                                           | Of which: SMEs                                                            | 22                       | 2 443                   | 10                              |                                | -                      | 3                                            | 2 455      |
| 26                                                                           | Secured by mortgages on immovable property                                | 100                      | 147 356                 | 31                              |                                | -                      | 6                                            | 147 425    |
| 27                                                                           | Of which: SMEs                                                            | 8                        | 29 421                  | 11                              |                                | -                      | 1                                            | 29 418     |
| 28                                                                           | Exposures in default¹                                                     | 701                      | 0                       | 117                             |                                | 1                      | 31                                           | 584        |
| 29                                                                           | Items associated with particularly high risk                              | -                        | 26                      | -                               |                                | -                      | -                                            | 26         |
| 30                                                                           | Covered bonds                                                             |                          |                         |                                 |                                |                        |                                              |            |
| 31                                                                           | Claims on institutions and corporates with a short-term credit assessment |                          |                         |                                 |                                |                        |                                              |            |
| 32                                                                           | Collective investments undertakings                                       | -                        | 151                     | -                               |                                | -                      | -                                            | 151        |
| 33                                                                           | Equity exposures                                                          | -                        | 6 254                   | -                               |                                | -                      | -                                            | 6 254      |
| 34                                                                           | Other exposures                                                           | -                        | 4 958                   | 1                               |                                | -                      | -                                            | 4 957      |
| 35                                                                           | Total standardised approach                                               | 702                      | 202 258                 | 118                             |                                | 1                      | 31                                           | 202 842    |
| 36                                                                           | Total                                                                     | 9 544                    | 3 184 190               | 4 815                           |                                | 80                     | 1 507                                        | 3 188 919  |
| 37                                                                           | Of which: Loans                                                           | 8 831                    | 2 656 085               | 4 813                           |                                | 80                     | 1 507                                        | 2 660 103  |
| 38                                                                           | Of which: Debt securities                                                 | -                        | 6 368                   | 2                               |                                | -                      | -                                            | 6 366      |
| 39                                                                           | Of which: Off-balance-sheet exposures                                     | 713                      | 521 737                 | -                               |                                | -                      | -                                            | 522 450    |

<sup>1</sup> In compliance with EBA Q&A 2017:3481, row 28 shows the gross carrying value for the exposure class Exposures in default under CRR 112 j. This row is not included in the total (row 35). The defaulted exposures are recognised in their original exposure class, that is, the exposure class before default, on rows 22–27.

| EU CR1-A – Credit quality of exposures by exposure class and instrument 2018 |                                                                           | Gross carrying values of |                         |                                 |                                |                        |                                              |                  |
|------------------------------------------------------------------------------|---------------------------------------------------------------------------|--------------------------|-------------------------|---------------------------------|--------------------------------|------------------------|----------------------------------------------|------------------|
| SEK m                                                                        |                                                                           | Defaulted exposures      | Non-defaulted exposures | Specific credit risk adjustment | General credit risk adjustment | Accumulated write-offs | Credit risk adjustment charges of the period | Net values       |
| 1                                                                            | Central governments or central banks                                      | -                        | 387 797                 | 1                               |                                | -                      | -                                            | 387 796          |
| 2                                                                            | Institutions                                                              | -                        | 22 111                  | 3                               |                                | -                      | -                                            | 22 108           |
| 3                                                                            | Corporates                                                                | 5 016                    | 1 423 945               | 2 530                           |                                | 258                    | 649                                          | 1 426 431        |
| 4                                                                            | <i>Of which: Specialised lending</i>                                      |                          |                         |                                 |                                |                        |                                              |                  |
| 5                                                                            | <i>Of which: SMEs</i>                                                     | 2 420                    | 741 786                 | 1 582                           |                                | 205                    | 374                                          | 742 624          |
| 6                                                                            | Retail                                                                    | 2 365                    | 1 082 448               | 1 284                           |                                | 91                     | 335                                          | 1 083 529        |
| 7                                                                            | <i>Secured by real estate property</i>                                    | 1 057                    | 996 711                 | 257                             |                                | 29                     | 53                                           | 997 511          |
| 8                                                                            | <i>SMEs</i>                                                               | 32                       | 7 261                   | 16                              |                                | 0                      | 3                                            | 7 277            |
| 9                                                                            | <i>Non-SMEs</i>                                                           | 1 025                    | 989 450                 | 241                             |                                | 29                     | 50                                           | 990 234          |
| 10                                                                           | <i>Qualifying revolving</i>                                               |                          |                         |                                 |                                |                        |                                              |                  |
| 11                                                                           | <i>Other retail</i>                                                       | 1 308                    | 85 737                  | 1 027                           |                                | 62                     | 282                                          | 86 018           |
| 12                                                                           | <i>SMEs</i>                                                               | 411                      | 18 853                  | 308                             |                                | 51                     | 96                                           | 18 956           |
| 13                                                                           | <i>Non-SMEs</i>                                                           | 897                      | 66 884                  | 719                             |                                | 11                     | 186                                          | 67 062           |
| 14                                                                           | Equity                                                                    | -                        | 2 121                   | -                               |                                | -                      | -                                            | 2 121            |
| 15                                                                           | <b>Total IRB Approach</b>                                                 | <b>7 381</b>             | <b>2 918 422</b>        | <b>3 818</b>                    |                                | <b>349</b>             | <b>984</b>                                   | <b>2 921 985</b> |
| 16                                                                           | Central governments or central banks                                      | -                        | 51                      | -                               |                                | -                      | -                                            | 51               |
| 17                                                                           | Regional governments or local authorities                                 | -                        | 25                      | -                               |                                | -                      | -                                            | 25               |
| 18                                                                           | Public sector entities                                                    | -                        | -                       | -                               |                                | -                      | -                                            | -                |
| 19                                                                           | Multilateral development banks                                            | -                        | -                       | -                               |                                | -                      | -                                            | -                |
| 20                                                                           | International organisations                                               | -                        | -                       | -                               |                                | -                      | -                                            | -                |
| 21                                                                           | Institutions                                                              | -                        | 4 396                   | 10                              |                                | -                      | -                                            | 4 386            |
| 22                                                                           | Corporates                                                                | 170                      | 19 932                  | 42                              |                                | -                      | 14                                           | 20 060           |
| 23                                                                           | <i>Of which: SMEs</i>                                                     | 33                       | 2 508                   | 16                              |                                | -                      | 5                                            | 2 525            |
| 24                                                                           | Retail                                                                    | 572                      | 21 401                  | 59                              |                                | -                      | 17                                           | 21 914           |
| 25                                                                           | <i>Of which: SMEs</i>                                                     | 23                       | 2 541                   | 14                              |                                | -                      | 5                                            | 2 550            |
| 26                                                                           | <i>Secured by mortgages on immovable property</i>                         | 84                       | 127 137                 | 26                              |                                | -                      | 6                                            | 127 195          |
| 27                                                                           | <i>Of which: SMEs</i>                                                     | 9                        | 23 907                  | 11                              |                                | -                      | 2                                            | 23 905           |
| 28                                                                           | Exposures in default¹                                                     | 826                      | -                       | 137                             |                                | -                      | 37                                           | 689              |
| 29                                                                           | Items associated with particularly high risk                              |                          |                         |                                 |                                |                        |                                              |                  |
| 30                                                                           | Covered bonds                                                             |                          |                         |                                 |                                |                        |                                              |                  |
| 31                                                                           | Claims on institutions and corporates with a short-term credit assessment |                          |                         |                                 |                                |                        |                                              |                  |
| 32                                                                           | Collective investments undertakings                                       |                          |                         |                                 |                                |                        |                                              |                  |
| 33                                                                           | Equity exposures                                                          | -                        | 6 254                   | -                               |                                | -                      | -                                            | 6 254            |
| 34                                                                           | Other exposures                                                           | -                        | 8 376                   | -                               |                                | -                      | -                                            | 8 376            |
| 35                                                                           | <b>Total standardised approach</b>                                        | <b>826</b>               | <b>187 572</b>          | <b>137</b>                      |                                | <b>0</b>               | <b>37</b>                                    | <b>188 261</b>   |
| 36                                                                           | <b>Total</b>                                                              | <b>8 207</b>             | <b>3 105 994</b>        | <b>3 955</b>                    |                                | <b>349</b>             | <b>1 021</b>                                 | <b>3 110 246</b> |
| 37                                                                           | <i>Of which: Loans</i>                                                    | 7 793                    | 2 563 995               | 3 954                           |                                | 349                    | 1 021                                        | 2 567 834        |
| 38                                                                           | <i>Of which: Debt securities</i>                                          | -                        | 6 598                   | 1                               |                                | -                      | -                                            | 6 597            |
| 39                                                                           | <i>Of which: Off-balance-sheet exposures</i>                              | 414                      | 535 401                 | -                               |                                | -                      | -                                            | 535 815          |

<sup>1</sup> In compliance with EBA Q&A 2017:3481, row 28 shows the gross carrying value for the exposure class Exposures in default under CRR 112 j. This row is not included in the total (row 35). The defaulted exposures are recognised in their original exposure class, that is, the exposure class before default, on rows 22–27.

**Table 3.2 EU CR2-A – Changes in the stock of general and specific credit risk adjustments**

The following table shows the changes for the amount of general and specific credit risk adjustments. The closing balance has increased compared to the previous period. The main driver is transfers between credit risk adjustments.

| EU CR2-A – Changes in the stock of general and specific credit risk adjustments 2019 |                                                                                            | Accumulated<br>specific credit<br>risk adjustment | Accumulated<br>general credit<br>risk adjustment |
|--------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|---------------------------------------------------|--------------------------------------------------|
| SEK m                                                                                |                                                                                            |                                                   |                                                  |
| <b>1</b>                                                                             | <b>Opening balance</b>                                                                     | <b>-3 955</b>                                     |                                                  |
| 2                                                                                    | Increases due to amounts set aside for estimated loan losses during the period             | -101                                              |                                                  |
| 3                                                                                    | Decreases due to amounts reversed for estimated loan losses during the period              | 255                                               |                                                  |
| 4                                                                                    | Decreases due to amounts taken against accumulated credit risk adjustments                 | 421                                               |                                                  |
| 5                                                                                    | Transfers between credit risk adjustments                                                  | -978                                              |                                                  |
| 6                                                                                    | Impact of exchange rate differences                                                        | -69                                               |                                                  |
| 7                                                                                    | Business combinations, including acquisitions and disposals of subsidiaries                |                                                   |                                                  |
| 8                                                                                    | Other adjustments                                                                          | -388                                              |                                                  |
| <b>9</b>                                                                             | <b>Closing balance</b>                                                                     | <b>-4 815</b>                                     |                                                  |
| 10                                                                                   | Recoveries on credit risk adjustments recorded directly to the statement of profit or loss | 252                                               |                                                  |
| 11                                                                                   | Specific credit risk adjustments directly recorded to the statement of profit or loss      | -80                                               |                                                  |

| EU CR2-A – Changes in the stock of general and specific credit risk adjustments 2018 |                                                                                            | Accumulated<br>specific credit<br>risk adjustment | Accumulated<br>general credit<br>risk adjustment |
|--------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|---------------------------------------------------|--------------------------------------------------|
| SEK m                                                                                |                                                                                            |                                                   |                                                  |
| <b>1</b>                                                                             | <b>Opening balance</b>                                                                     | <b>-5 159</b>                                     |                                                  |
| 2                                                                                    | Increases due to amounts set aside for estimated loan losses during the period             | -189                                              |                                                  |
| 3                                                                                    | Decreases due to amounts reversed for estimated loan losses during the period              | 334                                               |                                                  |
| 4                                                                                    | Decreases due to amounts taken against accumulated credit risk adjustments                 | 2 737                                             |                                                  |
| 5                                                                                    | Transfers between credit risk adjustments                                                  | -167                                              |                                                  |
| 6                                                                                    | Impact of exchange rate differences                                                        | -73                                               |                                                  |
| 7                                                                                    | Business combinations, including acquisitions and disposals of subsidiaries                | 0                                                 |                                                  |
| 8                                                                                    | Other adjustments                                                                          | -1 438                                            |                                                  |
| <b>9</b>                                                                             | <b>Closing balance</b>                                                                     | <b>-3 955</b>                                     |                                                  |
| 10                                                                                   | Recoveries on credit risk adjustments recorded directly to the statement of profit or loss | 176                                               |                                                  |
| 11                                                                                   | Specific credit risk adjustments directly recorded to the statement of profit or loss      | -350                                              |                                                  |

### CALCULATION OF CAPITAL REQUIREMENTS FOR CREDIT RISK

Since 2007, the Bank has had permission from the Swedish Financial Supervisory Authority to calculate the capital requirement for credit risk using the IRB approach. The permission applies to the consolidated situation, which the parent company Svenska Handelsbanken AB (publ) leads, and the companies Svenska Handelsbanken AB (publ), Stadshypotek AB (publ), Handelsbanken Finans AB and Handelsbanken Rahoitus Oy. In 2017, volumes chiefly related to households and companies were transferred from Handelsbanken Finans AB to Ecster AB. The consolidated situation includes Ecster AB, whose exposures are reported using the IRB approach. The volumes were transferred because the retail financial operations in Handelsbanken Finans AB were moved to Ecster AB.

Handelsbanken plc use the standardised approach in order to calculate capital requirement for credit risk on a subsidiary level. Whereas the IRB approach is used on the consolidated level.

The Swedish Financial Supervisory Authority has also granted exceptions for Handelsbanken to apply the standardised approach instead of the IRB approach for certain exposures. These exceptions cover 'insignificant size' portfolios as well as the equity exposures that the Bank held at year-end 2007/2008. Exposures to central governments, central banks, regional governments and local authorities have since 2017 been subject to the IRB method.

In 2019, reporting according to the IRB approach comprised the portfolios in Handelsbanken Sweden, Handelsbanken plc, Handelsbanken Norway, Handelsbanken Denmark, Handelsbanken Finland, Handelsbanken Finans in Sweden and Finland, Ecster AB, parts of the regional bank in the Netherlands, the Bank's exposures to other banks (exposures to institutions), and large parts of the Handelsbanken Capital Markets business area.

Handelsbanken has the permission of the Swedish Financial Supervisory Authority to report portfolios according to the IRB approach with own estimates of LGD and CCF. The permit refers to counterparties which are categorised as medium-sized companies, property companies, and housing co-operative associations as well as exposures to large corporates in its home markets (excluding the Netherlands). The exposures approved for reporting according to the IRB approach, but not yet with own estimates of LGD and CCF, will for the time being be reported according to the IRB approach without own estimates of LGD and CCF.

At the end of 2019, the Bank calculated the capital requirement using the IRB approach for about 86 per cent (86) of the total risk exposure amount. Of corporate exposures reported using the IRB approach, 87 per cent (85) were reported using the IRB approach with own estimates of LGD and CCF.

### Risk rating system

Handelsbanken's risk rating system comprises a number of different systems, methods, processes and procedures to support the Bank's classification and quantification of credit risk.

Handelsbanken's internal rating system is used to measure the credit risk in all operations reliably and consistently. The risk rating builds on the Bank's internal rating, which is based on an assessment of each counterparty's repayment capacity. The rating is determined by the risk of financial strain and by the assessed resistance to this strain. The method and classification are based on the rating model that the Bank has applied for several decades.

The internal rating is the most important component when it comes to risk ranking of customers and it provides the basis for analysing credit risk and regulatory IRB compliance. The rating is dynamic; it is reassessed if there are signs that the counterparty's repayment capacity has changed. The rating is also reviewed periodically as stipulated in the regulations. The rating is made by the person responsible for granting the credit and is subsequently checked by independent bodies.

### Exposure classes

One of the basic premises of the capital adequacy regulations is that the institution's exposures are overall categorised into the exposure classes stipulated by the regulations. The number of exposure classes depends on the method used to calculate the credit risk. Exposures to be calculated according to the standardised approach can be allocated to 17 different exposure classes, while there are seven exposure classes in the IRB approach.

The Bank uses different models for calculating credit risk, depending on the type of exposure. The overall division into exposure classes in the IRB approach comprises sovereign, institutional, corporate, retail and equity exposures, as well as securitised exposures. In addition there are also non-credit-obligation assets, assets which do not require any performance by the counterparty, such as property and equipment.

Some exposure classes contain sub-groups where special models are applied. In practical terms, the division into exposure classes and sub-groups is made when the officer at a branch or unit responsible for the customer decides, in accordance with internal instructions, which business evaluation template is to be used when assigning the counterparty a rating.

Exposures to central governments, central banks, regional governments and local authorities are classed as sovereign exposures. Exposures to institutions refers to exposures to counterparties defined as banks and other credit institutions and certain investment firms.

Retail exposures include both exposures to private individuals and to small and medium-sized enterprises (SMEs), where the total exposure within the Group does not exceed SEK 5 million. Also included are legal entities where the total exposure within the Group does not exceed SEK 5 million (excluding mortgage loans). Retail exposures are divided into two sub-groups: mortgage loans and other retail exposures.

Corporate exposures refer to exposures to non-financial companies, consisting of legal entities with a total exposure within the Group in excess of SEK 5 million or where the company's turnover is more than SEK 50 million, and SMEs with a total exposure within the Group in excess of SEK 5 million. Apart from ordinary non-financial companies, this exposure class includes insurance companies, housing co-operative associations and exposure in the form of 'specialised lending'.

Equity exposures refer to the Bank's holdings of shares that are not in the trading book. Equity exposures are calculated using the standardised and the IRB approach.

For division into exposure classes according to the standardised approach, the Bank's volumes refer to one of the following exposure classes: multilateral development banks, international organisations,

institutions, corporates, retail, exposures with collateral in property, exposures in default/non-performing items, other items and shares. Non-performing items in the standardised approach are exposures where overdue interest or principal amounts have remained unpaid for more than 90 days, calculated from the original contracted payment date. The exposure class called Other items includes prepaid expenses, cash in hand and unminted gold. Previously, exposures to central governments, central banks, regional governments and local authorities were subject to the standardised approach but as of May 2017 have been subject to the IRB approach.

### Risk classification methods

To quantify its credit risks, the Bank calculates the probability of default, PD, the exposure the Bank is expected to have if a default occurs, EAD, and the proportion of the loan that the Bank would be expected to lose in the case of default, LGD. A default shall be considered to have occurred when the obligor it's unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

The PD value is expressed as a percentage where, for example, a PD value of 0.5 per cent means that one borrower of 200 with the same PD value is expected to default within one year. A credit in default does not necessarily mean that the Bank will incur a loss, since in most cases there is collateral for the exposure. Nor does a default mean that it is out of the question that the counterparty will pay at some time in the future, since the payment problems may be temporary.

For corporate and exposures to institutions as well as for exposures to central governments, central banks, regional governments and local authorities (sovereign exposures), the internal rating set for each counterparty is directly converted into a risk class on a scale from 1 to 10 (where risk class 10 refers to defaulted counterparties). Corporate exposures are divided into four counterparty types and sovereign exposures into two counterparty types, based on the business evaluation template used for the counterparty. PD is calculated individually for each risk class and counterparty type. For exposures that are subject to a capital requirement according to the IRB approach without own estimates of LGD and CCF, prescribed values are applied for LGD. The prescribed value that may be used is determined by the collateral provided for each exposure.

For retail exposures, the risk class is also based on the internal rating assigned to all credit customers. The rating is not translated directly into a risk class as for corporate exposures; instead, the different exposures are sorted into a number of smaller groups on the basis of certain factors. Such factors include the type of credit, the counterparty's debt-servicing record and whether there are one or more borrowers. An average default rate is calculated for each of the smaller groups, and on the basis of this, the groups are sorted into one of the 10 risk classes. Different models are used for exposures to private individuals and to small companies (that are also classified as retail exposures), but the principle is the same.

For retail exposures and exposures to medium-sized companies, property companies and housing co-operative associations, the LGD is determined using the Bank's own loss history. For exposures to large corporates that are subject to a capital requirement using the IRB approach with own estimates of LGD and CCF, the LGD is determined on the basis of internal losses and external observations. For retail exposures secured by property in Sweden and for property exposures to medium-sized companies, property companies and housing co-operative associations, different LGD values are applied depending on the loan-to-value ratio of the collateral. For other exposures, the LGD value is determined by factors that may depend on the existence and valuation of collateral, the type of product and similar factors.

For each exposure class, the PD is calculated for each of the risk classes that refer to non-defaulted counterparties or agreements. The PD is based on calculations of the historical percentage of defaults for different types of exposures. The average default rate is then adjusted using different margins, such as margins of conservatism.



In 2017, Handelsbanken was approved to use new PD models for corporates. These are based on the historical default frequency, by risk class and by portfolio. The estimates for each portfolio are based partly on the Bank's internal data and partly on data from other sources, such as external credit rating agencies, and are based on the duration of a hypothetical business cycle in which one of five years is a downturn year and the Swedish banking crisis in the 1990s is taken into account, as required by the Swedish Financial Supervisory Authority. To these estimates are added significant margins of conservatism, and the PD for these portfolios is normally not expected to vary year on year. The estimates by risk class are based on the Bank's internal default data and a model that determines the relationship of PD between different risk classes. The margins are then added so that each portfolio's aggregate PD coincides with the estimate of portfolio PD. This means that the PD for each risk class may vary over time although the portfolio PD does not, as the distribution of counterparties among the risk classes varies over time.

When establishing LGD, the risk measure shall reflect the loss rates in economically unfavourable circumstances, known as 'downturn LGD'. For collateral in property, the downturn LGD is based on observed loss rates from the property crisis in the early 1990s. For other collateral relating to retail exposures, observed LGD is adjusted for downturns by a factor which depends on the PD and type of product. For corporate exposures in the IRB approach with own estimates of LGD and CCF, the LGD is adjusted for downturns so that the Bank's observed losses in the crisis years of 1991–1996 can be explained by the risk measures with a good margin. For exposures with property collateral, in many cases LGD is estimated on the basis of the property's loan-to-value-ratio (LTV). Since the value of the property,

and consequently also the LTV, usually varies with the business cycle, this means that the capital requirement will also to some extent have a cyclical dependency.

When the exposure amount is to be calculated, certain adjustments are made to the carried exposure. Examples of this are committed loan offers or revolving credits, where the Bank agrees with the customer that the customer may borrow up to a certain amount in the future. This type of commitment constitutes a credit risk that must also be covered by adequate capital. Normally this means that the credit granted is adjusted using a certain CCF for the part of the credit that is unutilised at the time of reporting. For certain product categories for corporate exposures and exposures to institutions, the credit conversion factors are determined by the regulatory code, while for retail exposures and certain product categories for large corporates, medium-sized companies, property companies and housing co-operative associations, the Bank uses its own calculated conversion factors. Here, it is the product referred to that mainly governs the CCF, but the utilisation level may also be relevant.

In addition to the Capital Adequacy Calculation, measures of risk (PD, EAD, LGD) are used to calculate the cost of capital in each individual transaction and to calculate economic capital (EC). This means that conservatism adjustments in the risk measurements are also included in the cost of capital in individual transactions and in calculations of EC, which means that the loss levels that the risk measurements imply are conservative. The method used means that the Bank's historical losses have a direct impact on risk calculations and capital requirements.

Table 3.3 Calculation of credit risks broken down by method and business area, 2019

| Approach                                                 | Handelsbanken in the Nordic countries <sup>1</sup>                                                                                                                                                                                  | Handelsbanken in the UK <sup>1</sup>                                                                                                                                                                                                | Handelsbanken in the Netherlands <sup>1</sup>                                                                                                                                                                                                          | Outside Handelsbanken's home markets <sup>1</sup>                                                                                                                                                                                                                               |
|----------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Standardised approach</b>                             | <p>'Insignificant size portfolio' according to FI approval</p> <p>Exposure to international organisations, public sector entities and multilateral development banks</p>                                                            | <p>'Insignificant size portfolio' according to FI approval</p> <p>Exposure to international organisations, public sector entities and multilateral development banks</p> <p>Retail exposures</p>                                    | <p>'Insignificant size portfolio' according to FI approval</p> <p>Exposure to international organisations, public sector entities and multilateral development banks</p> <p>Retail exposures</p> <p>Corporate exposures (except Large corporates)</p>  | <p>'Insignificant size portfolio' according to FI approval</p> <p>Exposure to international organisations, public sector entities and multilateral development banks</p> <p>Retail exposures</p> <p>Corporate exposures (except Large corporates)</p>                           |
| <b>IRB approach without own estimates of LGD and CCF</b> | <p>Corporate exposures</p> <p>Exposures to institutions</p> <p>Non credit-obligation assets</p> <p>Equity exposures</p> <p>Sovereign exposures (central governments, central banks, regional governments and local authorities)</p> | <p>Corporate exposures</p> <p>Exposures to institutions</p> <p>Non credit-obligation assets</p> <p>Equity exposures</p> <p>Sovereign exposures (central governments, central banks, regional governments and local authorities)</p> | <p>Corporate exposures (Large corporates)</p> <p>Exposures to institutions</p> <p>Non credit-obligation assets</p> <p>Equity exposures</p> <p>Sovereign exposures (central governments, central banks, regional governments and local authorities)</p> | <p>Corporate exposures (Large corporates)</p> <p>Exposures to institutions</p> <p>Non credit-obligation assets</p> <p>Equity exposures</p> <p>Sovereign exposures (central governments, central banks, regional governments and local authorities) Securitisation positions</p> |
| <b>IRB approach with own estimates of LGD and CCF</b>    | <p>Corporate exposures (Medium-sized companies, Property companies, Housing co-operative associations)</p> <p>Corporate exposures (Large corporates)</p> <p>Retail exposures</p>                                                    | <p>Corporate exposures (Medium-sized companies, Property companies, Housing co-operative associations)</p> <p>Corporate exposures (Large corporates)</p>                                                                            |                                                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                                 |

<sup>1</sup> May include legal entities in addition to the parent company (Stadshypotek, Handelsbanken Finans and others).

### Comparisons with external ratings

The Bank's risk classes are not directly comparable with the ratings applied by external credit rating agencies. The agencies' ratings do not correspond to a direct classification of the probability of the counterparty defaulting, as the Bank's rating model does. In addition, the rating agencies vary in the extent to which they factor in the seriousness of the losses that default can lead to. The time horizon for which creditworthiness is assessed is not always the same for the Bank as it is for the credit rating agencies. The Bank's risk classes do not state a uniform scale, whereby a certain risk class always corresponds to a certain probability of default. Furthermore, different PD scales are applied to different parts of the credit portfolio and the PD value changes over time.

Generally, it is not possible to unambiguously and consistently translate the internal risk classes into an external rating. However, by analysing the historical default rate in Handelsbanken's risk classes in relation to the default rate in the external rating classes according to Moody's rating agency, a fair table of comparison can be obtained. Table 3.4 shows the external rating classes that best correspond to the historical default rate in each of Handelsbanken's risk classes. However, it should be noted that the Bank performs its own credit assessment and that the comparison here is a model which only applies at portfolio level. Individual companies that also have a rating from Moody's may have been given a risk class that deviates from the comparison table. For exposures to institutions, there are insufficient internal defaults, and the rating comparison is instead based on customers with an external credit assessment. Since the comparison is model-based, it should also be noted that changes in the table may depend on changes at Handelsbanken and on changes at Moody's, or a combination of the two. This year the mappings of risk class 6 for Medium-sized companies, risk class 5 for Property companies, and risk classes 3 and 8 for Institutions have been changed slightly as compared to the previous year.

### Quality assurance of the rating system

The Bank performs a detailed annual review of its internal rating processes. The review checks that the assignment of internal ratings of corporate customers is done in a consistent, correct and fit-for-purpose manner (evaluation). The Bank also reviews that automatic rating models for retail customers and other IRB models measure risk in a satisfactory manner (validation).

The purpose of evaluating internal ratings is to ensure that they function well as the central factor in the risk differentiation of the Bank's counterparties. For example, the analysis includes evaluating whether customers are assessed equally regardless of where in the Bank the rating takes place, the use of overrides and that ratings are reviewed regularly. The evaluation aims to identify areas needing improvement, suggests risk mitigating actions and reports the status on measures to improve previously identified deficiencies. Such measures may include more frequent, specifically targeted follow-up action, changes to rating instructions or adaptations to models.

The models as well as the risk measurements they produce are validated at least annually. The validation aims to ensure that the rating systems satisfactorily measures the risk in the different risk dimensions: PD, EAD, and LGD. They are primarily assessed to ascertain whether the outcomes observed confirm that the models applied by the Bank function as intended and does not underestimate the capital requirement. To achieve this, a number of statistical tests are used with pre-defined threshold values for identifying deficiencies in the models. The validation also covers comparative tests of a more qualitative nature. The validation may result in changes to the risk estimates or models.

The principles for evaluation and validation of the credit risk rating system are set by Group Risk Control and communicated to the Swedish Financial Supervisory Authority within the framework of the permission to use the IRB approach. Group Risk Control is responsible for the execution and reports the results of the evaluation and validation to the Bank's CEO, CFO, Board and risk committee.

Reports and execution are examined by Group Audit as part of the audit of the Bank's IRB approach to ensure compliance with the established principles and regulatory requirements.

### Forecasts and outcomes in IRB approach

In the IRB approach, the Bank's risks are calculated on the basis of internal experience and observations. The regulations define what the risk measures must reflect and how these are to be quantified. The internal models' forecasts and the actual outcomes are aggregated in table 3.7 and in the figures on the following pages at exposure class level to provide an overview of the models' function over a longer time period. The table and figures present forecasts and outcomes for PD, LGD, and CCF, and the loss rates for each exposure class; here, 'forecast' refers to expected loss (EL).

Table 3.7 presents the average value of PD, exposure-weighted and case-weighted, the number of counterparties at the beginning and end of the year, defaults and the average annual default frequency. The table also shows the number of defaults that have occurred among new counterparties to the Bank during the past year and, for institutions, the external rating that a specific PD interval corresponds to. This indicates how ratings from Moody's would be mapped according to table 3.4. In a few cases the method to assign counterparties or agreements to categories has changed and some agreements have been added to the table, which means that some values regarding 2018 have been changed this year.

The performing population in table 3.7 is defined as non-defaulted counterparties as at 31 December 2018 with outcomes measured during 2019. Because the models for households are created at the agreement level, for these the mean and number of agreements, not counterparties, are specified. If there is a guarantee, the risk can be transferred from the counterparty to the guarantor, which has been taken into account here and in the figures for EL, PD, LGD, and CCF. This means that for such exposures the PD value usually decreases, which is often also the case for LGD and thus also for EL.

The number of counterparties in an interval at the start of the year consists of those whose PD values were within that PD interval at year-end. Similarly, the number at the end of the year consists of those who were within that particular interval at that time. PD values can change during the year, so a specific counterparty can move to another interval. For example, at the start of 2019 there were 17 counterparties in interval 3 for institutions in the Foundation IRB (FIRB) but none at the end of 2019, chiefly because their PD values had changed during the year.

The arithmetic mean for PD per counterparty can be compared primarily with the historical mean, but this comparison is not without problems. The main reason is that the distribution of counterparties can change year on year, such that an interval consists primarily of counterparties towards the upper end of the interval during one year but counterparties towards the lower end during another year. Thus, the expected values will also vary year on year. Some of the intervals also contain few counterparties, so the outcomes for those intervals can vary widely. Further, it is worth noting that many corporate counterparties have exposures subject to capital requirement calculations both according to the Foundation IRB approach and the Advanced IRB approach. This means that they are reported in two places in the table, under AIRB and FIRB, which also occurs when there are defaults. Thus, the totals for both counterparties and defaults are less than the sums of the numbers from the different parts of the table.

The forecasts and outcomes in the figures refer to non-defaulted exposures as at 31 December and defaults during the following year. This amounts to a change of method as compared to the previous Risk and Capital report where 30 June was used as measurement date. Hence, historical values for all tables have been updated to account for the change. Note that the years on the horizontal axes in the figures refer to the year of the outcome. Regarding the calculation of LGD outcomes, the measure accounts for increases in exposures after default by adding the increase also to the exposure at default. This prevents the values from becoming artificially high.

Regarding losses, it is not unusual for the level to be adjusted over time – as recoveries are realised, for example. This means that historical outcomes for LGD and EL may also be adjusted from year to year, but normally only the preceding year's figure is affected. If adjustments have been made, the comparison figures in the text below are also updated.

Forecasts and outcomes are at agreement level for retail exposures and at counterparty level for PD and LGD for corporate and exposures to institutions. Regarding CCF for corporate exposures, forecasts and outcomes are at agreement level. The last reference date stated in the figures is 2020, which means that the outcome is still not complete and is therefore not reported for this date.

To forecast how large the exposure amount will be at default, off-balance-sheet commitments must be managed. For corporate exposures, this is done by multiplying the off-balance-sheet part by the CCF and adding this to the exposure on the balance sheet. For retail exposures, it is done by multiplying the total credit limit by the CCF. For certain risk classes in the internal models with own estimates of CCF, there is a very small number of internal defaults. The figures show the forecasts and outcomes only for the risk classes where a sufficient number of defaults has been observed. Nevertheless, the outcomes for corporate exposures are based on a relatively small number of observations and to highlight this, the number of observations per year is also indicated in the figure.

The forecasts show that the internal models generally work well for predicting the Bank's losses with a margin of conservatism. The trends that can be discerned for the actual outcomes correspond broadly to similar trends in the forecasts. For property exposures in the retail exposure class, EL outcomes are on average 73 per cent (72) lower than forecast. For other retail exposures, the outcomes are on average 41 per cent (39) lower than the forecast, and for corporate exposures 48 per cent (50) lower. During the most recent periods, outcomes have indicated a stable or declining loss rate for both types of retail exposures.

According to the regulations, PD must reflect a long-term average risk of default and is thus not a forecast for an individual year. Consequently, the probability that the outcome in a certain year is higher than the forecast is much higher for PD than for the other risk parameters. However, this risk has decreased with the introduction of new PD models for corporate exposures.

The figure shows that outcomes are in line with forecasts, with a slight variation over time. The outcomes are 5 per cent (1) lower than the forecasts for property exposures and 12 per cent (9) lower for other exposures in the retail exposure class during the period observed. In table 3.7, relatively high numbers of defaults can be noted for retail other in interval 2 (619 defaults) and in interval 4 (1076 defaults). The defaults relate to credit cards that are offered to customers in connection with purchases of consumer products. Often the cards are never used after the initial purchase and they are cancelled by the Bank at regular intervals. The cancelling changes the composition of the portfolio, typically increasing the default risk since the remaining cards are the ones that are more likely to be used. For a category of Finnish cards, a yearly fee has also been added, also increasing the likelihood of default. The PD for these was adjusted during 2019, which explains the sharp reduction in observations in interval 4 during the year, as well as the correspondingly sharp increase in interval 5.

In 2016, the PD-models were altered by down-weighting historical data, thus reducing its influence. This had the effect of generally increasing the PD values. It is also worth noting that the capital requirement for mortgage loans is based on the Swedish Financial Supervisory Authority's risk weight floor for Swedish mortgage loans.

For corporate exposures, the average outcome is 33 per cent (28) lower than the forecast during the period observed. A sharp increase can be seen in institutional PD in 2014, despite the almost total absence of defaults in that exposure class. This is because it is very difficult to estimate the PD for institutions with high credit risk, because such institutions usually do not have an external rating from Moody's. As a result, the margin of conservatism is extremely high for such

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institutions, to which the Bank usually has exposures only of short maturity in connection with international trade finance.

As regards LGD, the forecast according to the regulations reflects the expected loss given default in unfavourable economic conditions. Here it may be noted that there are considerable margins of conservatism in relation to the loss levels observed since 2008. Average outcomes are 77 per cent (77) lower than the forecasts for property exposures, and 38 per cent (37) lower for other retail exposures. For corporate exposures, the outcomes are 37 per cent (46) lower than the forecasts. The outcome regarding LGD for corporates in 2019 was substantially higher than the forecast. Since the outcomes are exposure-weighted, one default with a very large exposure dominates this outcome. The outcomes in 2017 and 2018 are similarly dominated by one or two large defaults. Excluding these defaults, the outcomes for these years are in line with the previous ones.

For retail exposures, the CCF outcomes are 18 per cent (18) lower than the forecasts, and for corporate exposures the outcomes are 71 per cent (73) lower.

Since 2017, the Bank also has approval to use a PD-model for exposures to governments and central banks. The forecasts of this model are very close to zero, which is consequently also the case for EL, and there are no defaults. These values are not presented in the graphs.

The expected loss rate according to the IRB approach presented here does not represent, despite its name, the most likely loss level for the Bank. One reason for this is that the PD values used according to the regulations are intended to correspond to a long-term average. Another reason is that a number of conservative prudential adjustments are made in the value calculated using the Bank's IRB approach. The main aim of these adjustments is to ensure that the Bank's internal models do not underestimate the actual risk.

Figure 3.5 illustrates how these adjustments affect the calculated value of expected losses. The first column shows the expected value for EL, this being EL based on the historical average default rates and loss rates given default per risk class, which is approximately 0.04 per cent (0.04). The other columns show how EL is affected by the introduction of margins and regulatory floors for applied PD levels.

The margins of conservatism are intended to ensure that the value applied does not underestimate the true risk as a result of various underlying factors, such as the statistical data on which the models are based not being sufficiently comprehensive, adjustments needing to be made for the business cycle or model risk, or the data being uncertain for other reasons. The downturn adjustment corrects measured values so that they are adequate for a period of economic downturn. The total contribution from the PD safety margins is greater than EL based on historical data.

**Table 3.4 A comparison of external and internal ratings**

| Risk class | Corporate exposures |                        |                    |                                   | Exposures to institutions |
|------------|---------------------|------------------------|--------------------|-----------------------------------|---------------------------|
|            | Large corporates    | Medium-sized companies | Property companies | Housing co-operative associations |                           |
| 1          | Aaa,Aa              | Aaa,Aa                 | Aaa,Aa             | Aaa,Aa                            | Aaa,Aa                    |
| 2          | Aaa,Aa              | A                      | A                  | Aa,A                              | Aa,A                      |
| 3          | A,Baa               | Baa                    | A,Baa              | A,Baa                             | A,Baa                     |
| 4          | A,Baa               | Baa,Ba                 | Baa                | A,Baa                             | Baa                       |
| 5          | Ba                  | Ba                     | Ba                 | Baa,Ba                            | Baa,Ba                    |
| 6          | Ba                  | B                      | Ba,B               | Baa,Ba                            | Ba                        |
| 7          | B                   | B,Caa                  | B,Caa              | Ba,B                              | B                         |
| 8          | Caa                 | Caa                    | B,Caa              | B                                 | B,Caa                     |
| 9          | Caa,C               | Caa,C                  | Caa,C              | Caa,C                             | Caa,C                     |

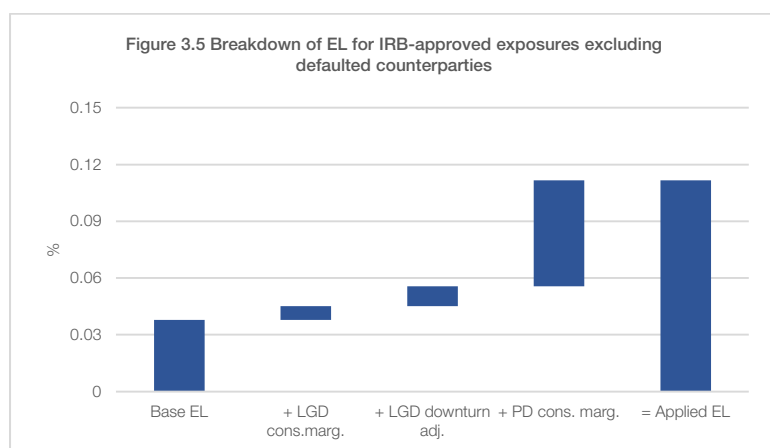
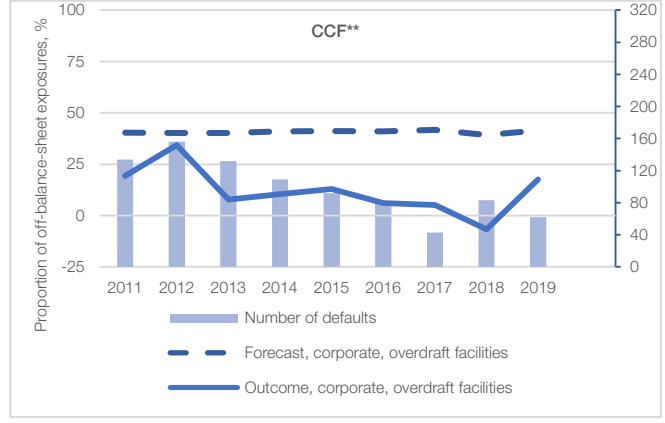
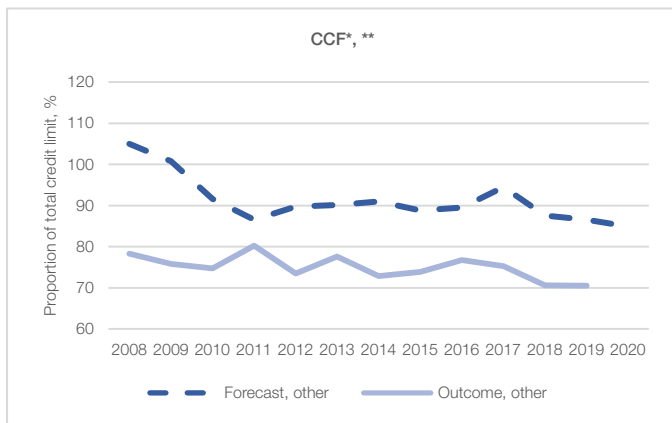
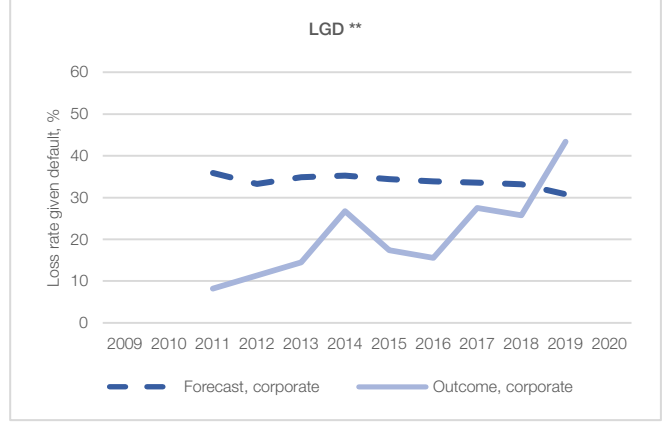
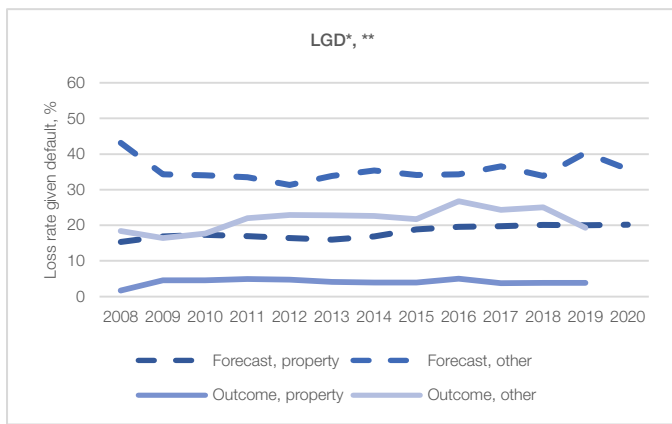
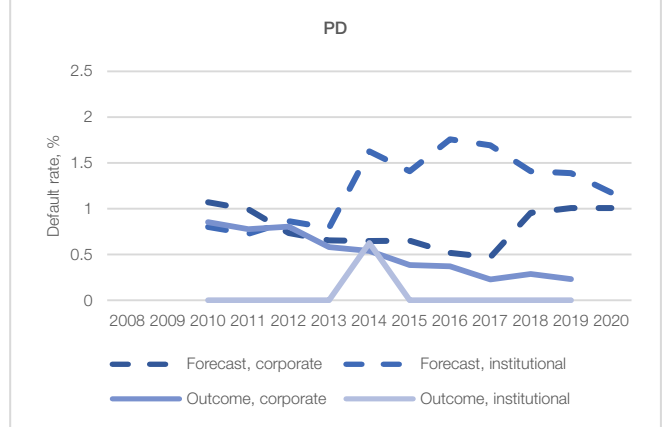
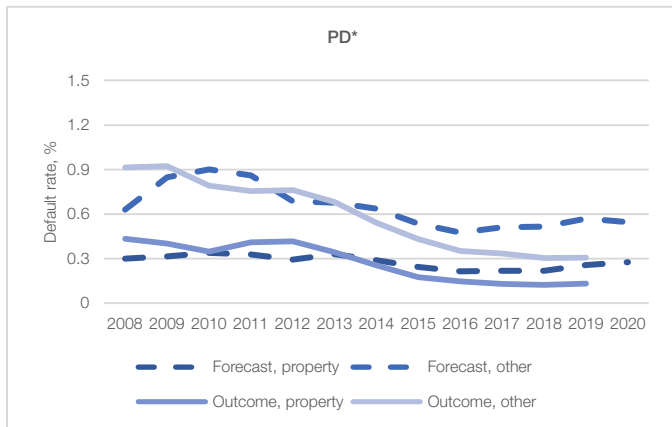
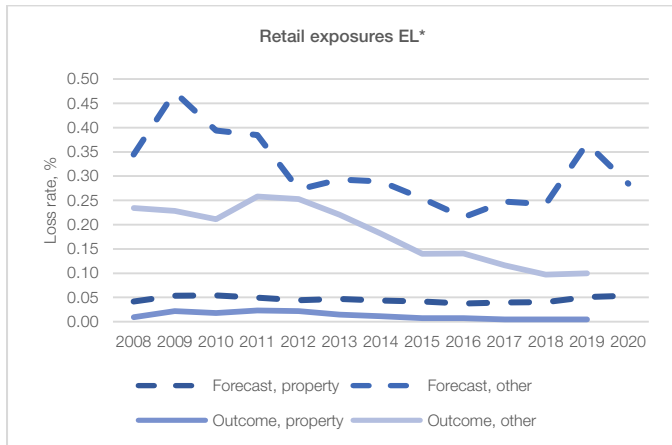


Figure 3.6 Forecast and outcome, IRB approach



\* Excluding Handelsbanken Finans and Ecster.

\*\* The forecasts are calculated as PD and exposure-weighted average values. The outcomes are calculated as exposure-weighted average values.

**Table 3.7 EU CR9 – IRB approach – Backtesting of PD by exposure class**

The table shows predictions and results of PD values for both the advanced and the Foundation IRB approach.

| EU CR9 – IRB Approach – Backtesting of PD by exposure class 2019 |                           |                  |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
|------------------------------------------------------------------|---------------------------|------------------|-----------------------------------------|---------------------|-----------------------------------|----------------------|-----------------|--------------------------------|------------------------------------|----------------------------------------|
| Exposure class <sup>1</sup>                                      | IRB Approach <sup>2</sup> | PD range         | External rating equivalent <sup>3</sup> | Weighted average PD | Arithmetic average PD by obligors | Number of obligors   |                 | Defaulted obligors in the year | Of which new obligors <sup>4</sup> | Average historical annual default rate |
|                                                                  |                           |                  |                                         |                     |                                   | End of previous year | End of the year |                                |                                    |                                        |
| Corporate exposures                                              | IRB-A                     | 0.00 to <0.15    |                                         | 0.09%               | 0.09%                             | 2 208                | 2 112           | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures                                              | IRB-A                     | 0.15 to <0.25    |                                         | 0.00%               | 0.00%                             | 0                    | 0               | 0                              | 0                                  | 0.03%                                  |
| Corporate exposures                                              | IRB-A                     | 0.25 to <0.50    |                                         | 0.37%               | 0.35%                             | 683                  | 718             | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures                                              | IRB-A                     | 0.50 to <0.75    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Corporate exposures                                              | IRB-A                     | 0.75 to <2.50    |                                         | 1.11%               | 1.11%                             | 446                  | 438             | 0                              | 0                                  | 0.73%                                  |
| Corporate exposures                                              | IRB-A                     | 2.50 to <10.00   |                                         | 6.25%               | 6.25%                             | 5                    | 48              | 0                              | 0                                  | 1.00%                                  |
| Corporate exposures                                              | IRB-A                     | 10.00 to <100.00 |                                         | 23.04%              | 24.67%                            | 72                   | 32              | 4                              | 2                                  | 7.84%                                  |
| Corporate exposures: SMEs                                        | IRB-A                     | 0.00 to <0.15    |                                         | 0.09%               | 0.08%                             | 28 492               | 28 037          | 2                              | 0                                  | 0.01%                                  |
| Corporate exposures: SMEs                                        | IRB-A                     | 0.15 to <0.25    |                                         | 0.17%               | 0.17%                             | 3 890                | 3 366           | 2                              | 0                                  | 0.06%                                  |
| Corporate exposures: SMEs                                        | IRB-A                     | 0.25 to <0.50    |                                         | 0.47%               | 0.46%                             | 6 411                | 7 452           | 3                              | 0                                  | 0.11%                                  |
| Corporate exposures: SMEs                                        | IRB-A                     | 0.50 to <0.75    |                                         | 0.64%               | 0.64%                             | 3 263                | 3 374           | 4                              | 0                                  | 0.23%                                  |
| Corporate exposures: SMEs                                        | IRB-A                     | 0.75 to <2.50    |                                         | 1.80%               | 1.93%                             | 5 505                | 6 155           | 28                             | 0                                  | 0.61%                                  |
| Corporate exposures: SMEs                                        | IRB-A                     | 2.50 to <10.00   |                                         | 7.33%               | 7.85%                             | 828                  | 781             | 19                             | 0                                  | 2.99%                                  |
| Corporate exposures: SMEs                                        | IRB-A                     | 10.00 to <100.00 |                                         | 30.68%              | 30.51%                            | 800                  | 806             | 57                             | 0                                  | 12.57%                                 |
| Institution exposures                                            | IRB-A                     | 0.00 to <0.15    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                                            | IRB-A                     | 0.15 to <0.25    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                                            | IRB-A                     | 0.25 to <0.50    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                                            | IRB-A                     | 0.50 to <0.75    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                                            | IRB-A                     | 0.75 to <2.50    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                                            | IRB-A                     | 2.50 to <10.00   |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                                            | IRB-A                     | 10.00 to <100.00 |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Central governments or central banks                             | IRB-F                     | 0.00 to <0.15    |                                         | 0.00%               | 0.01%                             | 497                  | 496             | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks                             | IRB-F                     | 0.15 to <0.25    |                                         | 0.20%               | 0.20%                             | 13                   | 16              | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks                             | IRB-F                     | 0.25 to <0.50    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Central governments or central banks                             | IRB-F                     | 0.50 to <0.75    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Central governments or central banks                             | IRB-F                     | 0.75 to <2.50    |                                         | 1.00%               | 1.00%                             | 3                    | 3               | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks                             | IRB-F                     | 2.50 to <10.00   |                                         | 5.00%               | 5.00%                             | 2                    | 0               | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks                             | IRB-F                     | 10.00 to <100.00 |                                         | 0.00%               | 0.00%                             | 0                    | 1               | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures                                              | IRB-F                     | 0.00 to <0.15    |                                         | 0.07%               | 0.07%                             | 1 249                | 1 101           | 0                              | 0                                  | 0.03%                                  |
| Corporate exposures                                              | IRB-F                     | 0.15 to <0.25    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Corporate exposures                                              | IRB-F                     | 0.25 to <0.50    |                                         | 0.31%               | 0.31%                             | 336                  | 305             | 1                              | 0                                  | 0.07%                                  |
| Corporate exposures                                              | IRB-F                     | 0.50 to <0.75    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Corporate exposures                                              | IRB-F                     | 0.75 to <2.50    |                                         | 0.92%               | 1.07%                             | 252                  | 245             | 0                              | 0                                  | 0.41%                                  |
| Corporate exposures                                              | IRB-F                     | 2.50 to <10.00   |                                         | 0.00%               | 0.00%                             | 0                    | 35              | 0                              | 0                                  | 0.41%                                  |
| Corporate exposures                                              | IRB-F                     | 10.00 to <100.00 |                                         | 23.52%              | 23.51%                            | 39                   | 11              | 2                              | 0                                  | 12.34%                                 |
| Corporate exposures: SMEs                                        | IRB-F                     | 0.00 to <0.15    |                                         | 0.08%               | 0.08%                             | 2 219                | 1 994           | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures: SMEs                                        | IRB-F                     | 0.15 to <0.25    |                                         | 0.17%               | 0.17%                             | 1 673                | 1 336           | 0                              | 0                                  | 0.01%                                  |
| Corporate exposures: SMEs                                        | IRB-F                     | 0.25 to <0.50    |                                         | 0.46%               | 0.48%                             | 590                  | 707             | 1                              | 1                                  | 0.13%                                  |
| Corporate exposures: SMEs                                        | IRB-F                     | 0.50 to <0.75    |                                         | 0.64%               | 0.64%                             | 1 454                | 1 690           | 3                              | 0                                  | 0.20%                                  |
| Corporate exposures: SMEs                                        | IRB-F                     | 0.75 to <2.50    |                                         | 1.88%               | 2.22%                             | 947                  | 1 227           | 9                              | 0                                  | 0.88%                                  |
| Corporate exposures: SMEs                                        | IRB-F                     | 2.50 to <10.00   |                                         | 8.45%               | 8.50%                             | 159                  | 194             | 5                              | 0                                  | 3.45%                                  |
| Corporate exposures: SMEs                                        | IRB-F                     | 10.00 to <100.00 |                                         | 30.42%              | 28.95%                            | 145                  | 128             | 14                             | 2                                  | 16.34%                                 |
| Institution exposures                                            | IRB-F                     | 0.00 to <0.15    | Aaa, Aa, A                              | 0.07%               | 0.08%                             | 118                  | 121             | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                                            | IRB-F                     | 0.15 to <0.25    | A, Baa                                  | 0.19%               | 0.19%                             | 33                   | 45              | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                                            | IRB-F                     | 0.25 to <0.50    | A, Baa                                  | 0.49%               | 0.49%                             | 17                   | 0               | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                                            | IRB-F                     | 0.50 to <0.75    |                                         | 0.00%               | 0.00%                             | 0                    | 16              | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                                            | IRB-F                     | 0.75 to <2.50    | Ba                                      | 1.13%               | 1.29%                             | 30                   | 29              | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                                            | IRB-F                     | 2.50 to <10.00   |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                                            | IRB-F                     | 10.00 to <100.00 | B, Caa, C                               | 17.10%              | 20.00%                            | 11                   | 9               | 0                              | 0                                  | 0.00%                                  |
| Retail exposures: Other                                          | IRB-A                     | 0.00 to <0.15    |                                         | 0.08%               | 0.07%                             | 347 548              | 325 542         | 110                            | 10                                 | 0.06%                                  |
| Retail exposures: Other                                          | IRB-A                     | 0.15 to <0.25    |                                         | 0.18%               | 0.17%                             | 265 214              | 223 252         | 619                            | 124                                | 0.09%                                  |
| Retail exposures: Other                                          | IRB-A                     | 0.25 to <0.50    |                                         | 0.36%               | 0.36%                             | 198 259              | 189 900         | 887                            | 317                                | 0.30%                                  |
| Retail exposures: Other                                          | IRB-A                     | 0.50 to <0.75    |                                         | 0.57%               | 0.53%                             | 151 518              | 36 753          | 1 076                          | 20                                 | 0.66%                                  |
| Retail exposures: Other                                          | IRB-A                     | 0.75 to <2.50    |                                         | 1.47%               | 1.48%                             | 256 148              | 349 337         | 4 222                          | 821                                | 1.13%                                  |
| Retail exposures: Other                                          | IRB-A                     | 2.50 to <10.00   |                                         | 6.24%               | 5.96%                             | 105 659              | 96 946          | 5 376                          | 696                                | 3.85%                                  |
| Retail exposures: Other                                          | IRB-A                     | 10.00 to <100.00 |                                         | 20.66%              | 24.43%                            | 46 471               | 43 742          | 9 142                          | 142                                | 19.99%                                 |

## EU CR9 – IRB Approach – Backtesting of PD by exposure class 2019

| Exposure class <sup>1</sup>                       | IRB Approach <sup>2</sup> | PD range         | External rating equivalent <sup>3</sup> | Weighted average PD | Arithmetic average PD by obligors | Number of obligors   |                 | Defaulted obligors in the year | Of which new obligors <sup>4</sup> | Average historical annual default rate |
|---------------------------------------------------|---------------------------|------------------|-----------------------------------------|---------------------|-----------------------------------|----------------------|-----------------|--------------------------------|------------------------------------|----------------------------------------|
|                                                   |                           |                  |                                         |                     |                                   | End of previous year | End of the year |                                |                                    |                                        |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.00 to <0.15    |                                         | 0.07%               | 0.07%                             | 998 117              | 1 001 532       | 237                            | 6                                  | 0.03%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.15 to <0.25    |                                         | 0.17%               | 0.17%                             | 42 895               | 59 756          | 9                              | 1                                  | 0.01%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.25 to <0.50    |                                         | 0.31%               | 0.30%                             | 124 252              | 123 339         | 174                            | 5                                  | 0.16%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.50 to <0.75    |                                         | 0.62%               | 0.62%                             | 15 561               | 19 258          | 44                             | 2                                  | 0.23%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.75 to <2.50    |                                         | 1.83%               | 1.81%                             | 31 504               | 40 791          | 263                            | 1                                  | 0.72%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 2.50 to <10.00   |                                         | 4.88%               | 6.07%                             | 828                  | 2 929           | 15                             | 2                                  | 3.47%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 10.00 to <100.00 |                                         | 12.26%              | 11.71%                            | 10 919               | 11 184          | 890                            | 15                                 | 12.04%                                 |

<sup>1</sup> The change is due to the Swedish Financial Supervisory Authority's approval of the Bank's application to apply the IRB approach. These are exempt since data was not available for the period.

<sup>2</sup> There are two versions of the IRB approach: the simplified version, the IRB approach without own estimates of LGD and CCF (here FIRB, in previous regulations called the foundation approach), and the more advanced method, the IRB approach with own estimates of LGD and CCF (here AIRB, in previous regulations called the advanced approach). Only distributions where Handelsbanken has exposures are shown.

<sup>3</sup> External rating is only shown where it is relevant for the IRB model.

<sup>4</sup> Defaults during the year include agreements that become performing after a short time and on which the Bank does not make any losses. This particularly applies to defaults for new customers in the category "Retail exposures: Other", which mainly contains retail financial sales at Ecster, where new customers are sometimes late in making their first payment.

## EU CR9 – IRB Approach – Backtesting of PD by exposure class 2018

| Exposure class <sup>1</sup>          | IRB Approach <sup>2</sup> | PD range         | External rating equivalent <sup>3</sup> | Weighted average PD | Arithmetic average PD by obligors | Number of obligors   |                 | Defaulted obligors in the year | Of which new obligors <sup>4</sup> | Average historical annual default rate |
|--------------------------------------|---------------------------|------------------|-----------------------------------------|---------------------|-----------------------------------|----------------------|-----------------|--------------------------------|------------------------------------|----------------------------------------|
|                                      |                           |                  |                                         |                     |                                   | End of previous year | End of the year |                                |                                    |                                        |
| Corporate exposures                  | IRB-A                     | 0.00 to <0.15    |                                         | 0.08%               | 0.08%                             | 2 157                | 2 205           | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures                  | IRB-A                     | 0.15 to <0.25    |                                         |                     |                                   |                      |                 |                                |                                    | 0.02%                                  |
| Corporate exposures                  | IRB-A                     | 0.25 to <0.50    |                                         | 0.32%               | 0.32%                             | 509                  | 682             | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures                  | IRB-A                     | 0.50 to <0.75    |                                         | 0.50%               | 0.50%                             | 199                  | 0               | 0                              | 0                                  | 0.04%                                  |
| Corporate exposures                  | IRB-A                     | 0.75 to <2.50    |                                         | 1.23%               | 1.14%                             | 351                  | 446             | 10                             | 0                                  | 0.82%                                  |
| Corporate exposures                  | IRB-A                     | 2.50 to <10.00   |                                         | 4.48%               | 3.39%                             | 82                   | 5               | 0                              | 0                                  | 1.27%                                  |
| Corporate exposures                  | IRB-A                     | 10.00 to <100.00 |                                         | 31.72%              | 23.73%                            | 60                   | 72              | 6                              | 1                                  | 11.45%                                 |
| Corporate exposures: SMEs            | IRB-A                     | 0.00 to <0.15    |                                         | 0.08%               | 0.08%                             | 27 310               | 28 062          | 3                              | 0                                  | 0.01%                                  |
| Corporate exposures: SMEs            | IRB-A                     | 0.15 to <0.25    |                                         | 0.18%               | 0.18%                             | 3 921                | 3 890           | 4                              | 1                                  | 0.07%                                  |
| Corporate exposures: SMEs            | IRB-A                     | 0.25 to <0.50    |                                         | 0.30%               | 0.30%                             | 933                  | 6 265           | 0                              | 0                                  | 0.16%                                  |
| Corporate exposures: SMEs            | IRB-A                     | 0.50 to <0.75    |                                         | 0.52%               | 0.54%                             | 8 230                | 3 263           | 12                             | 0                                  | 0.32%                                  |
| Corporate exposures: SMEs            | IRB-A                     | 0.75 to <2.50    |                                         | 1.76%               | 1.82%                             | 5 524                | 5 487           | 25                             | 2                                  | 0.69%                                  |
| Corporate exposures: SMEs            | IRB-A                     | 2.50 to <10.00   |                                         | 6.57%               | 6.78%                             | 836                  | 823             | 15                             | 0                                  | 3.45%                                  |
| Corporate exposures: SMEs            | IRB-A                     | 10.00 to <100.00 |                                         | 28.68%              | 27.97%                            | 790                  | 799             | 77                             | 0                                  | 14.26%                                 |
| Institution exposures                | IRB-A                     | 0.00 to <0.15    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                | IRB-A                     | 0.15 to <0.25    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                | IRB-A                     | 0.25 to <0.50    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                | IRB-A                     | 0.50 to <0.75    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                | IRB-A                     | 0.75 to <2.50    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                | IRB-A                     | 2.50 to <10.00   |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                | IRB-A                     | 10.00 to <100.00 |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Central governments or central banks | IRB-F                     | 0.00 to <0.15    |                                         | 0.00%               | 0.01%                             | 502                  | 497             | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks | IRB-F                     | 0.15 to <0.25    |                                         | 0.20%               | 0.20%                             | 23                   | 13              | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks | IRB-F                     | 0.25 to <0.50    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Central governments or central banks | IRB-F                     | 0.50 to <0.75    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Central governments or central banks | IRB-F                     | 0.75 to <2.50    |                                         | 1.00%               | 1.00%                             | 6                    | 3               | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks | IRB-F                     | 2.50 to <10.00   |                                         | 5.00%               | 5.00%                             | 2                    | 2               | 0                              | 0                                  | 0.00%                                  |
| Central governments or central banks | IRB-F                     | 10.00 to <100.00 |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Corporate exposures                  | IRB-F                     | 0.00 to <0.15    |                                         | 0.06%               | 0.07%                             | 1 236                | 1 248           | 0                              | 0                                  | 0.03%                                  |
| Corporate exposures                  | IRB-F                     | 0.15 to <0.25    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Corporate exposures                  | IRB-F                     | 0.25 to <0.50    |                                         | 0.32%               | 0.32%                             | 283                  | 336             | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures                  | IRB-F                     | 0.50 to <0.75    |                                         | 0.50%               | 0.50%                             | 21                   | 0               | 0                              | 0                                  | 0.14%                                  |
| Corporate exposures                  | IRB-F                     | 0.75 to <2.50    |                                         | 1.01%               | 1.02%                             | 173                  | 252             | 2                              | 0                                  | 0.51%                                  |
| Corporate exposures                  | IRB-F                     | 2.50 to <10.00   |                                         | 3.19%               | 3.30%                             | 50                   | 0               | 0                              | 0                                  | 0.33%                                  |
| Corporate exposures                  | IRB-F                     | 10.00 to <100.00 |                                         | 22.41%              | 22.90%                            | 31                   | 39              | 1                              | 0                                  | 15.06%                                 |
| Corporate exposures: SMEs            | IRB-F                     | 0.00 to <0.15    |                                         | 0.08%               | 0.08%                             | 2 052                | 2 139           | 0                              | 0                                  | 0.00%                                  |
| Corporate exposures: SMEs            | IRB-F                     | 0.15 to <0.25    |                                         | 0.18%               | 0.18%                             | 1 592                | 1 673           | 1                              | 0                                  | 0.03%                                  |
| Corporate exposures: SMEs            | IRB-F                     | 0.25 to <0.50    |                                         | 0.30%               | 0.30%                             | 40                   | 558             | 0                              | 0                                  | 0.16%                                  |
| Corporate exposures: SMEs            | IRB-F                     | 0.50 to <0.75    |                                         | 0.55%               | 0.58%                             | 1 835                | 1 454           | 2                              | 0                                  | 0.15%                                  |
| Corporate exposures: SMEs            | IRB-F                     | 0.75 to <2.50    |                                         | 1.52%               | 2.02%                             | 883                  | 941             | 7                              | 0                                  | 0.92%                                  |
| Corporate exposures: SMEs            | IRB-F                     | 2.50 to <10.00   |                                         | 6.68%               | 6.99%                             | 138                  | 157             | 2                              | 0                                  | 3.91%                                  |
| Corporate exposures: SMEs            | IRB-F                     | 10.00 to <100.00 |                                         | 27.02%              | 28.29%                            | 129                  | 145             | 14                             | 0                                  | 19.30%                                 |
| Institution exposures                | IRB-F                     | 0.00 to <0.15    | Aaa, Aa, A                              | 0.09%               | 0.10%                             | 126                  | 118             | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                | IRB-F                     | 0.15 to <0.25    | A                                       | 0.21%               | 0.21%                             | 34                   | 33              | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                | IRB-F                     | 0.25 to <0.50    |                                         |                     |                                   |                      |                 |                                |                                    |                                        |
| Institution exposures                | IRB-F                     | 0.50 to <0.75    | Baa                                     | 0.51%               | 0.51%                             | 19                   | 0               | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                | IRB-F                     | 0.75 to <2.50    | Baa, Ba                                 | 1.24%               | 1.24%                             | 25                   | 30              | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                | IRB-F                     | 2.50 to <10.00   | Ba                                      | 2.55%               | 2.55%                             | 16                   | 0               | 0                              | 0                                  | 0.00%                                  |
| Institution exposures                | IRB-F                     | 10.00 to <100.00 | B, Caa, C                               | 27.12%              | 22.92%                            | 9                    | 11              | 0                              | 0                                  | 0.00%                                  |
| Retail exposures: Other              | IRB-A                     | 0.00 to <0.15    |                                         | 0.08%               | 0.07%                             | 736 073              | 347 550         | 647                            | 92                                 | 0.07%                                  |
| Retail exposures: Other              | IRB-A                     | 0.15 to <0.25    |                                         | 0.00%               | 0.00%                             | 0                    | 265 214         | 2                              | 2                                  | 0.00%                                  |
| Retail exposures: Other              | IRB-A                     | 0.25 to <0.50    |                                         | 0.39%               | 0.40%                             | 339 033              | 198 261         | 1 534                          | 344                                | 0.29%                                  |
| Retail exposures: Other              | IRB-A                     | 0.50 to <0.75    |                                         | 0.57%               | 0.57%                             | 1 548                | 151 518         | 4                              | 2                                  | 0.64%                                  |
| Retail exposures: Other              | IRB-A                     | 0.75 to <2.50    |                                         | 1.39%               | 1.41%                             | 268 078              | 256 150         | 4 152                          | 889                                | 1.04%                                  |
| Retail exposures: Other              | IRB-A                     | 2.50 to <10.00   |                                         | 5.79%               | 5.79%                             | 116 156              | 105 661         | 5 504                          | 734                                | 3.64%                                  |
| Retail exposures: Other              | IRB-A                     | 10.00 to <100.00 |                                         | 24.34%              | 26.79%                            | 36 413               | 46 471          | 7 630                          | 95                                 | 19.82%                                 |



## EU CR9 – IRB Approach – Backtesting of PD by exposure class 2018

| Exposure class <sup>1</sup>                       | IRB Approach <sup>2</sup> | PD range         | External rating equivalent <sup>3</sup> | Weighted average PD | Arithmetic average PD by obligors | Number of obligors   |                 | Defaulted obligors in the year | Of which new obligors <sup>4</sup> | Average historical annual default rate |
|---------------------------------------------------|---------------------------|------------------|-----------------------------------------|---------------------|-----------------------------------|----------------------|-----------------|--------------------------------|------------------------------------|----------------------------------------|
|                                                   |                           |                  |                                         |                     |                                   | End of previous year | End of the year |                                |                                    |                                        |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.00 to <0.15    |                                         | 0.07%               | 0.07%                             | 1 038 111            | 998 117         | 226                            | 7                                  | 0.03%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.15 to <0.25    |                                         | 0.16%               | 0.16%                             | 1 344                | 42 895          | 0                              | 0                                  | 0.01%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.25 to <0.50    |                                         | 0.36%               | 0.35%                             | 156 931              | 124 252         | 267                            | 6                                  | 0.17%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.50 to <0.75    |                                         | 0.57%               | 0.57%                             | 1 653                | 15 561          | 4                              | 0                                  | 0.28%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 0.75 to <2.50    |                                         | 1.05%               | 1.04%                             | 21 818               | 31 504          | 163                            | 1                                  | 0.81%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 2.50 to <10.00   |                                         | 6.16%               | 5.66%                             | 8 250                | 828             | 355                            | 7                                  | 4.10%                                  |
| Retail exposures: Secured by real estate property | IRB-A                     | 10.00 to <100.00 |                                         | 17.80%              | 17.40%                            | 4 046                | 10 923          | 501                            | 2                                  | 13.21%                                 |

<sup>1</sup> The change is due to the Swedish Financial Supervisory Authority's approval of the Bank's application to apply the IRB approach. These are exempt since data was not available for the period.

<sup>2</sup> There are two versions of the IRB approach: the simplified version, the IRB approach without own estimates of LGD and CCF (here IFIRB, in previous regulations called the foundation approach), and the more advanced method, the IRB approach with own estimates of LGD and CCF (here IAIRB, in previous regulations called the advanced approach). Only distributions where Handelsbanken has exposures are shown.

<sup>3</sup> External rating is only shown where it is relevant for the IRB model.

<sup>4</sup> Defaults during the year include agreements that become performing after a short time and on which the Bank does not make any losses. This particularly applies to defaults for new customers in the category "Retail exposures: Other", which mainly contains retail financial sales at Ecster, where new customers are sometimes late in making their first payment.

## COLLATERAL AND ACTIONS THAT REDUCE THE CAPITAL REQUIREMENT

Collateral for the exposures approved for the IRB approach is managed according to two different calculation methods: the IRB approach without own estimates of LGD and CCF or the IRB approach with own estimates of LGD and CCF. Collateral affects the capital requirement in different ways in these two approaches. In the IRB approach without own estimates of LGD and CCF, only certain types of collateral are eligible and the estimates for LGD are applied as prescribed in the regulations. The Bank does, however, accept other types of collateral than those considered to be eligible.

When reporting exposures that are approved for the IRB approach with own estimates of LGD and CCF, the Bank applies LGD estimates which it has calculated itself. For these exposures, most collateral types affect the risk-weighted exposure amount and the capital requirement.

The Bank follows up and regularly updates the market value of the collateral used for corporate exposures. A control procedure is established whereby the market value is checked at least every third year for residential properties, and at least annually for other types of property. The value is checked more frequently when there are material changes in factors affecting the property market. For properties with an exposure exceeding EUR 3 million, a new valuation by an independent assessor is made at least every third year.

With the permission of the Swedish Financial Supervisory Authority, the Bank uses volatility adjustments (known as 'haircuts') when calculating capital requirements according to the IRB approach without own estimates of LGD and CCF for exposures that are secured by financial collateral. This means that in its capital requirement calculations, the Bank adjusts the value of financial collateral based on the historical volatility of the financial collateral instead of using the standardised volatility adjustments otherwise prescribed by the regulations. This method allows for better risk measurement when using financial collateral. Handelsbanken regularly monitors the concentration risk in individual securities. During the year, the additional concentration risk, measured as further indirect exposure according to the regulations for large exposures which has arisen by using financial collateral in the capital adequacy calculation, has on no occasion exceeded 0.9 per cent (2.0) of own funds.

The IRB approach with own estimates of LGD and CCF is used for retail exposures, where the exposures are categorised into various groups, partly based on the existence of collateral. Also, for most of the property collateral, a segmentation is made based on the loan-to-value of the collateral. The LGD of the exposure is established on the basis of these groups.

For corporate exposures and exposures to institutions for which collateral exists, the capital requirement is reduced, through an adjustment of either PD or LGD. The PD is adjusted in cases where there are approved protection providers, for example, an issuer of a guarantee or surety, with a lower PD value than the borrower. For other types of collateral, the LGD is adjusted.

Handelsbanken has also entered into a large number of netting agreements with, for example, institutional counterparties, thus reducing the exposure. Information concerning the netting effect is presented in the section on Counterparty credit risks.

## Credit risk concentrations

Handelsbanken's branches focus strongly on establishing long-term relationships with customers of sound creditworthiness. If a branch identifies a good customer, it should be able to do business with this customer, whether or not the Bank as a whole has major exposure to the business sector that the customer represents. In granting credit, the Bank thus has no built-in restrictions to having relatively extensive exposures in individual sectors. However, the Bank monitors portfolio development and quality and calculates concentrations for various business sectors and geographic areas. The Bank also measures and monitors exposures to major individual counterparties. Special limits are applied to restrict the maximum credit exposure to individual counterparties, to augment the credit risk assessment. If the credit portfolio has a concentration in a particular sector or counterparty that can be assumed to increase risk, this concentration is monitored. Concentration risks are identified in the Bank's calculation of economic capital for credit risks and in the stress tests conducted in the internal capital adequacy assessment. The Swedish Financial Supervisory Authority also calculates a special capital charge under Pillar 2 for concentration risks in the credit portfolio. This ensures that Handelsbanken has sufficient capital, also taking into account concentration risks. If the concentration risks are judged to be excessive, the Bank has the opportunity and capacity to reduce them using various risk-mitigation measures.

In addition to mortgage loans and lending to housing co-operative associations, Handelsbanken has significant lending to property management of SEK 647 billion (598). Here, 'property management' refers to all companies classified as 'property companies' for risk-assessment purposes. It is common for groups of companies operating in other industries to have subsidiaries managing the properties in which the group conducts business, and such property companies are also considered to belong to property management here. However, the underlying credit risk in such cases is not solely property-related, because the counterparty's repayment capacity is determined by business operations other than property management. Also, private individuals with larger property holdings are classified as property companies for risk-assessment purposes.

A very large part of property lending consists of property mortgages with low loan-to-value ratios, which reduces the Bank's loan-loss risk. In addition, a large proportion of property lending is to government-owned property companies, municipal housing companies and other housing-related operations where the borrowers consistently have strong, stable cash flows and thus very high creditworthiness. Thus, a large part of lending to the property sector is to companies with a very low probability of encountering financial difficulty. The Bank's exposure to the property sector is specified in the tables below.

The proportion of exposures to property counterparties with a poorer rating than the Bank's risk class 5 (normal risk) is very low. 99 per cent (99) of total property lending in Sweden is in risk class 5 or better. The corresponding figures for property lending in the UK are 98 per cent (98), Denmark 97 per cent (97), Finland 97 per cent (98), Norway 98 per cent (97). Netherlands' capital requirement is calculated by the standardised approach, which applies regulatory risk weights. Risk classes are therefore not applicable. However, from a credit quality perspective, exposures residing in risk classes five or better are 99 per cent. For counterparties in poorer risk classes than normal, the majority are in risk classes 6–7, with only small volumes in the higher risk classes 8–9. For information about Handelsbanken's risk ratings, see the section titled Calculation of capital requirements for credit risk.

In the past few years, Handelsbanken's lending to property companies has grown partly because of the substantial credit growth in the UK following the expansion of the UK branch network. A large part of this growth has been in property-related credits. In the UK, Handelsbanken has the same strict requirements on repayment capacity, LTVs and collateral quality as in its other home markets.

See Handelsbanken's Annual Report, note G2 for tables specifying figures for property management.

### Loan-to-value ratio for property lending

For property financing, like all granting of credit, Handelsbanken's credit assessment is always based on the borrower's repayment capacity. For mortgage loans to private individuals, Handelsbanken applies recommendations regarding debt ratio. In Sweden, for example, this is four and a half times gross income. Deviations from this are possible, but in such cases there must be a special justification. When assessing repayment capacity for mortgage loans, a calculation interest rate is also used, 7.5 per cent in Sweden, for example. As regards loan-to-value ratios (LTV) for mortgage loans, the Bank follows the supervisory authority's regulations such as the mortgage cap and amortisation requirements

For property loans to companies, there are internal recommendations for the maximum loan-to-value ratios that should be approved. The following recommendations concerning maximum LTVs for property loans to companies apply to the whole Handelsbanken Group. The LTV is based on the market value.

- Multi-family dwellings, including housing co-operative associations, 75 per cent.
- Commercial and office property, 60 per cent.
- Family farms, forest and agricultural properties, 75 per cent.

The recommended LTVs correspond to what is applied at Stadshypotek. At the time of granting the credit, LTVs which exceed the recommendations are never permitted at Stadshypotek. For loans in the Bank, LTVs which exceed the recommendations may occur, but must be specially justified. The value of industrial and warehouse properties and undeveloped land may often be much more volatile than for other property, partly due to factors such as location or alternative use. The LTV should therefore be well below 60 per cent. Financing of industrial and warehouse properties and undeveloped land is only permitted in the Bank.

The tables and figure here provide a breakdown of loan volumes based on the loan-to-value ratios for all property lending in Handelsbanken's home markets. An accumulated breakdown of the LTVs at 31 December 2019 is also presented. It should be noted that here and in the following sections, the residential property category relates to all lending for which the collateral is a property for residential purposes, such as second homes, housing co-operative apartments, and rental properties. The figure shows that a very heavy fall in property prices would be required for large parts of the lending volume to exceed a 100 per cent LTV. The LTVs for property lending in the UK are at a level similar to those in Handelsbanken's other home markets.

The LTV shows all lending secured by collateral in relation to its market value. The calculation takes account of any pledging with other credit institutions. The most recent valuation is used as the market value when compiling the LTV. In addition to distributing the loan volume by LTVs, the average LTV at Handelsbanken is calculated by weighting each property's highest LTV according to the principal debt (LTV Max).

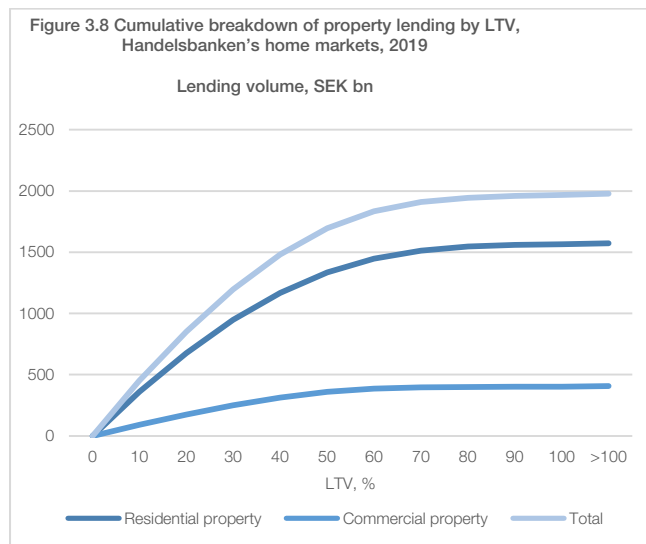


Table 3.9 Breakdown of property lending by LTV, Handelsbanken's home markets

| %       | 2019                 |                     |       | 2018                 |                     |       |
|---------|----------------------|---------------------|-------|----------------------|---------------------|-------|
|         | Residential property | Commercial property | Total | Residential property | Commercial property | Total |
| 0–40%   | 74.2                 | 77.2                | 74.8  | 73.6                 | 76.4                | 74.1  |
| 41–60%  | 17.9                 | 18.1                | 17.9  | 18.1                 | 18.7                | 18.2  |
| 61–75%  | 5.4                  | 2.7                 | 4.8   | 5.6                  | 3.0                 | 5.1   |
| > 75%   | 2.5                  | 2.0                 | 2.4   | 2.7                  | 1.9                 | 2.6   |
| LTV-Max | 55.4                 | 53.7                | 55.0  | 56.0                 | 54.2                | 55.7  |

LTV for property lending if property prices fall by 10 per cent, Handelsbanken's home markets

| %       | 2019                 |                     |       | 2018                 |                     |       |
|---------|----------------------|---------------------|-------|----------------------|---------------------|-------|
|         | Residential property | Commercial property | Total | Residential property | Commercial property | Total |
| LTV-Max | 61.5                 | 59.7                | 61.1  | 62.2                 | 60.3                | 61.8  |

LTV-Max The highest loan-to-value of the property is weighted according to the principal debt.  
 Values regarding 2018 have been slightly adjusted due to improvements to the calculation methods

Table 3.10 Breakdown of property lending by LTV, UK

| %       | 2019                 |                     |       | 2018                 |                     |       |
|---------|----------------------|---------------------|-------|----------------------|---------------------|-------|
|         | Residential property | Commercial property | Total | Residential property | Commercial property | Total |
| 0–40%   | 77.5                 | 83.5                | 79.8  | 77.8                 | 82.3                | 79.7  |
| 41–60%  | 18.6                 | 15.0                | 17.2  | 18.6                 | 15.6                | 17.3  |
| 61–75%  | 3.1                  | 0.9                 | 2.3   | 2.8                  | 1.1                 | 2.1   |
| > 75%   | 0.7                  | 0.6                 | 0.7   | 0.8                  | 1.0                 | 0.9   |
| LTV-Max | 52.4                 | 47.5                | 50.5  | 52.0                 | 48.9                | 50.7  |

LTV for property lending if property prices fall by 10 per cent, UK

| %       | 2019                 |                     |       | 2018                 |                     |       |
|---------|----------------------|---------------------|-------|----------------------|---------------------|-------|
|         | Residential property | Commercial property | Total | Residential property | Commercial property | Total |
| LTV-Max | 58.3                 | 52.7                | 56.1  | 57.8                 | 54.3                | 56.3  |

LTV-Max The highest loan-to-value of the property is weighted according to the principal debt.  
 Values regarding 2018 have been slightly adjusted due to improvements to the calculation methods

### Exposures approved for the IRB approach

For capital requirement calculations of corporate exposures, exposures secured by property correspond to about 71 per cent (66) of the total exposure amount. The equivalent figure for guarantees is approximately 5 per cent (7), for financial collateral around 1 per cent (2), and for other collateral around 1 per cent (1).

For retail exposures, exposures secured by collateral in residential property comprise about 92 per cent (92) of the total exposure amount. Of the remaining exposure amounts, about 1 percentage point (1) can be assigned to some form of collateral, while the other 7 percentage points (7) are assigned an LGD value based on other terms. These terms are chiefly determined by factors such as the type of borrower, type of credit, and number of borrowers.

For exposures to institutions, financial collateral covers some 39 per cent (55) of the exposure amount. The corresponding figure for guarantees is about 5 per cent (3).

Of the exposures covered by guarantees, totalling SEK 67,570 million (88,102), SEK 45,096 million (58,812) relates to guarantees from sovereigns, SEK 1,262 million (2,884) to guarantees from institutions, and SEK 21,212 million (26,406) to guarantees from corporates.

If an exposure is covered by several collateral objects and no individual collateral covers the total exposure, the exposure is divided into sub-exposures, one for each collateral object. The capital requirement is then calculated by sub-exposure, based on the existence of collateral.

**Table 3.11 Acceptable collateral which reduces the capital requirement, IRB Approach**

| Acceptable collateral which reduces the capital requirement, IRB Approach |                                     | 2019                                  |                                  | 2018                                  |                                  |
|---------------------------------------------------------------------------|-------------------------------------|---------------------------------------|----------------------------------|---------------------------------------|----------------------------------|
|                                                                           |                                     | Exposure amount covered by collateral | Proportion of exposure amount, % | Exposure amount covered by collateral | Proportion of exposure amount, % |
| SEK m                                                                     | Type of collateral                  |                                       |                                  |                                       |                                  |
| Sovereign exposures                                                       | - Financial collateral              | 31                                    | 0                                | 4 409                                 | 1                                |
| Corporate exposures                                                       | - Guarantees                        | 63 000                                | 5                                | 83 525                                | 7                                |
|                                                                           | - Receivables                       | 693                                   | 0                                | 468                                   | 0                                |
|                                                                           | - Financial collateral              | 14 416                                | 1                                | 24 637                                | 2                                |
|                                                                           | - Property                          | 854 082                               | 71                               | 780 432                               | 66                               |
|                                                                           | - Other collateral                  | 14 872                                | 1                                | 13 788                                | 1                                |
| Retail exposures                                                          | - Residential property <sup>1</sup> | 1 029 076                             | 92                               | 998 838                               | 92                               |
|                                                                           | - Other collateral <sup>2</sup>     | 14 900                                | 1                                | 11 342                                | 1                                |
| Institution exposures                                                     | - Guarantees                        | 2 867                                 | 5                                | 2 635                                 | 3                                |
|                                                                           | - Financial collateral              | 23 138                                | 39                               | 47 496                                | 55                               |
| Securitisation positions                                                  | - Guarantees                        | 1 148                                 | 100                              | 1 205                                 | 98                               |
| <b>Total</b>                                                              |                                     | <b>2 022 347</b>                      | <b>74</b>                        | <b>1 968 775</b>                      | <b>72</b>                        |

<sup>1</sup> Including shares in housing co-operative associations

<sup>2</sup> Including guarantees

### Exposures calculated according to the standardised approach

For exposures reported in the institutional, corporate, and retail exposure categories according to the standardised approach, and exposures secured by property, collateral covers about 86 per cent (83) of the reported exposure value, of which about 1 percentage point (1) refers to guarantees and the remaining 85 percentage points (79) refer to property and financial collateral.

For all exposures calculated using the standardised approach, the regulations state a risk weight based on the exposure class of the counterparty.

Table 3.13 shows the exposure amount per exposure class, broken down by risk weights according to the standardised approach.

**Table 3.12 Acceptable collateral which reduces the capital requirement, Standardised Approach**

| Acceptable collateral which reduces the capital requirement, Standardised Approach |                        | 2019                                              |                                 | 2018                                              |                                 |
|------------------------------------------------------------------------------------|------------------------|---------------------------------------------------|---------------------------------|---------------------------------------------------|---------------------------------|
|                                                                                    |                        | Exposure value covered by collateral <sup>1</sup> | Proportion of exposure value, % | Exposure value covered by collateral <sup>1</sup> | Proportion of exposure value, % |
| SEK m                                                                              | Type of collateral     |                                                   |                                 |                                                   |                                 |
| Sovereign exposures                                                                | - Financial collateral | 20                                                | 6                               | -                                                 | 0                               |
| Corporate exposures                                                                | - Guarantees           | 1 117                                             | 2                               | 745                                               | 2                               |
|                                                                                    | - Financial collateral | 322                                               | 1                               | 189                                               | 0                               |
|                                                                                    | - Property             | 40 594                                            | 80                              | 31 783                                            | 78                              |
| Retail exposures                                                                   | - Guarantees           | 700                                               | 1                               | 4                                                 | 0                               |
|                                                                                    | - Financial collateral | 6 646                                             | 6                               | 1 056                                             | 1                               |
|                                                                                    | - Property             | 102 446                                           | 86                              | 93 266                                            | 89                              |
| Institution exposures                                                              | - Guarantees           | 363                                               | 2                               | 353                                               | 3                               |
|                                                                                    | - Financial collateral | 6 620                                             | 45                              | 3 914                                             | 33                              |
| <b>Total</b>                                                                       |                        | <b>159 726</b>                                    | <b>86</b>                       | <b>131 310</b>                                    | <b>83</b>                       |

<sup>1</sup> Exposure value according to the standardised method is calculated excluding exposures with financial collateral. Those exposures are included in the exposure values in this table.

**Table 3.13 EU CR5 – Standardised approach 2019**

The table below shows the EAD broken down by exposure class and risk weight. It comprises figures obtained using the standardised approach. Total EAD has increased compared with the previous period.

| EU CR5 – Standardised approach 2019                                |  | Risk weight |    |    |     |              |                |               |     |               |               |            |              |      |        |            | De-<br>ducted | Total          | Of<br>which<br>unrated |
|--------------------------------------------------------------------|--|-------------|----|----|-----|--------------|----------------|---------------|-----|---------------|---------------|------------|--------------|------|--------|------------|---------------|----------------|------------------------|
| Exposure classes<br>SEK m                                          |  | 0%          | 2% | 4% | 10% | 20%          | 35%            | 50%           | 70% | 75%           | 100%          | 150%       | 250%         | 370% | 1 250% | Others     |               |                |                        |
| 1 Central governments or central banks                             |  | 350         |    |    |     |              |                |               |     |               |               |            | 3            |      |        |            |               | 353            |                        |
| 2 Regional government or local authorities                         |  | 0           |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               | 0              |                        |
| 3 Public sector entities                                           |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 4 Multilateral development banks                                   |  | 2           |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               | 2              |                        |
| 5 International organisations                                      |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 6 Institutions                                                     |  | 0           |    |    |     | 2 057        |                | 412           |     |               |               |            |              |      |        |            |               | 2 469          |                        |
| 7 Corporates                                                       |  |             |    |    |     |              |                | 0             |     |               | 8 491         |            |              |      |        |            |               | 8 491          | 7 401                  |
| 8 Retail                                                           |  |             |    |    |     |              |                |               |     | 10 205        |               |            |              |      |        |            |               | 10 205         | 10 205                 |
| 9 Secured by mortgages on immovable property                       |  |             |    |    |     |              | 125 988        | 14 303        |     | 10            | 1 197         |            |              |      |        |            |               | 141 498        | 141 498                |
| 10 Exposures in default                                            |  |             |    |    |     |              |                |               |     |               | 344           | 254        |              |      |        |            |               | 598            | 563                    |
| 11 Exposures associated with particularly high risk                |  |             |    |    |     |              |                |               |     |               |               | 26         |              |      |        |            |               | 26             | 26                     |
| 12 Covered bonds                                                   |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 13 Institutions and corporates with a short-term credit assessment |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 14 Collective investments undertakings                             |  |             |    |    |     |              |                |               |     |               | 151           |            |              |      |        |            |               | 151            | 151                    |
| 15 Equity                                                          |  |             |    |    |     |              |                |               |     |               |               |            | 6 254        |      |        |            |               | 6 254          | 6 254                  |
| 16 Other items                                                     |  | 137         |    |    |     |              |                |               |     |               | 2 883         |            | 5            |      |        | 220        |               | 3 245          | 3 243                  |
| <b>17 Total</b>                                                    |  | <b>489</b>  |    |    |     | <b>2 057</b> | <b>125 988</b> | <b>14 715</b> |     | <b>10 215</b> | <b>13 066</b> | <b>280</b> | <b>6 262</b> |      |        | <b>220</b> |               | <b>173 292</b> | <b>163 389</b>         |

| EU CR5 – Standardised approach 2018                                |  | Risk weight |    |    |     |              |                |               |     |               |               |            |              |      |        |            | De-<br>ducted | Total          | Of<br>which<br>unrated |
|--------------------------------------------------------------------|--|-------------|----|----|-----|--------------|----------------|---------------|-----|---------------|---------------|------------|--------------|------|--------|------------|---------------|----------------|------------------------|
| Exposure classes<br>SEK m                                          |  | 0%          | 2% | 4% | 10% | 20%          | 35%            | 50%           | 70% | 75%           | 100%          | 150%       | 250%         | 370% | 1 250% | Others     |               |                |                        |
| 1 Central governments or central banks                             |  | 404         |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               | 404            |                        |
| 2 Regional government or local authorities                         |  |             |    |    |     | 25           |                |               |     |               |               |            |              |      |        |            |               | 25             |                        |
| 3 Public sector entities                                           |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 4 Multilateral development banks                                   |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 5 International organisations                                      |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 6 Institutions                                                     |  | 0           |    |    |     | 2 117        |                | 676           |     |               |               |            |              |      |        |            |               | 2 793          |                        |
| 7 Corporates                                                       |  |             |    |    |     |              |                |               |     |               | 10 207        |            |              |      |        |            |               | 10 207         | 3 540                  |
| 8 Retail                                                           |  |             |    |    |     |              |                |               |     | 9 078         |               |            |              |      |        |            |               | 9 078          | 9 078                  |
| 9 Secured by mortgages on immovable property                       |  |             |    |    |     |              | 107 414        | 11 636        |     | 6 057         |               |            |              |      |        |            |               | 125 107        | 125 107                |
| 10 Exposures in default                                            |  |             |    |    |     |              |                |               |     |               | 358           | 347        |              |      |        |            |               | 705            | 587                    |
| 11 Exposures associated with particularly high risk                |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 12 Covered bonds                                                   |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 13 Institutions and corporates with a short-term credit assessment |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 14 Collective investments undertakings                             |  |             |    |    |     |              |                |               |     |               |               |            |              |      |        |            |               |                |                        |
| 15 Equity                                                          |  |             |    |    |     |              |                |               |     |               |               |            | 6 254        |      |        |            |               | 6 254          | 6 254                  |
| 16 Other items                                                     |  | 160         |    |    |     |              |                |               |     |               | 6 277         |            | 5            |      |        | 162        |               | 6 604          | 6 604                  |
| <b>17 Total</b>                                                    |  | <b>564</b>  |    |    |     | <b>2 142</b> | <b>107 414</b> | <b>12 312</b> |     | <b>15 135</b> | <b>16 842</b> | <b>347</b> | <b>6 259</b> |      |        | <b>162</b> |               | <b>161 177</b> | <b>151 170</b>         |

Table 3.14 Credit risk exposures approved for IRB Approach

| Credit risk exposures approved for IRB Approach<br>SEK m                  | Exposure amount  |                  | Of which off-balance-sheet |                | Risk-weighted exposure amount |                | Capital requirement |               | Average risk weight, % |              |
|---------------------------------------------------------------------------|------------------|------------------|----------------------------|----------------|-------------------------------|----------------|---------------------|---------------|------------------------|--------------|
|                                                                           | 2019             | 2018             | 2019                       | 2018           | 2019                          | 2018           | 2019                | 2018          | 2019                   | 2018         |
| <b>Sovereign exposures</b>                                                | <b>426 414</b>   | <b>436 476</b>   | <b>10 983</b>              | <b>13 141</b>  | <b>7 098</b>                  | <b>7 694</b>   | <b>568</b>          | <b>616</b>    | <b>1.7</b>             | <b>1.8</b>   |
| <b>Corporate exposures</b>                                                | <b>909 304</b>   | <b>899 041</b>   | <b>121 194</b>             | <b>133 763</b> | <b>246 710</b>                | <b>250 750</b> | <b>19 737</b>       | <b>20 060</b> | <b>27.1</b>            | <b>27.9</b>  |
| Corporate lending                                                         | 900 795          | 888 991          | 121 194                    | 133 763        | 244 106                       | 247 764        | 19 529              | 19 821        | 27.1                   | 27.9         |
| of which other lending, IRB Approach without own estimates of LGD and CCF | 110 550          | 125 126          | 64 725                     | 72 146         | 33 651                        | 37 526         | 2 693               | 3 002         | 30.4                   | 30.0         |
| of which other lending, IRB Approach with own estimates of LGD and CCF    | 790 245          | 763 865          | 56 469                     | 61 617         | 210 455                       | 210 238        | 16 836              | 16 819        | 26.6                   | 27.5         |
| of which large corporates                                                 | 140 751          | 154 297          | 32 185                     | 36 485         | 51 641                        | 57 241         | 4 131               | 4 579         | 36.7                   | 37.1         |
| of which medium-sized companies                                           | 91 926           | 85 130           | 9 533                      | 8 961          | 37 399                        | 37 275         | 2 992               | 2 982         | 40.7                   | 43.8         |
| of which property companies                                               | 557 568          | 524 438          | 14 751                     | 16 171         | 121 415                       | 115 722        | 9 713               | 9 258         | 21.8                   | 22.1         |
| Counterparty risk                                                         | 8 509            | 10 050           | -                          | -              | 2 604                         | 2 986          | 208                 | 239           | 30.6                   | 29.7         |
| <b>Housing co-operative associations</b>                                  | <b>235 554</b>   | <b>216 026</b>   | <b>2 796</b>               | <b>3 812</b>   | <b>9 806</b>                  | <b>9 902</b>   | <b>783</b>          | <b>791</b>    | <b>4.2</b>             | <b>4.6</b>   |
| <b>Retail exposures</b>                                                   | <b>1 119 800</b> | <b>1 079 337</b> | <b>58 312</b>              | <b>55 531</b>  | <b>82 406</b>                 | <b>85 185</b>  | <b>6 593</b>        | <b>6 815</b>  | <b>7.4</b>             | <b>7.9</b>   |
| Private individuals                                                       | 1 095 928        | 1 054 730        | 52 195                     | 49 507         | 74 659                        | 77 746         | 5 973               | 6 220         | 6.8                    | 7.4          |
| of which property loans                                                   | 1 046 593        | 991 558          | 36 074                     | 29 601         | 63 871                        | 62 459         | 5 110               | 4 997         | 6.1                    | 6.3          |
| of which other                                                            | 49 335           | 63 172           | 16 121                     | 19 906         | 10 788                        | 15 287         | 863                 | 1 223         | 21.9                   | 24.2         |
| Small companies                                                           | 23 872           | 24 607           | 6 117                      | 6 024          | 7 747                         | 7 438          | 620                 | 595           | 32.5                   | 30.2         |
| of which property loans                                                   | 11 892           | 7 280            | 1 010                      | 63             | 4 268                         | 1 409          | 341                 | 113           | 35.9                   | 19.4         |
| of which other                                                            | 11 980           | 17 327           | 5 107                      | 5 961          | 3 479                         | 6 029          | 279                 | 482           | 29.0                   | 34.8         |
| <b>Institution exposures</b>                                              | <b>57 663</b>    | <b>78 120</b>    | <b>6 316</b>               | <b>6 014</b>   | <b>14 436</b>                 | <b>14 858</b>  | <b>1 155</b>        | <b>1 189</b>  | <b>25.0</b>            | <b>19.0</b>  |
| Lending to institutions                                                   | 16 554           | 17 559           | 6 316                      | 6 014          | 5 920                         | 5 640          | 474                 | 452           | 35.8                   | 32.1         |
| Counterparty risk                                                         | 41 109           | 60 561           | -                          | -              | 8 516                         | 9 218          | 681                 | 737           | 20.7                   | 15.2         |
| <b>Equity exposures</b>                                                   | <b>3 028</b>     | <b>2 121</b>     | -                          | -              | <b>10 299</b>                 | <b>7 410</b>   | <b>824</b>          | <b>593</b>    | <b>340.2</b>           | <b>349.4</b> |
| of which listed equities                                                  | 1 129            | 545              | -                          | -              | 3 274                         | 1 581          | 262                 | 126           | 290.0                  | 290.0        |
| of which other equities                                                   | 1 899            | 1 576            | -                          | -              | 7 025                         | 5 829          | 562                 | 467           | 370.0                  | 370.0        |
| <b>Non credit-obligation asset exposures</b>                              | <b>6 946</b>     | <b>2 239</b>     | -                          | -              | <b>6 946</b>                  | <b>2 239</b>   | <b>556</b>          | <b>179</b>    | <b>100.0</b>           | <b>100.0</b> |
| <b>Securitisation positions</b>                                           | -                | <b>22</b>        | -                          | -              | -                             | <b>51</b>      | -                   | <b>4</b>      | -                      | <b>229.2</b> |
| of which traditional securitisation                                       | -                | 22               | -                          | -              | -                             | 51             | -                   | 4             | -                      | 229.2        |
| of which synthetic securitisation                                         | -                | -                | -                          | -              | -                             | -              | -                   | -             | -                      | -            |
| <b>Total IRB Approach</b>                                                 | <b>2 758 709</b> | <b>2 713 382</b> | <b>199 601</b>             | <b>212 261</b> | <b>377 701</b>                | <b>378 089</b> | <b>30 216</b>       | <b>30 247</b> | <b>13.7</b>            | <b>13.9</b>  |
| <b>Risk weight floor for Swedish mortgage*</b>                            |                  |                  |                            |                | <b>173 604</b>                | <b>163 123</b> | <b>13 888</b>       | <b>13 050</b> |                        |              |
| <b>Total IRB Approach including floor</b>                                 | <b>2 758 709</b> | <b>2 713 382</b> | <b>199 601</b>             | <b>212 261</b> | <b>551 305</b>                | <b>541 212</b> | <b>44 104</b>       | <b>43 297</b> | <b>20.0</b>            | <b>19.9</b>  |

\*Handelsbanken report SFT's and repos net from 30 sep 2019. The exposure amount for 31 dec 2018 have been updated to reflect this.

Table 3.15 Credit risk exposures according to standardised approach

| Credit risk exposures according to standardised approach <sup>1</sup><br>SEK m | Exposure value |                | Of which off-balance-sheet |               | Risk-weighted exposure amount |               | Capital requirement |              | Average risk weight, % |             |
|--------------------------------------------------------------------------------|----------------|----------------|----------------------------|---------------|-------------------------------|---------------|---------------------|--------------|------------------------|-------------|
|                                                                                | 2019           | 2018           | 2019                       | 2018          | 2019                          | 2018          | 2019                | 2018         | 2019                   | 2018        |
| Sovereign and central banks                                                    | 353            | 403            | 79                         | 21            | 7                             | -             | 1                   | -            | 1.9                    | 0.0         |
| Municipalities                                                                 | -              | 25             | -                          | -             | -                             | 5             | -                   | -            | -                      | 20.0        |
| Multilateral development banks                                                 | 274            | 183            | 2                          | -             | 0                             | -             | 0                   | -            | 0.0                    | 0.0         |
| International organisations                                                    | -              | -              | -                          | -             | -                             | -             | -                   | -            | -                      | -           |
| Institutions                                                                   | 9 639          | 9 570          | 407                        | 490           | 762                           | 897           | 61                  | 72           | 7.9                    | 9.4         |
| Corporate                                                                      | 8 495          | 10 282         | 2 326                      | 2 360         | 8 408                         | 10 191        | 673                 | 815          | 99.0                   | 99.1        |
| Retail                                                                         | 10 226         | 9 198          | 2 898                      | 2 306         | 7 460                         | 6 867         | 597                 | 549          | 72.9                   | 74.7        |
| Property mortgages                                                             | 141 499        | 125 107        | 2 064                      | 7 126         | 50 655                        | 46 682        | 4 052               | 3 735        | 35.8                   | 37.3        |
| Past due items                                                                 | 598            | 705            | 21                         | 13            | 725                           | 878           | 58                  | 70           | 121.2                  | 124.6       |
| High risk items                                                                | 26             | -              | -                          | -             | 39                            | -             | 3                   | -            | 150.0                  | -           |
| CIU'S                                                                          | 151            | -              | -                          | -             | 151                           | -             | 12                  | -            | 100.0                  | -           |
| Equities                                                                       | 6 254          | 6 254          | -                          | -             | 15 636                        | 15 636        | 1 251               | 1 251        | 250.0                  | 250.0       |
| of which listed equities                                                       | -              | -              | -                          | -             | -                             | -             | -                   | -            | -                      | -           |
| of which unlisted equities                                                     | 6 254          | 6 254          | -                          | -             | 15 636                        | 15 636        | 1 251               | 1 251        | 250.0                  | 250.0       |
| Other items                                                                    | 3 244          | 6 604          | 17                         | 26            | 2 905                         | 6 295         | 232                 | 504          | 89.6                   | 95.3        |
| <b>Total standardised approach</b>                                             | <b>180 759</b> | <b>168 331</b> | <b>7 814</b>               | <b>12 342</b> | <b>86 748</b>                 | <b>87 451</b> | <b>6 940</b>        | <b>6 996</b> | <b>48.0</b>            | <b>52.0</b> |

**CAPITAL REQUIREMENTS FOR CREDIT RISK**

This section presents the credit portfolio based on CRR. The presentations show both the IRB approach and the standardised approach. Portfolios in the IRB approach are divided into the IRB approach with own estimates of LGD and CCF, and the IRB approach without own estimates of LGD and CCF. When the capital requirement is calculated, this is normally done for the exposure amount, which is the sum of the exposure on the balance sheet and the exposure off the balance sheet multiplied by a conversion factor.

**Exposure, exposure amounts and capital requirements**

Tables 3.14 and 3.15 include information about exposures approved for the IRB approach and the standardised approach based on different definitions as well as details of capital requirements for various exposure classes, the exposures and the total exposure amounts in the credit portfolio approved for the IRB approach and their risk-weighted amounts as well as the capital requirement that these exposures give rise to. The Tables section specifies the geographic distribution of exposures (table T10) and their breakdown by industry or counterparty (table T11). 'Exposures' refers to the total exposures on and off the balance sheet. The exposure amount is the exposure on which the capital requirement is calculated according to CRR. The following are also shown: the average exposure amount during the year, the average risk weight for the exposures (the risk-weighted amount divided by the exposure amount), and the average LGD value applied.

The risk estimates according to the IRB approach with own estimates of LGD and CCF are based on the Bank's historical outcome data applying the margins of conservatism approved by the Swedish Financial Supervisory Authority. In the IRB approach with own estimates of LGD and CCF, the capital requirement is also affected by the maturity of the credit, unlike in the IRB approach without own estimates of LGD and CCF.

For corporate exposures, SEK 52,620 million (62,016) is covered by guarantees from counterparties within the sovereign and municipal

exposure class or the institutional class. This reduces the exposure amount. The corresponding figure for exposures to institutions is SEK 1,435 million (2,149). When there is a guarantor with a lower PD than the counterparty, the capital requirement is calculated based on this PD instead of the original counterparty's, a practice known as substitution. This means that the guarantor's more advantageous PD can be used instead of the borrower's PD. On the other hand, the capital requirement does not take into account the fact that the credit risk is less, since both the borrower and the guarantor must default in order for the Bank to incur a loan loss.

For the parts of the credit portfolio which are not approved for the IRB approach and also where a permanent or time-limited approval has been given by the Swedish Financial Supervisory Authority, the capital requirements for credit risk are calculated using the standardised approach. Table 3.15 shows the exposures and capital requirements for the standardised portfolio.

When calculating risk weights according to the standardised approach, information regarding the external rating from external rating agencies is used, where applicable. Handelsbanken uses an external rating from Standard & Poor's for exposures to institutions and corporate exposures. Table 3.17 shows the exposure values for each credit quality step. No deduction is made from own funds for exposures in the standardised approach with external ratings.

Table 3.16 presents Handelsbanken's net exposures at the end of 2019 and the average value for the net exposure at the end of each quarter for the observation period. The table shows that these values are stable over time.

Table T13 in the Tables section shows the risk-weighted exposure amounts, before credit derivatives and net after credit risk-mitigation measures, by exposure class at the end of 2019. The amounts are calculated for exposures processed according to the Foundation IRB approach and exposures processed according to the Advanced IRB approach. The table shows that Handelsbanken's risk-weighted exposure amounts have not been affected by credit derivatives.



**Table 3.16 EU CRB-B – Total and average net amount of exposures**

The table below shows the total net exposure and average net exposure broken down by exposure class at year-end. For on-balance sheet items, the net value is the gross carrying value of exposure less allowances/impairments. For off-balance sheet items, the net value is the gross carrying value of the exposure less provisions. It comprises figures obtained using both the standardised and the IRB Approach. Net exposures have been stable over time based on an average of the three preceding quarters.

| EU CRB-B – Total and average net amount of exposures 2019 |                                                                           | Net value of exposures at the end of the period | Average net exposures over the period |
|-----------------------------------------------------------|---------------------------------------------------------------------------|-------------------------------------------------|---------------------------------------|
| SEK m                                                     |                                                                           |                                                 |                                       |
| 1                                                         | Central governments or central banks                                      | 382 484                                         | 386 399                               |
| 2                                                         | Institutions                                                              | 23 787                                          | 25 584                                |
| 3                                                         | Corporates                                                                | 1 452 923                                       | 1 469 083                             |
| 4                                                         | Of which: Specialised lending                                             |                                                 |                                       |
| 5                                                         | Of which: SMEs                                                            | 771 801                                         | 763 786                               |
| 6                                                         | Retail                                                                    | 1 123 855                                       | 1 114 521                             |
| 7                                                         | Secured by real estate property                                           | 1 058 034                                       | 1 037 681                             |
| 8                                                         | SMEs                                                                      | 12 000                                          | 9 701                                 |
| 9                                                         | Non-SMEs                                                                  | 1 046 034                                       | 1 027 980                             |
| 10                                                        | Qualifying revolving                                                      |                                                 |                                       |
| 11                                                        | Other retail                                                              | 65 821                                          | 76 840                                |
| 12                                                        | SMEs                                                                      | 13 347                                          | 16 154                                |
| 13                                                        | Non-SMEs                                                                  | 52 474                                          | 60 686                                |
| 14                                                        | Equity                                                                    | 3 028                                           | 2 557                                 |
| <b>15</b>                                                 | <b>Total IRB Approach</b>                                                 | <b>2 986 077</b>                                | <b>2 998 144</b>                      |
| 16                                                        | Central governments or central banks                                      | 36                                              | 66                                    |
| 17                                                        | Regional governments or local authorities                                 | 0                                               | 0                                     |
| 18                                                        | Public sector entities                                                    |                                                 |                                       |
| 19                                                        | Multilateral development banks                                            | -                                               | 35                                    |
| 20                                                        | International organisations                                               | -                                               | 0                                     |
| 21                                                        | Institutions                                                              | 4 280                                           | 3 341                                 |
| 22                                                        | Corporates                                                                | 14 357                                          | 16 969                                |
| 23                                                        | Of which: SMEs                                                            | 3 120                                           | 3 525                                 |
| 24                                                        | Retail                                                                    | 24 819                                          | 27 550                                |
| 25                                                        | Of which: SMEs                                                            | 2 440                                           | 2 441                                 |
| 26                                                        | Secured by mortgages on immovable property                                | 147 341                                         | 140 238                               |
| 27                                                        | Of which: SMEs                                                            | 29 412                                          | 27 813                                |
| 28                                                        | Exposures in default                                                      | 621                                             | 672                                   |
| 29                                                        | Items associated with particularly high risk                              | 26                                              | 13                                    |
| 30                                                        | Covered bonds                                                             |                                                 |                                       |
| 31                                                        | Claims on institutions and corporates with a short-term credit assessment |                                                 |                                       |
| 32                                                        | Collective investments undertakings                                       | 151                                             | 151                                   |
| 33                                                        | Equity exposures                                                          | 6 254                                           | 6 254                                 |
| 34                                                        | Other exposures                                                           | 4 957                                           | 6 937                                 |
| <b>35</b>                                                 | <b>Total standardised approach</b>                                        | <b>202 842</b>                                  | <b>202 226</b>                        |
| <b>36</b>                                                 | <b>Total</b>                                                              | <b>3 188 919</b>                                | <b>3 200 370</b>                      |

## EU CRB-B – Total and average net amount of exposures 2018

| SEK m     |                                                                           | Net value of exposures at the end of the period | Average net exposures over the period |
|-----------|---------------------------------------------------------------------------|-------------------------------------------------|---------------------------------------|
| 1         | Central governments or central banks                                      | 387 796                                         | 431 244                               |
| 2         | Institutions                                                              | 22 108                                          | 21 637                                |
| 3         | Corporates                                                                | 1 426 432                                       | 1 414 643                             |
| 4         | Of which: Specialised lending                                             |                                                 |                                       |
| 5         | Of which: SMEs                                                            | 742 625                                         | 740 989                               |
| 6         | Retail                                                                    | 1 083 528                                       | 1 072 681                             |
| 7         | Secured by real estate property                                           | 997 512                                         | 982 785                               |
| 8         | SMEs                                                                      | 7 277                                           | 7 125                                 |
| 9         | Non-SMEs                                                                  | 990 235                                         | 975 660                               |
| 10        | Qualifying revolving                                                      |                                                 |                                       |
| 11        | Other retail                                                              | 86 016                                          | 89 896                                |
| 12        | SMEs                                                                      | 18 956                                          | 19 276                                |
| 13        | Non-SMEs                                                                  | 67 060                                          | 70 620                                |
| 14        | Equity                                                                    | 2 121                                           | 1 942                                 |
| <b>15</b> | <b>Total IRB Approach</b>                                                 | <b>2 921 985</b>                                | <b>2 942 147</b>                      |
| 16        | Central governments or central banks                                      | 51                                              | 295                                   |
| 17        | Regional governments or local authorities                                 | 25                                              | 16                                    |
| 18        | Public sector entities                                                    |                                                 |                                       |
| 19        | Multilateral development banks                                            |                                                 | 243                                   |
| 20        | International organisations                                               |                                                 |                                       |
| 21        | Institutions                                                              | 4 386                                           | 4 024                                 |
| 22        | Corporates                                                                | 19 930                                          | 21 015                                |
| 23        | Of which: SMEs                                                            | 2 507                                           | 3 920                                 |
| 24        | Retail                                                                    | 21 394                                          | 31 625                                |
| 25        | Of which: SMEs                                                            | 2 540                                           | 2 811                                 |
| 26        | Secured by mortgages on immovable property                                | 127 127                                         | 122 005                               |
| 27        | Of which: SMEs                                                            | 23 901                                          | 23 146                                |
| 28        | Exposures in default                                                      | 718                                             | 709                                   |
| 29        | Items associated with particularly high risk                              |                                                 |                                       |
| 30        | Covered bonds                                                             |                                                 |                                       |
| 31        | Claims on institutions and corporates with a short-term credit assessment |                                                 |                                       |
| 32        | Collective investments undertakings                                       |                                                 | 63                                    |
| 33        | Equity exposures                                                          | 6 254                                           | 6 254                                 |
| 34        | Other exposures                                                           | 8 376                                           | 9 372                                 |
| <b>35</b> | <b>Total standardised approach</b>                                        | <b>188 261</b>                                  | <b>195 621</b>                        |
| <b>36</b> | <b>Total</b>                                                              | <b>3 110 246</b>                                | <b>3 137 768</b>                      |

Table 3.17 Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings

## Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2019

| SEK m               | Sovereign and central banks |                | Municipalities |                | Institutions |                | Corporate |                |
|---------------------|-----------------------------|----------------|----------------|----------------|--------------|----------------|-----------|----------------|
|                     | Exposure                    | Exposure value | Exposure       | Exposure value | Exposure     | Exposure value | Exposure  | Exposure value |
| Credit quality step |                             |                |                |                |              |                |           |                |
| 1                   | 36                          | 353            | 0              | 0              | 1 298        | 1 525          | -         | -              |
| 2                   | -                           | -              | -              | -              | 1 968        | 376            | 1089      | 0              |
| 3                   | -                           | -              | -              | -              | 179          | 108            | 0         | -              |
| 4                   | -                           | -              | -              | -              | 274          | 77             | -         | -              |
| 5                   | -                           | -              | -              | -              | 223          | 67             | -         | -              |
| 6                   | -                           | -              | -              | -              | 2            | 1              | -         | -              |

## Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2018

| SEK m               | Sovereign and central banks |                | Municipalities |                | Institutions |                | Corporate |                |
|---------------------|-----------------------------|----------------|----------------|----------------|--------------|----------------|-----------|----------------|
|                     | Exposure                    | Exposure value | Exposure       | Exposure value | Exposure     | Exposure value | Exposure  | Exposure value |
| Credit quality step |                             |                |                |                |              |                |           |                |
| 1                   | 51                          | 403            | -              | -              | 1 820        | 1 732          | -         | -              |
| 2                   | -                           | -              | 25             | 25             | 1 430        | 597            | -         | -              |
| 3                   | -                           | -              | -              | -              | 351          | 114            | -         | -              |
| 4                   | -                           | -              | -              | -              | 356          | 238            | -         | -              |
| 5                   | -                           | -              | -              | -              | 207          | 64             | -         | -              |
| 6                   | -                           | -              | -              | -              | -            | -              | -         | -              |

### Risk weight and breakdown into risk classes

Table 3.18 shows exposures by exposure class and PD interval, in accordance with the EBA's division of PD intervals. This table includes gross exposures, average PD, LGD and CCF, the number of debtors, risk-weighted exposure amounts, risk weights, expected loss, value adjustments and other data.

The PD values applied in the IRB approach for corporate and retail exposures are based on the Bank's own loss and default history. Handelsbanken's PD models for corporates are based on the historical default frequency, by risk class and by portfolio. The estimates for each portfolio are based partly on the Bank's internal data and partly on data from other sources, such as external credit rating agencies, and are based on the duration of a hypothetical business cycle in which one of five years is a downturn year and the Swedish banking crisis in the 1990s is taken into account. Significant margins of conservatism are also added to these. See also the Risk classification methods section. Handelsbanken's low, stable default rates and loan loss ratio means that the Bank's PD values are low, particularly in good risk classes where defaults have been extremely rare even in times of major economic turbulence. The risk weights are also affected by the LGD values used. These are also calculated on the basis of the Bank's own loss history for all exposures covered by the IRB approach with own estimates of LGD and CCF.

The applied PD and LGD include margins of conservatism. Comprehensive tests have also been performed to ensure that the risk measures are applicable to the Bank's current portfolios. This means that differences between different banks' average risk weights are due to the credit quality of the existing exposures and the historic loan losses.

In January 2018, the SFSA approved the introduction of a Pillar 1 IRB system that results in a risk weight of 50 per cent for the aggregated UK commercial real estate ("CRE") portfolio. In 2017 the SFSA applied a Pillar 2 add-on for the CRE portfolio. The background was that the SFSA deemed that earlier applied risk weight levels in Handelsbanken for UK commercial real estate were not conservative enough, given the historic levels of losses that UK banks experienced in 2008-2009.

Differing portfolio composition is another factor which leads to variations in different banks' average risk weights for various exposure classes. One important aspect of several is how banks have chosen to categorise their exposures. Handelsbanken has classified its lending to housing co-operative associations as corporate exposures, while certain other banks have decided to classify this as retail exposures. At the same time, lending to housing co-operative associations has lower risk than corporate lending on average. This means that the total average risk weight for the corporate exposures class including housing co-operative associations will be lower for Handelsbanken than for banks which have classified housing co-operative associations as retail exposures. The average risk weight for corporate exposures excluding housing co-operative associations is 27.1 per cent (27.9).

Handelsbanken's choice is conservative, because exposures that are classified as corporates have a higher risk weight in the IRB approach than retail exposures with the same risk measure.

The Bank has very low exposures to counterparties in poorer risk classes. For corporate exposures, 98.1 per cent (97.7) of the exposure amount is in risk classes 1–5 with low PD values. The corresponding figure for exposures to institutions is 99.9 per cent (99.9). For retail exposures – private individuals and small companies – the corresponding figures in the better risk classes are 95 per cent (95) and 71 per cent (71), respectively. A clear majority of the Bank's exposures are in risk classes 1–4, which means that the average risk level in the credit portfolio is significantly lower than the level which is assessed as normal risk. See tables, AR:11 - AR:16 in the Annual Report, note G2.

The risk weights applied by Handelsbanken result in a capital requirement that is, in relation to the Bank's actual historical loan losses in the past 10 years, considerably higher than the corresponding ratio for other Nordic and European banks on average. This means that Handelsbanken's risk weights are more cautious in relation to the Bank's historical losses than in models applied by other banks.

Table 3.18 EU CR6 – IRB approach – Credit risk exposures by exposure class and PD range

The following table shows the total EAD, undrawn commitments, exposure-weighted average PD, LGD and CCF, and exposure-weighted average risk weights broken down by exposure class and obligor grade. FI's board of directors decided to change the method used to apply current risk weight floor for Swedish mortgages on 25% through pillar 2 by replacing it with a corresponding requirement under article 458 CRR. The change entered into force on 31 December 2018. RWA and RWA density is here calculated using the IRB approach not including the risk weight floor.

| EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2019 |                           |                  | Original on-balance-sheet gross exposures, SEK m | Off-balance-sheet exposures pre-CCF, SEK m | Average CCF   | EAD post CRM and post CCF, SEK m | Average PD   | Number of obligors <sup>2</sup> | Average LGD   | Average maturity, year | RWAs, SEK m    | RWA density   | EL, SEK m    | Value adjustments and provisions, SEK m |
|-----------------------------------------------------------------------------------|---------------------------|------------------|--------------------------------------------------|--------------------------------------------|---------------|----------------------------------|--------------|---------------------------------|---------------|------------------------|----------------|---------------|--------------|-----------------------------------------|
| Exposure class                                                                    | IRB Approach <sup>1</sup> | PD scale         |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Sovereign exposures                                                               | IRB-F                     | 0.00 to <0.15    | 360 762                                          | 21 618                                     | 35.89%        | 422 443                          | 0.00%        | 391                             | 44.79%        | 1.3                    | 6 993          | 1.66%         | 5            | -5                                      |
| Sovereign exposures                                                               | IRB-F                     | 0.15 to <0.25    | 28                                               | 0                                          | 75.00%        | 49                               | 0.20%        | 15                              | 45.00%        | 2.5                    | 22             | 44.01%        | 0            | 0                                       |
| Sovereign exposures                                                               | IRB-F                     | 0.25 to <0.50    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Sovereign exposures                                                               | IRB-F                     | 0.50 to <0.75    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Sovereign exposures                                                               | IRB-F                     | 0.75 to <2.50    | 75                                               | 0                                          | 75.00%        | 2                                | 1.00%        | 3                               | 45.00%        | 2.5                    | 2              | 79.55%        | 0            | 0                                       |
| Sovereign exposures                                                               | IRB-F                     | 2.50 to <10.00   |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Sovereign exposures                                                               | IRB-F                     | 10.00 to <100.00 | 2                                                |                                            |               | 2                                | 20.00%       | 1                               | 45.00%        | 2.5                    | 5              | 252.53%       | 0            | 0                                       |
| Sovereign exposures                                                               | IRB-F                     | 100.00 (Default) |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Sovereign exposures                                                               | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Sovereign exposures</b>                                                        | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>360 867</b>                                   | <b>21 618</b>                              | <b>35.89%</b> | <b>422 496</b>                   | <b>0.00%</b> | <b>410</b>                      | <b>44.79%</b> | <b>1.3</b>             | <b>7 022</b>   | <b>1.66%</b>  | <b>5</b>     | <b>-5</b>                               |
| Institution exposures                                                             | IRB-F                     | 0.00 to <0.15    | 8 697                                            | 8 606                                      | 54.04%        | 11 037                           | 0.09%        | 82                              | 37.66%        | 2.5                    | 3 403          | 30.84%        | 3            | -3                                      |
| Institution exposures                                                             | IRB-F                     | 0.15 to <0.25    | 4 069                                            | 1 681                                      | 43.30%        | 4 951                            | 0.21%        | 37                              | 27.61%        | 2.5                    | 1 877          | 37.90%        | 3            | -3                                      |
| Institution exposures                                                             | IRB-F                     | 0.25 to <0.50    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Institution exposures                                                             | IRB-F                     | 0.50 to <0.75    | 30                                               | 459                                        | 61.08%        | 375                              | 0.56%        | 13                              | 45.00%        | 2.5                    | 380            | 101.29%       | 1            | 0                                       |
| Institution exposures                                                             | IRB-F                     | 0.75 to <2.50    | 126                                              | 91                                         | 50.00%        | 172                              | 1.10%        | 27                              | 44.94%        | 2.5                    | 217            | 126.17%       | 1            | 0                                       |
| Institution exposures                                                             | IRB-F                     | 2.50 to <10.00   |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Institution exposures                                                             | IRB-F                     | 10.00 to <100.00 | 5                                                | 28                                         | 50.00%        | 19                               | 22.15%       | 9                               | 45.00%        | 2.5                    | 43             | 229.81%       | 2            | 0                                       |
| Institution exposures                                                             | IRB-F                     | 100.00 (Default) |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Institution exposures                                                             | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Institution exposures</b>                                                      | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>12 927</b>                                    | <b>10 865</b>                              | <b>52.63%</b> | <b>16 554</b>                    | <b>0.17%</b> | <b>168</b>                      | <b>34.90%</b> | <b>2.5</b>             | <b>5 920</b>   | <b>35.76%</b> | <b>10</b>    | <b>-6</b>                               |
| Corporate exposures                                                               | IRB-F                     | 0.00 to <0.15    | 43 295                                           | 97 341                                     | 58.93%        | 86 980                           | 0.07%        | 2 404                           | 39.53%        | 2.5                    | 19 155         | 22.02%        | 25           | -4                                      |
| Corporate exposures                                                               | IRB-F                     | 0.15 to <0.25    | 1 635                                            | 2 269                                      | 36.96%        | 2 506                            | 0.16%        | 1 227                           | 28.01%        | 2.5                    | 492            | 19.66%        | 1            | -2                                      |
| Corporate exposures                                                               | IRB-F                     | 0.25 to <0.50    | 7 664                                            | 8 328                                      | 46.11%        | 9 562                            | 0.35%        | 871                             | 34.61%        | 2.5                    | 4 422          | 46.25%        | 11           | -2                                      |
| Corporate exposures                                                               | IRB-F                     | 0.50 to <0.75    | 2 102                                            | 2 387                                      | 41.22%        | 3 076                            | 0.61%        | 1 611                           | 37.50%        | 2.5                    | 1 634          | 53.11%        | 7            | -6                                      |
| Corporate exposures                                                               | IRB-F                     | 0.75 to <2.50    | 3 452                                            | 10 536                                     | 50.63%        | 8 040                            | 1.15%        | 1 376                           | 39.94%        | 2.5                    | 6 488          | 80.69%        | 35           | -12                                     |
| Corporate exposures                                                               | IRB-F                     | 2.50 to <10.00   | 761                                              | 536                                        | 58.89%        | 868                              | 7.95%        | 217                             | 36.33%        | 2.5                    | 1 067          | 122.97%       | 25           | -12                                     |
| Corporate exposures                                                               | IRB-F                     | 10.00 to <100.00 | 325                                              | 207                                        | 50.56%        | 435                              | 27.97%       | 136                             | 32.87%        | 2.5                    | 700            | 160.88%       | 37           | -15                                     |
| Corporate exposures                                                               | IRB-F                     | 100.00 (Default) | 259                                              | 416                                        | 88.05%        | 623                              | 100.00%      | 38                              | 44.68%        | 2.5                    | 0              | 0.00%         | 240          | -239                                    |
| Corporate exposures                                                               | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures</b>                                                        | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>59 493</b>                                    | <b>122 020</b>                             | <b>56.67%</b> | <b>112 090</b>                   | <b>0.91%</b> | <b>7 880</b>                    | <b>38.80%</b> | <b>2.5</b>             | <b>33 958</b>  | <b>30.30%</b> | <b>381</b>   | <b>-292</b>                             |
| Corporate exposures                                                               | IRB-A                     | 0.00 to <0.15    | 707 168                                          | 204 398                                    | 19.19%        | 729 215                          | 0.09%        | 29 787                          | 20.19%        | 3.2                    | 89 355         | 12.25%        | 136          | -29                                     |
| Corporate exposures                                                               | IRB-A                     | 0.15 to <0.25    | 24 246                                           | 8 411                                      | 40.57%        | 29 326                           | 0.16%        | 3 226                           | 34.44%        | 2.6                    | 7 233          | 24.67%        | 16           | -16                                     |
| Corporate exposures                                                               | IRB-A                     | 0.25 to <0.50    | 171 138                                          | 32 820                                     | 21.37%        | 167 541                          | 0.43%        | 8 068                           | 25.90%        | 2.5                    | 57 325         | 34.22%        | 183          | -52                                     |
| Corporate exposures                                                               | IRB-A                     | 0.50 to <0.75    | 22 676                                           | 6 670                                      | 41.85%        | 25 281                           | 0.61%        | 3 300                           | 31.93%        | 2.7                    | 11 263         | 44.55%        | 49           | -35                                     |
| Corporate exposures                                                               | IRB-A                     | 0.75 to <2.50    | 55 363                                           | 21 592                                     | 25.44%        | 55 034                           | 1.60%        | 6 516                           | 28.62%        | 2.7                    | 31 326         | 56.92%        | 252          | -157                                    |
| Corporate exposures                                                               | IRB-A                     | 2.50 to <10.00   | 7 891                                            | 783                                        | 38.52%        | 7 786                            | 7.28%        | 805                             | 32.34%        | 2.8                    | 8 273          | 106.26%       | 188          | -71                                     |
| Corporate exposures                                                               | IRB-A                     | 10.00 to <100.00 | 5 052                                            | 923                                        | 30.44%        | 4 931                            | 31.15%       | 833                             | 33.39%        | 2.7                    | 7 105          | 144.08%       | 501          | -158                                    |
| Corporate exposures                                                               | IRB-A                     | 100.00 (Default) | 5 457                                            | 207                                        | 28.58%        | 5 145                            | 100.00%      | 243                             | 39.98%        | 1.9                    | 8 074          | 156.93%       | 2 598        | -2 569                                  |
| Corporate exposures                                                               | IRB-A                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures</b>                                                        | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>998 991</b>                                   | <b>275 804</b>                             | <b>21.24%</b> | <b>1 024 259</b>                 | <b>0.95%</b> | <b>52 778</b>                   | <b>22.53%</b> | <b>3.0</b>             | <b>219 954</b> | <b>21.47%</b> | <b>3 923</b> | <b>-3 087</b>                           |
| Corporate exposures                                                               | Total                     | 0.00 to <0.15    | 750 464                                          | 301 739                                    | 32.01%        | 816 197                          | 0.08%        | 30 726                          | 22.25%        | 3.1                    | 108 509        | 13.29%        | 161          | -33                                     |
| Corporate exposures                                                               | Total                     | 0.15 to <0.25    | 25 881                                           | 10 680                                     | 39.81%        | 31 832                           | 0.16%        | 3 755                           | 33.93%        | 2.6                    | 7 726          | 24.27%        | 17           | -19                                     |
| Corporate exposures                                                               | Total                     | 0.25 to <0.50    | 178 803                                          | 41 148                                     | 26.38%        | 177 102                          | 0.43%        | 8 361                           | 26.37%        | 2.5                    | 61 748         | 34.87%        | 194          | -55                                     |
| Corporate exposures                                                               | Total                     | 0.50 to <0.75    | 24 777                                           | 9 057                                      | 41.69%        | 28 357                           | 0.61%        | 3 978                           | 32.53%        | 2.7                    | 12 896         | 45.48%        | 56           | -40                                     |
| Corporate exposures                                                               | Total                     | 0.75 to <2.50    | 58 815                                           | 32 128                                     | 33.70%        | 63 074                           | 1.54%        | 7 133                           | 30.06%        | 2.7                    | 37 814         | 59.95%        | 287          | -169                                    |
| Corporate exposures                                                               | Total                     | 2.50 to <10.00   | 8 652                                            | 1 319                                      | 46.79%        | 8 653                            | 7.35%        | 891                             | 32.74%        | 2.8                    | 9 340          | 107.93%       | 213          | -84                                     |
| Corporate exposures                                                               | Total                     | 10.00 to <100.00 | 5 377                                            | 1 130                                      | 34.13%        | 5 366                            | 30.89%       | 888                             | 33.35%        | 2.7                    | 7 805          | 145.44%       | 538          | -173                                    |
| Corporate exposures                                                               | Total                     | 100.00 (Default) | 5 716                                            | 623                                        | 68.31%        | 5 768                            | 100.00%      | 252                             | 40.49%        | 1.9                    | 8 074          | 139.97%       | 2 839        | -2 806                                  |
| Corporate exposures                                                               | Total                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures</b>                                                        | <b>Total</b>              | <b>Subtotal</b>  | <b>1 058 485</b>                                 | <b>397 824</b>                             | <b>32.11%</b> | <b>1 136 349</b>                 | <b>0.94%</b> | <b>55 984</b>                   | <b>24.14%</b> | <b>3.0</b>             | <b>253 912</b> | <b>22.34%</b> | <b>4 305</b> | <b>-3 379</b>                           |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.00 to <0.15    | 7 674                                            | 4 692                                      | 51.84%        | 6 795                            | 0.06%        | 1 529                           | 19.85%        | 2.5                    | 561            | 8.26%         | 1            | -1                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.15 to <0.25    | 1 635                                            | 2 269                                      | 36.96%        | 2 506                            | 0.16%        | 1 227                           | 28.01%        | 2.5                    | 492            | 19.66%        | 1            | -2                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.25 to <0.50    | 1 664                                            | 531                                        | 57.83%        | 1 888                            | 0.45%        | 545                             | 31.13%        | 2.5                    | 672            | 35.59%        | 3            | -1                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.50 to <0.75    | 2 102                                            | 2 387                                      | 41.22%        | 3 076                            | 0.61%        | 1 611                           | 37.50%        | 2.5                    | 1 635          | 53.11%        | 7            | -6                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.75 to <2.50    | 1 146                                            | 1 509                                      | 43.97%        | 1 636                            | 2.07%        | 1 151                           | 35.69%        | 2.5                    | 1 133          | 69.28%        | 12           | -7                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 2.50 to <10.00   | 497                                              | 181                                        | 34.34%        | 552                              | 7.41%        | 184                             | 32.05%        | 2.5                    | 465            | 84.17%        | 13           | -7                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 10.00 to <100.00 | 135                                              | 150                                        | 53.27%        | 220                              | 32.15%       | 126                             | 31.41%        | 2.5                    | 280            | 127.30%       | 21           | -9                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 100.00 (Default) | 62                                               | 38                                         | 29.16%        | 70                               | 100.00%      | 28                              | 42.19%        | 2.5                    | 0              | 0.00%         | 28           | -11                                     |
| Corporate exposures: SMEs                                                         | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures: SMEs</b>                                                  | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>14 915</b>                                    | <b>11 757</b>                              | <b>45.75%</b> | <b>16 743</b>                    | <b>1.50%</b> | <b>6 401</b>                    | <b>27.78%</b> | <b>2.5</b>             | <b>5 238</b>   | <b>31.28%</b> | <b>86</b>    | <b>-44</b>                              |

| EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2019 |                           |                  | Original on-balance-sheet gross exposures, SEK m | Off-balance-sheet exposures pre-CCF, SEK m | Average CCF   | EAD post CRM and post CCF, SEK m | Average PD   | Number of obligors <sup>2</sup> | Average LGD   | Average maturity, year | RWAs, SEK m    | RWA density   | EL, SEK m    | Value adjustments and provisions, SEK m |
|-----------------------------------------------------------------------------------|---------------------------|------------------|--------------------------------------------------|--------------------------------------------|---------------|----------------------------------|--------------|---------------------------------|---------------|------------------------|----------------|---------------|--------------|-----------------------------------------|
| Exposure class                                                                    | IRB Approach <sup>1</sup> | PD scale         |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.00 to <0.15    | 491 952                                          | 24 483                                     | 30.58%        | 489 601                          | 0.08%        | 27 230                          | 15.62%        | 3.5                    | 38 191         | 7.80%         | 72           | -19                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.15 to <0.25    | 24 246                                           | 8 411                                      | 40.57%        | 29 326                           | 0.16%        | 3 226                           | 34.44%        | 2.6                    | 7 233          | 24.67%        | 16           | -16                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.25 to <0.50    | 104 618                                          | 4 023                                      | 34.98%        | 97 812                           | 0.46%        | 7 023                           | 22.54%        | 2.8                    | 25 445         | 26.01%        | 104          | -28                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.50 to <0.75    | 22 676                                           | 6 670                                      | 41.85%        | 25 281                           | 0.61%        | 3 300                           | 31.93%        | 2.7                    | 11 263         | 44.55%        | 49           | -35                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.75 to <2.50    | 41 484                                           | 4 490                                      | 39.55%        | 38 234                           | 1.82%        | 6 029                           | 25.98%        | 2.9                    | 18 811         | 49.20%        | 192          | -135                                    |
| Corporate exposures: SMEs                                                         | IRB-A                     | 2.50 to <10.00   | 5 294                                            | 636                                        | 40.15%        | 5 274                            | 7.28%        | 754                             | 32.85%        | 2.8                    | 5 033          | 95.43%        | 129          | -44                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 10.00 to <100.00 | 4 451                                            | 534                                        | 37.10%        | 4 267                            | 31.60%       | 798                             | 33.21%        | 2.8                    | 5 855          | 137.19%       | 439          | -146                                    |
| Corporate exposures: SMEs                                                         | IRB-A                     | 100.00 (Default) | 2 326                                            | 164                                        | 29.89%        | 2 005                            | 100.00%      | 220                             | 42.03%        | 2.5                    | 3 926          | 195.86%       | 877          | -856                                    |
| Corporate exposures: SMEs                                                         | IRB-A                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures: SMEs</b>                                                  | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>697 047</b>                                   | <b>49 411</b>                              | <b>35.17%</b> | <b>691 800</b>                   | <b>0.79%</b> | <b>48 580</b>                   | <b>18.88%</b> | <b>3.3</b>             | <b>115 757</b> | <b>16.73%</b> | <b>1 878</b> | <b>-1 279</b>                           |
| Corporate exposures: SMEs                                                         | Total                     | 0.00 to <0.15    | 499 630                                          | 29 176                                     | 34.00%        | 496 396                          | 0.08%        | 27 683                          | 15.67%        | 3.5                    | 38 753         | 7.81%         | 73           | -20                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.15 to <0.25    | 25 881                                           | 10 680                                     | 39.81%        | 31 832                           | 0.16%        | 3 755                           | 33.93%        | 2.6                    | 7 726          | 24.27%        | 17           | -19                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.25 to <0.50    | 106 282                                          | 4 553                                      | 37.65%        | 99 700                           | 0.46%        | 7 168                           | 22.71%        | 2.8                    | 26 117         | 26.20%        | 106          | -29                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.50 to <0.75    | 24 777                                           | 9 057                                      | 41.69%        | 28 357                           | 0.61%        | 3 978                           | 32.53%        | 2.7                    | 12 896         | 45.48%        | 56           | -40                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.75 to <2.50    | 42 629                                           | 6 000                                      | 40.66%        | 39 870                           | 1.83%        | 6 508                           | 26.38%        | 2.9                    | 19 944         | 50.02%        | 204          | -142                                    |
| Corporate exposures: SMEs                                                         | Total                     | 2.50 to <10.00   | 5 790                                            | 817                                        | 38.86%        | 5 826                            | 7.29%        | 816                             | 32.77%        | 2.7                    | 5 498          | 94.36%        | 142          | -51                                     |
| Corporate exposures: SMEs                                                         | Total                     | 10.00 to <100.00 | 4 586                                            | 684                                        | 40.64%        | 4 487                            | 31.62%       | 848                             | 33.12%        | 2.8                    | 6 134          | 136.71%       | 460          | -155                                    |
| Corporate exposures: SMEs                                                         | Total                     | 100.00 (Default) | 2 388                                            | 201                                        | 29.76%        | 2 075                            | 100.00%      | 226                             | 42.04%        | 2.5                    | 3 926          | 189.23%       | 906          | -868                                    |
| Corporate exposures: SMEs                                                         | Total                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures: SMEs</b>                                                  | <b>Total</b>              | <b>Subtotal</b>  | <b>711 963</b>                                   | <b>61 168</b>                              | <b>37.20%</b> | <b>708 543</b>                   | <b>0.81%</b> | <b>50 982</b>                   | <b>19.09%</b> | <b>3.3</b>             | <b>120 994</b> | <b>17.08%</b> | <b>1 964</b> | <b>-1 324</b>                           |
| Retail exposures                                                                  | IRB-A                     | 0.00 to <0.15    | 816 776                                          | 42 891                                     | 98.42%        | 859 003                          | 0.07%        | 1 327 131                       | 14.39%        |                        | 23 720         | 2.76%         | 90           | -36                                     |
| Retail exposures                                                                  | IRB-A                     | 0.15 to <0.25    | 67 629                                           | 7 126                                      | 93.75%        | 74 324                           | 0.18%        | 283 032                         | 24.93%        |                        | 7 115          | 9.57%         | 33           | -8                                      |
| Retail exposures                                                                  | IRB-A                     | 0.25 to <0.50    | 92 226                                           | 3 783                                      | 67.67%        | 94 786                           | 0.32%        | 313 254                         | 20.05%        |                        | 11 092         | 11.70%        | 62           | -14                                     |
| Retail exposures                                                                  | IRB-A                     | 0.50 to <0.75    | 31 363                                           | 2 526                                      | 84.71%        | 33 503                           | 0.62%        | 56 017                          | 25.10%        |                        | 7 741          | 23.10%        | 52           | -23                                     |
| Retail exposures                                                                  | IRB-A                     | 0.75 to <2.50    | 36 282                                           | 5 672                                      | 63.94%        | 39 928                           | 1.69%        | 390 185                         | 24.59%        |                        | 14 857         | 37.21%        | 154          | -54                                     |
| Retail exposures                                                                  | IRB-A                     | 2.50 to <10.00   | 5 009                                            | 1 382                                      | 64.22%        | 5 902                            | 5.86%        | 99 935                          | 34.16%        |                        | 3 930          | 66.58%        | 121          | -68                                     |
| Retail exposures                                                                  | IRB-A                     | 10.00 to <100.00 | 9 674                                            | 321                                        | 56.37%        | 9 861                            | 14.00%       | 55 325                          | 22.69%        |                        | 9 871          | 100.11%       | 361          | -117                                    |
| Retail exposures                                                                  | IRB-A                     | 100.00 (Default) | 2 458                                            | 45                                         | 57.02%        | 2 493                            | 100.00%      | 25 811                          | 36.42%        |                        | 4 114          | 165.03%       | 1 009        | -987                                    |
| Retail exposures                                                                  | IRB-A                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Retail exposures</b>                                                           | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>1 061 417</b>                                 | <b>63 746</b>                              | <b>91.48%</b> | <b>1 119 800</b>                 | <b>0.55%</b> | <b>2 550 352</b>                | <b>16.48%</b> |                        | <b>82 440</b>  | <b>7.36%</b>  | <b>1 882</b> | <b>-1 307</b>                           |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.00 to <0.15    | 805 076                                          | 32 870                                     | 100.37%       | 838 082                          | 0.07%        | 1 001 580                       | 13.98%        |                        | 22 247         | 2.65%         | 84           | -31                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.15 to <0.25    | 65 635                                           | 1 960                                      | 103.30%       | 67 672                           | 0.18%        | 59 760                          | 23.66%        |                        | 6 180          | 9.13%         | 28           | -6                                      |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.25 to <0.50    | 80 585                                           | 636                                        | 81.87%        | 81 106                           | 0.31%        | 123 347                         | 19.00%        |                        | 8 987          | 11.08%        | 49           | -7                                      |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.50 to <0.75    | 28 831                                           | 544                                        | 91.82%        | 29 331                           | 0.62%        | 19 262                          | 24.12%        |                        | 6 751          | 23.02%        | 44           | -18                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.75 to <2.50    | 29 218                                           | 862                                        | 93.77%        | 30 042                           | 1.77%        | 40 805                          | 20.50%        |                        | 10 798         | 35.94%        | 101          | -12                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 2.50 to <10.00   | 2 280                                            | 192                                        | 86.94%        | 2 449                            | 5.15%        | 2 931                           | 29.70%        |                        | 2 062          | 84.20%        | 39           | -9                                      |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 10.00 to <100.00 | 8 277                                            | 65                                         | 102.75%       | 8 348                            | 12.51%       | 11 278                          | 19.70%        |                        | 8 533          | 102.22%       | 223          | -35                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 100.00 (Default) | 1 444                                            | 5                                          | 100.37%       | 1 455                            | 100.00%      | 1 910                           | 26.46%        |                        | 2 614          | 179.65%       | 332          | -326                                    |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Retail exposures: Secured by real estate property</b>                          | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>1 021 344</b>                                 | <b>37 134</b>                              | <b>99.87%</b> | <b>1 058 485</b>                 | <b>0.40%</b> | <b>1 260 535</b>                | <b>15.55%</b> |                        | <b>68 172</b>  | <b>6.44%</b>  | <b>900</b>   | <b>-444</b>                             |

| EU CR6 – IRB Approach – Credit risk exposures by exposure class and PD range 2019 |                           |                  | Original on-balance-sheet gross exposures, SEK m | Off-balance-sheet exposures pre-CCF, SEK m | Average CCF   | EAD post CRM and post CCF, SEK m | Average PD   | Number of obligors <sup>2</sup> | Average LGD   | Average maturity, year | RWAs, SEK m    | RWA density    | EL, SEK m    | Value adjustments and provisions, SEK m |
|-----------------------------------------------------------------------------------|---------------------------|------------------|--------------------------------------------------|--------------------------------------------|---------------|----------------------------------|--------------|---------------------------------|---------------|------------------------|----------------|----------------|--------------|-----------------------------------------|
| Exposure class                                                                    | IRB Approach <sup>1</sup> | PD scale         |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Retail exposures: Other                                                           | IRB-A                     | 0.00 to <0.15    | 11 699                                           | 10 019                                     | 92.00%        | 20 922                           | 0.08%        | 325 551                         | 30.69%        |                        | 1 471          | 7.03%          | 5            | -5                                      |
| Retail exposures: Other                                                           | IRB-A                     | 0.15 to <0.25    | 1 994                                            | 5 166                                      | 90.13%        | 6 652                            | 0.17%        | 223 272                         | 37.92%        |                        | 935            | 14.06%         | 4            | -2                                      |
| Retail exposures: Other                                                           | IRB-A                     | 0.25 to <0.50    | 11 640                                           | 3 148                                      | 64.80%        | 13 680                           | 0.38%        | 189 907                         | 26.25%        |                        | 2 105          | 15.39%         | 13           | -7                                      |
| Retail exposures: Other                                                           | IRB-A                     | 0.50 to <0.75    | 2 533                                            | 1 982                                      | 82.75%        | 4 172                            | 0.58%        | 36 755                          | 32.01%        |                        | 990            | 23.72%         | 8            | -5                                      |
| Retail exposures: Other                                                           | IRB-A                     | 0.75 to <2.50    | 7 065                                            | 4 810                                      | 58.59%        | 9 886                            | 1.48%        | 349 380                         | 37.05%        |                        | 4 059          | 41.07%         | 53           | -42                                     |
| Retail exposures: Other                                                           | IRB-A                     | 2.50 to <10.00   | 2 729                                            | 1 191                                      | 60.57%        | 3 453                            | 6.37%        | 97 004                          | 37.32%        |                        | 1 868          | 54.09%         | 82           | -60                                     |
| Retail exposures: Other                                                           | IRB-A                     | 10.00 to <100.00 | 1 398                                            | 256                                        | 44.66%        | 1 513                            | 22.27%       | 44 047                          | 39.22%        |                        | 1 338          | 88.44%         | 139          | -82                                     |
| Retail exposures: Other                                                           | IRB-A                     | 100.00 (Default) | 1 014                                            | 40                                         | 51.69%        | 1 038                            | 100.00%      | 23 901                          | 50.38%        |                        | 1 501          | 144.54%        | 678          | -660                                    |
| Retail exposures: Other                                                           | IRB-A                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| <b>Retail exposures: Other</b>                                                    | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>40 072</b>                                    | <b>26 612</b>                              | <b>79.77%</b> | <b>61 316</b>                    | <b>3.01%</b> | <b>1 289 817</b>                | <b>32.51%</b> |                        | <b>14 267</b>  | <b>23.27%</b>  | <b>982</b>   | <b>-863</b>                             |
| Equity exposures                                                                  | IRB-F                     | 0.00 to <0.15    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | 0.15 to <0.25    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | 0.25 to <0.50    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | 0.50 to <0.75    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | 0.75 to <2.50    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | 2.50 to <10.00   |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | 10.00 to <100.00 |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | 100.00 (Default) |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| Equity exposures                                                                  | IRB-F                     | Other            | 3 028                                            |                                            |               | 3 028                            |              | 15                              |               |                        | 10 299         | 340.17%        | 55           | 0                                       |
| <b>Equity exposures</b>                                                           | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>3 028</b>                                     |                                            |               | <b>3 028</b>                     |              | <b>15</b>                       |               |                        | <b>10 299</b>  | <b>340.17%</b> | <b>55</b>    | <b>0</b>                                |
| Total                                                                             | IRB-F                     | 0.00 to <0.15    | 412 753                                          | 127 564                                    | 54.70%        | 520 460                          | 0.02%        | 2 877                           | 43.76%        | 1.5                    | 29 553         | 5.68%          | 34           | -12                                     |
| Total                                                                             | IRB-F                     | 0.15 to <0.25    | 5 732                                            | 3 951                                      | 39.66%        | 7 506                            | 0.19%        | 1 279                           | 27.85%        | 2.5                    | 2 391          | 31.85%         | 4            | -4                                      |
| Total                                                                             | IRB-F                     | 0.25 to <0.50    | 7 664                                            | 8 328                                      | 46.11%        | 9 562                            | 0.35%        | 871                             | 34.61%        | 2.5                    | 4 422          | 46.25%         | 11           | -2                                      |
| Total                                                                             | IRB-F                     | 0.50 to <0.75    | 2 132                                            | 2 846                                      | 44.43%        | 3 451                            | 0.60%        | 1 624                           | 38.31%        | 2.5                    | 2 014          | 58.35%         | 8            | -6                                      |
| Total                                                                             | IRB-F                     | 0.75 to <2.50    | 3 653                                            | 10 627                                     | 50.63%        | 8 214                            | 1.15%        | 1 406                           | 40.05%        | 2.5                    | 6 706          | 81.65%         | 36           | -12                                     |
| Total                                                                             | IRB-F                     | 2.50 to <10.00   | 761                                              | 536                                        | 58.89%        | 868                              | 7.95%        | 217                             | 36.33%        | 2.5                    | 1 067          | 122.97%        | 25           | -12                                     |
| Total                                                                             | IRB-F                     | 10.00 to <100.00 | 332                                              | 235                                        | 50.50%        | 455                              | 27.70%       | 146                             | 33.41%        | 2.5                    | 747            | 164.04%        | 39           | -16                                     |
| Total                                                                             | IRB-F                     | 100.00 (Default) | 259                                              | 416                                        | 88.05%        | 623                              | 100.00%      | 38                              | 44.68%        | 2.5                    | 0              | 0.00%          | 239          | -239                                    |
| Total                                                                             | IRB-F                     | Other            | 3 028                                            |                                            |               | 3 028                            |              | 15                              |               |                        | 10 299         | 340.17%        | 55           | 0                                       |
| <b>Total</b>                                                                      | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>436 314</b>                                   | <b>154 503</b>                             | <b>53.48%</b> | <b>554 167</b>                   | <b>0.19%</b> | <b>8 466</b>                    | <b>43.04%</b> | <b>1.5</b>             | <b>57 199</b>  | <b>10.32%</b>  | <b>451</b>   | <b>-303</b>                             |
| Total                                                                             | IRB-A                     | 0.00 to <0.15    | 1 523 945                                        | 247 288                                    | 32.93%        | 1 588 218                        | 0.08%        | 1 356 918                       | 17.05%        | 1.5                    | 113 074        | 7.12%          | 226          | -65                                     |
| Total                                                                             | IRB-A                     | 0.15 to <0.25    | 91 875                                           | 15 537                                     | 64.97%        | 103 650                          | 0.17%        | 286 258                         | 27.62%        | 0.7                    | 14 349         | 13.84%         | 49           | -25                                     |
| Total                                                                             | IRB-A                     | 0.25 to <0.50    | 263 364                                          | 36 603                                     | 26.16%        | 262 327                          | 0.39%        | 321 322                         | 23.79%        | 1.6                    | 68 417         | 26.08%         | 245          | -66                                     |
| Total                                                                             | IRB-A                     | 0.50 to <0.75    | 54 039                                           | 9 195                                      | 53.62%        | 58 784                           | 0.61%        | 59 317                          | 28.04%        | 1.2                    | 19 003         | 32.33%         | 101          | -58                                     |
| Total                                                                             | IRB-A                     | 0.75 to <2.50    | 91 645                                           | 27 264                                     | 33.45%        | 94 963                           | 1.64%        | 396 701                         | 26.93%        | 1.6                    | 46 183         | 48.63%         | 406          | -211                                    |
| Total                                                                             | IRB-A                     | 2.50 to <10.00   | 12 900                                           | 2 166                                      | 54.93%        | 13 688                           | 6.67%        | 100 740                         | 33.13%        | 1.6                    | 12 203         | 89.15%         | 309          | -140                                    |
| Total                                                                             | IRB-A                     | 10.00 to <100.00 | 14 726                                           | 1 244                                      | 37.14%        | 14 792                           | 19.72%       | 56 158                          | 26.26%        | 0.9                    | 16 976         | 114.77%        | 863          | -275                                    |
| Total                                                                             | IRB-A                     | 100.00 (Default) | 7 914                                            | 252                                        | 33.68%        | 7 638                            | 100.00%      | 26 054                          | 38.82%        | 1.3                    | 12 188         | 159.58%        | 3 606        | -3 554                                  |
| Total                                                                             | IRB-A                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |                |              |                                         |
| <b>Total</b>                                                                      | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>2 060 408</b>                                 | <b>339 549</b>                             | <b>34.43%</b> | <b>2 144 060</b>                 | <b>0.74%</b> | <b>2 603 130</b>                | <b>19.37%</b> | <b>1.4</b>             | <b>302 393</b> | <b>14.10%</b>  | <b>5 805</b> | <b>-4 394</b>                           |
| Total                                                                             | Total                     | 0.00 to <0.15    | 1 936 697                                        | 374 852                                    | 40.34%        | 2 108 678                        | 0.06%        | 1 358 330                       | 23.64%        | 1.5                    | 142 626        | 6.76%          | 260          | -77                                     |
| Total                                                                             | Total                     | 0.15 to <0.25    | 97 607                                           | 19 488                                     | 59.84%        | 111 156                          | 0.17%        | 286 839                         | 27.64%        | 0.9                    | 16 739         | 15.06%         | 53           | -29                                     |
| Total                                                                             | Total                     | 0.25 to <0.50    | 271 028                                          | 44 931                                     | 29.86%        | 271 889                          | 0.39%        | 321 615                         | 24.17%        | 1.7                    | 72 840         | 26.79%         | 257          | -69                                     |
| Total                                                                             | Total                     | 0.50 to <0.75    | 56 171                                           | 12 042                                     | 51.45%        | 62 235                           | 0.61%        | 60 008                          | 28.61%        | 1.2                    | 21 017         | 33.77%         | 108          | -64                                     |
| Total                                                                             | Total                     | 0.75 to <2.50    | 95 298                                           | 37 891                                     | 38.27%        | 103 177                          | 1.60%        | 397 348                         | 27.97%        | 1.7                    | 52 890         | 51.26%         | 441          | -223                                    |
| Total                                                                             | Total                     | 2.50 to <10.00   | 13 661                                           | 2 701                                      | 55.71%        | 14 556                           | 6.75%        | 100 826                         | 33.32%        | 1.6                    | 13 270         | 91.17%         | 334          | -152                                    |
| Total                                                                             | Total                     | 10.00 to <100.00 | 15 058                                           | 1 479                                      | 39.26%        | 15 247                           | 19.96%       | 56 223                          | 26.47%        | 0.9                    | 17 723         | 116.24%        | 901          | -290                                    |
| Total                                                                             | Total                     | 100.00 (Default) | 8 174                                            | 668                                        | 67.55%        | 8 261                            | 100.00%      | 26 063                          | 39.26%        | 1.4                    | 12 188         | 147.53%        | 3 848        | -3 793                                  |
| Total                                                                             | Total                     | Other            | 3 028                                            |                                            |               | 3 028                            |              | 15                              |               |                        | 10 299         | 340.17%        | 55           | 0                                       |
| <b>Total (all portfolios)</b>                                                     |                           |                  | <b>2 496 722</b>                                 | <b>494 052</b>                             | <b>40.38%</b> | <b>2 698 227</b>                 | <b>0.62%</b> | <b>2 606 916</b>                | <b>24.23%</b> | <b>1.5</b>             | <b>359 592</b> | <b>13.33%</b>  | <b>6 257</b> | <b>-4 697</b>                           |

<sup>1</sup> There are two versions of the IRB Approach: the simplified version, the IRB Approach without own estimates of LGD and CCF (here IRB-F, in previous regulations called the foundation approach), and the more advanced method, the IRB Approach with own estimates of LGD and CCF (here IRB-A, in previous regulations called the advanced approach).

<sup>2</sup> The amount is based on the number of agreements rather than counterparties for retail exposures.

| EU CR6 – IRB approach – Credit risk exposures by exposure class and PD range 2018 |                           |                  |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
|-----------------------------------------------------------------------------------|---------------------------|------------------|--------------------------------------------------|--------------------------------------------|---------------|----------------------------------|--------------|---------------------------------|---------------|------------------------|----------------|---------------|-----------------------------------------|
| Exposure class                                                                    | IRB Approach <sup>1</sup> | PD scale         | Original on-balance-sheet gross exposures, SEK m | Off-balance-sheet exposures pre-CCF, SEK m | Average CCF   | EAD post CRM and post CCF, SEK m | Average PD   | Number of obligors <sup>2</sup> | Average LGD   | Average maturity, year | RWAs, SEK m    | RWA density   | Value adjustments and provisions, SEK m |
| Sovereign exposures                                                               | IRB-F                     | 0.00 to <0.15    | 364 765                                          | 22 897                                     | 39.67%        | 432 487                          | 0.00%        | 386                             | 45.00%        | 1.3                    | 7 564          | 1.75%         | 6                                       |
| Sovereign exposures                                                               | IRB-F                     | 0.15 to <0.25    | 50                                               | 1                                          | 75.00%        | 72                               | 0.20%        | 11                              | 45.00%        | 2.5                    | 32             | 44.65%        | 0                                       |
| Sovereign exposures                                                               | IRB-F                     | 0.25 to <0.50    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| Sovereign exposures                                                               | IRB-F                     | 0.50 to <0.75    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| Sovereign exposures                                                               | IRB-F                     | 0.75 to <2.50    | 82                                               | 0                                          | 75.00%        | 0                                | 1.00%        | 3                               | 45.00%        | 2.5                    | 0              | 97.86%        | 0                                       |
| Sovereign exposures                                                               | IRB-F                     | 2.50 to <10.00   | 2                                                | 0                                          | 75.00%        | 2                                | 5.00%        | 2                               | 45.00%        | 2.5                    | 3              | 158.85%       | 0                                       |
| Sovereign exposures                                                               | IRB-F                     | 10.00 to <100.00 |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| Sovereign exposures                                                               | IRB-F                     | 100.00 (Default) |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| Sovereign exposures                                                               | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| <b>Sovereign exposures</b>                                                        | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>364 899</b>                                   | <b>22 898</b>                              | <b>39.67%</b> | <b>432 561</b>                   | <b>0.00%</b> | <b>402</b>                      | <b>45.00%</b> | <b>1.3</b>             | <b>7 599</b>   | <b>1.76%</b>  | <b>6</b>                                |
| Institution exposures                                                             | IRB-F                     | 0.00 to <0.15    | 10 020                                           | 6 314                                      | 47.77%        | 12 216                           | 0.06%        | 84                              | 33.10%        | 2.5                    | 2 848          | 23.32%        | 3                                       |
| Institution exposures                                                             | IRB-F                     | 0.15 to <0.25    | 4 019                                            | 1 326                                      | 35.72%        | 5 087                            | 0.19%        | 25                              | 37.92%        | 2.5                    | 2 476          | 48.67%        | 4                                       |
| Institution exposures                                                             | IRB-F                     | 0.25 to <0.50    | 32                                               | 235                                        | 50.00%        | 150                              | 0.49%        | 12                              | 45.00%        | 2.5                    | 141            | 94.32%        | 0                                       |
| Institution exposures                                                             | IRB-F                     | 0.50 to <0.75    |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| Institution exposures                                                             | IRB-F                     | 0.75 to <2.50    | 19                                               | 97                                         | 51.19%        | 68                               | 1.19%        | 27                              | 44.85%        | 2.5                    | 86             | 125.65%       | 0                                       |
| Institution exposures                                                             | IRB-F                     | 2.50 to <10.00   |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| Institution exposures                                                             | IRB-F                     | 10.00 to <100.00 | 29                                               | 20                                         | 50.00%        | 39                               | 17.10%       | 11                              | 45.00%        | 2.5                    | 89             | 229.45%       | 3                                       |
| Institution exposures                                                             | IRB-F                     | 100.00 (Default) |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| Institution exposures                                                             | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| <b>Institution exposures</b>                                                      | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>14 119</b>                                    | <b>7 992</b>                               | <b>45.89%</b> | <b>17 560</b>                    | <b>0.15%</b> | <b>159</b>                      | <b>34.67%</b> | <b>2.5</b>             | <b>5 640</b>   | <b>32.12%</b> | <b>10</b>                               |
| Corporate exposures                                                               | IRB-F                     | 0.00 to <0.15    | 59 215                                           | 105 012                                    | 61.12%        | 102 262                          | 0.07%        | 2 778                           | 38.73%        | 2.5                    | 21 386         | 20.91%        | 28                                      |
| Corporate exposures                                                               | IRB-F                     | 0.15 to <0.25    | 2 158                                            | 2 058                                      | 50.77%        | 3 267                            | 0.17%        | 1 557                           | 35.83%        | 2.5                    | 863            | 26.42%        | 2                                       |
| Corporate exposures                                                               | IRB-F                     | 0.25 to <0.50    | 5 960                                            | 9 706                                      | 48.60%        | 9 962                            | 0.35%        | 779                             | 40.14%        | 2.5                    | 5 104          | 51.24%        | 14                                      |
| Corporate exposures                                                               | IRB-F                     | 0.50 to <0.75    | 1 887                                            | 1 535                                      | 55.02%        | 2 662                            | 0.64%        | 1 399                           | 35.28%        | 2.5                    | 1 330          | 49.97%        | 6                                       |
| Corporate exposures                                                               | IRB-F                     | 0.75 to <2.50    | 3 433                                            | 15 169                                     | 51.24%        | 8 552                            | 1.12%        | 1 107                           | 42.42%        | 2.5                    | 7 317          | 85.56%        | 40                                      |
| Corporate exposures                                                               | IRB-F                     | 2.50 to <10.00   | 352                                              | 115                                        | 49.87%        | 387                              | 8.47%        | 148                             | 36.68%        | 2.5                    | 469            | 121.37%       | 12                                      |
| Corporate exposures                                                               | IRB-F                     | 10.00 to <100.00 | 704                                              | 529                                        | 57.68%        | 982                              | 25.94%       | 180                             | 40.20%        | 2.5                    | 2 030          | 206.76%       | 99                                      |
| Corporate exposures                                                               | IRB-F                     | 100.00 (Default) | 353                                              | 310                                        | 99.77%        | 642                              | 100.00%      | 52                              | 43.39%        | 2.5                    | 0              | 0.00%         | 278                                     |
| Corporate exposures                                                               | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| <b>Corporate exposures</b>                                                        | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>74 062</b>                                    | <b>134 434</b>                             | <b>58.94%</b> | <b>128 716</b>                   | <b>0.90%</b> | <b>8 000</b>                    | <b>38.97%</b> | <b>2.5</b>             | <b>38 499</b>  | <b>29.91%</b> | <b>479</b>                              |
| Corporate exposures                                                               | IRB-A                     | 0.00 to <0.15    | 675 402                                          | 209 629                                    | 21.57%        | 702 078                          | 0.09%        | 30 497                          | 21.03%        | 3.2                    | 87 800         | 12.51%        | 137                                     |
| Corporate exposures                                                               | IRB-A                     | 0.15 to <0.25    | 23 418                                           | 8 929                                      | 38.63%        | 26 947                           | 0.17%        | 3 826                           | 34.62%        | 2.9                    | 7 364          | 27.33%        | 16                                      |
| Corporate exposures                                                               | IRB-A                     | 0.25 to <0.50    | 141 941                                          | 29 137                                     | 24.94%        | 140 709                          | 0.44%        | 7 027                           | 26.17%        | 2.6                    | 47 606         | 33.83%        | 158                                     |
| Corporate exposures                                                               | IRB-A                     | 0.50 to <0.75    | 21 702                                           | 6 299                                      | 41.44%        | 24 052                           | 0.64%        | 3 226                           | 32.51%        | 2.8                    | 11 211         | 46.61%        | 50                                      |
| Corporate exposures                                                               | IRB-A                     | 0.75 to <2.50    | 58 779                                           | 20 283                                     | 26.45%        | 60 530                           | 1.54%        | 5 914                           | 29.33%        | 2.6                    | 35 456         | 58.58%        | 274                                     |
| Corporate exposures                                                               | IRB-A                     | 2.50 to <10.00   | 7 984                                            | 740                                        | 41.13%        | 8 150                            | 7.16%        | 824                             | 31.72%        | 2.8                    | 8 069          | 99.00%        | 190                                     |
| Corporate exposures                                                               | IRB-A                     | 10.00 to <100.00 | 9 957                                            | 1 911                                      | 21.71%        | 9 577                            | 27.46%       | 873                             | 33.69%        | 2.5                    | 14 947         | 156.06%       | 892                                     |
| Corporate exposures                                                               | IRB-A                     | 100.00 (Default) | 4 280                                            | 74                                         | 26.91%        | 4 257                            | 100.00%      | 265                             | 39.63%        | 2.0                    | 6 713          | 157.70%       | 1 680                                   |
| Corporate exposures                                                               | IRB-A                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| <b>Corporate exposures</b>                                                        | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>943 463</b>                                   | <b>277 002</b>                             | <b>23.34%</b> | <b>976 300</b>                   | <b>1.01%</b> | <b>52 452</b>                   | <b>23.24%</b> | <b>3.0</b>             | <b>219 166</b> | <b>22.45%</b> | <b>3 397</b>                            |
| Corporate exposures                                                               | Total                     | 0.00 to <0.15    | 734 615                                          | 314 643                                    | 34.77%        | 804 340                          | 0.08%        | 31 751                          | 23.28%        | 3.1                    | 109 186        | 13.57%        | 164                                     |
| Corporate exposures                                                               | Total                     | 0.15 to <0.25    | 25 577                                           | 10 987                                     | 40.90%        | 30 214                           | 0.17%        | 4 487                           | 34.75%        | 2.8                    | 8 227          | 27.23%        | 18                                      |
| Corporate exposures                                                               | Total                     | 0.25 to <0.50    | 147 902                                          | 38 843                                     | 30.85%        | 150 671                          | 0.43%        | 7 330                           | 27.09%        | 2.6                    | 52 711         | 34.98%        | 172                                     |
| Corporate exposures                                                               | Total                     | 0.50 to <0.75    | 23 589                                           | 7 834                                      | 44.10%        | 26 714                           | 0.64%        | 3 798                           | 32.78%        | 2.7                    | 12 542         | 46.95%        | 56                                      |
| Corporate exposures                                                               | Total                     | 0.75 to <2.50    | 62 212                                           | 35 451                                     | 37.06%        | 69 082                           | 1.48%        | 6 424                           | 30.95%        | 2.6                    | 42 772         | 61.92%        | 314                                     |
| Corporate exposures                                                               | Total                     | 2.50 to <10.00   | 8 336                                            | 855                                        | 42.30%        | 8 537                            | 7.22%        | 866                             | 31.94%        | 2.8                    | 8 538          | 100.01%       | 202                                     |
| Corporate exposures                                                               | Total                     | 10.00 to <100.00 | 10 661                                           | 2 440                                      | 29.51%        | 10 559                           | 27.32%       | 951                             | 34.29%        | 2.5                    | 16 976         | 160.78%       | 991                                     |
| Corporate exposures                                                               | Total                     | 100.00 (Default) | 4 633                                            | 384                                        | 85.74%        | 4 899                            | 100.00%      | 282                             | 40.12%        | 2.1                    | 6 713          | 137.03%       | 1 959                                   |
| Corporate exposures                                                               | Total                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| <b>Corporate exposures</b>                                                        | <b>Total</b>              | <b>Subtotal</b>  | <b>1 017 525</b>                                 | <b>411 437</b>                             | <b>34.97%</b> | <b>1 105 016</b>                 | <b>0.99%</b> | <b>55 889</b>                   | <b>25.07%</b> | <b>3.0</b>             | <b>257 665</b> | <b>23.32%</b> | <b>3 876</b>                            |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.00 to <0.15    | 11 028                                           | 5 525                                      | 63.52%        | 10 756                           | 0.08%        | 1 810                           | 26.89%        | 2.5                    | 1 449          | 13.47%        | 3                                       |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.15 to <0.25    | 2 158                                            | 2 058                                      | 50.77%        | 3 267                            | 0.17%        | 1 557                           | 35.83%        | 2.5                    | 863            | 26.42%        | 2                                       |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.25 to <0.50    | 2 572                                            | 1 005                                      | 67.52%        | 2 860                            | 0.45%        | 481                             | 37.81%        | 2.5                    | 1 243          | 43.46%        | 5                                       |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.50 to <0.75    | 1 887                                            | 1 535                                      | 55.02%        | 2 662                            | 0.64%        | 1 399                           | 35.28%        | 2.5                    | 1 330          | 49.97%        | 6                                       |
| Corporate exposures: SMEs                                                         | IRB-F                     | 0.75 to <2.50    | 1 474                                            | 998                                        | 58.93%        | 1 950                            | 1.87%        | 887                             | 36.66%        | 2.5                    | 1 352          | 69.33%        | 13                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 2.50 to <10.00   | 343                                              | 115                                        | 49.87%        | 377                              | 8.53%        | 147                             | 36.57%        | 2.5                    | 458            | 121.44%       | 12                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 10.00 to <100.00 | 277                                              | 124                                        | 62.32%        | 327                              | 30.59%       | 143                             | 33.56%        | 2.5                    | 471            | 144.25%       | 32                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | 100.00 (Default) | 181                                              | 3                                          | 76.22%        | 163                              | 100.00%      | 43                              | 38.65%        | 2.5                    | 0              | 0.00%         | 63                                      |
| Corporate exposures: SMEs                                                         | IRB-F                     | Other            |                                                  |                                            |               |                                  |              |                                 |               |                        |                |               |                                         |
| <b>Corporate exposures: SMEs</b>                                                  | <b>IRB-F</b>              | <b>Subtotal</b>  | <b>19 920</b>                                    | <b>11 363</b>                              | <b>59.87%</b> | <b>22 362</b>                    | <b>1.68%</b> | <b>6 467</b>                    | <b>31.79%</b> | <b>2.5</b>             | <b>7 166</b>   | <b>32.05%</b> | <b>136</b>                              |

| EU CR6 – IRB approach – Credit risk exposures by exposure class and PD range 2018 |                           |                  |                                                  |                                            |                |                                  |              |                                 |               |                        |                |               |              |                                         |
|-----------------------------------------------------------------------------------|---------------------------|------------------|--------------------------------------------------|--------------------------------------------|----------------|----------------------------------|--------------|---------------------------------|---------------|------------------------|----------------|---------------|--------------|-----------------------------------------|
| Exposure class                                                                    | IRB Approach <sup>1</sup> | PD scale         | Original on-balance-sheet gross exposures, SEK m | Off-balance-sheet exposures pre-CCF, SEK m | Average CCF    | EAD post CRM and post CCF, SEK m | Average PD   | Number of obligors <sup>2</sup> | Average LGD   | Average maturity, year | RWAs, SEK m    | RWA density   | EL, SEK m    | Value adjustments and provisions, SEK m |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.00 to <0.15    | 470 127                                          | 26 813                                     | 33.02%         | 458 305                          | 0.09%        | 27 911                          | 16.30%        | 3.5                    | 38 219         | 8.34%         | 73           | -13                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.15 to <0.25    | 23 418                                           | 8 929                                      | 38.63%         | 26 947                           | 0.17%        | 3 826                           | 34.62%        | 2.9                    | 7 364          | 27.33%        | 16           | -13                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.25 to <0.50    | 93 510                                           | 4 607                                      | 41.35%         | 91 218                           | 0.47%        | 6 212                           | 23.28%        | 2.8                    | 24 611         | 26.98%        | 101          | -20                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.50 to <0.75    | 21 702                                           | 6 299                                      | 41.44%         | 24 052                           | 0.64%        | 3 226                           | 32.51%        | 2.8                    | 11 211         | 46.61%        | 50           | -31                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 0.75 to <2.50    | 37 189                                           | 4 220                                      | 36.33%         | 36 268                           | 1.80%        | 5 453                           | 26.59%        | 2.9                    | 18 288         | 50.43%        | 187          | -101                                    |
| Corporate exposures: SMEs                                                         | IRB-A                     | 2.50 to <10.00   | 6 427                                            | 674                                        | 40.15%         | 6 559                            | 7.38%        | 814                             | 33.13%        | 2.7                    | 6 408          | 97.69%        | 164          | -57                                     |
| Corporate exposures: SMEs                                                         | IRB-A                     | 10.00 to <100.00 | 6 142                                            | 629                                        | 34.19%         | 5 697                            | 30.47%       | 802                             | 31.68%        | 2.9                    | 7 640          | 134.11%       | 566          | -226                                    |
| Corporate exposures: SMEs                                                         | IRB-A                     | 100.00 (Default) | 2 174                                            | 64                                         | 26.38%         | 2 154                            | 100.00%      | 236                             | 42.48%        | 1.9                    | 3 224          | 149.69%       | 1 038        | -1 038                                  |
| Corporate exposures: SMEs                                                         | IRB-A                     | Other            |                                                  |                                            |                |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures: SMEs</b>                                                  | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>660 689</b>                                   | <b>52 235</b>                              | <b>36.09%</b>  | <b>651 200</b>                   | <b>0.93%</b> | <b>48 480</b>                   | <b>19.60%</b> | <b>3.3</b>             | <b>116 965</b> | <b>17.96%</b> | <b>2 195</b> | <b>-1 499</b>                           |
| Corporate exposures: SMEs                                                         | Total                     | 0.00 to <0.15    | 481 156                                          | 32 337                                     | 38.23%         | 469 062                          | 0.09%        | 28 579                          | 16.54%        | 3.5                    | 39 667         | 8.46%         | 76           | -15                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.15 to <0.25    | 25 577                                           | 10 987                                     | 40.90%         | 30 214                           | 0.17%        | 4 487                           | 34.75%        | 2.8                    | 8 227          | 27.23%        | 18           | -15                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.25 to <0.50    | 96 082                                           | 5 612                                      | 46.04%         | 94 078                           | 0.46%        | 6 353                           | 23.72%        | 2.8                    | 25 854         | 27.48%        | 106          | -22                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.50 to <0.75    | 23 589                                           | 7 834                                      | 44.10%         | 26 714                           | 0.64%        | 3 798                           | 32.78%        | 2.7                    | 12 542         | 46.95%        | 56           | -35                                     |
| Corporate exposures: SMEs                                                         | Total                     | 0.75 to <2.50    | 38 663                                           | 5 219                                      | 40.66%         | 38 217                           | 1.81%        | 5 841                           | 27.11%        | 2.9                    | 19 640         | 51.39%        | 201          | -108                                    |
| Corporate exposures: SMEs                                                         | Total                     | 2.50 to <10.00   | 6 769                                            | 788                                        | 41.56%         | 6 936                            | 7.45%        | 855                             | 33.32%        | 2.7                    | 6 866          | 98.98%        | 176          | -60                                     |
| Corporate exposures: SMEs                                                         | Total                     | 10.00 to <100.00 | 6 419                                            | 754                                        | 38.83%         | 6 024                            | 30.48%       | 857                             | 31.78%        | 2.9                    | 8 112          | 134.66%       | 599          | -238                                    |
| Corporate exposures: SMEs                                                         | Total                     | 100.00 (Default) | 2 354                                            | 66                                         | 28.31%         | 2 316                            | 100.00%      | 252                             | 42.21%        | 2.0                    | 3 224          | 139.18%       | 1 099        | -1 075                                  |
| Corporate exposures: SMEs                                                         | Total                     | Other            |                                                  |                                            |                |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Corporate exposures: SMEs</b>                                                  | <b>Total</b>              | <b>Subtotal</b>  | <b>680 609</b>                                   | <b>63 597</b>                              | <b>40.34%</b>  | <b>673 561</b>                   | <b>0.95%</b> | <b>51 022</b>                   | <b>20.00%</b> | <b>3.3</b>             | <b>124 132</b> | <b>18.43%</b> | <b>2 331</b> | <b>-1 568</b>                           |
| Retail exposures                                                                  | IRB-A                     | 0.00 to <0.15    | 788 119                                          | 35 068                                     | 100.60%        | 823 449                          | 0.07%        | 1 345 727                       | 15.76%        |                        | 25 100         | 3.05%         | 96           | -34                                     |
| Retail exposures                                                                  | IRB-A                     | 0.15 to <0.25    | 63 812                                           | 10 671                                     | 97.18%         | 74 211                           | 0.18%        | 308 135                         | 27.07%        |                        | 7 715          | 10.40%        | 36           | -7                                      |
| Retail exposures                                                                  | IRB-A                     | 0.25 to <0.50    | 91 930                                           | 4 038                                      | 68.13%         | 94 115                           | 0.32%        | 322 531                         | 21.29%        |                        | 11 624         | 12.35%        | 65           | -15                                     |
| Retail exposures                                                                  | IRB-A                     | 0.50 to <0.75    | 27 909                                           | 4 620                                      | 61.24%         | 30 738                           | 0.61%        | 167 085                         | 26.51%        |                        | 7 302          | 23.76%        | 49           | -23                                     |
| Retail exposures                                                                  | IRB-A                     | 0.75 to <2.50    | 35 445                                           | 4 403                                      | 71.74%         | 38 656                           | 1.71%        | 287 723                         | 26.88%        |                        | 15 427         | 39.91%        | 167          | -58                                     |
| Retail exposures                                                                  | IRB-A                     | 2.50 to <10.00   | 4 919                                            | 1 552                                      | 66.56%         | 5 960                            | 6.00%        | 106 563                         | 38.77%        |                        | 3 624          | 60.80%        | 143          | -85                                     |
| Retail exposures                                                                  | IRB-A                     | 10.00 to <100.00 | 9 672                                            | 291                                        | 54.83%         | 9 844                            | 13.89%       | 57 803                          | 24.67%        |                        | 10 116         | 102.76%       | 389          | -97                                     |
| Retail exposures                                                                  | IRB-A                     | 100.00 (Default) | 2 361                                            | 3                                          | 71.53%         | 2 364                            | 100.00%      | 23 496                          | 39.34%        |                        | 4 295          | 181.72%       | 964          | -965                                    |
| Retail exposures                                                                  | IRB-A                     | Other            |                                                  |                                            |                |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Retail exposures</b>                                                           | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>1 024 167</b>                                 | <b>60 646</b>                              | <b>91.65%</b>  | <b>1 079 337</b>                 | <b>0.55%</b> | <b>2 618 739</b>                | <b>17.98%</b> |                        | <b>85 203</b>  | <b>7.89%</b>  | <b>1 909</b> | <b>-1 284</b>                           |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.00 to <0.15    | 773 120                                          | 24 591                                     | 104.00%        | 798 718                          | 0.07%        | 998 153                         | 15.18%        |                        | 23 176         | 2.90%         | 88           | -31                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.15 to <0.25    | 59 692                                           | 3 430                                      | 100.00%        | 63 122                           | 0.17%        | 42 901                          | 22.94%        |                        | 5 542          | 8.78%         | 25           | -3                                      |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.25 to <0.50    | 76 653                                           | 114                                        | 98.79%         | 76 765                           | 0.31%        | 124 262                         | 19.63%        |                        | 8 775          | 11.43%        | 47           | -7                                      |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.50 to <0.75    | 23 667                                           | 312                                        | 99.99%         | 23 978                           | 0.62%        | 15 563                          | 24.52%        |                        | 5 640          | 23.52%        | 36           | -15                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 0.75 to <2.50    | 25 951                                           | 181                                        | 111.21%        | 26 189                           | 1.83%        | 31 523                          | 20.19%        |                        | 9 824          | 37.51%        | 91           | -10                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 2.50 to <10.00   | 1 071                                            | 4                                          | 100.00%        | 1 074                            | 4.88%        | 829                             | 22.42%        |                        | 702            | 65.33%        | 12           | -3                                      |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 10.00 to <100.00 | 7 901                                            | 25                                         | 113.93%        | 7 936                            | 12.26%       | 11 073                          | 20.16%        |                        | 8 310          | 104.71%       | 209          | -35                                     |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | 100.00 (Default) | 1 055                                            | 2                                          | 100.00%        | 1 056                            | 100.00%      | 1 371                           | 21.02%        |                        | 1 918          | 181.59%       | 153          | -153                                    |
| Retail exposures: Secured by real estate property                                 | IRB-A                     | Other            |                                                  |                                            |                |                                  |              |                                 |               |                        |                |               |              |                                         |
| <b>Retail exposures: Secured by real estate property</b>                          | <b>IRB-A</b>              | <b>Subtotal</b>  | <b>969 110</b>                                   | <b>28 659</b>                              | <b>103.51%</b> | <b>998 838</b>                   | <b>0.36%</b> | <b>1 225 353</b>                | <b>16.42%</b> |                        | <b>63 887</b>  | <b>6.40%</b>  | <b>661</b>   | <b>-257</b>                             |



| EU CR6 – IRB approach – Credit risk exposures by exposure class and PD range 2018 |               |                  |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
|-----------------------------------------------------------------------------------|---------------|------------------|--------------------------------------------------|--------------------------------------------|-------------|----------------------------------|------------|---------------------|-------------|------------------------|-------------|-------------|-----------|-----------------------------------------|
| Exposure class                                                                    | IRB Approach¹ | PD scale         | Original on-balance-sheet gross exposures, SEK m | Off-balance-sheet exposures pre-CCF, SEK m | Average CCF | EAD post CRM and post CCF, SEK m | Average PD | Number of obligors² | Average LGD | Average maturity, year | RWAs, SEK m | RWA density | EL, SEK m | Value adjustments and provisions, SEK m |
| Retail exposures: Other                                                           | IRB-A         | 0.00 to <0.15    | 14 999                                           | 10 475                                     | 92.64%      | 24 732                           | 0.08%      | 347 572             | 34.48%      |                        | 1 923       | 7.78%       | 7         | -4                                      |
| Retail exposures: Other                                                           | IRB-A         | 0.15 to <0.25    | 4 120                                            | 7 241                                      | 95.84%      | 11 089                           | 0.18%      | 265 234             | 50.56%      |                        | 2 173       | 19.59%      | 10        | -4                                      |
| Retail exposures: Other                                                           | IRB-A         | 0.25 to <0.50    | 15 278                                           | 3 924                                      | 67.24%      | 17 350                           | 0.36%      | 198 269             | 28.61%      |                        | 2 849       | 16.42%      | 18        | -8                                      |
| Retail exposures: Other                                                           | IRB-A         | 0.50 to <0.75    | 4 242                                            | 4 308                                      | 58.43%      | 6 759                            | 0.57%      | 151 522             | 33.59%      |                        | 1 663       | 24.60%      | 13        | -8                                      |
| Retail exposures: Other                                                           | IRB-A         | 0.75 to <2.50    | 9 494                                            | 4 222                                      | 70.04%      | 12 468                           | 1.47%      | 256 200             | 40.93%      |                        | 5 603       | 44.94%      | 75        | -48                                     |
| Retail exposures: Other                                                           | IRB-A         | 2.50 to <10.00   | 3 848                                            | 1 549                                      | 66.48%      | 4 886                            | 6.24%      | 105 734             | 42.36%      |                        | 2 922       | 59.80%      | 131       | -82                                     |
| Retail exposures: Other                                                           | IRB-A         | 10.00 to <100.00 | 1 771                                            | 266                                        | 49.22%      | 1 908                            | 20.69%     | 46 730              | 43.43%      |                        | 1 806       | 94.67%      | 183       | -63                                     |
| Retail exposures: Other                                                           | IRB-A         | 100.00 (Default) | 1 306                                            | 2                                          | 40.60%      | 1 307                            | 100.00%    | 22 125              | 54.15%      |                        | 2 377       | 181.83%     | 811       | -811                                    |
| Retail exposures: Other                                                           | IRB-A         | Other            |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Retail exposures: Other                                                           | IRB-A         | Subtotal         | 55 058                                           | 31 987                                     | 81.03%      | 80 499                           | 2.90%      | 1 393 386           | 37.37%      |                        | 21 316      | 26.48%      | 1 248     | -1 028                                  |
| Equity exposures                                                                  | IRB-F         | 0.00 to <0.15    |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | 0.15 to <0.25    |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | 0.25 to <0.50    |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | 0.50 to <0.75    |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | 0.75 to <2.50    |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | 2.50 to <10.00   |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | 10.00 to <100.00 |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | 100.00 (Default) |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Equity exposures                                                                  | IRB-F         | Other            | 2 121                                            |                                            |             | 2 121                            |            | 3                   |             |                        | 7 410       | 349.44%     | 42        | 0                                       |
| Equity exposures                                                                  | IRB-F         | Subtotal         | 2 121                                            |                                            |             | 2 121                            |            | 3                   |             |                        | 7 410       | 349.44%     | 42        | 0                                       |
| Total                                                                             | IRB-F         | 0.00 to <0.15    | 433 998                                          | 134 223                                    | 56.83%      | 546 965                          | 0.02%      | 3 246               | 43.56%      | 1.5                    | 31 797      | 5.81%       | 36        | -22                                     |
| Total                                                                             | IRB-F         | 0.15 to <0.25    | 6 227                                            | 3 385                                      | 44.88%      | 8 426                            | 0.18%      | 1 593               | 37.17%      | 2.5                    | 3 371       | 40.01%      | 6         | -4                                      |
| Total                                                                             | IRB-F         | 0.25 to <0.50    | 5 993                                            | 9 941                                      | 48.63%      | 10 112                           | 0.36%      | 791                 | 40.21%      | 2.5                    | 5 246       | 51.87%      | 14        | -3                                      |
| Total                                                                             | IRB-F         | 0.50 to <0.75    | 1 887                                            | 1 535                                      | 55.02%      | 2 662                            | 0.64%      | 1 399               | 35.28%      | 2.5                    | 1 330       | 49.97%      | 6         | -4                                      |
| Total                                                                             | IRB-F         | 0.75 to <2.50    | 3 534                                            | 15 266                                     | 51.24%      | 8 621                            | 1.12%      | 1 137               | 42.44%      | 2.5                    | 7 403       | 85.87%      | 40        | -9                                      |
| Total                                                                             | IRB-F         | 2.50 to <10.00   | 354                                              | 115                                        | 49.87%      | 389                              | 8.45%      | 150                 | 36.72%      | 2.5                    | 472         | 121.56%     | 12        | -4                                      |
| Total                                                                             | IRB-F         | 10.00 to <100.00 | 733                                              | 549                                        | 57.40%      | 1 020                            | 25.60%     | 191                 | 40.38%      | 2.5                    | 2 119       | 207.62%     | 102       | -17                                     |
| Total                                                                             | IRB-F         | 100.00 (Default) | 353                                              | 310                                        | 99.77%      | 642                              | 100.00%    | 52                  | 43.39%      | 2.5                    | 0           | 0.00%       | 279       | -186                                    |
| Total                                                                             | IRB-F         | Other            | 2 121                                            |                                            |             | 2 121                            |            | 3                   |             |                        | 7 410       | 349.44%     | 42        | 0                                       |
| Total                                                                             | IRB-F         | Subtotal         | 455 200                                          | 165 324                                    | 55.64%      | 580 958                          | 0.20%      | 8 562               | 43.19%      | 1.6                    | 59 148      | 10.18%      | 537       | -249                                    |
| Total                                                                             | IRB-A         | 0.00 to <0.15    | 1 463 523                                        | 244 699                                    | 32.89%      | 1 525 527                        | 0.08%      | 1 376 225           | 18.19%      | 1.5                    | 112 899     | 7.40%       | 232       | -57                                     |
| Total                                                                             | IRB-A         | 0.15 to <0.25    | 87 230                                           | 19 600                                     | 70.50%      | 101 158                          | 0.17%      | 311 961             | 29.08%      | 0.8                    | 15 079      | 14.91%      | 51        | -20                                     |
| Total                                                                             | IRB-A         | 0.25 to <0.50    | 233 871                                          | 33 175                                     | 30.20%      | 234 824                          | 0.39%      | 329 558             | 24.21%      | 1.6                    | 59 230      | 25.22%      | 224       | -47                                     |
| Total                                                                             | IRB-A         | 0.50 to <0.75    | 49 610                                           | 10 918                                     | 49.81%      | 54 789                           | 0.62%      | 170 311             | 29.14%      | 1.2                    | 18 514      | 33.79%      | 99        | -54                                     |
| Total                                                                             | IRB-A         | 0.75 to <2.50    | 94 224                                           | 24 686                                     | 34.53%      | 99 186                           | 1.60%      | 293 637             | 28.37%      | 1.6                    | 50 883      | 51.30%      | 441       | -184                                    |
| Total                                                                             | IRB-A         | 2.50 to <10.00   | 12 903                                           | 2 292                                      | 58.35%      | 14 111                           | 6.67%      | 107 387             | 34.70%      | 1.6                    | 11 693      | 82.86%      | 333       | -155                                    |
| Total                                                                             | IRB-A         | 10.00 to <100.00 | 19 629                                           | 2 202                                      | 26.09%      | 19 421                           | 20.58%     | 58 676              | 29.12%      | 1.2                    | 25 063      | 129.05%     | 1 281     | -408                                    |
| Total                                                                             | IRB-A         | 100.00 (Default) | 6 641                                            | 77                                         | 28.89%      | 6 621                            | 100.00%    | 23 761              | 39.53%      | 1.3                    | 11 009      | 166.27%     | 2 645     | -2 644                                  |
| Total                                                                             | IRB-A         | Other            |                                                  |                                            |             |                                  |            |                     |             |                        |             |             |           |                                         |
| Total                                                                             | IRB-A         | Subtotal         | 1 967 631                                        | 337 649                                    | 35.61%      | 2 055 637                        | 0.77%      | 2 671 191           | 20.48%      | 1.4                    | 304 370     | 14.81%      | 5 306     | -3 569                                  |
| Total                                                                             | Total         | 0.00 to <0.15    | 1 897 521                                        | 378 921                                    | 41.37%      | 2 072 492                        | 0.06%      | 1 377 951           | 24.88%      | 1.5                    | 144 696     | 6.98%       | 268       | -79                                     |
| Total                                                                             | Total         | 0.15 to <0.25    | 93 457                                           | 22 985                                     | 66.73%      | 109 584                          | 0.17%      | 312 658             | 29.70%      | 0.9                    | 18 450      | 16.84%      | 57        | -24                                     |
| Total                                                                             | Total         | 0.25 to <0.50    | 239 864                                          | 43 116                                     | 34.45%      | 244 936                          | 0.39%      | 329 873             | 24.87%      | 1.6                    | 64 476      | 26.32%      | 238       | -51                                     |
| Total                                                                             | Total         | 0.50 to <0.75    | 51 498                                           | 12 454                                     | 50.46%      | 57 452                           | 0.62%      | 170 883             | 29.43%      | 1.3                    | 19 844      | 34.54%      | 105       | -58                                     |
| Total                                                                             | Total         | 0.75 to <2.50    | 97 758                                           | 39 952                                     | 40.92%      | 107 806                          | 1.57%      | 294 177             | 29.50%      | 1.7                    | 58 286      | 54.07%      | 481       | -193                                    |
| Total                                                                             | Total         | 2.50 to <10.00   | 13 257                                           | 2 407                                      | 57.94%      | 14 499                           | 6.72%      | 107 431             | 34.75%      | 1.7                    | 12 165      | 83.90%      | 345       | -159                                    |
| Total                                                                             | Total         | 10.00 to <100.00 | 20 361                                           | 2 751                                      | 32.34%      | 20 442                           | 20.83%     | 58 765              | 29.68%      | 1.3                    | 27 181      | 132.97%     | 1 383     | -425                                    |
| Total                                                                             | Total         | 100.00 (Default) | 6 994                                            | 387                                        | 85.61%      | 7 263                            | 100.00%    | 23 778              | 39.87%      | 1.4                    | 11 009      | 151.58%     | 2 923     | -2 829                                  |
| Total                                                                             | Total         | Other            | 2 121                                            |                                            |             | 2 121                            |            | 3                   |             |                        | 7 410       | 349.44%     | 42        | 0                                       |
| Total (all portfolios)                                                            |               |                  | 2 422 831                                        | 502 973                                    | 42.19%      | 2 636 595                        | 0.64%      | 2 675 189           | 25.48%      | 1.5                    | 363 517     | 13.79%      | 5 842     | -3 818                                  |

<sup>1</sup> There are two versions of the IRB approach: the simplified version, the IRB approach without own estimates of LGD and CCF (here IRB-F, in previous regulations called the foundation approach), and the more advanced method, the IRB approach with own estimates of LGD and CCF (here IRB-A, in previous regulations called the advanced approach).

<sup>2</sup> The amount is based on the number of agreements rather than counterparties for retail exposures.

**Evolution of risk exposure amount for credit risk during 2019**

In 2019, the Bank's risk exposure amount for credit risk increased by SEK 10.1 billion. The standardised approach accounted for a decrease of SEK 0.7 billion. The changes related to the IRB approach are described in more detail in the text and table below.

The largest increase in the risk exposure amount for the IRB approach during the year came from larger lending volumes to mortgages in Sweden, increasing the effect of the risk weight floor by SEK 10.5 billion. The effect of exchange rate movements, a general weakening of the Swedish Krona led to an increase of the risk exposure amount by SEK 10.3 billion. Changes in asset quality, reflecting the credit quality of the Bank's clients and quality of collateral, had a net impact of SEK -8.9 billion. The three main components of asset quality were; new business done with counterparties who had risk weights that were

lower than the average in the Bank's existing credit portfolio SEK -10.4 billion, the net effect of existing counterparties having migrated between risk classes – in other words, the net of exposures to customers that migrate to better risk classes and customers that migrate to poorer classes SEK +7.2 billion, impact of improved use of collateral SEK -5.9 billion.

The underlying increase in credit volume increased the risk exposure amount by SEK 3.4 billion. Updates of model estimates decreased the risk exposure amount by SEK 2.7 billion. With respect to credit risk, the 'Other' item includes factors such as changes in shareholdings, the effects of defaults, and changes in maturity. In net terms, these factors contributed to a decrease in the risk exposure amount of SEK 2.5 billion.

**Table 3.19 EU CR8 – RWA flow statements of credit risk exposures under the IRB Approach**

The following table shows the change for risk exposure amount for credit risk calculated by the IRB Approach. It further specifies the capital requirement. The change of risk exposure amount is broken down by type of driver. The risk exposure amount has increased compared to the previous Period. The main drivers are foreign exchange movements and the 25 per cent risk weight floor on Swedish mortgages that entered into force on 31 December 2018.

| EU CR8 – RWA flow statements of credit risk exposures under the IRB Approach 2019 |                                                     |             |                      |
|-----------------------------------------------------------------------------------|-----------------------------------------------------|-------------|----------------------|
| SEK bn                                                                            |                                                     | RWA amounts | Capital requirements |
| 1                                                                                 | RWAs as at the end of the previous reporting period | 541.2       | 43.3                 |
| 2                                                                                 | Asset size                                          | 3.4         | 0.3                  |
| 3                                                                                 | Asset quality                                       | -8.9        | -0.7                 |
| 4                                                                                 | Model updates                                       | -2.7        | -0.2                 |
| 5                                                                                 | Methodology and policy                              | 0.0         | 0.0                  |
| 6                                                                                 | Acquisitions and disposals                          | 0.0         | 0.0                  |
| 7                                                                                 | Foreign exchange movements                          | 10.3        | 0.8                  |
| 8a                                                                                | Risk weight floor for Swedish mortgages             | 10.5        | 0.8                  |
| 8                                                                                 | Other                                               | -2.5        | -0.2                 |
| 9                                                                                 | RWAs as at the end of the reporting period          | 551.3       | 44.1                 |

| EU CR8 – RWA flow statements of credit risk exposures under the IRB Approach 2018 |                                                     |             |                      |
|-----------------------------------------------------------------------------------|-----------------------------------------------------|-------------|----------------------|
| SEK bn                                                                            |                                                     | RWA amounts | Capital requirements |
| 1                                                                                 | RWAs as at the end of the previous reporting period | 348.4       | 27.9                 |
| 2                                                                                 | Asset size                                          | 7.9         | 0.6                  |
| 3                                                                                 | Asset quality                                       | -0.9        | -0.1                 |
| 4                                                                                 | Model updates                                       | 18.2        | 1.5                  |
| 5                                                                                 | Methodology and policy                              | 0.0         | 0.0                  |
| 6                                                                                 | Acquisitions and disposals                          | 0.0         | 0.0                  |
| 7                                                                                 | Foreign exchange movements                          | 8.3         | 0.7                  |
| 8                                                                                 | Other                                               | 163.1       | 13.0                 |
| 9                                                                                 | RWAs as at the end of the reporting period          | 541.2       | 43.3                 |

Figure 3.20 Proportion of counterparties migrating between internal risk classes, corporate exposures, 2013–2019

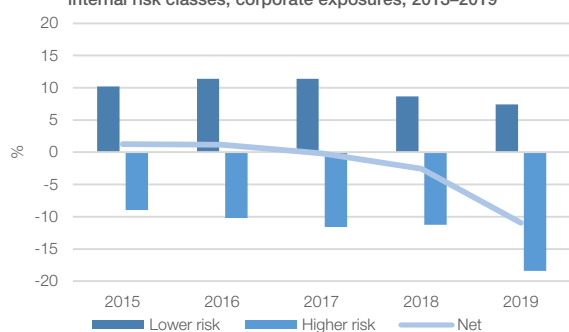


Figure 3.21 Proportion of counterparties migrating between internal risk classes, retail exposures – small companies, 2013–2019

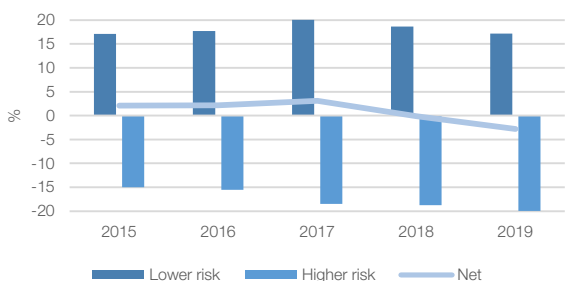
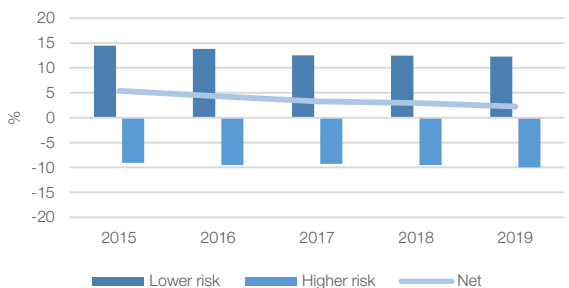


Figure 3.22 Proportion of counterparties whose internal rating migrates, retail exposures – private individuals, 2013–2019



### Migrations

Trends in the quality of the credit portfolio can to some extent be identified by analysing changes in the internal risk assessment at counterparty level. This is known as rating migration. In this section, the number of migrating counterparties is measured. The negative net migration during 2019, in terms of the number of counterparties, was due to an adjustment of the internal rating system for customers with the business evaluation type Corporate and Property company. Most of the rating changes were small and between PD-risk classes indicating low risk of default.

The Bank's corporate counterparties are given an internal rating. The rating is converted to an internal risk class for application of the IRB approach for corporate exposures. Small companies, which due to their size are included in the exposure class for retail exposures are also given an internal rating, in the same way as for corporate exposures. However, this internal rating is not directly converted to an internal risk class for application of the IRB approach. However, for the purpose of showing migration in this analysis, the same calculation method is also used for Small companies.

In the analysis of how the risk assessment changes at the counterparty level for corporate counterparties, migration is monitored at the risk class calculated from the internal rating.

For private individuals, in addition to the internal rating, other factors are included when setting the risk class for the application of the IRB approach. In the analysis (Figure 3.22) of how the risk assessment changes at counterparty level for private individuals, only the internal rating is used on a 1–5 scale, from very low risk to very high risk.

Handelsbanken's internal rating method is dynamic, which means that the rating is re-assessed when there are signs that the counterparty's repayment capacity has changed to lower or higher risk. The internal rating is always updated once a year for all counterparties, regardless of whether there are signs that the repayment capacity has changed or not.

In the adjoining figures, the proportion of counterparties migrating between risk classes is presented for corporate exposures and small companies. For small companies, this is done by transforming the two-digit internal rating in to a one-digit figure which corresponds to the internal risk class for corporate exposures. Migration for retail exposures to private individuals is based on the internal rating.

### Securitisation

Handelsbanken has no securitisations of its own nor any securitised exposures.

**Table 3.23 Securitisation positions in the non-trading book by risk weight**

| Securitisation positions in the non-trading book by risk weight 2019 <sup>1,2</sup> |                 | Risk weight |         |        |
|-------------------------------------------------------------------------------------|-----------------|-------------|---------|--------|
| SEK m                                                                               | Exposure amount | 7–10%       | 12–850% | 1 250% |
| Traditional securitisation                                                          | -               | -           | -       | -      |
| Synthetic securitisation                                                            | -               | -           | -       | -      |
| <b>Total IRB Approach</b>                                                           | -               | -           | -       | -      |

<sup>1</sup> No securitisation positions in trading portfolio 2018 or 2019

<sup>2</sup> The exposures have an external rating from Standard & Poor's, Moody's and Fitch respectively.

| Securitisation positions in the non-trading book by risk weight 2018 <sup>1,2</sup> |                 | Risk weight |           |          |
|-------------------------------------------------------------------------------------|-----------------|-------------|-----------|----------|
| SEK m                                                                               | Exposure amount | 7–10%       | 12–850%   | 1 250%   |
| Traditional securitisation                                                          | 22              | -           | 22        | -        |
| Synthetic securitisation                                                            | -               | -           | -         | -        |
| <b>Total IRB Approach</b>                                                           | <b>22</b>       | <b>-</b>    | <b>22</b> | <b>-</b> |

<sup>1</sup> No securitisation positions in trading portfolio 2018.

<sup>2</sup> The exposures have an external rating from Standard & Poors, Moody's and Fitch respectively.

## COUNTERPARTY CREDIT RISKS

Counterparty credit risk arises when the Bank has entered into a derivative contract or a contract for the loan of securities with a counterparty. Thus, in addition to derivatives, the capital adequacy regulations treat both repurchase agreements and securities lending as counterparty credit risks.

Counterparty credit risk is regarded as a credit risk where the market value of the contract determines the size of the exposure. If the contract has a positive value, the default of the counterparty means a potential loss for the Bank.

In calculating the capital requirement and economic capital (EC), counterparty credit exposures are taken into account based on the exposure amounts stipulated by the capital adequacy regulations. Handelsbanken applies the mark-to-market method to calculate exposure amounts for derivatives contracts for capital adequacy purposes. To determine the current replacement cost for all contracts with a positive value, the contracts are assigned their prevailing market values. To estimate the possible future credit exposure, the nominal amount of the contract is multiplied by the percentage rate stipulated in the regulations, which depends on the type of derivative and the maturity of the exposure.

### Mitigation of counterparty credit risk

Counterparty credit risk occurs from the trade date up until delivery and means that the Bank can incur costs for winding down the position if the counterparty cannot fulfil its obligations. This risk exists in both derivative transactions and in securities financing transactions.

The size of counterparty credit exposures is restricted by setting credit limits in the regular credit process. The size of the exposures may vary substantially due to fluctuations in the price of the underlying asset. In order to take the risk that the exposure may increase into account, supplements are added to the value of the exposure when setting credit limits. These add-ons are calculated using standard amounts that depend on the type of contract and the time to maturity. The exposures are calculated and followed up daily.

The bank has very limited exposure to wrong-way risk as derivative transactions generally are client driven with the purpose of hedging the clients business from market risk exposures (i.e. the opposite of wrong-way risk). In order to formalize the evaluation of specific wrong way risk to ensure no clients deviates from the general assessment of correlation a formal evaluation will be integrated in the client onboarding process.

The counterparty credit risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against

negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with credit support annex (CSA) agreements, for issuing collateral for the net exposure, which further reduces the counterparty credit risk. The collateral for these transactions is mainly cash, but government instruments are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited.

A small number of the collateral agreements entered into by the Bank include terms and conditions concerning rating-based threshold amounts for Handelsbanken. These conditions mean that the Bank must provide further collateral for the counterparty in question, in the event of external parties lowering the Bank's rating. At year-end, a downgrading from AA/Aa2 to AA-/Aa3 would have meant the Bank having to provide additional collateral of SEK 60 million (60).

The majority of Handelsbanken's contracts contain close-out netting, and the contracts with the largest exposures also contain CSA agreements.

Derivatives which are cleared via central counterparties also give rise to capital requirements. Central counterparties are clearing houses which act as the counterparty for both the buyer and seller in various transactions, and thus take over the responsibility for fulfilling the parties' obligations. All parties which use a central counterparty must provide collateral for all transactions. In most cases, the risk weight for centrally cleared derivatives is considerably lower than for other types of derivatives. The risk-weighted exposure amount for derivative transactions with central counterparties was SEK 143 million (136) at year-end.

Non-cleared derivative transactions also result in capital requirements for credit valuation adjustment (CVA) risk. This risk is related to the counterparty's credit quality. Currently the Bank does not hedge its CVA risk. The capital requirement for CVA risk was SEK 329 million (417) at year-end.

### Payment risk

Payment risk arises in transactions where the Bank has fulfilled its commitments in the form of foreign exchange conversion, payments or delivery of securities, but cannot at the same time ensure that the counterparty has fulfilled its commitments to the Bank. The risk amount equals the amount of the payment transaction. The payment risks are not included in the credit limit of each customer; instead, they are covered by a separate limit. At Handelsbanken, the risk of value changes in spot transactions is categorised as payment risk, while the risk of value changes in derivative transactions is categorised as credit risk.

**Table 3.24 Counterparty credit risk broken down into exposure classes, exposure amounts and risk-weighted exposure amounts, IRB Approach**

Exposure amount broken down into derivatives and SFTs (securities financing transactions).

| Counterparty risk broken down into exposure classes, exposure amounts and risk-weighted exposure amounts, IRB Approach | 2019            |                               | 2018            |                               |
|------------------------------------------------------------------------------------------------------------------------|-----------------|-------------------------------|-----------------|-------------------------------|
|                                                                                                                        | Exposure amount | Risk-weighted exposure amount | Exposure amount | Risk-weighted exposure amount |
| SEK m                                                                                                                  |                 |                               |                 |                               |
| <b>Exposure classes IRB Approach</b>                                                                                   |                 |                               |                 |                               |
| Institution exposures                                                                                                  | 41 109          | 8 516                         | 60 561          | 9 218                         |
| Corporate exposures                                                                                                    | 8 509           | 2 604                         | 10 050          | 2 986                         |
| Sovereign exposures                                                                                                    | 3 918           | 76                            | 3 915           | 96                            |
| <b>Total IRB Approach</b>                                                                                              | <b>53 536</b>   | <b>11 196</b>                 | <b>74 526</b>   | <b>12 300</b>                 |

**Table 3.25 Counterparty credit risk broken down into exposure classes, exposure values and risk-weighted exposure amounts, standardised approach**

Exposure value broken down into derivatives and SFTs (securities financing transactions).

| Counterparty risk broken down into exposure classes, exposure values and risk-weighted exposure amounts, standardised approach | 2019           |                               | 2018           |                               |
|--------------------------------------------------------------------------------------------------------------------------------|----------------|-------------------------------|----------------|-------------------------------|
|                                                                                                                                | Exposure value | Risk-weighted exposure amount | Exposure value | Risk-weighted exposure amount |
| SEK m                                                                                                                          |                |                               |                |                               |
| <b>Exposure classes standardised approach</b>                                                                                  |                |                               |                |                               |
| Institution exposures                                                                                                          | 7 169          | 144                           | 6 776          | 136                           |
| <i>of which cleared via central counterparties</i>                                                                             | 7 165          | 143                           | 6 776          | 136                           |
| Other                                                                                                                          | 299            | 19                            | 378            | 162                           |
| <b>Total standardised approach</b>                                                                                             | <b>7 468</b>   | <b>163</b>                    | <b>7 154</b>   | <b>298</b>                    |
| <b>Total IRB and standardised approach</b>                                                                                     | <b>61 004</b>  | <b>11 359</b>                 | <b>81 680</b>  | <b>12 598</b>                 |

**Table 3.26 Counterparty credit risks in derivative contracts excluding standard add-ons for potential future exposure**

| Counterparty credit risks in derivative contracts excluding standard add-ons for potential future exposure |  | 2019    | 2018    |
|------------------------------------------------------------------------------------------------------------|--|---------|---------|
| SEK m                                                                                                      |  |         |         |
| Gross fair value                                                                                           |  | 66 877  | 79 091  |
| Netting benefits                                                                                           |  | -29 673 | -28 547 |
| Netted current credit exposure                                                                             |  | 37 204  | 50 544  |
| Collateral held <sup>1</sup>                                                                               |  | -30 022 | -43 805 |
| Net credit exposure                                                                                        |  | 7 182   | 6 739   |

<sup>1</sup> Including collateral used to offset market value in the balance sheet**Table 3.27 Counterparty credit risks in derivative contracts including potential future exposure**

| Counterparty credit risks in derivative contracts including potential future exposure 2019 |                          |                           |                 |                               |                     |
|--------------------------------------------------------------------------------------------|--------------------------|---------------------------|-----------------|-------------------------------|---------------------|
| SEK m                                                                                      | Current set-off exposure | Potential future exposure | Exposure amount | Risk-weighted exposure amount | Capital requirement |
| Sovereign exposures                                                                        | 1 433                    | 577                       | 2 010           | 76                            | 6                   |
| Institution exposures                                                                      | 24 023                   | 21 870                    | 45 893          | 8 419                         | 674                 |
| Corporate exposures                                                                        | 5 103                    | 4 634                     | 9 737           | 2 604                         | 208                 |
| Others                                                                                     | 7                        | 15                        | 22              | 15                            | 1                   |
| <b>Total</b>                                                                               | <b>30 566</b>            | <b>27 096</b>             | <b>57 662</b>   | <b>11 114</b>                 | <b>889</b>          |
| <i>of which operations in the trading book</i>                                             | 7 557                    | 10 459                    | 18 016          | 3 960                         | 317                 |

| Counterparty credit risks in derivative contracts including potential future exposure 2018 |                          |                           |                 |                               |                     |
|--------------------------------------------------------------------------------------------|--------------------------|---------------------------|-----------------|-------------------------------|---------------------|
| SEK m                                                                                      | Current set-off exposure | Potential future exposure | Exposure amount | Risk-weighted exposure amount | Capital requirement |
| Sovereign exposures                                                                        | 1 714                    | 658                       | 2 372           | 95                            | 8                   |
| Institution exposures                                                                      | 37 528                   | 26 531                    | 64 059          | 8 900                         | 711                 |
| Corporate exposures                                                                        | 6 120                    | 3 767                     | 9 887           | 3 021                         | 242                 |
| Others                                                                                     | 75                       | 45                        | 120             | 88                            | 7                   |
| <b>Total</b>                                                                               | <b>45 437</b>            | <b>31 001</b>             | <b>76 438</b>   | <b>12 104</b>                 | <b>968</b>          |
| <i>of which operations in the trading book</i>                                             | 10 665                   | 11 993                    | 22 658          | 4 185                         | 335                 |

# Market risk

Handelsbanken aims to have low market risks and low volatility in its earnings. Market risks mainly arise in Handelsbanken Capital Markets as a result of customer-driven transactions, in its role as market maker and in connection with the Bank's funding and liquidity management. In addition, market risk arises in the pension system. Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risk, equity price risk, exchange rate risk and commodity price risk.

For a more detailed description of the Banks market risks, see Handelsbanken's Annual Report, note G2.

**Table 4.1 EU MR1 – Market risk under the standardised approach**

The following table shows capital requirements and REA for market risk according to the standardised approach (CRR) at year-end 2019

| EU MR1 – Market risk under the standardised approach | 2019         |                      | 2018         |                      |
|------------------------------------------------------|--------------|----------------------|--------------|----------------------|
|                                                      | REA          | Capital requirements | REA          | Capital requirements |
| SEK m                                                |              |                      |              |                      |
| Outright products                                    |              |                      |              |                      |
| Interest rate risk                                   | 8 130        | 651                  | 9 552        | 764                  |
| <i>of which general risk</i>                         | 6 923        | 554                  | 7 888        | 631                  |
| <i>of which specific risk</i>                        | 1 207        | 97                   | 1 664        | 133                  |
| Equity risk                                          | 43           | 3                    | 84           | 7                    |
| <i>of which general risk</i>                         | 12           | 1                    | 27           | 2                    |
| <i>of which specific risk</i>                        | 30           | 2                    | 54           | 5                    |
| <i>of which CIUs</i>                                 | 1            | 0                    | 3            | 0                    |
| Foreign exchange risk                                | -            | -                    | -            | -                    |
| Commodity risk                                       | 54           | 4                    | 85           | 7                    |
| Options                                              |              |                      |              |                      |
| Scenario approach                                    | 36           | 3                    | 43           | 3                    |
| <i>of which interest rate risk</i>                   | 3            | 0                    | 4            | 0                    |
| <i>of which equity risk</i>                          | 33           | 3                    | 39           | 3                    |
| <i>of which foreign exchange risk</i>                | -            | -                    | -            | -                    |
| <i>of which commodity risk</i>                       | -            | -                    | 0            | 0                    |
| Securitisation (specific risk)                       | -            | -                    | -            | -                    |
| Settlement risk                                      | 9            | 1                    | 1            | 0                    |
| <b>Total</b>                                         | <b>8 272</b> | <b>662</b>           | <b>9 765</b> | <b>781</b>           |

# Funding and liquidity risk

Liquidity risk is the risk that the Bank will not be able to meet its payment obligations as they fall due without being affected by unacceptable costs or losses.

The Bank has a low tolerance of liquidity risks and works actively to minimise them, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, a low level of variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality.

For a more detailed description of the Banks funding and liquidity risk, see Handelsbanken's Annual Report, note G2.

**Table 5.1 EU LIQ1 – LCR disclosure template**

The following table shows weighted and unweighted components and levels for the liquidity coverage ratio (LCR) where the values presented are simple averages of month-end observations over the 12 months preceding the end of each quarter.

| EU LIQ1 – LCR disclosure template Consolidated situation |                                                                                                                                                                                                                   | Total unweighted value (average) |           |           |           | Total weighted value (average) |           |           |           |
|----------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------|-----------|-----------|-----------|--------------------------------|-----------|-----------|-----------|
| SEK m                                                    | Quarter ending on                                                                                                                                                                                                 | 31 Dec 19                        | 30 Sep 19 | 30 Jun 19 | 31 Mar 19 | 31 Dec 19                      | 30 Sep 19 | 30 Jun 19 | 31 Mar 19 |
|                                                          | Number of data points used in the calculation of averages                                                                                                                                                         | 12                               | 12        | 12        | 12        | 12                             | 12        | 12        | 12        |
|                                                          | <b>HIGH-QUALITY LIQUID ASSETS</b>                                                                                                                                                                                 |                                  |           |           |           |                                |           |           |           |
| 1                                                        | Total high-quality liquid assets (HQLA)                                                                                                                                                                           |                                  |           |           |           | 564 768                        | 559 641   | 567 264   | 579 036   |
|                                                          | <b>CASH – OUTFLOWS</b>                                                                                                                                                                                            |                                  |           |           |           |                                |           |           |           |
| 2                                                        | Retail deposits and deposits from small business customers, of which:                                                                                                                                             |                                  |           |           |           |                                |           |           |           |
| 3                                                        | Stable deposits                                                                                                                                                                                                   | 669 814                          | 663 665   | 650 960   | 638 669   | 60 575                         | 60 164    | 59 077    | 57 904    |
| 4                                                        | Less stable deposits                                                                                                                                                                                              | 295 324                          | 291 734   | 287 384   | 283 171   | 14 766                         | 14 587    | 14 369    | 14 158    |
| 5                                                        | Unsecured wholesale funding                                                                                                                                                                                       | 374 490                          | 371 931   | 363 576   | 355 498   | 45 809                         | 45 577    | 44 708    | 43 746    |
| 6                                                        | Operational deposits (all counterparties) and deposits in networks of cooperative banks                                                                                                                           | 598 953                          | 583 212   | 572 820   | 584 734   | 325 975                        | 324 906   | 327 497   | 346 924   |
| 7                                                        | Non-operational deposits (all counterparties)                                                                                                                                                                     | 215 406                          | 201 951   | 189 948   | 182 449   | 52 717                         | 49 468    | 46 412    | 44 476    |
| 8                                                        | Unsecured debt                                                                                                                                                                                                    | 298 253                          | 286 477   | 295 326   | 312 493   | 187 964                        | 180 654   | 193 539   | 212 656   |
| 9                                                        | Secured wholesale funding                                                                                                                                                                                         | 85 294                           | 94 784    | 87 546    | 89 792    | 85 294                         | 94 784    | 87 546    | 89 792    |
| 10                                                       | Additional requirements                                                                                                                                                                                           | 7 142                            | 7 324     | 7 432     | 7 203     | 7 142                          | 7 324     | 7 432     | 7 203     |
| 11                                                       | Outflows related to derivative exposures and other collateral requirements                                                                                                                                        | 261 565                          | 267 302   | 273 795   | 279 909   | 38 819                         | 37 159    | 36 900    | 36 587    |
| 12                                                       | Outflows related to loss of funding on debt products                                                                                                                                                              | 11 373                           | 9 877     | 9 592     | 9 090     | 10 953                         | 9 580     | 9 415     | 8 985     |
| 13                                                       | Credit and liquidity facilities                                                                                                                                                                                   | -                                | -         | -         | -         | -                              | -         | -         | -         |
| 14                                                       | Other contractual funding obligations                                                                                                                                                                             | 250 192                          | 257 425   | 264 203   | 270 819   | 27 866                         | 27 579    | 27 485    | 27 602    |
| 15                                                       | Other contingent funding obligations                                                                                                                                                                              | 2 847                            | 1 804     | 1 528     | 1 445     | 2 847                          | 1 804     | 1 528     | 1 446     |
| 16                                                       | <b>TOTAL CASH OUTFLOWS</b>                                                                                                                                                                                        | 284 398                          | 280 452   | 272 549   | 262 947   | 2 025                          | 1 618     | 1 108     | 669       |
|                                                          | <b>CASH – INFLOWS</b>                                                                                                                                                                                             |                                  |           |           |           |                                |           |           |           |
| 17                                                       | Secured lending (e.g. reverse repos)                                                                                                                                                                              | -                                | -         | -         | -         | 437 383                        | 432 975   | 433 542   | 450 733   |
| 18                                                       | Inflows from fully performing exposures                                                                                                                                                                           | 49 684                           | 47 977    | 45 864    | 43 368    | 27 992                         | 27 507    | 27 172    | 25 739    |
| 19                                                       | Other cash inflows                                                                                                                                                                                                | 56 251                           | 59 306    | 61 183    | 64 696    | 32 314                         | 35 137    | 37 237    | 40 642    |
| EU-19a                                                   | (Difference between total weighted inflows and total weighted outflows arising from transactions in third countries where there are transfer restrictions or which are denominated in non-convertible currencies) | 16 947                           | 15 677    | 10 252    | 11 208    | 16 947                         | 15 677    | 10 252    | 11 208    |
| EU-19b                                                   | (Excess inflows from a related specialised credit institution)                                                                                                                                                    | -                                | -         | -         | -         | -                              | -         | -         | -         |
| 20                                                       | <b>TOTAL CASH INFLOWS</b>                                                                                                                                                                                         | 122 882                          | 122 960   | 117 299   | 119 272   | 77 253                         | 78 321    | 74 661    | 77 589    |
| EU-20a                                                   | Fully exempt inflows                                                                                                                                                                                              | -                                | -         | -         | -         | -                              | -         | -         | -         |
| EU-20b                                                   | Inflows subject to 90% cap                                                                                                                                                                                        | -                                | -         | -         | -         | -                              | -         | -         | -         |
| EU-20c                                                   | Inflows subject to 75% cap                                                                                                                                                                                        | 113 427                          | 113 294   | 107 512   | 109 089   | 77 253                         | 78 321    | 74 661    | 77 589    |
| 21                                                       | <b>LIQUIDITY BUFFER</b>                                                                                                                                                                                           |                                  |           |           |           | 564 768                        | 559 641   | 567 264   | 579 036   |
| 22                                                       | <b>TOTAL NET CASH OUTFLOWS</b>                                                                                                                                                                                    |                                  |           |           |           | 360 130                        | 354 654   | 358 881   | 373 144   |
| 23                                                       | <b>LIQUIDITY COVERAGE RATIO (%)</b>                                                                                                                                                                               |                                  |           |           |           | 157                            | 158       | 159       | 156       |

**Table 5.2 Encumbered and unencumbered assets**

The following table shows encumbered and unencumbered assets. The information is presented as quarterly medians over the previous 12 months.

| Encumbered and unencumbered assets 2019 |                                                | Carrying amount of encumbered assets        |               | Fair value of encumbered assets             |        | Carrying amount of unencumbered assets |                | Fair value of unencumbered assets |         |
|-----------------------------------------|------------------------------------------------|---------------------------------------------|---------------|---------------------------------------------|--------|----------------------------------------|----------------|-----------------------------------|---------|
|                                         |                                                | of which notionally eligible EHQLA and HQLA |               | of which notionally eligible EHQLA and HQLA |        | of which EHQLA and HQLA                |                | of which EHQLA and HQLA           |         |
| SEK m                                   |                                                | 010                                         | 030           | 040                                         | 050    | 060                                    | 080            | 090                               | 100     |
| 010                                     | <b>Assets of the reporting institution</b>     | <b>725 832</b>                              | <b>10 473</b> |                                             |        | <b>2 243 645</b>                       | <b>175 849</b> |                                   |         |
| 030                                     | Equity instruments                             | 5 584                                       | 0             |                                             |        | 15 296                                 | 0              |                                   |         |
| 040                                     | Debt securities                                | 11 636                                      | 10 473        | 11 635                                      | 10 473 | 179 257                                | 175 849        | 179 257                           | 175 849 |
| 050                                     | of which: covered bonds                        | 981                                         | 981           | 981                                         | 981    | 43 588                                 | 42 328         | 43 588                            | 42 328  |
| 060                                     | of which: asset-backed securities              | 0                                           | 0             | 0                                           | 0      | 0                                      | 0              | 0                                 | 0       |
| 070                                     | of which: issued by general governments        | 9 493                                       | 9 493         | 9 493                                       | 9 493  | 17 241                                 | 17 212         | 17 241                            | 17 212  |
| 080                                     | of which: issued by financial corporations     | 981                                         | 981           | 981                                         | 981    | 41 384                                 | 41 000         | 41 384                            | 41 000  |
| 090                                     | of which: issued by non-financial corporations | 0                                           | 0             | 0                                           | 0      | 3 054                                  | 559            | 3 060                             | 559     |
| 120                                     | Other assets                                   | 706 783                                     | 0             |                                             |        | 2 065 755                              | 0              |                                   |         |

**Table 5.3 Collateral received**

The following table shows collateral received. The information is presented as quarterly medians over the previous 12 months.

| Collateral received 2019 |                                                                                           | Fair value of encumbered collateral received or own debt securities issued |               | Unencumbered<br>Fair value of collateral received or own debt securities issued available for encumbrance |               |
|--------------------------|-------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|---------------|-----------------------------------------------------------------------------------------------------------|---------------|
|                          |                                                                                           | of which notionally eligible EHQLA and HQLA                                |               | of which EHQLA and HQLA                                                                                   |               |
| SEK m                    |                                                                                           | 010                                                                        | 030           | 040                                                                                                       | 060           |
| 130                      | <b>Collateral received by the reporting institution</b>                                   | <b>12 795</b>                                                              | <b>3 532</b>  | <b>20 632</b>                                                                                             | <b>13 647</b> |
| 140                      | Loans on demand                                                                           | 0                                                                          | 0             | 0                                                                                                         | 0             |
| 150                      | Equity instruments                                                                        | 8 801                                                                      | 0             | 6 936                                                                                                     | 0             |
| 160                      | Debt securities                                                                           | 3 532                                                                      | 3 532         | 13 696                                                                                                    | 13 647        |
| 170                      | of which: covered bonds                                                                   | 237                                                                        | 237           | 10 666                                                                                                    | 10 617        |
| 180                      | of which: asset-backed securities                                                         | 0                                                                          | 0             | 0                                                                                                         | 0             |
| 190                      | of which: issued by general governments                                                   | 3 168                                                                      | 3 168         | 2 263                                                                                                     | 2 263         |
| 200                      | of which: issued by financial corporations                                                | 357                                                                        | 357           | 11 287                                                                                                    | 11 213        |
| 210                      | of which: issued by non-financial corporations                                            | 0                                                                          | 0             | 0                                                                                                         | 0             |
| 220                      | Loans and advances other than loans on demand                                             | 0                                                                          | 0             | 0                                                                                                         | 0             |
| 230                      | Other collateral received                                                                 | 0                                                                          | 0             | 0                                                                                                         | 0             |
| 240                      | <b>Own debt securities issued other than own covered bonds or asset-backed securities</b> | <b>0</b>                                                                   | <b>0</b>      | <b>0</b>                                                                                                  | <b>0</b>      |
| 241                      | <b>Own covered bonds and asset-backed securities issued and not yet pledged</b>           |                                                                            |               | <b>0</b>                                                                                                  | <b>0</b>      |
| 250                      | <b>Total assets, collateral received and own debt securities issued</b>                   | <b>739 001</b>                                                             | <b>14 468</b> |                                                                                                           |               |

**Table 5.4 Sources of encumbrance**

The following table shows sources of encumbrance. The information is presented as quarterly medians over the previous 12 months.

| Sources of encumbrance 2019 |                                                   | Matching liabilities, contingent liabilities or securities lent | Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered |
|-----------------------------|---------------------------------------------------|-----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------|
| SEK m                       |                                                   | 010                                                             | 030                                                                                                     |
| 010                         | Carrying amount of selected financial liabilities | 656 822                                                         | 713 117                                                                                                 |



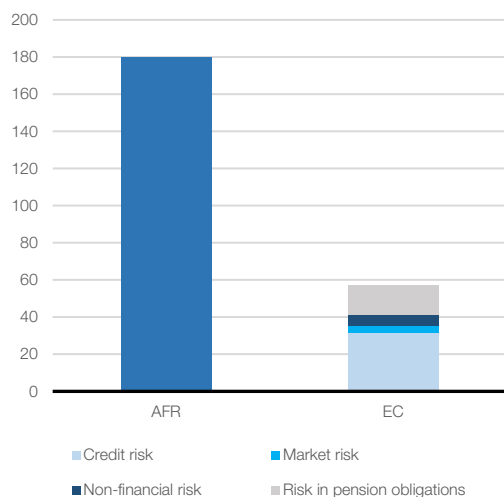
# Economic capital

Group Risk Control is responsible for comprehensive monitoring of the Group's various risks. The Bank's model for economic capital (EC) is an instrument in this monitoring. It is also part of the Bank's assessment of the internal capital requirement which is reported quarterly to the Board. This assessment is intended to ensure that the Group has sufficient capital at all times in relation to all risks in the Group. The Group perspective means that EC includes risks in the insurance operations and risks in the Bank's pension obligations.

Handelsbanken's model for calculating EC identifies in one measurement the Group's overall risks and indicates the capital which, with very high probability, will cover unexpected losses or decreases in value. The capital and other financial resources that form a buffer to absorb negative outcomes are called available financial resources (AFR).

For a more detailed description of the Bank's capital, see Handelsbanken's Annual Report, note G2.

Figure 6.1 Total of AFR and EC including diversification 2019  
SEK bn



# Operational risk

Handelsbanken has a very low tolerance for operational risk and strives to keep the operational risk at a low level so that the operational losses remain low.

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Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk.

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The Board has established the Handelsbanken Group's tolerance for operational risk. Handelsbanken has a low tolerance of operational risk, while operational risk is an inevitable component of all operations at the Bank. Significant operational risk that could cause major operational losses must be reduced through risk-mitigation measures to a lower risk level so that the risks lie within the Bank's risk tolerance, that is, so that the consequences and/or probability of an incident become acceptable. Losses resulting from an operational risk event can be covered by insurance or other solutions.

Operational risk must be managed so that the Group's operational losses remain low. The Group Chief Executive has established limits and threshold levels for operational risk. Risks above the threshold must have an action plan for risk-mitigation measures. The action plan must also be sufficient and the plan must be progressing according to the approved time schedule.

Handelsbanken's operational losses, which comprise expected and recognised operational losses and any recoveries, totalled SEK 53 million (58) in 2019. It is not unusual that the amount referring to operational losses is adjusted over time due to recoveries, or that additional losses are added which are related to a previously reported incident. This may affect the comparison figures for previously reported losses.

## ORGANISATIONAL STRUCTURE

The responsibility for identifying, assessing and managing operational risk is an integral part of managerial responsibility at all levels in the Handelsbanken Group. The Bank's decentralised way of working and cost-consciousness promote good management of operational risk, which leads to vigilance against potential loss risks in daily procedures and events.

Operational risk management is described in Handelsbanken's Annual Report, note G2.

## CAPITAL REQUIREMENT FOR OPERATIONAL RISK

Handelsbanken uses the standardised approach to calculate the capital requirement for operational risk. According to the standardised approach, the capital requirement is calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments.

At the end of 2019, the total capital requirement for operational risk for the consolidated situation was SEK 5,282 million (5,115).

# Compliance risk

Handelsbanken has a low tolerance of compliance risks and, as far as possible, must prevent these risks. In cases where the Compliance function has reported a compliance risk as major or critical, and there is no action plan, or Compliance considers the action plan to be inadequate, the risk level is regarded as being outside the Bank's risk tolerance.

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Compliance risks are the risks that are associated with inadequate compliance.

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By compliance is meant the observance of regulations, laws, directives and recommendations from public authorities, internal rules, as well as generally accepted business practices or standards relating to operations that are subject to a license conducted by the Handelsbanken Group. The Handelsbanken Group has high ambitions regarding good administrative order, ethical standards and compliance with laws and regulations. In its Policy for Compliance, Handelsbanken's Board has established that the Handelsbanken Group "has a low tolerance of compliance risks and, as far as possible, must prevent these risks." Inadequate compliance may lead to increased operational risks, risk of sanctions or other interventions, financial losses or a loss of confidence in the Handelsbanken Group's operations. Measures to ensure that compliance is observed are part of internal control and the responsibility for ensuring compliance rests with function managers, and product owners, as well as with managers and employees of Handelsbanken. The primary responsibilities of the Compliance function are to work actively to ensure a high level of compliance and to ensure that the low tolerance of compliance risks is fulfilled. The work of the Compliance function aims to protect the Bank from compliance risks. Management of compliance risk is described in Handelsbanken's Annual Report.

## ORGANISATION

The Compliance function is organised into Group Compliance as well as local compliance units in subsidiaries and other legal entities. All compliance units must be independent of the business operations and organisationally separate from the functions and areas which are subject to control.

# Tables

## CREDIT RISK

Information about past due and impaired loans

**Table T1 EU CR1-B – Credit quality of exposures by industry or counterparty types**

The following table specifies gross exposures by exposure class and by industry. It further specifies credit risk adjustments, write-offs and net values. Specific credit risk adjustment has decreased compared to the previous period. The total net value has increased compared to the previous period.

| EU CR1-B – Credit quality of exposures by industry or counterparty types 2019 |                                                               | Gross carrying values of |                         |                                 |                                |                        |                                | Net values       |
|-------------------------------------------------------------------------------|---------------------------------------------------------------|--------------------------|-------------------------|---------------------------------|--------------------------------|------------------------|--------------------------------|------------------|
|                                                                               |                                                               | Defaulted exposures      | Non-defaulted exposures | Specific credit risk adjustment | General credit risk adjustment | Accumulated write-offs | Credit risk adjustment charges |                  |
| SEK m                                                                         |                                                               |                          |                         |                                 |                                |                        |                                |                  |
| 1                                                                             | Agriculture, forestry and fishing                             | 142                      | 56 472                  | 89                              |                                | 0                      | 23                             | 56 525           |
| 2                                                                             | Mining and quarrying                                          | 0                        | 5 763                   | 2                               |                                | 0                      | 0                              | 5 761            |
| 3                                                                             | Manufacturing                                                 | 1 416                    | 95 021                  | 1 313                           |                                | 7                      | 491                            | 95 124           |
| 4                                                                             | Electricity, gas, steam and air conditioning supply           | 9                        | 34 062                  | 12                              |                                | 0                      | 3                              | 34 059           |
| 5                                                                             | Water supply                                                  | 0                        | 5 154                   | 8                               |                                | 11                     | 0                              | 5 146            |
| 6                                                                             | Construction                                                  | 505                      | 76 476                  | 322                             |                                | 0                      | 105                            | 76 659           |
| 7                                                                             | Wholesale and retail trade                                    | 250                      | 68 853                  | 200                             |                                | 14                     | 55                             | 68 903           |
| 8                                                                             | Transport and storage                                         | 2 002                    | 29 242                  | 565                             |                                | 6                      | 211                            | 30 679           |
| 9                                                                             | Accommodation and food service activities                     | 57                       | 15 248                  | 32                              |                                | 0                      | 5                              | 15 273           |
| 10                                                                            | Information and communication                                 | 85                       | 10 542                  | 76                              |                                | 0                      | 27                             | 10 551           |
| 10a                                                                           | Financial and insurance activities                            | 128                      | 93 770                  | 110                             |                                | 3                      | 32                             | 93 788           |
| 11                                                                            | Real estate activities                                        | 1 045                    | 833 467                 | 460                             |                                | 21                     | 110                            | 834 052          |
| 12                                                                            | Professional, scientific and technical activities             | 181                      | 142 507                 | 131                             |                                | 0                      | 32                             | 142 557          |
| 13                                                                            | Administrative and support service activities                 | 52                       | 19 564                  | 52                              |                                | 0                      | 14                             | 19 564           |
| 14                                                                            | Public administration and defence, compulsory social security | 294                      | 48 069                  | 8                               |                                | 0                      | 0                              | 48 355           |
| 15                                                                            | Education                                                     | 71                       | 18 768                  | 22                              |                                | 0                      | 7                              | 18 817           |
| 16                                                                            | Human health services and social work activities              | 83                       | 26 944                  | 13                              |                                | 0                      | 1                              | 27 014           |
| 17                                                                            | Arts, entertainment and recreation                            | 132                      | 12 627                  | 67                              |                                | 0                      | 23                             | 12 692           |
| 17a                                                                           | Activities of households as employers                         | 0                        | 1 462                   | 0                               |                                | 0                      | 0                              | 1 462            |
| 17b                                                                           | Activities of extraterritorial organisations and bodies       | 9                        | 1 586                   | 5                               |                                | 0                      | 1                              | 1 590            |
| 18                                                                            | Other services <sup>1</sup>                                   | 3 083                    | 1 588 593               | 1 328                           |                                | 18                     | 367                            | 1 590 348        |
| 19                                                                            | <b>Total</b>                                                  | <b>9 544</b>             | <b>3 184 190</b>        | <b>4 815</b>                    |                                | <b>80</b>              | <b>1 507</b>                   | <b>3 188 919</b> |

<sup>1</sup> Other services include retail exposures.

| EU CR1-B – Credit quality of exposures by industry or counterparty types 2018 |                                                               | Gross carrying values of |                         |                                 |                                |                        |                                | Net values       |
|-------------------------------------------------------------------------------|---------------------------------------------------------------|--------------------------|-------------------------|---------------------------------|--------------------------------|------------------------|--------------------------------|------------------|
|                                                                               |                                                               | Defaulted exposures      | Non-defaulted exposures | Specific credit risk adjustment | General credit risk adjustment | Accumulated write-offs | Credit risk adjustment charges |                  |
| SEK m                                                                         |                                                               |                          |                         |                                 |                                |                        |                                |                  |
| 1                                                                             | Agriculture, forestry and fishing                             | 114                      | 55 423                  | 82                              |                                | 2                      | 19                             | 55 455           |
| 2                                                                             | Mining and quarrying                                          | 1                        | 6 832                   | 3                               |                                | 0                      | 0                              | 6 830            |
| 3                                                                             | Manufacturing                                                 | 480                      | 89 509                  | 358                             |                                | 30                     | 96                             | 89 631           |
| 4                                                                             | Electricity, gas, steam and air conditioning supply           | 50                       | 33 427                  | 52                              |                                | 0                      | 17                             | 33 425           |
| 5                                                                             | Water supply                                                  | 4                        | 5 076                   | 12                              |                                | 50                     | 1                              | 5 068            |
| 6                                                                             | Construction                                                  | 438                      | 79 015                  | 246                             |                                | 1                      | 61                             | 79 207           |
| 7                                                                             | Wholesale and retail trade                                    | 216                      | 62 200                  | 176                             |                                | 63                     | 44                             | 62 240           |
| 8                                                                             | Transport and storage                                         | 1 931                    | 29 351                  | 437                             |                                | 25                     | 145                            | 30 845           |
| 9                                                                             | Accommodation and food service activities                     | 72                       | 13 316                  | 41                              |                                | 4                      | 9                              | 13 347           |
| 10                                                                            | Information and communication                                 | 69                       | 14 143                  | 77                              |                                | 0                      | 24                             | 14 135           |
| 10a                                                                           | Financial and insurance activities                            | 263                      | 97 453                  | 186                             |                                | 12                     | 59                             | 97 530           |
| 11                                                                            | Real estate activities                                        | 980                      | 786 120                 | 572                             |                                | 80                     | 109                            | 786 528          |
| 12                                                                            | Professional, scientific and technical activities             | 153                      | 145 557                 | 127                             |                                | 0                      | 29                             | 145 583          |
| 13                                                                            | Administrative and support service activities                 | 49                       | 17 886                  | 50                              |                                | 0                      | 11                             | 17 885           |
| 14                                                                            | Public administration and defence, compulsory social security | 62                       | 32 169                  | 31                              |                                | 0                      | 9                              | 32 200           |
| 15                                                                            | Education                                                     | 42                       | 20 230                  | 36                              |                                | 0                      | 11                             | 20 236           |
| 16                                                                            | Human health services and social work activities              | 5                        | 31 868                  | 10                              |                                | 0                      | 1                              | 31 863           |
| 17                                                                            | Arts, entertainment and recreation                            | 158                      | 11 880                  | 59                              |                                | 1                      | 16                             | 11 979           |
| 17a                                                                           | Activities of households as employers                         | 0                        | 1 028                   | 0                               |                                | 0                      | 0                              | 1 028            |
| 17b                                                                           | Activities of extraterritorial organisations and bodies       | 9                        | 1 467                   | 5                               |                                | 0                      | 1                              | 1 471            |
| 18                                                                            | Other services <sup>1</sup>                                   | 3 111                    | 1 572 044               | 1 395                           |                                | 81                     | 359                            | 1 573 760        |
| 19                                                                            | <b>Total</b>                                                  | <b>8 207</b>             | <b>3 105 994</b>        | <b>3 955</b>                    |                                | <b>349</b>             | <b>1 021</b>                   | <b>3 110 246</b> |

<sup>1</sup> Other services include retail exposures.

Table T2 EU CR1-C – Credit quality of exposures by geography

The following table specifies gross exposures by exposure class and by geography. It further specifies credit risk adjustments, write-offs and net values. Gross exposures have increased compared to the previous period.

| EU CR1-C - Credit quality of exposures by geography 2019 |                 | Gross carrying values of |                         |                                 |                                |                        |                                |            |
|----------------------------------------------------------|-----------------|--------------------------|-------------------------|---------------------------------|--------------------------------|------------------------|--------------------------------|------------|
|                                                          |                 | Defaulted exposures      | Non-defaulted exposures | Specific credit risk adjustment | General credit risk adjustment | Accumulated write-offs | Credit risk adjustment charges | Net values |
| SEK m                                                    |                 |                          |                         |                                 |                                |                        |                                |            |
| 1                                                        | Sweden          | 3 743                    | 1 729 581               | 2 469                           |                                | 52                     | 801                            | 1 730 855  |
| 2                                                        | UK              | 782                      | 405 929                 | 262                             |                                | 1                      | 38                             | 406 449    |
| 3                                                        | Norway          | 2 019                    | 369 545                 | 748                             |                                | 7                      | 247                            | 370 816    |
| 4                                                        | Denmark         | 1 019                    | 159 537                 | 427                             |                                | 11                     | 130                            | 160 129    |
| 5                                                        | Finland         | 1 507                    | 289 487                 | 620                             |                                | 3                      | 191                            | 290 374    |
| 6                                                        | The Netherlands | 27                       | 74 654                  | 12                              |                                | 6                      | 1                              | 74 669     |
| 18                                                       | Other countries | 447                      | 155 457                 | 277                             |                                | 0                      | 99                             | 155 627    |
| 19                                                       | Total           | 9 544                    | 3 184 190               | 4 815                           |                                | 80                     | 1 507                          | 3 188 919  |

| EU CR1-C - Credit quality of exposures by geography 2018 |                 | Gross carrying values of |                         |                                 |                                |                        |                                |            |
|----------------------------------------------------------|-----------------|--------------------------|-------------------------|---------------------------------|--------------------------------|------------------------|--------------------------------|------------|
| SEK m                                                    |                 | Defaulted exposures      | Non-defaulted exposures | Specific credit risk adjustment | General credit risk adjustment | Accumulated write-offs | Credit risk adjustment charges | Net values |
| 1                                                        | Sweden          | 2 490                    | 1 673 837               | 1 447                           |                                | 248                    | 363                            | 1 674 880  |
| 2                                                        | UK              | 888                      | 362 408                 | 285                             |                                | 0                      | 55                             | 363 011    |
| 3                                                        | Norway          | 2 100                    | 324 276                 | 681                             |                                | 27                     | 188                            | 325 695    |
| 4                                                        | Denmark         | 1 045                    | 161 703                 | 476                             |                                | 35                     | 131                            | 162 272    |
| 5                                                        | Finland         | 1 222                    | 308 244                 | 746                             |                                | 12                     | 196                            | 308 720    |
| 6                                                        | The Netherlands | 27                       | 55 451                  | 9                               |                                | 27                     | 1                              | 55 469     |
| 18                                                       | Other countries | 435                      | 220 075                 | 311                             |                                | 0                      | 87                             | 220 199    |
| 19                                                       | Total           | 8 207                    | 3 105 994               | 3 955                           |                                | 349                    | 1 021                          | 3 110 246  |

## TABLES

**Table T3 Credit quality of performing and non-performing exposures by past due days**

Gross carrying amount of performing and non-performing exposures according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR.

This table has been added in accordance with new regulation from 2020, see corresponding tables for 2018 data.

| Credit quality of performing and non-performing exposures by past due days 2019 |                              | Gross carrying amount/nominal amount |                              |                                                                 |                               |                              |                             |                              |                              |                    |                    |            |              |
|---------------------------------------------------------------------------------|------------------------------|--------------------------------------|------------------------------|-----------------------------------------------------------------|-------------------------------|------------------------------|-----------------------------|------------------------------|------------------------------|--------------------|--------------------|------------|--------------|
|                                                                                 |                              | Performing exposures                 |                              |                                                                 |                               | Non-performing exposures     |                             |                              |                              |                    |                    |            |              |
|                                                                                 |                              | Not past due or past due ≤ 30 days   | Past due > 30 days ≤ 90 days | Unlikely to pay that are not past due or are past due ≤ 90 days | Past due > 90 days ≤ 180 days | Past due > 180 days ≤ 1 year | Past due > 1 year ≤ 2 years | Past due > 2 years ≤ 5 years | Past due > 5 years ≤ 7 years | Past due > 7 years | Of which defaulted |            |              |
| SEK m                                                                           |                              |                                      |                              |                                                                 |                               |                              |                             |                              |                              |                    |                    |            |              |
| 1                                                                               | Loans and advances           | 2 658 454                            | 2 657 580                    | 874                                                             | 9 145                         | 6 609                        | 349                         | 527                          | 654                          | 540                | 279                | 187        | 9 145        |
| 2                                                                               | Central banks                | 347 386                              | 347 386                      | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 3                                                                               | General governments          | 12 607                               | 12 607                       | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 4                                                                               | Credit institutions          | 17 745                               | 17 745                       | 0                                                               | -                             | 0                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 5                                                                               | Other financial corporations | 23 192                               | 23 186                       | 6                                                               | 28                            | 25                           | 0                           | 0                            | 3                            | 0                  | 0                  | 0          | 28           |
| 6                                                                               | Non-financial corporations   | 1 038 410                            | 1 038 128                    | 282                                                             | 5 342                         | 4 639                        | 56                          | 191                          | 144                          | 145                | 87                 | 80         | 5 342        |
| 7                                                                               | Of which SMEs                | 727 166                              | 726 943                      | 223                                                             | 2 040                         | 1 537                        | 41                          | 160                          | 97                           | 102                | 51                 | 52         | 2 040        |
| 8                                                                               | Households                   | 1 219 114                            | 1 218 528                    | 586                                                             | 3 774                         | 1 945                        | 293                         | 336                          | 507                          | 394                | 192                | 107        | 3 774        |
| 9                                                                               | Debt securities              | 6 380                                | 6 380                        | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 10                                                                              | Central banks                | 1 006                                | 1 006                        | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 11                                                                              | General governments          | 403                                  | 403                          | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 12                                                                              | Credit institutions          | 4 971                                | 4 971                        | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 13                                                                              | Other financial corporations | -                                    | -                            | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 14                                                                              | Non-financial corporations   | -                                    | -                            | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 15                                                                              | Off-balance-sheet exposures  | 534 662                              | -                            | -                                                               | 652                           | -                            | -                           | -                            | -                            | -                  | -                  | -          | 652          |
| 16                                                                              | Central banks                | -                                    | -                            | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 17                                                                              | General governments          | 17 441                               | -                            | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 18                                                                              | Credit institutions          | 14 574                               | -                            | -                                                               | 1                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | 1            |
| 19                                                                              | Other financial corporations | 8 551                                | -                            | -                                                               | -                             | -                            | -                           | -                            | -                            | -                  | -                  | -          | -            |
| 20                                                                              | Non-financial corporations   | 415 564                              | -                            | -                                                               | 585                           | -                            | -                           | -                            | -                            | -                  | -                  | -          | 585          |
| 21                                                                              | Households                   | 78 532                               | -                            | -                                                               | 66                            | -                            | -                           | -                            | -                            | -                  | -                  | -          | 66           |
| 22                                                                              | <b>Total</b>                 | <b>3 199 496</b>                     | <b>2 663 960</b>             | <b>874</b>                                                      | <b>9 797</b>                  | <b>6 609</b>                 | <b>349</b>                  | <b>527</b>                   | <b>654</b>                   | <b>540</b>         | <b>279</b>         | <b>187</b> | <b>9 797</b> |

**Table T4 Performing and non-performing exposures and related provisions**

Gross carrying amount of performing and non-performing exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, accumulated partial write-off, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR. This table has been added in accordance with new regulation from 2020, see corresponding tables for 2018 data.

| Performing and non-performing exposures and related provisions 2019 |                              | Gross carrying amount/nominal amount |                  |               |                          |                  |              | Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions |                  |                                                                                                                                 |                  |                  |               | Collateral and financial guarantees received |                         |                             |
|---------------------------------------------------------------------|------------------------------|--------------------------------------|------------------|---------------|--------------------------|------------------|--------------|------------------------------------------------------------------------------------------------------|------------------|---------------------------------------------------------------------------------------------------------------------------------|------------------|------------------|---------------|----------------------------------------------|-------------------------|-----------------------------|
|                                                                     |                              | Performing exposures                 |                  |               | Non-performing exposures |                  |              | Performing exposures accumulated impairment and provisions                                           |                  | Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions |                  |                  |               | Accumulated partial write off                | On performing exposures | On non-performing exposures |
|                                                                     |                              | Of which stage 1                     | Of which stage 2 |               | Of which stage 2         | Of which stage 3 |              | Of which stage 1                                                                                     | Of which stage 2 |                                                                                                                                 | Of which stage 2 | Of which stage 3 |               |                                              |                         |                             |
| SEK m                                                               |                              |                                      |                  |               |                          |                  |              |                                                                                                      |                  |                                                                                                                                 |                  |                  |               |                                              |                         |                             |
| 1                                                                   | Loans and advances           | 2 658 454                            | 2 598 043        | 51 591        | 9 145                    | 291              | 8 831        | -799                                                                                                 | -362             | -437                                                                                                                            | -3 773           | -6               | -3 767        | -113                                         | 2 226 472               | 6 057                       |
| 2                                                                   | Central banks                | 347 386                              | 347 386          | -             | -                        | -                | -            | -                                                                                                    | -                | -                                                                                                                               | -                | -                | -             | -                                            | -                       | -                           |
| 3                                                                   | General governments          | 12 607                               | 12 241           | 366           | -                        | -                | -            | -2                                                                                                   | -1               | -1                                                                                                                              | -                | -                | -             | -                                            | 6 951                   | -                           |
| 4                                                                   | Credit institutions          | 17 745                               | 17 488           | 247           | -                        | -                | -            | -4                                                                                                   | -2               | -2                                                                                                                              | -                | -                | -             | -                                            | 4 808                   | 7                           |
| 5                                                                   | Other financial corporations | 23 192                               | 22 901           | 263           | 28                       | -                | 28           | -6                                                                                                   | -2               | -3                                                                                                                              | -14              | -                | -14           | -4                                           | 16 001                  | 22                          |
| 6                                                                   | Non-financial corporations   | 1 038 410                            | 1 009 030        | 24 102        | 5 342                    | 59               | 5 281        | -456                                                                                                 | -202             | -253                                                                                                                            | -2 676           | -2               | -2 674        | -86                                          | 967 057                 | 3 571                       |
| 7                                                                   | Of which SMEs                | 727 166                              | 707 731          | 17 442        | 2 040                    | 47               | 1 993        | -363                                                                                                 | -158             | -204                                                                                                                            | -650             | -1               | -649          | -62                                          | 715 678                 | 1 534                       |
| 8                                                                   | Households                   | 1 219 114                            | 1 188 997        | 26 613        | 3 774                    | 233              | 3 527        | -332                                                                                                 | -154             | -177                                                                                                                            | -1 083           | -4               | -1 079        | -24                                          | 1 231 654               | 2 457                       |
| 9                                                                   | Debt securities              | 6 380                                | 6 380            | -             | -                        | -                | -            | -2                                                                                                   | -2               | -                                                                                                                               | -                | -                | -             | -                                            | 1 551                   | -                           |
| 10                                                                  | Central banks                | 1 006                                | 1 006            | -             | -                        | -                | -            | -                                                                                                    | -                | -                                                                                                                               | -                | -                | -             | -                                            | -                       | -                           |
| 11                                                                  | General governments          | 403                                  | 403              | -             | -                        | -                | -            | -                                                                                                    | -                | -                                                                                                                               | -                | -                | -             | -                                            | 403                     | -                           |
| 12                                                                  | Credit institutions          | 4 971                                | 4 971            | -             | -                        | -                | -            | -2                                                                                                   | -2               | -                                                                                                                               | -                | -                | -             | -                                            | -                       | -                           |
| 13                                                                  | Other financial corporations | -                                    | -                | -             | -                        | -                | -            | -                                                                                                    | -                | -                                                                                                                               | -                | -                | -             | -                                            | -                       | -                           |
| 14                                                                  | Non-financial corporations   | -                                    | -                | -             | -                        | -                | -            | -                                                                                                    | -                | -                                                                                                                               | -                | -                | -             | -                                            | 1 148                   | -                           |
| 15                                                                  | Off-balance-sheet exposures  | 534 662                              | 350 635          | 7 478         | 652                      | 1                | 651          | -135                                                                                                 | -69              | -66                                                                                                                             | -3 873           | -                | -106          | -                                            | 86 670                  | 523                         |
| 16                                                                  | Central banks                | -                                    | -                | -             | -                        | -                | -            | -                                                                                                    | -                | -                                                                                                                               | -                | -                | -             | -                                            | -                       | -                           |
| 17                                                                  | General governments          | 17 441                               | 10 339           | 36            | -                        | -                | -            | -                                                                                                    | -                | -                                                                                                                               | -                | -                | -             | -                                            | 266                     | -                           |
| 18                                                                  | Credit institutions          | 14 574                               | 10 364           | 522           | 1                        | -                | 1            | -9                                                                                                   | -1               | -8                                                                                                                              | -9               | -                | -             | -                                            | 742                     | 1                           |
| 19                                                                  | Other financial corporations | 8 551                                | 6 459            | 139           | -                        | -                | -            | -2                                                                                                   | -1               | -1                                                                                                                              | -14              | -                | -             | -                                            | 1 466                   | -                           |
| 20                                                                  | Non-financial corporations   | 415 564                              | 253 293          | 6 144         | 586                      | 1                | 585          | -79                                                                                                  | -36              | -42                                                                                                                             | -2 772           | -                | -98           | -                                            | 66 996                  | 487                         |
| 21                                                                  | Households                   | 78 532                               | 70 180           | 636           | 66                       | 0                | 66           | -46                                                                                                  | -31              | -14                                                                                                                             | -1 078           | -                | -8            | -                                            | 17 201                  | 36                          |
| 22                                                                  | <b>Total</b>                 | <b>3 199 496</b>                     | <b>2 955 058</b> | <b>59 069</b> | <b>9 797</b>             | <b>293</b>       | <b>9 488</b> | <b>-936</b>                                                                                          | <b>-433</b>      | <b>-503</b>                                                                                                                     | <b>-7 646</b>    | <b>-6</b>        | <b>-3 873</b> | <b>-113</b>                                  | <b>2 314 693</b>        | <b>6 580</b>                |

**EU CR1-E – Non-performing and forbome exposures 2018**

|       |                             | Gross carrying amount of performing and non-performing exposures |                             |       |                         |                   |                  | Accumulated impairment and provisions and negative fair value adjustments due to credit risk |      |                             |        | Collaterals and financial guarantees received |                            |   |       |
|-------|-----------------------------|------------------------------------------------------------------|-----------------------------|-------|-------------------------|-------------------|------------------|----------------------------------------------------------------------------------------------|------|-----------------------------|--------|-----------------------------------------------|----------------------------|---|-------|
|       |                             | Of which performing but past due > 30 days and <= 90 days        |                             |       | Of which non-performing |                   |                  | On performing exposures                                                                      |      | On non-performing exposures |        | Of which non-performing exposures             | Of which forbome exposures |   |       |
|       |                             |                                                                  | Of which performing forbome |       | Of which defaulted      | Of which impaired | Of which forbome | Of which forbome                                                                             |      | Of which forbome            |        |                                               |                            |   |       |
| SEK m |                             |                                                                  |                             |       |                         |                   |                  |                                                                                              |      |                             |        |                                               |                            |   |       |
| 10    | Debt securities             | 6 598                                                            | -                           | -     | -                       | -                 | -                | -1                                                                                           | -    | -                           | -      | -                                             | -                          | - | -     |
| 20    | Loans and advances          | 2 559 601                                                        | 421                         | 7 971 | 23 211                  | 15 241            | 12 776           | -985                                                                                         | -263 | -5 173                      | -3 817 | 3 043                                         |                            |   | 4 966 |
| 30    | Off-balance-sheet exposures | 534 856                                                          | 267                         | 2 467 | 2 881                   | 414               | 26               | -141                                                                                         | -4   | -                           | 0      | 50                                            |                            |   | 229   |

**Table T5 EU CR2-B – Changes in the stock of defaulted and impaired loans and debt securities**

The following table shows the changes for the amount of defaulted loans, impaired loans and impaired debt securities. The closing balance has increased compared to the previous period.

| EU CR2-B – Changes in the stock of defaulted and impaired loans and debt securities 2019 |                                                                                           | Gross carrying value<br>defaulted exposures |
|------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|---------------------------------------------|
| SEK m                                                                                    |                                                                                           |                                             |
| <b>1</b>                                                                                 | <b>Opening balance</b>                                                                    | <b>7 730</b>                                |
| 2                                                                                        | Loans and debt securities that have defaulted or impaired since the last reporting period | 2 131                                       |
| 3                                                                                        | Returned to non-defaulted status                                                          | -386                                        |
| 4                                                                                        | Amounts written-off                                                                       | -501                                        |
| 5                                                                                        | Other changes                                                                             | 171                                         |
| <b>6</b>                                                                                 | <b>Closing balance</b>                                                                    | <b>9 145</b>                                |

| EU CR2-B – Changes in the stock of defaulted and impaired loans and debt securities 2018 |                                                                                           | Gross carrying value<br>defaulted exposures |
|------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|---------------------------------------------|
| SEK m                                                                                    |                                                                                           |                                             |
| <b>1</b>                                                                                 | <b>Opening balance</b>                                                                    | <b>7 944</b>                                |
| 2                                                                                        | Loans and debt securities that have defaulted or impaired since the last reporting period | 2 271                                       |
| 3                                                                                        | Returned to non-defaulted status                                                          | -265                                        |
| 4                                                                                        | Amounts written-off                                                                       | -2 966                                      |
| 5                                                                                        | Other changes                                                                             | 746                                         |
| <b>6</b>                                                                                 | <b>Closing balance</b>                                                                    | <b>7 730</b>                                |

**Table T6 Change in provision for probable loan losses**

The following table shows the changes for the amount of general and specific credit risk adjustments. The closing balance has increased compared to the previous period. Figures for 2018 have been updated to match those in the 2018 annual report.

| Change in provision for expected loan losses 2019<br>SEK m | Stage 1     | Stage 2     | Stage 3       | Total         |
|------------------------------------------------------------|-------------|-------------|---------------|---------------|
| <b>Provision at beginning of year</b>                      | <b>-394</b> | <b>-624</b> | <b>-2 937</b> | <b>-3 955</b> |
| Derecognised assets                                        | 54          | 120         | 81            | 255           |
| Write-offs                                                 | 1           | 1           | 419           | 421           |
| Remeasurements due to changes in credit risk               | -207        | -133        | -43           | -383          |
| Changes due to update in the methodology for estimation    | -2          | -3          | -             | -5            |
| Foreign exchange effect, etc.                              | -12         | -10         | -47           | -69           |
| Purchased or originated assets                             | -59         | -26         | -16           | -101          |
| Transfer to Stage 1                                        | -30         | 63          | 1             | 34            |
| Transfer to Stage 2                                        | 104         | -256        | 20            | -132          |
| Transfer to Stage 3                                        | 113         | 358         | -1 351        | -880          |
| <b>Provision at end of period</b>                          | <b>-432</b> | <b>-510</b> | <b>-3 873</b> | <b>-4 815</b> |

| Change in provision for expected loan losses 2018<br>SEK m | Stage 1     | Stage 2     | Stage 3       | Total         |
|------------------------------------------------------------|-------------|-------------|---------------|---------------|
| <b>Provision at beginning of year</b>                      | <b>-511</b> | <b>-662</b> | <b>-4 696</b> | <b>-5 869</b> |
| Derecognised assets                                        | 67          | 122         | 145           | 334           |
| Write-offs                                                 | 0           | 26          | 2 685         | 2 711         |
| Remeasurements due to changes in credit risk               | -117        | -642        | -175          | -934          |
| Changes due to update in the methodology for estimation    | 53          | 179         | 0             | 232           |
| Foreign exchange effect, etc.                              | -8          | -25         | -40           | -73           |
| Purchased or originated assets                             | -87         | -86         | -16           | -189          |
| Transfer to Stage 1                                        | -17         | 62          | 0             | 45            |
| Transfer to Stage 2                                        | 105         | -278        | 2             | -171          |
| Transfer to Stage 3                                        | 121         | 680         | -842          | -41           |
| <b>Provision at end of period</b>                          | <b>-394</b> | <b>-624</b> | <b>-2 937</b> | <b>-3 955</b> |



**Table T7 EU CR3 – CRM techniques – Overview**

The table shows secured exposures and unsecured exposures. The outstanding secured exposures are broken down by amounts secured by collateral, guarantees and credit derivatives. Relations are in line with the previous period.

| EU CR3 - CRM techniques - Overview 2019 |                        | Exposures unsecured – Carrying amount | Exposures secured – Carrying amount | Exposures secured by collateral | Exposures secured by financial guarantees | Exposures secured by credit derivatives |
|-----------------------------------------|------------------------|---------------------------------------|-------------------------------------|---------------------------------|-------------------------------------------|-----------------------------------------|
| SEK m                                   |                        |                                       |                                     |                                 |                                           |                                         |
| 1                                       | Total loans            | 963 743                               | 2 248 125                           | 2 147 420                       | 100 705                                   | -                                       |
| 2                                       | Total debt securities  | 5 963                                 | 403                                 | 0                               | 403                                       | -                                       |
| <b>3</b>                                | <b>Total exposures</b> | <b>969 706</b>                        | <b>2 248 528</b>                    | <b>2 147 420</b>                | <b>101 108</b>                            | <b>-</b>                                |
| 4                                       | Of which defaulted     | 2 818                                 | 2 854                               | 2 459                           | 395                                       | -                                       |

**EU CR3 - CRM techniques - Overview 2018**

| EU CR3 - CRM techniques - Overview 2018 |                        | Exposures unsecured – Carrying amount | Exposures secured – Carrying amount | Exposures secured by collateral | Exposures secured by financial guarantees | Exposures secured by credit derivatives |
|-----------------------------------------|------------------------|---------------------------------------|-------------------------------------|---------------------------------|-------------------------------------------|-----------------------------------------|
| SEK m                                   |                        |                                       |                                     |                                 |                                           |                                         |
| 1                                       | Total loans            | 977 492                               | 2 126 158                           | 2 028 865                       | 97 293                                    | -                                       |
| 2                                       | Total debt securities  | 6 597                                 | 0                                   | 0                               | 0                                         | -                                       |
| <b>3</b>                                | <b>Total exposures</b> | <b>984 089</b>                        | <b>2 126 158</b>                    | <b>2 028 865</b>                | <b>97 293</b>                             | <b>-</b>                                |
| 4                                       | Of which defaulted     | 2 500                                 | 2 770                               | 2 702                           | 68                                        | -                                       |

**Table T8 Credit quality of forbore exposures**

Gross carrying amount of forbore exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR. This table has been added in accordance with new regulation from 2020, see corresponding tables for 2018 data.

| Credit quality of forbore exposures 2019 |                              | Gross carrying amount/nominal amount of exposures with forbearance measures |              |                    |                   | Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions |                                     | Collateral received and financial guarantees received on forbore exposures                                  |              |
|------------------------------------------|------------------------------|-----------------------------------------------------------------------------|--------------|--------------------|-------------------|------------------------------------------------------------------------------------------------------|-------------------------------------|-------------------------------------------------------------------------------------------------------------|--------------|
|                                          |                              | Non-performing forbore                                                      |              |                    |                   |                                                                                                      |                                     | Of which collateral and financial guarantees received on non-performing exposures with forbearance measures |              |
| SEK m                                    |                              | Performing forbore                                                          |              | Of which defaulted | Of which impaired | On performing forbore exposures                                                                      | On non-performing forbore exposures |                                                                                                             |              |
| 1                                        | Loans and advances           | 4 623                                                                       | 5 314        | 4 920              | 4 527             | -60                                                                                                  | -2 647                              | 4 208                                                                                                       | 1 174        |
| 2                                        | Central banks                |                                                                             |              |                    |                   |                                                                                                      |                                     |                                                                                                             |              |
| 3                                        | General governments          |                                                                             |              |                    |                   |                                                                                                      |                                     |                                                                                                             |              |
| 4                                        | Credit institutions          | 0                                                                           | 0            | 0                  | 0                 | 0                                                                                                    | 0                                   | 0                                                                                                           | 0            |
| 5                                        | Other financial corporations | 9                                                                           | 14           | 14                 | 14                | 0                                                                                                    | -8                                  | 13                                                                                                          | 7            |
| 6                                        | Non-financial corporations   | 2 727                                                                       | 4 066        | 3 998              | 3 712             | -48                                                                                                  | -2 132                              | 1 923                                                                                                       | 623          |
| 7                                        | Households                   | 1 887                                                                       | 1 232        | 907                | 799               | -13                                                                                                  | -506                                | 2 273                                                                                                       | 545          |
| 8                                        | Debt Securities              | 0                                                                           | 0            | 0                  | 0                 | 0                                                                                                    | 0                                   | 0                                                                                                           | 0            |
| 9                                        | Loan commitments given       | 458                                                                         | 482          | 460                | 303               | -3                                                                                                   | -75                                 | 84                                                                                                          | 37           |
| <b>10</b>                                | <b>Total</b>                 | <b>5 081</b>                                                                | <b>5 796</b> | <b>5 380</b>       | <b>4 830</b>      | <b>-63</b>                                                                                           | <b>-2 721</b>                       | <b>4 292</b>                                                                                                | <b>1 211</b> |

**Table T9 Collateral obtained by taking possession and execution processes**

Information on the instruments that were cancelled in exchange for the collateral obtained by taking possession and on the value of the collateral obtained by taking possession. This table has been added in accordance with new regulation from 2020, see corresponding tables for 2018 data.

| Collateral obtained by taking possession and execution processes 2019 |                                         | Value at initial recognition | Accumulated negative changes |
|-----------------------------------------------------------------------|-----------------------------------------|------------------------------|------------------------------|
| SEK m                                                                 |                                         |                              |                              |
| 1                                                                     | Property, plant and equipment (PP&E)    | -                            | -                            |
| 2                                                                     | Other than PP&E                         | 2                            | -                            |
| 3                                                                     | Residential immovable property          | 1                            | -                            |
| 4                                                                     | Commercial Immovable property           | -                            | -                            |
| 5                                                                     | Movable property (auto, shipping, etc.) | 1                            | -                            |
| 6                                                                     | Equity and debt instruments             | -                            | -                            |
| 7                                                                     | Other                                   | -                            | -                            |
| <b>8</b>                                                              | <b>Total</b>                            | <b>2</b>                     | <b>-</b>                     |

**Table T10 EU CRB-C – Geographical breakdown of exposures**

The table below shows the total exposure broken down by exposure class and geographic area at year-end. It comprises figures obtained using both the standardised and the IRB Approach. The total exposure has increased compared to the previous period.

| EU CRB-C – Geographical breakdown of exposures<br>2019 |                                                                           | Net value |         |         |         |         |                 |                 |           |
|--------------------------------------------------------|---------------------------------------------------------------------------|-----------|---------|---------|---------|---------|-----------------|-----------------|-----------|
|                                                        |                                                                           | Sweden    | UK      | Norway  | Denmark | Finland | The Netherlands | Other countries | Total     |
| SEK m                                                  |                                                                           |           |         |         |         |         |                 |                 |           |
| 1                                                      | Central governments or central banks                                      | 66 723    | 87 252  | 26 354  | 18 567  | 114 620 | 7 999           | 60 969          | 382 484   |
| 2                                                      | Institutions                                                              | 8 879     | 1 524   | 1 991   | 1 129   | 615     | 891             | 8 758           | 23 787    |
| 3                                                      | Corporates                                                                | 745 397   | 224 358 | 227 720 | 58 940  | 126 461 | 5 674           | 64 374          | 1 452 924 |
| 4                                                      | Retail                                                                    | 886 230   | 897     | 109 935 | 74 507  | 45 883  | 184             | 6 219           | 1 123 855 |
| 5                                                      | Equity                                                                    | 2 357     |         | 69      | 600     | 1       |                 |                 | 3 027     |
| 6                                                      | Total IRB Approach                                                        | 1 709 586 | 314 031 | 366 069 | 153 743 | 287 580 | 14 748          | 140 320         | 2 986 077 |
| 7                                                      | Central governments or central banks                                      | 12        | 3       | 0       |         | 21      |                 | 0               | 36        |
| 8                                                      | Regional governments or local authorities                                 |           |         |         |         | 0       |                 |                 | 0         |
| 9                                                      | Public sector entities                                                    |           |         |         |         |         |                 |                 |           |
| 10                                                     | Multilateral development banks                                            |           |         |         |         |         |                 |                 |           |
| 11                                                     | International organisations                                               |           |         |         |         |         |                 |                 |           |
| 12                                                     | Institutions                                                              | 14        | 268     | 2       | 5       | 78      | 14              | 3 899           | 4 280     |
| 13                                                     | Corporates                                                                | 3 435     | 2877    | 1000    | 982     | 351     | 2175            | 3 537           | 14 357    |
| 14                                                     | Retail                                                                    | 5 350     | 8 312   | 2 120   | 5 131   | 1 903   | 673             | 1 330           | 24 819    |
| 15                                                     | Secured by mortgages on immovable property                                | 2 752     | 80 482  | 1111    | 192     | 70      | 57 001          | 5 732           | 147 340   |
| 16                                                     | Exposures in default                                                      | 479       | 90      | 5       | 8       | 1       |                 | 38              | 621       |
| 17                                                     | Items associated with particularly high risk                              |           | 17      |         |         |         | 9               |                 | 26        |
| 18                                                     | Covered bonds                                                             |           |         |         |         |         |                 |                 |           |
| 19                                                     | Claims on institutions and corporates with a short-term credit assessment |           |         |         |         |         |                 |                 |           |
| 20                                                     | Collective investments undertakings                                       | 151       |         |         |         |         |                 |                 | 151       |
| 21                                                     | Equity exposures                                                          | 6 220     |         |         |         |         |                 | 35              | 6 255     |
| 22                                                     | Other exposures                                                           | 2 856     | 369     | 509     | 68      | 370     | 49              | 736             | 4 957     |
| 23                                                     | Total standardised approach                                               | 21 269    | 92 418  | 4 747   | 6 386   | 2 794   | 59 921          | 15 307          | 202 842   |
| 24                                                     | Total                                                                     | 1 730 855 | 406 449 | 370 816 | 160 129 | 290 374 | 74 669          | 155 627         | 3 188 919 |

**EU CRB-C – Geographical breakdown of exposures 2018**

|       |                                                                           | Net value |         |         |         |         |                 |                 |           |
|-------|---------------------------------------------------------------------------|-----------|---------|---------|---------|---------|-----------------|-----------------|-----------|
| SEK m |                                                                           | Sweden    | UK      | Norway  | Denmark | Finland | The Netherlands | Other countries | Total     |
| 1     | Central governments or central banks                                      | 31 929    | 75 386  | 4 836   | 25 545  | 139 067 | 3 109           | 107 924         | 387 796   |
| 2     | Institutions                                                              | 9 407     | 896     | 1 095   | 1 554   | 543     | 683             | 7 930           | 22 108    |
| 3     | Corporates                                                                | 749 445   | 199 294 | 214 793 | 58 411  | 120 446 | 5 199           | 78 843          | 1 426 431 |
| 4     | Retail                                                                    | 857 580   | 1 148   | 100 358 | 71 264  | 46 600  | 181             | 6 398           | 1 083 529 |
| 5     | Equity                                                                    | 1 515     |         | 43      | 538     | 25      |                 |                 | 2 121     |
| 6     | Total IRB Approach                                                        | 1 649 876 | 276 724 | 321 125 | 157 312 | 306 681 | 9 172           | 201 095         | 2 921 985 |
| 7     | Central governments or central banks                                      | 30        |         |         |         | 20      |                 |                 | 50        |
| 8     | Regional governments or local authorities                                 |           |         |         |         |         |                 | 25              | 25        |
| 9     | Public sector entities                                                    |           |         |         |         |         |                 |                 |           |
| 10    | Multilateral development banks                                            |           |         |         |         |         |                 |                 |           |
| 11    | International organisations                                               |           |         |         |         |         |                 |                 |           |
| 12    | Institutions                                                              | 661       | 183     | 6       | 3       | 5       | 0               | 3 528           | 4 386     |
| 13    | Corporates                                                                | 5 409     | 2002    | 1511    | 698     | 325     | 1063            | 8 922           | 19 930    |
| 14    | Retail                                                                    | 4 879     | 8 181   | 1 891   | 4 048   | 1 087   | 675             | 633             | 21 394    |
| 15    | Secured by mortgages on immovable property                                | 1 554     | 75 314  | 762     | 63      | 41      | 44 519          | 4 874           | 127 127   |
| 16    | Exposures in default                                                      | 456       | 214     |         | 8       | 1       |                 | 39              | 718       |
| 17    | Items associated with particularly high risk                              |           |         |         |         |         |                 |                 |           |
| 18    | Covered bonds                                                             |           |         |         |         |         |                 |                 |           |
| 19    | Claims on institutions and corporates with a short-term credit assessment |           |         |         |         |         |                 |                 |           |
| 20    | Collective investments undertakings                                       |           |         |         |         |         |                 |                 |           |
| 21    | Equity exposures                                                          | 6 220     |         |         |         |         |                 | 35              | 6 255     |
| 22    | Other exposures                                                           | 5 795     | 393     | 400     | 140     | 560     | 40              | 1048            | 8 376     |
| 23    | Total standardised approach                                               | 25 004    | 86 287  | 4 570   | 4 960   | 2 039   | 46 297          | 19 104          | 188 261   |
| 24    | Total                                                                     | 1 674 880 | 363 011 | 325 695 | 162 272 | 308 720 | 55 469          | 220 199         | 3 110 246 |

**Table T11 EU CRB-D – Concentration of exposures by industry or counterparty types**

The table below shows the total exposure broken down by exposure class and industry at year-end. It comprises figures obtained using both the standardised and the IRB Approach. The total exposure has increased compared to the previous period.

**EU CRB-D – Concentration of exposures by industry or counterparty types 2019**

| SEK m                                                                                 | Agri-<br>culture,<br>forestry<br>and<br>fishing | Mining<br>and<br>quarrying | Manufac-<br>turing | Electricity,<br>gas,<br>steam<br>and air<br>conditio-<br>ning<br>supply | Water<br>supply | Cons-<br>truction | Wholesale<br>and retail<br>trade | Transport<br>and<br>storage | Accom-<br>modation<br>and food<br>service<br>activities | Informa-<br>tion and<br>communi-<br>cation | Financial<br>and<br>insurance<br>activities | Real<br>estate<br>activities | Profes-<br>sional,<br>scientific<br>and<br>technical<br>activities | Adminis-<br>trative<br>and<br>support<br>service<br>activities | Public<br>adminis-<br>tration and<br>defence,<br>compulsory<br>social<br>security | Education     | Human<br>health<br>services<br>and<br>social<br>work<br>activities | Arts,<br>entertain-<br>ment and<br>recreation | Other<br>services | Activities<br>of<br>house-<br>holds as<br>em-<br>ployers | Activities<br>of extra-<br>territorial<br>organisa-<br>tions and<br>bodies | Total            |
|---------------------------------------------------------------------------------------|-------------------------------------------------|----------------------------|--------------------|-------------------------------------------------------------------------|-----------------|-------------------|----------------------------------|-----------------------------|---------------------------------------------------------|--------------------------------------------|---------------------------------------------|------------------------------|--------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------------------------------|---------------|--------------------------------------------------------------------|-----------------------------------------------|-------------------|----------------------------------------------------------|----------------------------------------------------------------------------|------------------|
| 1 Central governments<br>or central banks                                             |                                                 |                            |                    | 1 759                                                                   | 446             |                   | 0                                |                             |                                                         |                                            |                                             | 1 062                        |                                                                    | 9                                                              | 14 304                                                                            | 7 845         | 6 463                                                              |                                               | 350 594           |                                                          | 2                                                                          | 382 484          |
| 2 Institutions                                                                        |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            | 11 798                                      |                              |                                                                    | 122                                                            | 2 769                                                                             |               |                                                                    |                                               | 9 028             |                                                          | 70                                                                         | 23 787           |
| 3 Corporates                                                                          | 20 590                                          | 5 652                      | 88 380             | 31 964                                                                  | 4 556           | 62 456            | 55 737                           | 26 006                      | 12 185                                                  | 4 426                                      | 66 243                                      | 804 216                      | 115 705                                                            | 14 897                                                         | 29 919                                                                            | 6 736         | 13 632                                                             | 4 051                                         | 82 823            | 1 361                                                    | 1 389                                                                      | 1 452 924        |
| 4 Retail                                                                              | 35 480                                          | 85                         | 5 056              | 325                                                                     | 127             | 12 932            | 12 058                           | 3 498                       | 2 673                                                   | 5 967                                      | 1 019                                       | 10 247                       | 23 586                                                             | 4 284                                                          | 20                                                                                | 4 184         | 6 698                                                              | 8 431                                         | 986 973           | 100                                                      | 111                                                                        | 1 123 854        |
| 5 Equity                                                                              |                                                 |                            |                    |                                                                         |                 | 7                 |                                  |                             |                                                         | 0                                          | 178                                         | 12                           | 93                                                                 |                                                                |                                                                                   |               |                                                                    |                                               | 2 738             |                                                          |                                                                            | 3 028            |
| <b>6 Total IRB Approach</b>                                                           | <b>56 070</b>                                   | <b>5 737</b>               | <b>93 436</b>      | <b>34 048</b>                                                           | <b>5 129</b>    | <b>75 395</b>     | <b>67 795</b>                    | <b>29 504</b>               | <b>14 858</b>                                           | <b>10 393</b>                              | <b>79 238</b>                               | <b>815 537</b>               | <b>139 384</b>                                                     | <b>19 312</b>                                                  | <b>47 012</b>                                                                     | <b>18 765</b> | <b>26 793</b>                                                      | <b>12 482</b>                                 | <b>1 432 156</b>  | <b>1 461</b>                                             | <b>1 572</b>                                                               | <b>2 986 077</b> |
| 7 Central governments<br>or central banks                                             |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                | 0                                                                                 |               |                                                                    |                                               | 36                |                                                          | 0                                                                          | 36               |
| 8 Regional governments<br>or local authorities                                        |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                | 0                                                                                 |               |                                                                    |                                               |                   |                                                          |                                                                            | 0                |
| 9 Public sector entities                                                              |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               |                   |                                                          |                                                                            |                  |
| 10 Multilateral<br>development banks                                                  |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               |                   |                                                          |                                                                            |                  |
| 11 International<br>organisations                                                     |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               |                   |                                                          |                                                                            |                  |
| 12 Institutions                                                                       | 5                                               |                            | 0                  |                                                                         |                 |                   |                                  |                             |                                                         |                                            | 685                                         |                              |                                                                    |                                                                | 618                                                                               |               |                                                                    |                                               | 2 972             |                                                          |                                                                            | 4 280            |
| 13 Corporates                                                                         | 8                                               | 3                          | 1 430              | 2                                                                       | 2               | 33                | 600                              | 1 060                       | 178                                                     | 13                                         | 808                                         | 2 435                        | 512                                                                | 73                                                             | 6                                                                                 | 1             | 16                                                                 | 18                                            | 7 150             | 0                                                        | 9                                                                          | 14 357           |
| 14 Retail                                                                             | 279                                             | 20                         | 231                | 7                                                                       | 12              | 315               | 391                              | 83                          | 147                                                     | 104                                        | 90                                          | 184                          | 519                                                                | 136                                                            | 708                                                                               | 40            | 137                                                                | 76                                            | 21 338            | 0                                                        | 2                                                                          | 24 819           |
| 15 Secured by mortgages<br>on immovable property                                      | 162                                             | 2                          | 21                 | 2                                                                       | 3               | 910               | 111                              | 32                          | 90                                                      | 41                                         | 6 779                                       | 15 846                       | 2 141                                                              | 42                                                             | 6                                                                                 | 11            | 66                                                                 | 117                                           | 120 953           |                                                          | 6                                                                          | 147 341          |
| 16 Exposures in default                                                               | 0                                               |                            | 0                  |                                                                         |                 | 2                 | 1                                | 0                           | 0                                                       | 0                                          |                                             | 6                            | 0                                                                  | 0                                                              | 0                                                                                 | 0             | 0                                                                  |                                               | 611               |                                                          | 1                                                                          | 621              |
| 17 Items associated with<br>particularly high risk                                    |                                                 |                            |                    |                                                                         |                 | 3                 |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               | 23                |                                                          |                                                                            | 26               |
| 18 Covered bonds                                                                      |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               |                   |                                                          |                                                                            |                  |
| 19 Claims on institutions<br>and corporates with a<br>short-term credit<br>assessment |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               |                   |                                                          |                                                                            |                  |
| 20 Collective investments<br>undertakings                                             |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               | 151               |                                                          |                                                                            | 151              |
| 21 Equity exposures                                                                   |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            | 6 188                                       |                              |                                                                    |                                                                |                                                                                   |               |                                                                    |                                               | 66                |                                                          |                                                                            | 6 254            |
| 22 Other exposures                                                                    | 1                                               | 0                          | 6                  | 0                                                                       | 0               | 1                 | 6                                | 0                           | 0                                                       | 0                                          | 0                                           | 44                           | 1                                                                  | 1                                                              | 5                                                                                 | 0             | 1                                                                  | 0                                             | 4 891             | 0                                                        | 0                                                                          | 4 957            |
| <b>23 Total standardised<br/>approach</b>                                             | <b>455</b>                                      | <b>25</b>                  | <b>1 688</b>       | <b>11</b>                                                               | <b>17</b>       | <b>1 264</b>      | <b>1 109</b>                     | <b>1 175</b>                | <b>415</b>                                              | <b>158</b>                                 | <b>14 550</b>                               | <b>18 515</b>                | <b>3 173</b>                                                       | <b>252</b>                                                     | <b>1 343</b>                                                                      | <b>52</b>     | <b>220</b>                                                         | <b>211</b>                                    | <b>158 191</b>    | <b>0</b>                                                 | <b>18</b>                                                                  | <b>202 842</b>   |
| <b>24 Total</b>                                                                       | <b>56 525</b>                                   | <b>5 762</b>               | <b>95 124</b>      | <b>34 059</b>                                                           | <b>5 146</b>    | <b>76 659</b>     | <b>68 904</b>                    | <b>30 679</b>               | <b>15 272</b>                                           | <b>10 551</b>                              | <b>93 788</b>                               | <b>834 052</b>               | <b>142 557</b>                                                     | <b>19 564</b>                                                  | <b>48 355</b>                                                                     | <b>18 817</b> | <b>27 014</b>                                                      | <b>12 693</b>                                 | <b>1 590 347</b>  | <b>1 461</b>                                             | <b>1 590</b>                                                               | <b>3 188 919</b> |

## EU CRB-D – Concentration of exposures by industry or counterparty types 2018

|       |                                                                           | Agri-<br>culture,<br>forestry<br>and<br>fishing | Mining<br>and<br>quarrying | Manufac-<br>turing | Electricity,<br>gas,<br>steam<br>and air<br>condition-<br>ing<br>supply | Water<br>supply | Const-<br>ruction | Wholesale<br>and retail<br>trade | Transport<br>and<br>storage | Accom-<br>modation<br>and food<br>service<br>activities | Informa-<br>tion and<br>communi-<br>cation | Financial<br>and<br>insurance<br>activities | Real<br>estate<br>activities | Profes-<br>sional,<br>scientific<br>and<br>technical<br>activities | Adminis-<br>trative<br>and<br>support<br>service<br>activities | Public<br>adminis-<br>tration and<br>defence,<br>compulsory<br>social<br>security | Education | Human<br>health<br>services<br>and<br>social<br>work<br>activities | Arts,<br>entertain-<br>ment and<br>recreation | Other<br>services | Activities<br>of house-<br>holds as<br>em-<br>ployers | Activities<br>of extra-<br>territorial<br>organisa-<br>tions and<br>bodies | Total     |
|-------|---------------------------------------------------------------------------|-------------------------------------------------|----------------------------|--------------------|-------------------------------------------------------------------------|-----------------|-------------------|----------------------------------|-----------------------------|---------------------------------------------------------|--------------------------------------------|---------------------------------------------|------------------------------|--------------------------------------------------------------------|----------------------------------------------------------------|-----------------------------------------------------------------------------------|-----------|--------------------------------------------------------------------|-----------------------------------------------|-------------------|-------------------------------------------------------|----------------------------------------------------------------------------|-----------|
| SEK m |                                                                           |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 1     | Central governments or central banks                                      |                                                 |                            |                    | 1 716                                                                   | 446             |                   | 1                                |                             |                                                         |                                            |                                             | 1 302                        |                                                                    | 2                                                              | 14 431                                                                            | 9 385     | 7 348                                                              |                                               | 353 163           |                                                       | 2                                                                          | 387 796   |
| 2     | Institutions                                                              | 7                                               |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            | 9 432                                       |                              |                                                                    |                                                                | 2 600                                                                             |           |                                                                    |                                               | 10 069            |                                                       | 0                                                                          | 22 108    |
| 3     | Corporates                                                                | 21 406                                          | 6 744                      | 82 990             | 31 361                                                                  | 4 471           | 65 182            | 50 151                           | 26 749                      | 10 674                                                  | 8 496                                      | 74 246                                      | 755 935                      | 120 863                                                            | 13 770                                                         | 14 699                                                                            | 7 066     | 18 148                                                             | 3 569                                         | 107 597           | 994                                                   | 1 321                                                                      | 1 426 432 |
| 5     | Equity                                                                    |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         | 0                                          | 18                                          |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               | 2 102             |                                                       |                                                                            | 2 120     |
| 6     | Total IRB Approach                                                        | 55 033                                          | 6 822                      | 88 060             | 33 413                                                                  | 5 058           | 77 741            | 61 527                           | 30 313                      | 13 207                                                  | 14 029                                     | 84 573                                      | 766 690                      | 143 044                                                            | 17 743                                                         | 31 751                                                                            | 20 203    | 31 693                                                             | 11 815                                        | 1 426 795         | 1 028                                                 | 1 447                                                                      | 2 921 985 |
| 7     | Central governments or central banks                                      |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               | 51                |                                                       |                                                                            | 51        |
| 8     | Regional governments or local authorities                                 |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               | 25                |                                                       |                                                                            | 25        |
| 9     | Public sector entities                                                    |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 10    | Multilateral development banks                                            |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 11    | International organisations                                               |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 12    | Institutions                                                              | 42                                              |                            | 0                  |                                                                         |                 |                   |                                  |                             |                                                         | 0                                          | 334                                         |                              |                                                                    |                                                                | 433                                                                               |           |                                                                    |                                               | 3 561             |                                                       | 16                                                                         | 4 386     |
| 13    | Corporates                                                                | 9                                               |                            | 1 389              | 1                                                                       | 2               | 53                | 401                              | 456                         | 0                                                       | 6                                          | 1 038                                       | 5 231                        | 1 264                                                              | 32                                                             |                                                                                   | 0         | 6                                                                  | 1                                             | 10 041            |                                                       | 0                                                                          | 19 930    |
| 14    | Retail                                                                    | 264                                             | 3                          | 178                | 10                                                                      | 7               | 227               | 277                              | 70                          | 96                                                      | 67                                         | 91                                          | 267                          | 408                                                                | 102                                                            | 11                                                                                | 29        | 120                                                                | 76                                            | 19 089            | 0                                                     | 2                                                                          | 21 394    |
| 15    | Secured by mortgages on immovable property                                | 106                                             | 4                          | 3                  |                                                                         |                 | 1 184             | 34                               | 6                           | 44                                                      | 33                                         | 5 307                                       | 14 334                       | 864                                                                | 8                                                              |                                                                                   | 4         | 43                                                                 | 86                                            | 105 061           |                                                       | 6                                                                          | 127 127   |
| 16    | Exposures in default                                                      | 0                                               |                            |                    |                                                                         | 0               | 2                 | 0                                | 0                           | 0                                                       |                                            |                                             | 7                            | 4                                                                  | 0                                                              |                                                                                   |           |                                                                    |                                               | 705               |                                                       |                                                                            | 718       |
| 17    | Items associated with particularly high risk                              |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 18    | Covered bonds                                                             |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 19    | Claims on institutions and corporates with a short-term credit assessment |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 20    | Collective investments undertakings                                       |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            |                                             |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               |                   |                                                       |                                                                            |           |
| 21    | Equity exposures                                                          |                                                 |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            | 6 188                                       |                              |                                                                    |                                                                |                                                                                   |           |                                                                    |                                               | 66                |                                                       |                                                                            | 6 254     |
| 22    | Other exposures                                                           | 1                                               |                            |                    |                                                                         |                 |                   |                                  |                             |                                                         |                                            | 0                                           |                              |                                                                    |                                                                | 5                                                                                 |           |                                                                    |                                               | 8 370             |                                                       |                                                                            | 8 376     |
| 23    | Total standardised approach                                               | 422                                             | 7                          | 1 570              | 11                                                                      | 9               | 1 466             | 712                              | 532                         | 140                                                     | 106                                        | 12 958                                      | 19 839                       | 2 540                                                              | 142                                                            | 449                                                                               | 33        | 169                                                                | 163                                           | 146 969           | 0                                                     | 24                                                                         | 188 261   |
| 24    | Total                                                                     | 55 455                                          | 6 829                      | 89 630             | 33 424                                                                  | 5 067           | 79 207            | 62 239                           | 30 845                      | 13 347                                                  | 14 135                                     | 97 531                                      | 786 529                      | 145 584                                                            | 17 885                                                         | 32 200                                                                            | 20 236    | 31 862                                                             | 11 978                                        | 1 573 764         | 1 028                                                 | 1 471                                                                      | 3 110 246 |

**Table T12 EU CRB-E – Maturity of exposures**

The table shows the total exposure broken down by exposure class and residual maturity at year-end. It comprises figures obtained using both the standardised and the IRB Approach. The total exposure has increased compared to the previous period.

| EU CRB-E – Maturity of exposures 2019 |                                                                           | Net exposure value |                |                      |                  |                    |
|---------------------------------------|---------------------------------------------------------------------------|--------------------|----------------|----------------------|------------------|--------------------|
| SEK m                                 |                                                                           | On demand          | < = 1 year     | > 1 year < = 5 years | > 5 years        | No stated maturity |
| 1                                     | Central governments or central banks                                      |                    | 361 274        | 8 794                | 12 366           | 50                 |
| 2                                     | Institutions                                                              |                    | 8 198          | 5 283                | 10 305           | 0                  |
| 3                                     | Corporates                                                                |                    | 346 035        | 629 065              | 477 799          | 25                 |
| 4                                     | Retail                                                                    |                    | 48 647         | 30 712               | 1 044 507        | -11                |
| 5                                     | Equity                                                                    |                    | 0              | 0                    | 0                | 3 028              |
| <b>6</b>                              | <b>Total IRB Approach</b>                                                 |                    | <b>764 154</b> | <b>673 854</b>       | <b>1 544 977</b> | <b>3 092</b>       |
| 7                                     | Central governments or central banks                                      |                    | 0              | 0                    | 0                | 36                 |
| 8                                     | Regional governments or local authorities                                 |                    |                |                      |                  |                    |
| 9                                     | Public sector entities                                                    |                    |                |                      |                  |                    |
| 10                                    | Multilateral development banks                                            |                    |                |                      |                  |                    |
| 11                                    | International organisations                                               |                    |                |                      |                  |                    |
| 12                                    | Institutions                                                              |                    | 4 071          | 134                  | 0                | 75                 |
| 13                                    | Corporates                                                                |                    | 4 803          | 4 278                | 2 248            | 3 028              |
| 14                                    | Retail                                                                    |                    | 3 079          | 2 724                | 9 533            | 9 483              |
| 15                                    | Secured by mortgages on immovable property                                |                    | 13 684         | 45 033               | 88 624           | 0                  |
| 16                                    | Exposures in default                                                      |                    | 85             | 4                    | 68               | 464                |
| 17                                    | Items associated with particularly high risk                              |                    | 5              | 2                    | 19               | 0                  |
| 18                                    | Covered bonds                                                             |                    |                |                      |                  |                    |
| 19                                    | Claims on institutions and corporates with a short-term credit assessment |                    |                |                      |                  |                    |
| 20                                    | Collective investments undertakings                                       |                    | 0              | 0                    | 0                | 151                |
| 21                                    | Equity exposures                                                          |                    | 0              | 0                    | 0                | 6 254              |
| 22                                    | Other exposures                                                           |                    | 67             | 67                   | 72               | 4 751              |
| <b>23</b>                             | <b>Total standardised approach</b>                                        |                    | <b>25 794</b>  | <b>52 242</b>        | <b>100 564</b>   | <b>24 242</b>      |
| <b>24</b>                             | <b>Total</b>                                                              |                    | <b>789 948</b> | <b>726 096</b>       | <b>1 645 541</b> | <b>27 334</b>      |

| EU CRB-E – Maturity of exposures 2018 |                                                                           | Net exposure value |                  |                      |                |                    |
|---------------------------------------|---------------------------------------------------------------------------|--------------------|------------------|----------------------|----------------|--------------------|
| SEK m                                 |                                                                           | On demand          | < = 1 year       | > 1 year < = 5 years | > 5 years      | No stated maturity |
| 1                                     | Central governments or central banks                                      |                    | 372 373          | 8 995                | 5 805          | 622                |
| 2                                     | Institutions                                                              |                    | 11 003           | 4 915                | 6 191          | 0                  |
| 3                                     | Corporates                                                                |                    | 668 826          | 613 363              | 144 150        | 93                 |
| 4                                     | Retail                                                                    |                    | 537 245          | 267 152              | 185 360        | 93 771             |
| 5                                     | Equity                                                                    |                    | 0                | 0                    | 0              | 2 121              |
| <b>6</b>                              | <b>Total IRB Approach</b>                                                 |                    | <b>1 589 447</b> | <b>894 425</b>       | <b>341 506</b> | <b>96 607</b>      |
| 7                                     | Central governments or central banks                                      |                    | 0                | 0                    | 0              | 51                 |
| 8                                     | Regional governments or local authorities                                 |                    | 25               | 0                    | 0              | 0                  |
| 9                                     | Public sector entities                                                    |                    |                  |                      |                |                    |
| 10                                    | Multilateral development banks                                            |                    |                  |                      |                |                    |
| 11                                    | International organisations                                               |                    |                  |                      |                |                    |
| 12                                    | Institutions                                                              |                    | 3 846            | 37                   | 0              | 504                |
| 13                                    | Corporates                                                                |                    | 12 335           | 2 306                | 791            | 4 498              |
| 14                                    | Retail                                                                    |                    | 2 317            | 1 477                | 1 538          | 16 061             |
| 15                                    | Secured by mortgages on immovable property                                |                    | 9 631            | 32 918               | 49 093         | 35 484             |
| 16                                    | Exposures in default                                                      |                    | 114              | 3                    | 49             | 553                |
| 17                                    | Items associated with particularly high risk                              |                    |                  |                      |                |                    |
| 18                                    | Covered bonds                                                             |                    |                  |                      |                |                    |
| 19                                    | Claims on institutions and corporates with a short-term credit assessment |                    |                  |                      |                |                    |
| 20                                    | Collective investments undertakings                                       |                    | 0                | 0                    | 0              | 6 254              |
| 21                                    | Equity exposures                                                          |                    | 151              | 1                    | 0              | 8 224              |
| 22                                    | Other exposures                                                           |                    |                  |                      |                |                    |
| <b>23</b>                             | <b>Total standardised approach</b>                                        |                    | <b>28 419</b>    | <b>36 742</b>        | <b>51 471</b>  | <b>71 629</b>      |
| <b>24</b>                             | <b>Total</b>                                                              |                    | <b>1 617 866</b> | <b>931 167</b>       | <b>392 977</b> | <b>168 236</b>     |

**Table T13 EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques**

The table shows gross risk exposure amount and net risk exposure amount after taking into account the impact of netting agreements and collateral posting. The information is broken down by exposure classes. Risk exposure amount is calculated using the Foundation IRB Approach and the Advanced IRB Approach, specified separately. Handelsbanken's risk exposure amount is not affected by credit derivatives.

| EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques 2019 |                                          | Pre-credit<br>derivatives RWAs | Actual RWAs    |
|----------------------------------------------------------------------------------------------|------------------------------------------|--------------------------------|----------------|
| SEK m                                                                                        |                                          |                                |                |
| <b>1</b>                                                                                     | <b>Exposures under FIRB</b>              | <b>46 900</b>                  | <b>46 900</b>  |
| 2                                                                                            | Central governments and central banks    | 7 022                          | 7 022          |
| 3                                                                                            | Institutions                             | 5 920                          | 5 920          |
| 4                                                                                            | Corporates – SMEs                        | 5 238                          | 5 238          |
| 5                                                                                            | Corporates – Specialised lending         |                                |                |
| 6                                                                                            | Corporates – Other                       | 28 720                         | 28 720         |
| <b>7</b>                                                                                     | <b>Exposures under AIRB</b>              | <b>475 964</b>                 | <b>475 964</b> |
| 8                                                                                            | Central governments and central banks    |                                |                |
| 9                                                                                            | Institutions                             |                                |                |
| 10                                                                                           | Corporates – SMEs                        | 115 757                        | 115 757        |
| 11                                                                                           | Corporates – Specialised lending         |                                |                |
| 12                                                                                           | Corporates – Other                       | 104 197                        | 104 197        |
| 13                                                                                           | Retail – Secured by real estate SMEs     | 4 407                          | 4 407          |
| 14                                                                                           | Retail – Secured by real estate non-SMEs | 237 335                        | 237 335        |
| 15                                                                                           | Retail – Qualifying revolving            |                                |                |
| 16                                                                                           | Retail – Other SMEs                      | 3 470                          | 3 470          |
| 17                                                                                           | Retail – Other non-SMEs                  | 10 798                         | 10 798         |
| 18                                                                                           | Equity IRB                               | 10 299                         | 10 299         |
| 19                                                                                           | Other non-credit obligation assets       | 6 946                          | 6 946          |
| <b>20</b>                                                                                    | <b>Total</b>                             | <b>540 109</b>                 | <b>540 109</b> |

**EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques 2018**

| EU CR7 – IRB Approach – Effect on the RWAs of credit derivatives used as CRM techniques 2018 |                                          | Pre-credit<br>derivatives RWAs | Actual RWAs    |
|----------------------------------------------------------------------------------------------|------------------------------------------|--------------------------------|----------------|
| SEK m                                                                                        |                                          |                                |                |
| <b>1</b>                                                                                     | <b>Exposures under FIRB</b>              | <b>51 738</b>                  | <b>51 738</b>  |
| 2                                                                                            | Central governments and central banks    | 7 599                          | 7 599          |
| 3                                                                                            | Institutions                             | 5 640                          | 5 640          |
| 4                                                                                            | Corporates – SMEs                        | 7 166                          | 7 166          |
| 5                                                                                            | Corporates – Specialised lending         |                                |                |
| 6                                                                                            | Corporates – Other                       | 31 333                         | 31 333         |
| <b>7</b>                                                                                     | <b>Exposures under AIRB</b>              | <b>467 474</b>                 | <b>467 474</b> |
| 8                                                                                            | Central governments and central banks    |                                |                |
| 9                                                                                            | Institutions                             |                                |                |
| 10                                                                                           | Corporates – SMEs                        | 116 965                        | 116 965        |
| 11                                                                                           | Corporates – Specialised lending         |                                |                |
| 12                                                                                           | Corporates – Other                       | 102 201                        | 102 201        |
| 13                                                                                           | Retail – Secured by real estate SMEs     | 2 237                          | 2 237          |
| 14                                                                                           | Retail – Secured by real estate non-SMEs | 224 755                        | 224 755        |
| 15                                                                                           | Retail – Qualifying revolving            |                                |                |
| 16                                                                                           | Retail – Other SMEs                      | 6 029                          | 6 029          |
| 17                                                                                           | Retail – Other non-SMEs                  | 15 287                         | 15 287         |
| 18                                                                                           | Equity IRB                               | 7 410                          | 7 410          |
| 19                                                                                           | Other non-credit obligation assets       | 2 240                          | 2 240          |
| <b>20</b>                                                                                    | <b>Total</b>                             | <b>528 862</b>                 | <b>528 862</b> |

**Table T14 EU CR4 – Standardised approach – Credit risk exposure and CRM effects**

The table shows exposures before and after credit conversion factors and credit risk mitigation, and risk exposure amounts and risk weights according to the standardised approach. The amounts and risk weights are specified by exposure class. The total exposure has increased compared to the previous year.

| EU CR4 – Standardised approach – Credit risk exposure and CRM effects 2019 |                                                                 | Exposures before CCF and CRM |                          | Exposures post CCF and CRM |                          | RWAs and RWA density |                |
|----------------------------------------------------------------------------|-----------------------------------------------------------------|------------------------------|--------------------------|----------------------------|--------------------------|----------------------|----------------|
| Exposure classes<br>SEK m                                                  |                                                                 | On-balance-sheet amount      | Off-balance-sheet amount | On-balance-sheet amount    | Off-balance-sheet amount | RWAs                 | RWA density, % |
| 1                                                                          | Central governments or central banks                            | 36                           | 0                        | 274                        | 79                       | 7                    | 1.90           |
| 2                                                                          | Regional governments or local authorities                       | 0                            | 0                        | 0                          | 0                        | 0                    | 0.00           |
| 3                                                                          | Public sector entities                                          |                              |                          |                            |                          |                      |                |
| 4                                                                          | Multilateral development banks                                  |                              |                          |                            |                          |                      |                |
| 5                                                                          | International organisations                                     |                              |                          |                            |                          |                      |                |
| 6                                                                          | Institutions                                                    | 1 812                        | 2 468                    | 2 063                      | 407                      | 618                  | 25.01          |
| 7                                                                          | Corporates                                                      | 6 977                        | 7 380                    | 6 164                      | 2 327                    | 8 404                | 98.98          |
| 8                                                                          | Retail                                                          | 14 256                       | 10 563                   | 7 308                      | 2 899                    | 7 446                | 72.96          |
| 9                                                                          | Secured by mortgages on immovable property                      | 139 447                      | 7 893                    | 139 434                    | 2 064                    | 50 652               | 35.80          |
| 10                                                                         | Exposures in default                                            | 578                          | 43                       | 577                        | 21                       | 725                  | 121.22         |
| 11                                                                         | Exposures associated with particularly high risk                | 26                           | 0                        | 26                         | 0                        | 39                   | 150.00         |
| 12                                                                         | Covered bonds                                                   |                              |                          |                            |                          |                      |                |
| 13                                                                         | Institutions and corporates with a short-term credit assessment |                              |                          |                            |                          |                      |                |
| 14                                                                         | Collective investments undertakings                             | 151                          | 0                        | 151                        | 0                        | 151                  | 100.00         |
| 15                                                                         | Equity                                                          | 6 254                        | 0                        | 6 254                      | 0                        | 15 636               | 250.00         |
| 16                                                                         | Other items                                                     | 4 920                        | 38                       | 3 226                      | 17                       | 2 907                | 89.61          |
| 17                                                                         | <b>Total</b>                                                    | <b>174 457</b>               | <b>28 385</b>            | <b>165 477</b>             | <b>7 814</b>             | <b>86 585</b>        | <b>49.97</b>   |

| EU CR4 – Standardised approach – Credit risk exposure and CRM effects 2018 |                                                                 | Exposures before CCF and CRM |                          | Exposures post CCF and CRM |                          | RWAs and RWA density |                |
|----------------------------------------------------------------------------|-----------------------------------------------------------------|------------------------------|--------------------------|----------------------------|--------------------------|----------------------|----------------|
| Exposure classes<br>SEK m                                                  |                                                                 | On-balance-sheet amount      | Off-balance-sheet amount | On-balance-sheet amount    | Off-balance-sheet amount | RWAs                 | RWA density, % |
| 1                                                                          | Central governments or central banks                            | 51                           | 0                        | 383                        | 21                       | 0                    | 0.00           |
| 2                                                                          | Regional governments or local authorities                       | 25                           | 0                        | 25                         | 0                        | 5                    | 20.00          |
| 3                                                                          | Public sector entities                                          |                              |                          |                            |                          |                      |                |
| 4                                                                          | Multilateral development banks                                  |                              |                          |                            |                          |                      |                |
| 5                                                                          | International organisations                                     |                              |                          |                            |                          |                      |                |
| 6                                                                          | Institutions                                                    | 2 153                        | 2 233                    | 2 304                      | 490                      | 762                  | 27.26          |
| 7                                                                          | Corporates                                                      | 8 889                        | 11 040                   | 7 850                      | 2 356                    | 10 117               | 99.12          |
| 8                                                                          | Retail                                                          | 11 136                       | 10 258                   | 6 772                      | 2 306                    | 6 779                | 74.67          |
| 9                                                                          | Secured by mortgages on immovable property                      | 117 980                      | 9 147                    | 117 980                    | 7 126                    | 46 680               | 37.31          |
| 10                                                                         | Exposures in default                                            | 692                          | 27                       | 692                        | 13                       | 878                  | 124.58         |
| 11                                                                         | Exposures associated with particularly high risk                |                              |                          |                            |                          |                      |                |
| 12                                                                         | Covered bonds                                                   |                              |                          |                            |                          |                      |                |
| 13                                                                         | Institutions and corporates with a short-term credit assessment |                              |                          |                            |                          |                      |                |
| 14                                                                         | Collective investments undertakings                             |                              |                          |                            |                          |                      |                |
| 15                                                                         | Equity                                                          | 6 254                        | 0                        | 6 254                      | 0                        | 15 636               | 250.00         |
| 16                                                                         | Other items                                                     | 8 245                        | 131                      | 6 578                      | 26                       | 6 295                | 95.31          |
| 17                                                                         | <b>Total</b>                                                    | <b>155 425</b>               | <b>32 836</b>            | <b>148 838</b>             | <b>12 338</b>            | <b>87 152</b>        | <b>54.07</b>   |

**Table T15 EU CR10 – IRB (specialised lending and equities)**

The following table shows carrying values, exposure amounts, risk-weighted assets and capital requirements for specialised lending and equity exposures. Risk-weighted assets are calculated using the simple risk-weighted approach. Risk-weighted assets has increased compared to the previous period.

| EU CR10 – IRB (specialised lending and equities) 2019 |                                     | Specialised lending     |                          |                |                 |      |                 |
|-------------------------------------------------------|-------------------------------------|-------------------------|--------------------------|----------------|-----------------|------|-----------------|
| SEK m                                                 |                                     |                         |                          |                |                 |      |                 |
| Regulatory categories                                 | Remaining maturity                  | On-balance-sheet amount | Off-balance-sheet amount | Risk weight, % | Exposure amount | RWAs | Expected losses |
| Category 1                                            | Less than 2.5 years                 |                         |                          | 50             |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 70             |                 |      |                 |
| Category 2                                            | Less than 2.5 years                 |                         |                          | 70             |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 90             |                 |      |                 |
| Category 3                                            | Less than 2.5 years                 |                         |                          | 115            |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 115            |                 |      |                 |
| Category 4                                            | Less than 2.5 years                 |                         |                          | 250            |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 250            |                 |      |                 |
| Category 5                                            | Less than 2.5 years                 |                         |                          | -              |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | -              |                 |      |                 |
| <b>Total</b>                                          | <b>Less than 2.5 years</b>          |                         |                          |                |                 |      |                 |
|                                                       | <b>Equal or more than 2.5 years</b> |                         |                          |                |                 |      |                 |

| Equities under the simple risk-weighted approach |  |                         |                          |                |                 |                      |
|--------------------------------------------------|--|-------------------------|--------------------------|----------------|-----------------|----------------------|
| SEK m                                            |  |                         |                          |                |                 |                      |
| Categories                                       |  | On-balance-sheet amount | Off-balance-sheet amount | Risk weight, % | Exposure amount | Capital requirements |
| Private equity exposures                         |  |                         |                          | 190            |                 |                      |
| Exchange-traded equity exposures                 |  | 1 129                   |                          | 290            | 1 129           | 262                  |
| Other equity exposures                           |  | 1 899                   |                          | 370            | 1 899           | 562                  |
| <b>Total</b>                                     |  | <b>3 028</b>            |                          |                | <b>3 028</b>    | <b>824</b>           |

| EU CR10 – IRB (specialised lending and equities) 2018 |                                     | Specialised lending     |                          |                |                 |      |                 |
|-------------------------------------------------------|-------------------------------------|-------------------------|--------------------------|----------------|-----------------|------|-----------------|
| SEK m                                                 |                                     |                         |                          |                |                 |      |                 |
| Regulatory categories                                 | Remaining maturity                  | On-balance-sheet amount | Off-balance-sheet amount | Risk weight, % | Exposure amount | RWAs | Expected losses |
| Category 1                                            | Less than 2.5 years                 |                         |                          | 50             |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 70             |                 |      |                 |
| Category 2                                            | Less than 2.5 years                 |                         |                          | 70             |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 90             |                 |      |                 |
| Category 3                                            | Less than 2.5 years                 |                         |                          | 115            |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 115            |                 |      |                 |
| Category 4                                            | Less than 2.5 years                 |                         |                          | 250            |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | 250            |                 |      |                 |
| Category 5                                            | Less than 2.5 years                 |                         |                          | -              |                 |      |                 |
|                                                       | Equal or more than 2.5 years        |                         |                          | -              |                 |      |                 |
| <b>Total</b>                                          | <b>Less than 2.5 years</b>          |                         |                          |                |                 |      |                 |
|                                                       | <b>Equal or more than 2.5 years</b> |                         |                          |                |                 |      |                 |

| Equities under the simple risk-weighted approach |  |                         |                          |                |                 |                      |
|--------------------------------------------------|--|-------------------------|--------------------------|----------------|-----------------|----------------------|
| SEK m                                            |  |                         |                          |                |                 |                      |
| Categories                                       |  | On-balance-sheet amount | Off-balance-sheet amount | Risk weight, % | Exposure amount | Capital requirements |
| Private equity exposures                         |  |                         |                          | 190            |                 |                      |
| Exchange-traded equity exposures                 |  | 545                     |                          | 290            | 545             | 126                  |
| Other equity exposures                           |  | 1 576                   |                          | 370            | 1 576           | 467                  |
| <b>Total</b>                                     |  | <b>2 121</b>            |                          |                | <b>2 121</b>    | <b>593</b>           |



**Table T16 EU CCR1 – Analysis of CCR exposure by approach**

The table shows the approach used to calculate credit counterparty risk (CCR) exposure and REA and the main parameters used within each approach. The risk exposure amount is in line with the previous period.

| EU CCR1 – Analysis of CCR exposure by approach 2019 |                                                       |           |                                       |                                  |       |            |              |        |
|-----------------------------------------------------|-------------------------------------------------------|-----------|---------------------------------------|----------------------------------|-------|------------|--------------|--------|
| SEK m                                               |                                                       | Notional  | Replacement cost/current market value | Potential future credit exposure | EEPE¹ | Multiplier | EAD post CRM | RWAs   |
| 1                                                   | Mark to market                                        | 1 686 406 | 32 147                                | 21 692                           |       |            | 53 839       | 11 215 |
| 2                                                   | Original exposure                                     |           |                                       |                                  |       |            |              |        |
| 3                                                   | Standardised approach                                 |           |                                       |                                  |       |            |              |        |
| 4                                                   | IMM (for derivatives and SFTs)                        |           |                                       |                                  |       |            |              |        |
| 5                                                   | Of which securities financing transactions            |           |                                       |                                  |       |            |              |        |
| 6                                                   | Of which derivatives and long settlement transactions |           |                                       |                                  |       |            |              |        |
| 7                                                   | Of which form contractual cross-product netting       |           |                                       |                                  |       |            |              |        |
| 8                                                   | Financial collateral simple method (for SFTs)         |           |                                       |                                  |       |            |              |        |
| 9                                                   | Financial collateral comprehensive method (for SFTs)  |           |                                       |                                  |       |            |              |        |
| 10                                                  | VaR for SFTs                                          |           |                                       |                                  |       |            |              |        |
| 11                                                  | Total                                                 | 1 686 406 | 32 147                                | 21 692                           |       |            | 53 839       | 11 215 |

<sup>1</sup> Effective expected positive exposure (EEPE): The weighted average of effective expected exposure over the first year of a netting set or, if all the contracts within the netting set mature within less than 1 year, over the time period of the longest maturity contract in the netting set, where the weights are the proportion of the entire time period that an individual expected exposure represents.

| EU CCR1 – Analysis of CCR exposure by approach 2018 |                                                       |                  |                                       |                                  |                   |            |               |               |
|-----------------------------------------------------|-------------------------------------------------------|------------------|---------------------------------------|----------------------------------|-------------------|------------|---------------|---------------|
| SEK m                                               |                                                       | Notional         | Replacement cost/current market value | Potential future credit exposure | EEPE <sup>1</sup> | Multiplier | EAD post CRM  | RWAs          |
| 1                                                   | Mark to market                                        | 1 839 044        | 63 252                                | 33 231                           |                   |            | 96 483        | 12 462        |
| 2                                                   | Original exposure                                     |                  |                                       |                                  |                   |            |               |               |
| 3                                                   | Standardised approach                                 |                  |                                       |                                  |                   |            |               |               |
| 4                                                   | IMM (for derivatives and SFTs)                        |                  |                                       |                                  |                   |            |               |               |
| 5                                                   | Of which securities financing transactions            |                  |                                       |                                  |                   |            |               |               |
| 6                                                   | Of which derivatives and long settlement transactions |                  |                                       |                                  |                   |            |               |               |
| 7                                                   | Of which form contractual cross-product netting       |                  |                                       |                                  |                   |            |               |               |
| 8                                                   | Financial collateral simple method (for SFTs)         |                  |                                       |                                  |                   |            |               |               |
| 9                                                   | Financial collateral comprehensive method (for SFTs)  |                  |                                       |                                  |                   |            |               |               |
| 10                                                  | VaR for SFTs                                          |                  |                                       |                                  |                   |            |               |               |
| <b>11</b>                                           | <b>Total</b>                                          | <b>1 839 044</b> | <b>63 252</b>                         | <b>33 231</b>                    |                   |            | <b>96 483</b> | <b>12 462</b> |

**Table T17 EU CCR2 – CVA capital charge**

The table shows exposure value and risk-weighted assets for credit value adjustment (CVA) broken down by approach. Risk-weighted assets have decreased compared to the previous year.

| EU CCR2 – CVA capital charge 2019 |                                                   | Exposure value | RWAs  |
|-----------------------------------|---------------------------------------------------|----------------|-------|
| SEK m                             |                                                   |                |       |
| 1                                 | Total portfolios subject to the advanced method   |                |       |
| 2                                 | (i) VaR component (including the 3x multiplier)   |                |       |
| 3                                 | (ii) SVaR component (including the 3x multiplier) |                |       |
| 4                                 | All portfolios subject to the standardised method | 16 529         | 4 114 |
| EU4                               | Based on the original exposure method             |                |       |
| 5                                 | Total subject to the CVA capital charge           | 16 529         | 4 114 |

| EU CCR2 – CVA capital charge 2018 |                                                   | Exposure value | RWAs  |
|-----------------------------------|---------------------------------------------------|----------------|-------|
| SEK m                             |                                                   |                |       |
| 1                                 | Total portfolios subject to the advanced method   |                |       |
| 2                                 | (i) VaR component (including the 3x multiplier)   |                |       |
| 3                                 | (ii) SVaR component (including the 3x multiplier) |                |       |
| 4                                 | All portfolios subject to the standardised method | 18 822         | 5 218 |
| EU4                               | Based on the original exposure method             |                |       |
| 5                                 | Total subject to the CVA capital charge           | 18 822         | 5 218 |

**Table T18 EU CCR3 – Standardised approach – CCR exposures by regulatory portfolio and risk**

The table shows EAD for credit counterparty risk (CCR) according to the standardised approach. Amounts are broken down by exposure class and risk weight. The regulatory capital requirement is in line with the previous period.

| EU CCR3 – Standardised approach – CCR exposures by regulatory portfolio and risk 2019 |                                                                 | Risk weight |              |    |     |          |     |     |     |           |          |      |        |              | Of which unrated |
|---------------------------------------------------------------------------------------|-----------------------------------------------------------------|-------------|--------------|----|-----|----------|-----|-----|-----|-----------|----------|------|--------|--------------|------------------|
| SEK m                                                                                 | Exposure classes                                                | 0%          | 2%           | 4% | 10% | 20%      | 35% | 50% | 70% | 75%       | 100%     | 150% | Others | Total        |                  |
| 1                                                                                     | Central governments or central banks                            |             |              |    |     |          |     |     |     |           |          |      |        |              |                  |
| 2                                                                                     | Regional governments or local authorities                       |             |              |    |     |          |     |     |     |           |          |      |        |              |                  |
| 3                                                                                     | Public sector entities                                          |             |              |    |     |          |     |     |     |           |          |      |        |              |                  |
| 4                                                                                     | Multilateral development banks                                  | 272         |              |    |     |          |     |     |     |           |          |      |        | 272          |                  |
| 5                                                                                     | International organisations                                     |             |              |    |     |          |     |     |     |           |          |      |        |              |                  |
| 6                                                                                     | Institutions                                                    | 0           | 7 165        |    |     | 4        |     |     |     |           |          |      |        | 7 169        |                  |
| 7                                                                                     | Corporates                                                      |             |              |    |     |          |     |     |     |           | 5        |      |        | 5            |                  |
| 8                                                                                     | Retail                                                          |             |              |    |     |          |     |     |     | 21        |          |      |        | 21           | 21               |
| 9                                                                                     | Institutions and corporates with a short-term credit assessment |             |              |    |     |          |     |     |     |           |          |      |        |              |                  |
| 10                                                                                    | Other items                                                     |             |              |    |     |          |     |     |     |           |          |      |        |              |                  |
| 11                                                                                    | <b>Total</b>                                                    | <b>272</b>  | <b>7 165</b> |    |     | <b>4</b> |     |     |     | <b>21</b> | <b>5</b> |      |        | <b>7 467</b> | <b>21</b>        |

| EU CCR3 – Standardised approach – CCR exposures by regulatory portfolio and risk 2018 |                                                                 | Risk weight |              |    |     |     |     |     |     |            |           |      |        |              | Of which unrated |
|---------------------------------------------------------------------------------------|-----------------------------------------------------------------|-------------|--------------|----|-----|-----|-----|-----|-----|------------|-----------|------|--------|--------------|------------------|
| SEK m                                                                                 | Exposure classes                                                | 0%          | 2%           | 4% | 10% | 20% | 35% | 50% | 70% | 75%        | 100%      | 150% | Others | Total        |                  |
| 1                                                                                     | Central governments or central banks                            |             |              |    |     |     |     |     |     |            |           |      |        |              |                  |
| 2                                                                                     | Regional governments or local authorities                       |             |              |    |     |     |     |     |     |            |           |      |        |              |                  |
| 3                                                                                     | Public sector entities                                          |             |              |    |     |     |     |     |     |            |           |      |        |              |                  |
| 4                                                                                     | Multilateral development banks                                  | 183         |              |    |     |     |     |     |     |            |           |      |        | 183          |                  |
| 5                                                                                     | International organisations                                     |             |              |    |     |     |     |     |     |            |           |      |        |              |                  |
| 6                                                                                     | Institutions                                                    |             | 6 776        |    |     |     |     |     |     |            |           |      |        | 6 776        |                  |
| 7                                                                                     | Corporates                                                      |             |              |    |     |     |     |     |     |            | 75        |      |        | 75           | 41               |
| 8                                                                                     | Retail                                                          |             |              |    |     |     |     |     |     | 120        |           |      |        | 120          | 120              |
| 9                                                                                     | Institutions and corporates with a short-term credit assessment |             |              |    |     |     |     |     |     |            |           |      |        |              |                  |
| 10                                                                                    | Other items                                                     |             |              |    |     |     |     |     |     |            |           |      |        |              |                  |
| 11                                                                                    | <b>Total</b>                                                    | <b>183</b>  | <b>6 776</b> |    |     |     |     |     |     | <b>120</b> | <b>75</b> |      |        | <b>7 154</b> | <b>161</b>       |

**Table T19 EU CCR4 – IRB Approach – CCR exposures by portfolio and PD scale**

The table shows credit counterparty risk (CCR) exposures and risk-weighted assets subject to the IRB Approach. Amounts are broken down by exposure class and obligor grade. The table further specifies average PD, average LGD and resulting risk weights. The total exposure has increased compared to the previous period.

| EU CCR4 – IRB Approach – CCR exposures by portfolio and PD scale 2019 |                  | EAD post CRM, SEK m | Average PD   | Number of obligors | Average LGD   | Average maturity, year | RWA, SEK m    | RWA density   |
|-----------------------------------------------------------------------|------------------|---------------------|--------------|--------------------|---------------|------------------------|---------------|---------------|
| SEK m                                                                 | PD scale         |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.00 to <0.15    | 3 918               | 0.00%        | 45                 | 44.65%        | 1.39                   | 76            | 1.94%         |
| Sovereign exposures                                                   | 0.15 to <0.25    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.25 to <0.50    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.50 to <0.75    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.75 to <2.50    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 2.50 to <10.00   |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 10.00 to <100.00 |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 100.00 (Default) |                     |              |                    |               |                        |               |               |
| <b>Sovereign exposures</b>                                            | <b>Sub-total</b> | <b>3 918</b>        | <b>0.00%</b> | <b>45</b>          | <b>44.65%</b> | <b>1.39</b>            | <b>76</b>     | <b>1.94%</b>  |
| Institution exposures                                                 | 0.00 to <0.15    | 24 768              | 0.09%        | 57                 | 22.73%        | 2.44                   | 4 793         | 19.35%        |
| Institution exposures                                                 | 0.15 to <0.25    | 14 370              | 0.21%        | 14                 | 14.78%        | 2.49                   | 2 973         | 20.69%        |
| Institution exposures                                                 | 0.25 to <0.50    |                     |              |                    |               |                        |               |               |
| Institution exposures                                                 | 0.50 to <0.75    | 1 952               | 0.56%        | 5                  | 17.04%        | 2.50                   | 749           | 38.39%        |
| Institution exposures                                                 | 0.75 to <2.50    | 19                  | 1.04%        | 2                  | 2.06%         | 2.41                   | 1             | 3.31%         |
| Institution exposures                                                 | 2.50 to <10.00   |                     |              |                    |               |                        |               |               |
| Institution exposures                                                 | 10.00 to <100.00 |                     |              |                    |               |                        |               |               |
| Institution exposures                                                 | 100.00 (Default) |                     |              |                    |               |                        |               |               |
| <b>Institution exposures</b>                                          | <b>Sub-total</b> | <b>41 109</b>       | <b>0.15%</b> | <b>78</b>          | <b>19.67%</b> | <b>2.46</b>            | <b>8 516</b>  | <b>20.72%</b> |
| Corporate exposures                                                   | 0.00 to <0.15    | 6 977               | 0.07%        | 768                | 42.98%        | 2.44                   | 1 565         | 22.44%        |
| Corporate exposures                                                   | 0.15 to <0.25    | 86                  | 0.16%        | 131                | 39.66%        | 2.50                   | 24            | 28.17%        |
| Corporate exposures                                                   | 0.25 to <0.50    | 1 027               | 0.34%        | 150                | 44.36%        | 2.50                   | 607           | 59.13%        |
| Corporate exposures                                                   | 0.50 to <0.75    | 59                  | 0.61%        | 107                | 43.77%        | 2.50                   | 38            | 63.48%        |
| Corporate exposures                                                   | 0.75 to <2.50    | 314                 | 1.48%        | 124                | 43.96%        | 2.50                   | 316           | 100.56%       |
| Corporate exposures                                                   | 2.50 to <10.00   | 31                  | 8.04%        | 23                 | 26.40%        | 2.50                   | 32            | 102.11%       |
| Corporate exposures                                                   | 10.00 to <100.00 | 11                  | 20.69%       | 14                 | 39.59%        | 2.50                   | 22            | 196.25%       |
| Corporate exposures                                                   | 100.00 (Default) | 4                   | 100.00%      | 2                  | 45.00%        | 2.50                   | 0             | 0.00%         |
| <b>Corporate exposures</b>                                            | <b>Sub-total</b> | <b>8 509</b>        | <b>0.26%</b> | <b>1 319</b>       | <b>43.09%</b> | <b>2.45</b>            | <b>2 604</b>  | <b>30.60%</b> |
| <b>Total (all portfolios)</b>                                         |                  | <b>53 536</b>       | <b>0.16%</b> | <b>1 442</b>       | <b>25.22%</b> | <b>2.38</b>            | <b>11 196</b> | <b>20.91%</b> |

| EU CCR4 – IRB Approach – CCR exposures by portfolio and PD scale 2018 |                  | EAD post CRM, SEK m | Average PD   | Number of obligors | Average LGD   | Average maturity, year | RWA, SEK m    | RWA density   |
|-----------------------------------------------------------------------|------------------|---------------------|--------------|--------------------|---------------|------------------------|---------------|---------------|
| SEK m                                                                 | PD scale         |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.00 to <0.15    | 8 228               | 0.00%        | 44                 | 20.89%        | 1.34                   | 96            | 1.16%         |
| Sovereign exposures                                                   | 0.15 to <0.25    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.25 to <0.50    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.50 to <0.75    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 0.75 to <2.50    |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 2.50 to <10.00   |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 10.00 to <100.00 |                     |              |                    |               |                        |               |               |
| Sovereign exposures                                                   | 100.00 (Default) |                     |              |                    |               |                        |               |               |
| <b>Sovereign exposures</b>                                            | <b>Sub-total</b> | <b>8 228</b>        | <b>0.00%</b> | <b>44</b>          | <b>20.89%</b> | <b>1.34</b>            | <b>96</b>     | <b>1.16%</b>  |
| Institution exposures                                                 | 0.00 to <0.15    | 45 041              | 0.07%        | 69                 | 14.46%        | 2.02                   | 4 639         | 10.30%        |
| Institution exposures                                                 | 0.15 to <0.25    | 17 462              | 0.19%        | 13                 | 14.42%        | 2.36                   | 3 369         | 19.29%        |
| Institution exposures                                                 | 0.25 to <0.50    | 6 329               | 0.49%        | 9                  | 9.11%         | 1.01                   | 1 200         | 18.96%        |
| Institution exposures                                                 | 0.50 to <0.75    |                     |              |                    |               |                        |               |               |
| Institution exposures                                                 | 0.75 to <2.50    | 32                  | 0.99%        | 3                  | 15.31%        | 0.10                   | 10            | 32.33%        |
| Institution exposures                                                 | 2.50 to <10.00   |                     |              |                    |               |                        |               |               |
| Institution exposures                                                 | 10.00 to <100.00 |                     |              |                    |               |                        |               |               |
| Institution exposures                                                 | 100.00 (Default) |                     |              |                    |               |                        |               |               |
| <b>Institution exposures</b>                                          | <b>Sub-total</b> | <b>68 864</b>       | <b>0.14%</b> | <b>94</b>          | <b>13.96%</b> | <b>2.01</b>            | <b>9 218</b>  | <b>13.39%</b> |
| Corporate exposures                                                   | 0.00 to <0.15    | 17 318              | 0.09%        | 843                | 20.26%        | 1.78                   | 1 785         | 10.31%        |
| Corporate exposures                                                   | 0.15 to <0.25    | 108                 | 0.17%        | 157                | 43.40%        | 0.85                   | 32            | 29.48%        |
| Corporate exposures                                                   | 0.25 to <0.50    | 987                 | 0.38%        | 162                | 44.90%        | 5.89                   | 600           | 60.76%        |
| Corporate exposures                                                   | 0.50 to <0.75    | 54                  | 0.64%        | 82                 | 40.46%        | 1.03                   | 31            | 58.20%        |
| Corporate exposures                                                   | 0.75 to <2.50    | 501                 | 1.77%        | 134                | 37.98%        | 1.80                   | 445           | 88.72%        |
| Corporate exposures                                                   | 2.50 to <10.00   | 11                  | 7.68%        | 16                 | 45.00%        | 3.19                   | 17            | 153.28%       |
| Corporate exposures                                                   | 10.00 to <100.00 | 34                  | 16.82%       | 13                 | 45.00%        | 0.44                   | 76            | 223.48%       |
| Corporate exposures                                                   | 100.00 (Default) | 0                   | 100.00%      | 1                  | 45.00%        | 0.10                   | 0             | 0.00%         |
| <b>Corporate exposures</b>                                            | <b>Sub-total</b> | <b>19 013</b>       | <b>0.18%</b> | <b>1 408</b>       | <b>22.25%</b> | <b>1.99</b>            | <b>2 986</b>  | <b>15.71%</b> |
| <b>Total (all portfolios)</b>                                         |                  | <b>96 105</b>       | <b>0.14%</b> | <b>1 546</b>       | <b>16.19%</b> | <b>1.95</b>            | <b>12 300</b> | <b>12.80%</b> |

**Table T20 EU CCR5-A – Impact of netting and collateral held on exposure values**

The table shows the impact of netting and collateral held on credit counterparty risk for derivatives and securities finance transactions.  
The total net exposure has decreased compared to the previous period.

| EU CCR5-A – Impact of netting and collateral held on exposure values 2019 |                       |                  |                  |                                |                     |
|---------------------------------------------------------------------------|-----------------------|------------------|------------------|--------------------------------|---------------------|
| SEK m                                                                     |                       | Gross fair value | Netting benefits | Netted current credit exposure | Net credit exposure |
| 1                                                                         | Derivatives           | 66 877           | -29 673          | 37 204                         | 7 182               |
| 2                                                                         | SFTs                  | 18 436           | -                | 18 436                         | 3 342               |
| 3                                                                         | Cross-product netting | -                | -                | -                              | -                   |
| 4                                                                         | <b>Total</b>          | <b>85 313</b>    | <b>-29 673</b>   | <b>55 640</b>                  | <b>10 524</b>       |

**EU CCR5-A – Impact of netting and collateral held on exposure values 2018**

| SEK m |                       | Gross fair value | Netting benefits | Netted current credit exposure | Collateral held | Net credit exposure |
|-------|-----------------------|------------------|------------------|--------------------------------|-----------------|---------------------|
| 1     | Derivatives           | 79 091           | -28 547          | 50 544                         | -43 805         | 6 739               |
| 2     | SFTs                  | 25 619           | 0                | 25 619                         | -21 579         | 4 040               |
| 3     | Cross-product netting | -                | -                | -                              | -               | -                   |
| 4     | <b>Total</b>          | <b>104 710</b>   | <b>-28 547</b>   | <b>76 163</b>                  | <b>-65 384</b>  | <b>10 779</b>       |

**Table T21 EU CCR5-B – Composition of collateral for exposures to CCR**

The table shows collateral posted or received to support or reduce counterparty credit risk (CCR) exposures related to derivative transactions and securities finance transactions, including transactions cleared through a CCP.

| EU CCR5-B – Composition of collateral for exposures to CCR 2019 |  | Collateral used in derivative transactions |               |                                 |              | Collateral used in SFTs           |                                 |
|-----------------------------------------------------------------|--|--------------------------------------------|---------------|---------------------------------|--------------|-----------------------------------|---------------------------------|
|                                                                 |  | Fair value of collateral received          |               | Fair value of posted collateral |              | Fair value of collateral received | Fair value of posted collateral |
| SEK m                                                           |  | Segregated                                 | Unsegregated  | Segregated                      | Unsegregated |                                   |                                 |
| <b>Total</b>                                                    |  | <b>129</b>                                 | <b>36 262</b> | <b>3 878</b>                    | <b>9 446</b> | <b>39 574</b>                     | <b>6 519</b>                    |

| EU CCR5-B – Composition of collateral for exposures to CCR 2018 |  | Collateral used in derivative transactions |               |                                 |              | Collateral used in SFTs           |                                 |
|-----------------------------------------------------------------|--|--------------------------------------------|---------------|---------------------------------|--------------|-----------------------------------|---------------------------------|
|                                                                 |  | Fair value of collateral received          |               | Fair value of posted collateral |              | Fair value of collateral received | Fair value of posted collateral |
| SEK m                                                           |  | Segregated                                 | Unsegregated  | Segregated                      | Unsegregated |                                   |                                 |
| <b>Total</b>                                                    |  |                                            | <b>49 615</b> | <b>3 451</b>                    | <b>6 133</b> | <b>5 051</b>                      | <b>7 841</b>                    |

**Table T22 EU CCR6 – Credit derivative exposures**

The table shows exposures to credit derivative transactions broken down to derivatives bought or sold as well as notional amounts and fair value. Total fair value have increased compared to the previous year.

| EU CCR6 – Credit derivative exposures 2019 | Credit derivative hedges |                 | Other credit derivatives |
|--------------------------------------------|--------------------------|-----------------|--------------------------|
|                                            | Protection bought        | Protection sold |                          |
| SEK m                                      |                          |                 |                          |
| <b>Notionals</b>                           |                          |                 |                          |
| Single-name credit default swaps           | 116                      | 3 904           |                          |
| Index credit default swaps                 | 66                       | 4 072           |                          |
| Total return swaps                         |                          |                 |                          |
| Credit options                             |                          |                 |                          |
| Other credit derivatives                   | 20                       | 1 034           |                          |
| <b>Total notionals</b>                     | <b>202</b>               | <b>9 010</b>    |                          |
| <b>Fair values</b>                         |                          |                 |                          |
| <i>Positive fair value (asset)</i>         | <i>7</i>                 | <i>729</i>      |                          |
| <i>Negative fair value (liability)</i>     | <i>41</i>                | <i>40</i>       |                          |

| EU CCR6 – Credit derivative exposures 2018 | Credit derivative hedges |                 | Other credit derivatives |
|--------------------------------------------|--------------------------|-----------------|--------------------------|
|                                            | Protection bought        | Protection sold |                          |
| SEK m                                      |                          |                 |                          |
| <b>Notionals</b>                           |                          |                 |                          |
| Single-name credit default swaps           | 58                       | 2 434           |                          |
| Index credit default swaps                 | 21                       | 3 000           |                          |
| Total return swaps                         |                          |                 |                          |
| Credit options                             |                          |                 |                          |
| Other credit derivatives                   | 10                       | 575             |                          |
| <b>Total notionals</b>                     | <b>89</b>                | <b>6 009</b>    |                          |
| <b>Fair values</b>                         |                          |                 |                          |
| <i>Positive fair value (asset)</i>         | <i>23</i>                | <i>111</i>      |                          |
| <i>Negative fair value (liability)</i>     | <i>12</i>                | <i>235</i>      |                          |

**Table T23 EU CCR8 – Exposures to CCPs**

The table shows exposures to QCCPs. The total exposure has increased compared to the previous period.

| <b>EU CCR8 – Exposures to CCPs 2019</b> |                                                                                                       |                     |             |
|-----------------------------------------|-------------------------------------------------------------------------------------------------------|---------------------|-------------|
| SEK m                                   |                                                                                                       | <b>EAD post CRM</b> | <b>RWAs</b> |
| <b>1</b>                                | <b>Exposures to QCCPs (total)</b>                                                                     | <b>7 254</b>        | <b>153</b>  |
| 2                                       | Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which     | 7 034               | 141         |
| 3                                       | (i) OTC derivatives                                                                                   | 6 942               | 139         |
| 4                                       | (ii) Exchange-traded derivatives                                                                      | 92                  | 2           |
| 5                                       | (iii) SFTs                                                                                            | -                   | -           |
| 6                                       | (iv) Netting sets where cross-product netting has been approved                                       | -                   | -           |
| 7                                       | Segregated initial margin                                                                             | -                   | -           |
| 8                                       | Non-segregated initial margin                                                                         | -                   | -           |
| 9                                       | Prefunded default fund contributions                                                                  | 220                 | 12          |
| 10                                      | Alternative calculation of own funds requirements for exposures                                       |                     |             |
| <b>11</b>                               | <b>Exposures to non-QCCPs (total)</b>                                                                 |                     |             |
| 12                                      | Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which | -                   | -           |
| 13                                      | (i) OTC derivatives                                                                                   |                     |             |
| 14                                      | (ii) Exchange-traded derivatives                                                                      |                     |             |
| 15                                      | (iii) SFTs                                                                                            |                     |             |
| 16                                      | (iv) Netting sets where cross-product netting has been approved                                       |                     |             |
| 17                                      | Segregated initial margin                                                                             |                     |             |
| 18                                      | Non-segregated initial margin                                                                         |                     |             |
| 19                                      | Prefunded default fund contributions                                                                  |                     |             |
| 20                                      | Unfunded default fund contributions                                                                   |                     |             |

| <b>EU CCR8 – Exposures to CCPs 2018</b> |                                                                                                       |                     |             |
|-----------------------------------------|-------------------------------------------------------------------------------------------------------|---------------------|-------------|
| SEK m                                   |                                                                                                       | <b>EAD post CRM</b> | <b>RWAs</b> |
| <b>1</b>                                | <b>Exposures to QCCPs (total)</b>                                                                     | <b>6 938</b>        | <b>141</b>  |
| 2                                       | Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which     | 6 776               | 136         |
| 3                                       | (i) OTC derivatives                                                                                   | 6 585               | 132         |
| 4                                       | (ii) Exchange-traded derivatives                                                                      | 191                 | 4           |
| 5                                       | (iii) SFTs                                                                                            | -                   | -           |
| 6                                       | (iv) Netting sets where cross-product netting has been approved                                       | -                   | -           |
| 7                                       | Segregated initial margin                                                                             | -                   | -           |
| 8                                       | Non-segregated initial margin                                                                         | -                   | -           |
| 9                                       | Prefunded default fund contributions                                                                  | 162                 | 5           |
| 10                                      | Alternative calculation of own funds requirements for exposures                                       |                     |             |
| <b>11</b>                               | <b>Exposures to non-QCCPs (total)</b>                                                                 |                     |             |
| 12                                      | Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which | -                   | -           |
| 13                                      | (i) OTC derivatives                                                                                   |                     |             |
| 14                                      | (ii) Exchange-traded derivatives                                                                      |                     |             |
| 15                                      | (iii) SFTs                                                                                            |                     |             |
| 16                                      | (iv) Netting sets where cross-product netting has been approved                                       |                     |             |
| 17                                      | Segregated initial margin                                                                             |                     |             |
| 18                                      | Non-segregated initial margin                                                                         |                     |             |
| 19                                      | Prefunded default fund contributions                                                                  |                     |             |
| 20                                      | Unfunded default fund contributions                                                                   |                     |             |

## OWN FUNDS

Table T24 Capital instruments main features, CET1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

| Capital instruments main features, CET1                                                                       |                                                  |                                                  |
|---------------------------------------------------------------------------------------------------------------|--------------------------------------------------|--------------------------------------------------|
| Issuer                                                                                                        | Svenska Handelsbanken AB                         | Svenska Handelsbanken AB                         |
| Unique identifier (e.g. CUSIP, ISIN or Bloomberg identifier for private placement)                            | SE0007100599                                     | SE0007100607                                     |
| Governing law(s) of the instrument                                                                            | Swedish law                                      | Swedish law                                      |
| <i>Regulatory treatment</i>                                                                                   |                                                  |                                                  |
| Transitional CRR rules                                                                                        | Common equity tier 1 capital                     | Common equity tier 1 capital                     |
| Post-transitional CRR rules                                                                                   | Common equity tier 1 capital                     | Common equity tier 1 capital                     |
| Eligible at solo/(sub)consolidated/solo & (sub)consolidated                                                   | Solo & (sub)consolidated                         | Solo & (sub)consolidated                         |
| Instrument type (types to be specified by each jurisdiction)                                                  | Share capital, class A                           | Share capital, class B                           |
| Amount recognised in regulatory capital (currency in million, as of most recent reporting date)               | SEK 11,616m                                      | SEK 211m                                         |
| Nominal amount of instrument                                                                                  | SEK 3,014m                                       | SEK 55m                                          |
| Issue price                                                                                                   | SEK 11,616m                                      | SEK 211m                                         |
| Redemption price                                                                                              | N/A                                              | N/A                                              |
| Accounting classification                                                                                     | Equity                                           | Equity                                           |
| Original date of issuance                                                                                     | 1871                                             | 1990                                             |
| Perpetual or dated                                                                                            | Perpetual                                        | Perpetual                                        |
| Original maturity date                                                                                        | N/A                                              | N/A                                              |
| Issuer call subject to the previous supervisory approval                                                      | N/A                                              | N/A                                              |
| Optional call date, contingent call dates and redemption amount                                               | N/A                                              | N/A                                              |
| Subsequent call dates, if applicable                                                                          | N/A                                              | N/A                                              |
| <i>Coupons/dividends</i>                                                                                      |                                                  |                                                  |
| Fixed or floating dividend/coupon                                                                             | N/A                                              | N/A                                              |
| Coupon rate and any related index                                                                             | N/A                                              | N/A                                              |
| Existence of a dividend stopper                                                                               | N/A                                              | N/A                                              |
| Fully discretionary, partially discretionary or mandatory (in terms of timing)                                | N/A                                              | N/A                                              |
| Fully discretionary, partially discretionary or mandatory (in terms of amount)                                | N/A                                              | N/A                                              |
| Existence of step-up or other incentive to redeem                                                             | No                                               | No                                               |
| Non-cumulative or cumulative                                                                                  | Non-cumulative                                   | Non-cumulative                                   |
| Convertible or non-convertible                                                                                | Non-convertible                                  | Non-convertible                                  |
| If convertible, conversion trigger(s)                                                                         | N/A                                              | N/A                                              |
| If convertible, fully or partially                                                                            | N/A                                              | N/A                                              |
| If convertible, conversion rate                                                                               | N/A                                              | N/A                                              |
| If convertible, mandatory or optional conversion                                                              | N/A                                              | N/A                                              |
| If convertible, specify instrument type convertible into                                                      | N/A                                              | N/A                                              |
| If convertible, specify issuer of instrument it converts into                                                 | N/A                                              | N/A                                              |
| Write-down features                                                                                           | No                                               | No                                               |
| If write-down, write-down trigger(s)                                                                          | N/A                                              | N/A                                              |
| If write-down, full or partial                                                                                | N/A                                              | N/A                                              |
| If write-down, permanent or temporary                                                                         | N/A                                              | N/A                                              |
| If temporary write-down, description of write-up mechanism                                                    | N/A                                              | N/A                                              |
| Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument) | Lowest, next senior is additional tier 1 capital | Lowest, next senior is additional tier 1 capital |
| Non-compliant transitioned features                                                                           | No                                               | No                                               |
| If yes, specify non-compliant features                                                                        | N/A                                              | N/A                                              |
| Non-compliant transitioned features                                                                           | No                                               | No                                               |
| If yes, specify non-compliant features                                                                        | N/A                                              | N/A                                              |

**Table T25 Capital instruments main features, AT1**

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

**Capital instruments main features, AT1**

|                                                                                                               |                                                                                       |                                                                                                                                                                                                                                                                                                           |
|---------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Issuer                                                                                                        | Svenska Handelsbanken AB                                                              | Svenska Handelsbanken AB                                                                                                                                                                                                                                                                                  |
| Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)                              | XS1194054166                                                                          | XS1952091202                                                                                                                                                                                                                                                                                              |
| Governing law(s) of the instrument                                                                            | Mainly English law, Swedish insolvency law                                            | Mainly English law, Swedish insolvency law                                                                                                                                                                                                                                                                |
| <i>Regulatory treatment</i>                                                                                   |                                                                                       |                                                                                                                                                                                                                                                                                                           |
| Transitional CRR rules                                                                                        | Additional tier 1 capital                                                             | Additional tier 1 capital                                                                                                                                                                                                                                                                                 |
| Post-transitional CRR rules                                                                                   | Tier 1 capital                                                                        | Tier 1 capital                                                                                                                                                                                                                                                                                            |
| Eligible at solo/(sub)consolidated/solo & (sub)consolidated                                                   | Solo & (sub)consolidated                                                              | Solo & (sub)consolidated                                                                                                                                                                                                                                                                                  |
| Instrument type (types to be specified by each jurisdiction)                                                  | Additional tier 1 capital                                                             | Additional tier 1 capital                                                                                                                                                                                                                                                                                 |
| Amount recognised in regulatory capital (currency in million, at most recent reporting date)                  | SEK 11,185m                                                                           | SEK 4,633m                                                                                                                                                                                                                                                                                                |
| Nominal amount of instrument                                                                                  | USD 1,200m                                                                            | USD 500m                                                                                                                                                                                                                                                                                                  |
| Issue price                                                                                                   | 100%                                                                                  | 100%                                                                                                                                                                                                                                                                                                      |
| Redemption price                                                                                              | 100%                                                                                  | 100%                                                                                                                                                                                                                                                                                                      |
| Accounting classification                                                                                     | Liability – amortised cost                                                            | Liability – amortised cost                                                                                                                                                                                                                                                                                |
| Original date of issuance                                                                                     | 25 Feb 2015                                                                           | 22 Feb 2019                                                                                                                                                                                                                                                                                               |
| Perpetual or dated                                                                                            | Perpetual                                                                             | Perpetual                                                                                                                                                                                                                                                                                                 |
| Original maturity date                                                                                        | No maturity date                                                                      | No maturity date                                                                                                                                                                                                                                                                                          |
| Issuer call subject to the previous supervisory approval                                                      | Yes                                                                                   | Yes                                                                                                                                                                                                                                                                                                       |
| Optional call date, contingent call dates and redemption amount                                               | 1 Mar 2021, Tax/Regulatory call, 100% of nominal amount                               | 1 Mar 2024, Tax/Regulatory call, 100% of nominal amount                                                                                                                                                                                                                                                   |
| Subsequent call dates, if applicable                                                                          | Callable each subsequent interest reset date after first redemption date              | Callable each subsequent interest reset date after first redemption date                                                                                                                                                                                                                                  |
| <i>Coupons/dividends</i>                                                                                      |                                                                                       |                                                                                                                                                                                                                                                                                                           |
| Fixed or floating dividend/coupon                                                                             | Fixed                                                                                 | Fixed                                                                                                                                                                                                                                                                                                     |
| Coupon rate and any related index                                                                             | 5.25%                                                                                 | 6.25%                                                                                                                                                                                                                                                                                                     |
| Existence of a dividend stopper                                                                               | No                                                                                    | No                                                                                                                                                                                                                                                                                                        |
| Fully discretionary, partially discretionary or mandatory (in terms of timing)                                | N/A                                                                                   | N/A                                                                                                                                                                                                                                                                                                       |
| Fully discretionary, partially discretionary or mandatory (in terms of amount)                                | N/A                                                                                   | N/A                                                                                                                                                                                                                                                                                                       |
| Existence of step-up or other incentive to redeem                                                             | No                                                                                    | No                                                                                                                                                                                                                                                                                                        |
| Non-cumulative or cumulative                                                                                  | Non-cumulative                                                                        | Non-cumulative                                                                                                                                                                                                                                                                                            |
| Convertible or non-convertible                                                                                | Non-convertible                                                                       | Convertible                                                                                                                                                                                                                                                                                               |
| If convertible, conversion trigger(s)                                                                         | N/A                                                                                   | Common equity tier 1 ratio 8% consolidated, 5.125% parent company                                                                                                                                                                                                                                         |
| If convertible, fully or partially                                                                            | N/A                                                                                   | Fully                                                                                                                                                                                                                                                                                                     |
| If convertible, conversion rate                                                                               | N/A                                                                                   | The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the SEK equivalent of the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share. |
| If convertible, mandatory or optional conversion                                                              | N/A                                                                                   | Mandatory                                                                                                                                                                                                                                                                                                 |
| If convertible, specify instrument type convertible into                                                      | N/A                                                                                   | Share capital, class A                                                                                                                                                                                                                                                                                    |
| If convertible, specify issuer of instrument it converts into                                                 | N/A                                                                                   | Svenska Handelsbanken AB                                                                                                                                                                                                                                                                                  |
| Write-down features                                                                                           | Yes                                                                                   | No                                                                                                                                                                                                                                                                                                        |
| If write-down, write-down trigger(s)                                                                          | Common equity tier 1 ratio 8% consolidated, 5.125% parent company                     | N/A                                                                                                                                                                                                                                                                                                       |
| If write-down, full or partial                                                                                | Full or partial                                                                       | N/A                                                                                                                                                                                                                                                                                                       |
| If write-down, permanent or temporary                                                                         | Temporary                                                                             | N/A                                                                                                                                                                                                                                                                                                       |
| If temporary write-down, description of write-up mechanism                                                    | Fully discretionary                                                                   | N/A                                                                                                                                                                                                                                                                                                       |
| Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument) | Subordinate to all instruments except shares, next in priority are subordinated loans | Subordinate to all instruments except shares, next in priority are subordinated loans                                                                                                                                                                                                                     |
| Non-compliant transitioned features                                                                           | N/A                                                                                   | N/A                                                                                                                                                                                                                                                                                                       |
| If yes, specify non-compliant features                                                                        | N/A                                                                                   | N/A                                                                                                                                                                                                                                                                                                       |



Table T26 Capital instruments main features, T2

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 1423/2013.

## Capital instruments main features, T2

| Issuer                                                                                                        | Svenska Handelsbanken AB<br>XS1717456914                                   | Svenska Handelsbanken AB<br>XS1717459694                                   | Svenska Handelsbanken AB<br>XS1782803503                | Svenska Handelsbanken AB<br>XS1875333178                |
|---------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|----------------------------------------------------------------------------|---------------------------------------------------------|---------------------------------------------------------|
| Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)                              |                                                                            |                                                                            |                                                         |                                                         |
| Governing law(s) of the instrument                                                                            | Mainly English law, Swedish insolvency law                                 | Mainly English law, Swedish insolvency law                                 | Mainly English law, Swedish insolvency law              | Mainly English law, Swedish insolvency law              |
| <i>Regulatory treatment</i>                                                                                   |                                                                            |                                                                            |                                                         |                                                         |
| Transitional CRR rules                                                                                        | Tier 2 capital                                                             | Tier 2 capital                                                             | Tier 2 capital                                          | Tier 2 capital                                          |
| Post-transitional CRR rules                                                                                   | Tier 2 capital                                                             | Tier 2 capital                                                             | Tier 2 capital                                          | Tier 2 capital                                          |
| Eligible at solo/(sub)consolidated/solo & (sub)consolidated                                                   | Solo & (sub)consolidated                                                   | Solo & (sub)consolidated                                                   | Solo & (sub)consolidated                                | Solo & (sub)consolidated                                |
| Instrument type (types to be specified by each jurisdiction)                                                  | Subordinated loan                                                          | Subordinated loan                                                          | Subordinated loan                                       | Subordinated loan                                       |
| Amount recognised in regulatory capital (currency in million, at most recent reporting date)                  | SEK 1,298m                                                                 | SEK 1,698m                                                                 | SEK 7,822m                                              | SEK 7,821m                                              |
| Nominal amount of instrument                                                                                  | SEK 1,300m                                                                 | SEK 1,700m                                                                 | EUR 750m                                                | EUR 750m                                                |
| Issue price                                                                                                   | 100%                                                                       | 100%                                                                       | 99.923%                                                 | 99.962%                                                 |
| Redemption price                                                                                              | 100%                                                                       | 100%                                                                       | 100%                                                    | 100%                                                    |
| Accounting classification                                                                                     | Liability – amortised cost                                                 | Liability – amortised cost                                                 | Liability – amortised cost                              | Liability – amortised cost                              |
| Original date of issuance                                                                                     | 15 Nov 2017                                                                | 15 Nov 2017                                                                | 2 Mar 2018                                              | 5 Sep 2018                                              |
| Perpetual or dated                                                                                            | Dated                                                                      | Dated                                                                      | Dated                                                   | Dated                                                   |
| Original maturity date                                                                                        | 15 Nov 2027                                                                | 15 Nov 2027                                                                | 2 Mar 2028                                              | 5 Mar 2029                                              |
| Issuer call subject to the previous supervisory approval                                                      | Yes                                                                        | Yes                                                                        | Yes                                                     | Yes                                                     |
| Optional call date, contingent call dates and redemption amount                                               | 15 Nov 2022, Tax/Regulatory call, 100% of nominal amount                   | 15 Nov 2022, Tax/Regulatory call, 100% of nominal amount                   | 2 Mar 2023, Tax/Regulatory call, 100% of nominal amount | 5 Mar 2024, Tax/Regulatory call, 100% of nominal amount |
| Subsequent call dates, if applicable                                                                          | Callable each subsequent interest payment date after first redemption date | Callable each subsequent interest payment date after first redemption date | N/A                                                     | N/A                                                     |
| <i>Coupons/dividends</i>                                                                                      |                                                                            |                                                                            |                                                         |                                                         |
| Fixed or floating dividend/coupon                                                                             | Fixed                                                                      | Floating                                                                   | Fixed                                                   | Fixed                                                   |
| Coupon rate and any related index                                                                             | 1.41%                                                                      | 1.089%                                                                     | 1.25%                                                   | 1.625%                                                  |
| Existence of a dividend stopper                                                                               | No                                                                         | No                                                                         | No                                                      | No                                                      |
| Fully discretionary, partially discretionary or mandatory (in terms of timing)                                | Mandatory                                                                  | Mandatory                                                                  | Mandatory                                               | Mandatory                                               |
| Fully discretionary, partially discretionary or mandatory (in terms of amount)                                | Mandatory                                                                  | Mandatory                                                                  | Mandatory                                               | Mandatory                                               |
| Existence of step-up or other incentive to redeem                                                             | No                                                                         | No                                                                         | No                                                      | No                                                      |
| Non-cumulative or cumulative                                                                                  | Non-cumulative                                                             | Non-cumulative                                                             | Non-cumulative                                          | Non-cumulative                                          |
| Convertible or non-convertible                                                                                | Non-convertible                                                            | Non-convertible                                                            | Non-convertible                                         | Non-convertible                                         |
| If convertible, conversion trigger(s)                                                                         | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If convertible, full or partial                                                                               | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If convertible, conversion rate                                                                               | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If convertible, mandatory or optional conversion                                                              | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If convertible, specify instrument type convertible into                                                      | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If convertible, specify issuer of instrument it converts into                                                 | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| Write-down features                                                                                           | No                                                                         | No                                                                         | No                                                      | No                                                      |
| If write-down, write-down trigger(s)                                                                          | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If write-down, full or partial                                                                                | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If write-down, permanent or temporary                                                                         | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| If temporary write-down, description of write-up mechanism                                                    | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |
| Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument) | Subordinate to all senior lending                                          | Subordinate to all senior lending                                          | Subordinate to all senior lending                       | Subordinate to all senior lending                       |
| Non-compliant transitioned features                                                                           | No                                                                         | No                                                                         | No                                                      | No                                                      |
| If yes, specify non-compliant features                                                                        | N/A                                                                        | N/A                                                                        | N/A                                                     | N/A                                                     |

# Reference table for CRR pursuant to EBA/GL/2016/11

This report, Risk and Capital – Information according to Pillar 3, together with the Bank's Annual Report, provides information as stipulated in the disclosure requirements regarding risk and capital management in Part Eight of Regulation (EU) No 575/2013 (CRR). For each article, the reference table below states in which of the two publications the information can be found.

Requirements on disclosures regarding banks' risk and capital management are stipulated in the accounting and capital requirement regulations. As of 2019, the risk and capital information that is applicable in order to fulfil both sets of regulations is presented in note G2 and note G49 of Handelsbanken's Annual Report for 2019.

The disclosures that are specific to CRR can be found in this report in the form of quantitative information to be provided as stipulated in EBA/GL/2016/11 and explanatory texts to the tables.

More information about Handelsbanken's management of operational risk, compliance risk, risks in the remuneration system, risks in the insurance operations, market risk, funding and liquidity risk can be found in note G2 of the Annual Report. Information about own funds and the capital requirement is also presented in the Annual Report, note G49. Information to be provided quarterly as stipulated in EBA/GL/2016/11 is published on Handelsbanken's website. For each article in Part Eight of Regulation (EU) No 575/2013 (CRR), the reference table below states in which of the two publications the information can be found.

| Article in CRR     | Description                                                                                                                      | Reference in Risk and Capital – Information according to Pillar 3                                                                                                   | Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website                                                                                                                                                                                                                                     |
|--------------------|----------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Title I</b>     | <b>General principles</b>                                                                                                        |                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                    |
| <b>Article 431</b> | <b>Scope of disclosure requirements</b>                                                                                          |                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                    |
| 1                  | General disclosure requirements                                                                                                  | This report, Risk and Capital – Information according to Pillar 3                                                                                                   | <a href="http://www.handelsbanken.com/en/investor-relations">www.handelsbanken.com/en/investor-relations</a>                                                                                                                                                                                                                       |
| 2                  | Requirement to disclose information about operational risk                                                                       | Section: Operational risk – Capital requirements for operational risk, page 57                                                                                      | Section: Operational Risk, page 127                                                                                                                                                                                                                                                                                                |
| 3                  | Requirement to have a formal policy to comply with the disclosure requirements                                                   | Section: Signatures of the CEO, CFO and CRO, page 90                                                                                                                |                                                                                                                                                                                                                                                                                                                                    |
| 4                  | Upon request, explanations of rating decisions to SMEs or other corporate applicants for loans                                   | Can be provided upon request                                                                                                                                        |                                                                                                                                                                                                                                                                                                                                    |
| <b>Article 432</b> | <b>Non-material, proprietary or confidential information</b>                                                                     |                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                    |
| 1–4                | Institutions may exclude non-material, proprietary or confidential information under certain conditions                          | Section: Information items not disclosed under EBA/GL/2014/14, page 89                                                                                              |                                                                                                                                                                                                                                                                                                                                    |
| <b>Article 433</b> | <b>Frequency of disclosure</b>                                                                                                   |                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                    |
|                    | Frequency requirements for publishing disclosures of Pillar 3 information                                                        | Sections: Introduction. In accordance with EBA/GL/2016/11, in conjunction with the publication of annual, semi-annual and quarterly financial information, page 2,3 | Section: Financial calendar                                                                                                                                                                                                                                                                                                        |
| <b>Article 434</b> | <b>Means of disclosures</b>                                                                                                      |                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                    |
| 1                  | Information medium for Pillar 3 disclosures and references to equivalent data in other media                                     | This report, Risk and Capital – Information according to Pillar 3, this table, and in the text where applicable                                                     | Handelsbanken's Annual Report and interim reports                                                                                                                                                                                                                                                                                  |
| 2                  | Reference to the locations where equivalent disclosures that fulfil CRR, accounting, listing or other requirements are published | This table, Reference table for CRR pursuant to EBA/GL/2016/11                                                                                                      |                                                                                                                                                                                                                                                                                                                                    |
| <b>Title II</b>    | <b>Technical criteria on transparency and disclosure</b>                                                                         |                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                    |
| <b>Article 435</b> | <b>Risk management objectives and policies</b>                                                                                   |                                                                                                                                                                     |                                                                                                                                                                                                                                                                                                                                    |
| 1 a                | Strategies and processes to manage the risks                                                                                     | Sections: Credit risk – Counterparty credit risks, page 51                                                                                                          | Handelsbanken's Annual Report, note G2, sections: Risk management – Risk strategy – Resilient risk management, page 96; Market risk, page 117; Funding and Liquidity risks, page 121; Operational risk, page 127; Compliance risk, page 130; Risk in the remuneration system, page 131; Risk in the insurance operations, page 131 |
| 1 b                | Structure and organisation of the risk management organisation including its authority and statutes                              | Sections: Credit risk – Counterparty credit risks, page 51                                                                                                          | Handelsbanken's Annual Report, note G2, sections: Risk management – Risk strategy – Resilient risk management, page 96; Market risk, page 117; Funding and Liquidity risks, page 121; Operational risk, page 127; Compliance risk, page 130; Risk in the remuneration system, page 131; Risk in the insurance operations, page 131 |
| 1 c                | Scope and nature of risk reporting and measurement systems                                                                       | Sections: Credit risk – Counterparty credit risks, page 51                                                                                                          | Handelsbanken's Annual Report, note G2, sections: Risk management – Risk strategy – Resilient risk management, page 96; Market risk, page 117; Funding and Liquidity risks, page 121; Operational risk, page 127; Compliance risk, page 130; Risk in the remuneration system, page 131; Risk in the insurance operations, page 131 |

| Article in CRR     | Description                                                                                                                                                                   | Reference in Risk and Capital – Information according to Pillar 3                                                                                                                                                                     | Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website                                                                                                                                                                         |
|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1 d                | Policies for hedging and mitigating risk                                                                                                                                      | Section: Credit risk – Counterparty credit risks, page 51                                                                                                                                                                             | Handelsbanken's Annual Report, note G2, sections: Market risk, page 117<br>Funding and Liquidity risks, page 121<br>Operational risk, page 127<br>Compliance risk, page 130<br>Risk in the remuneration system, page 131<br>Risk in the insurance operations, page 131 |
| 1 e                | Declaration of conformity that the risk management system is fit-for-purpose in relation to the institution's profile and strategy                                            |                                                                                                                                                                                                                                       | Handelsbanken's Annual Report, note G2, section: Risk management – The Board's risk declaration and risk statement, page 98                                                                                                                                            |
| 1 f                | Risk statement with overall risk profile                                                                                                                                      |                                                                                                                                                                                                                                       | Handelsbanken's Annual Report, note G2, section: Risk management – The Board's risk declaration and risk statement, page 98                                                                                                                                            |
| 2 a-c              | Corporate governance disclosures                                                                                                                                              |                                                                                                                                                                                                                                       | Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 63                                                                                                                                               |
| 2 d                | Whether or not the institution has set up a separate risk committee                                                                                                           |                                                                                                                                                                                                                                       | Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 63                                                                                                                                               |
| 2 e                | Description of the information flow on risk to the management body                                                                                                            |                                                                                                                                                                                                                                       | Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report; Note G2 Section Risk management – Risk organisation – Reporting and monitoring the risk and capital situation, page 98                                |
| <b>Article 436</b> | <b>Scope of application</b>                                                                                                                                                   |                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                        |
| a                  | Name of the institution to which the requirements in CRR apply                                                                                                                | The inside front cover of this report                                                                                                                                                                                                 |                                                                                                                                                                                                                                                                        |
| b i-iv             | Outline of the differences in the basis of consolidation for accounting and prudential purposes                                                                               |                                                                                                                                                                                                                                       | Handelsbanken's Annual Report note G2, section: Market risk – Prudent valuation, page 120                                                                                                                                                                              |
| c                  | Current or foreseen material practical or legal impediments to the prompt transfer of own funds or repayment of liabilities among the parent undertaking and its subsidiaries | Section: Own funds and capital requirement – Own funds, page 4                                                                                                                                                                        |                                                                                                                                                                                                                                                                        |
| d                  | Amount by which own funds are less than required in those subsidiaries not included in the consolidation                                                                      | Section: Introduction, page 2                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                        |
| e                  | If applicable, the circumstance of making use of the provisions laid down in Articles 7 and 9                                                                                 | Not applicable                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                        |
| <b>Article 437</b> | <b>Own funds</b>                                                                                                                                                              |                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                        |
| 1 a                | General disclosure requirements regarding own funds                                                                                                                           | Section: Own funds and capital requirement, Table 2.2 Own funds, page 6-7                                                                                                                                                             | Handelsbanken's Annual Report, note G49, page 181-183                                                                                                                                                                                                                  |
| 1 b                | Description of the main features of capital instruments                                                                                                                       | Section: Tables - T24 Capital instruments main features CET1 ; T25 Capital instruments main features, AT1; T26 Capital instruments main features, T2, page 78-80                                                                      | Handelsbanken's Annual Report, note G49, page 181-183                                                                                                                                                                                                                  |
| 1 c                | Full terms and conditions of capital instruments                                                                                                                              | Section: Tables - T24 Capital instruments main features CET1 ; T25 Capital instruments main features, AT1; T26 Capital instruments main features, T2, page 78-80                                                                      |                                                                                                                                                                                                                                                                        |
| 1 d i-iii          | Separate disclosures on the nature of prudential filters, deductions, and items not deducted                                                                                  | Section: Own funds and capital requirement - table 2.2 Own funds, page 6-7                                                                                                                                                            | Handelsbanken's Annual Report, note G49, page 181-183                                                                                                                                                                                                                  |
| 1 e                | Description of restrictions applied to the calculation of own funds                                                                                                           | Section: Own funds and capital requirement – Own funds, page 4                                                                                                                                                                        |                                                                                                                                                                                                                                                                        |
| 1 f                | Explanation of the basis on which capital ratios have been calculated if other than the basis specified in CRR                                                                | Not applicable                                                                                                                                                                                                                        |                                                                                                                                                                                                                                                                        |
| <b>Article 438</b> | <b>Capital requirements</b>                                                                                                                                                   |                                                                                                                                                                                                                                       |                                                                                                                                                                                                                                                                        |
| a                  | Institution's approach to assessing the adequacy of its internal capital                                                                                                      | Section: Economic Capital, page 56                                                                                                                                                                                                    | Handelsbanken's Annual Report, note G2, section: Economic capital, page 132                                                                                                                                                                                            |
| b                  | Upon demand from the relevant competent authority, the result of the institution's internal capital adequacy assessment process                                               | Provided upon request. Section: Own funds and capital requirement – Capital requirement – Capital requirement in Pillar 2, page 15                                                                                                    |                                                                                                                                                                                                                                                                        |
| c                  | Capital requirements for credit risk calculated using the standardised approach                                                                                               | Section: Credit risk – Capital requirements for credit risk; table 3.15 Credit risks exposures according to standardised approach, page 38; Section: Own funds and capital requirement, table 2.11 EU OV1 - Overview of RWAs, page 16 |                                                                                                                                                                                                                                                                        |
| d                  | Capital requirements for credit risk calculated using the IRB approach                                                                                                        | Section: Credit risk – Capital requirements for credit risk; table 3.14 Credit risks exposures approved for IRB approach, page 38; Section: Own funds and capital requirement, table 2.11 EU OV1 - Overview of RWAs, page 16          |                                                                                                                                                                                                                                                                        |
| e                  | Capital requirements for market risk                                                                                                                                          | Section: Market risk; Table 4.1 EU MR1 - Market risk under the standardised approach, page 53; Section: Own funds and capital requirement, table 2.11 EU OV1 - Overview of RWAs, page 16                                              |                                                                                                                                                                                                                                                                        |
| f                  | Capital requirements for operational risk                                                                                                                                     | Section: Own funds and capital requirement, table 2.11 EU OV1 - Overview of RWAs, page 16                                                                                                                                             |                                                                                                                                                                                                                                                                        |
| g                  | Capital adequacy ratio of the financial conglomerate                                                                                                                          | Section: Own funds and capital requirement, table 2.13 Capital adequacy financial conglomerate, page 16                                                                                                                               |                                                                                                                                                                                                                                                                        |

# REFERENCE TABLE FOR CRR

| Article in CRR     | Description                                                                                                                                                                                                                          | Reference in Risk and Capital – Information according to Pillar 3                                                                                                                                                                                            | Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website                                                                   |
|--------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Article 439</b> | <b>Exposure to counterparty credit risk</b>                                                                                                                                                                                          |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
| a                  | Methodology to assign internal capital and credit limits for counterparty credit exposures                                                                                                                                           | Section: Credit risk – Counterparty credit risks, page 51                                                                                                                                                                                                    |                                                                                                                                                                  |
| b                  | Policies for securing collateral and establishing credit reserves                                                                                                                                                                    | Section: Credit risk – Counterparty credit risks, page 51                                                                                                                                                                                                    |                                                                                                                                                                  |
| c                  | Policies with respect to wrong-way risk exposures                                                                                                                                                                                    | Section: Credit risk – Counterparty credit risks, page 51                                                                                                                                                                                                    |                                                                                                                                                                  |
| d                  | Impact of the amount of collateral the institution would have to provide given a downgrade in its credit rating                                                                                                                      | Section: Credit risk – Counterparty credit risks, page 51                                                                                                                                                                                                    |                                                                                                                                                                  |
| e                  | Net derivatives credit exposure                                                                                                                                                                                                      | Section: Credit risk, Table T20 EU CCR5-A - Impact of netting and collateral held on exposure values, page 75 and Table T22 EU CCR6 - Credit derivative exposures, page 76                                                                                   |                                                                                                                                                                  |
| f                  | Methods for measures of exposure value                                                                                                                                                                                               | Section: Credit risk – Counterparty credit risks, page 51                                                                                                                                                                                                    |                                                                                                                                                                  |
| g                  | Notional value of credit derivative hedges and the distribution of current credit exposure by types of credit exposure                                                                                                               | Section: Tables, T22 EU CCR6 - Credit derivative exposures, page 76                                                                                                                                                                                          |                                                                                                                                                                  |
| h                  | Notional amounts of credit derivative transactions in the bank's own credit portfolio as well as intermediation activities                                                                                                           | Section: Credit risk – Counterparty credit risks, page 51                                                                                                                                                                                                    |                                                                                                                                                                  |
| i                  | Estimate of alpha if the institution has received the permission of the competent authorities to estimate alpha                                                                                                                      | Not applicable                                                                                                                                                                                                                                               |                                                                                                                                                                  |
| <b>Article 440</b> | <b>Capital buffers</b>                                                                                                                                                                                                               |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
| 1 a                | Geographic distribution of credit exposures for calculating the countercyclical capital buffer                                                                                                                                       | Section: Own funds and capital requirement, Table 2.5 Geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer, page 8                                                                                  |                                                                                                                                                                  |
| 1 b                | Amount of the countercyclical capital buffer                                                                                                                                                                                         | Section: Own funds and capital requirement, Table 2.4 Amount of institution -specific countercyclical capital buffer, page 8                                                                                                                                 |                                                                                                                                                                  |
| <b>Article 441</b> | <b>Indicators of global systemic importance</b>                                                                                                                                                                                      |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
| 1                  | Indicators used for determining the score of the institution in accordance with the identification methodology                                                                                                                       |                                                                                                                                                                                                                                                              | <a href="http://www.handelsbanken.com/en/investor-relations/reports-and-presentations">www.handelsbanken.com/en/investor-relations/reports-and-presentations</a> |
| <b>Article 442</b> | <b>Credit risk adjustments</b>                                                                                                                                                                                                       |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
| a                  | Definitions for accounting purposes of 'past due' and 'impaired'                                                                                                                                                                     | Section: Credit risk – Expected credit losses and section Definitions and explanations, page 19                                                                                                                                                              | Handelsbanken's Annual Report, note G2, page 96                                                                                                                  |
| b                  | Methods for determining specific and general credit risk adjustments                                                                                                                                                                 | Section: Credit risk – Expected credit losses, page 19                                                                                                                                                                                                       | Handelsbanken's Annual Report, note G2, page 96                                                                                                                  |
| c                  | Total amount of all exposures and the average amount of the exposures over the period, broken down by different types of exposure classes                                                                                            | Section: Credit risk, Table 3.16 EU CRB-B - Total and average net amount of exposures, page 40;<br>Section: Tables, Table T9 Collateral obtained by taking possession and execution processes, page 64                                                       |                                                                                                                                                                  |
| d                  | Geographic distribution of the exposures, broken down by exposure classes                                                                                                                                                            | Section: Table, T2 EU CR1-C - Credit quality of exposures by geography, page 60                                                                                                                                                                              |                                                                                                                                                                  |
| e                  | Distribution of exposures by industry or counterparty type, broken down by exposure classes                                                                                                                                          | Section: Tables, T1 EU CR1-B - Credit quality of exposures by industry or counterparty types, page 59                                                                                                                                                        |                                                                                                                                                                  |
| f                  | Residual maturity of all exposures, broken down by exposure classes                                                                                                                                                                  | Section: Table, T3 Credit quality of performing and non-performing exposures by past due days, page 61                                                                                                                                                       |                                                                                                                                                                  |
| g i-iii            | Distribution of exposures by industry and counterparty type broken down by impaired exposures and past due exposures, specific and general credit risk adjustments, and the charges for specific and general credit risk adjustments | Section: Tables, T1 EU CR1-B - Credit quality of exposures by industry or counterparty types, page 59                                                                                                                                                        |                                                                                                                                                                  |
| h                  | Geographic breakdown of impaired and past due exposures                                                                                                                                                                              | Section: Tables, T2 EU CR1-C - Credit quality of exposures by geography, page 60                                                                                                                                                                             |                                                                                                                                                                  |
| i i-v              | Reconciliation of changes in specific and general credit risk adjustments for impaired loans                                                                                                                                         | Section: Credit risk – Expected credit losses;<br>Table 3.1 EU CR1-A - Credit quality of exposures by exposure class and instrument, page 20<br>Table 3.2 EU CR2-A - Changes in the stock of general and specific credit risk adjustments, page 22           |                                                                                                                                                                  |
| <b>Article 443</b> | <b>Unencumbered assets</b>                                                                                                                                                                                                           |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
|                    | Disclosure of unencumbered assets in accordance with EBA guidelines EBA/GL/2014/03                                                                                                                                                   | Tables: 5.2 Encumbered and unencumbered assets, 5.3 Collateral received, 5.4 Sources of encumbrance, page 55                                                                                                                                                 | Handelsbanken's Annual Report, note G2, section: Funding and liquidity risk – Encumbered assets and cover pools, page 123                                        |
| <b>Article 444</b> | <b>Use of external credit assessment institutions (ECAIs)</b>                                                                                                                                                                        |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
| a                  | Names of the nominated external credit assessment institutions (ECAIs) and export credit agencies (ECAs)                                                                                                                             | Section: Credit risk – Calculation of capital requirements for credit risk – Comparisons with external ratings, page 25;<br>Section: Capital requirements for credit risk – Exposure, exposure amounts and capital requirements, page 39                     |                                                                                                                                                                  |
| b                  | Exposure classes for which each ECAI or ECA is used                                                                                                                                                                                  | Section: Credit risk – Calculation of capital requirements for credit risk – Comparisons with external ratings, page 25                                                                                                                                      |                                                                                                                                                                  |
| c                  | Description of the process used to transfer the issuer and issue credit assessments onto items not included in the trading book                                                                                                      | Not applicable                                                                                                                                                                                                                                               |                                                                                                                                                                  |
| d                  | Association of the external rating of each nominated ECAI or ECA with the institution's scale of credit quality steps                                                                                                                | Section: Credit risk – Calculation of capital requirements for credit risk – Comparisons with external ratings, page 25                                                                                                                                      |                                                                                                                                                                  |
| e                  | Exposure values before and after credit risk mitigation associated with each credit quality step                                                                                                                                     | Section: Credit risk – Capital requirements for credit risk – Exposure, exposure amounts and capital requirements Table 3.17 Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings, page 41 |                                                                                                                                                                  |
| <b>Article 445</b> | <b>Exposure to market risk</b>                                                                                                                                                                                                       |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
|                    | Capital requirements for market risk                                                                                                                                                                                                 | Section: Market risk, Table 4.1 EU MR1 - Market risk under the standardised approach, page 53 Section: Own funds and capital requirement, table 2.11 EU OV1 - Overview of RWAs, page 16                                                                      |                                                                                                                                                                  |
| <b>Article 446</b> | <b>Operational risk</b>                                                                                                                                                                                                              |                                                                                                                                                                                                                                                              |                                                                                                                                                                  |
|                    | Methodology for calculating capital requirements for operational risk                                                                                                                                                                | Section: Own funds and capital requirement – Operational risk, page 57                                                                                                                                                                                       |                                                                                                                                                                  |

| Article in CRR     | Description                                                                                                                                                                                                | Reference in Risk and Capital – Information according to Pillar 3                                         | Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website                                           |
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| <b>Article 447</b> | <b>Exposures in equities not included in the trading book</b>                                                                                                                                              |                                                                                                           |                                                                                                                                          |
| a                  | Differentiation between exposures based on their objectives                                                                                                                                                |                                                                                                           | Handelsbanken's Annual Report, note G2, table 27, page 120                                                                               |
| b                  | Balance sheet value, fair value and, for those traded on an exchange, comparison to the market price where it is materially different from fair value                                                      |                                                                                                           | Handelsbanken's Annual Report, note G2, section: Market risk – Equity price risk – Equity price risk outside the trading book, page 119  |
| c                  | Types, nature and amounts of exchange-traded exposures, private equity exposures in sufficiently diversified portfolios, and other exposures                                                               |                                                                                                           | Handelsbanken's Annual Report, note G2, table 27, page 120                                                                               |
| d                  | Cumulative realised gains or losses arising from sales and liquidations in the period                                                                                                                      |                                                                                                           | Handelsbanken's Annual Report, note G2, table 27, page 120                                                                               |
| e                  | Total unrealised gains or losses                                                                                                                                                                           |                                                                                                           | Handelsbanken's Annual Report, note G2, table 27, page 120                                                                               |
| <b>Article 448</b> | <b>Exposure to interest rate risk on positions not included in the trading book</b>                                                                                                                        |                                                                                                           |                                                                                                                                          |
| a                  | Nature of the interest rate risk and key assumptions and frequency of measurement of interest rate risk                                                                                                    |                                                                                                           | Handelsbanken's Annual Report, note G2, section: Market risk – Interest rate risk – Interest rate risk in the non-trading book, page 118 |
| b                  | Variation in earnings, economic value or other relevant measure used by management for upward and downward rate shocks according to methods for measuring interest rate risk, broken down by currency      |                                                                                                           | Handelsbanken's Annual Report, note G2, section: Market risk – Interest rate risk – Interest rate risk in the non-trading book, page 118 |
| <b>Article 449</b> | <b>Exposure to securitisation positions</b>                                                                                                                                                                |                                                                                                           |                                                                                                                                          |
| a                  | Objectives in relation to securitisation activity                                                                                                                                                          | Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50                     |                                                                                                                                          |
| b                  | Nature of other risks including liquidity risk inherent in securitised assets                                                                                                                              | Not applicable                                                                                            |                                                                                                                                          |
| c                  | Type of risks in terms of seniority of underlying securitisation positions and in terms of assets underlying those positions that the institution has assumed and retained with re-securitisation activity | Not applicable                                                                                            |                                                                                                                                          |
| d–e                | Different roles played by the institution in the securitisation process and extent of the institution's involvement in these roles                                                                         | Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50                     |                                                                                                                                          |
| f                  | Description of the processes to monitor changes in the credit and market risk of positions                                                                                                                 | Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50                     |                                                                                                                                          |
| g                  | Description of the policy governing the use of hedging and unfunded protection to mitigate the risks of retained securitisation and re-securitisation exposures                                            | Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50                     |                                                                                                                                          |
| h                  | Methods for calculating risk-weighted exposure amounts for securitisation activities                                                                                                                       | Section: Credit risk – Capital requirements for credit risk – Securitisation, page 50                     |                                                                                                                                          |
| i                  | Types of special purpose entities that the institution, in its capacity as sponsor, uses to securitise third-party exposures                                                                               | Not applicable                                                                                            |                                                                                                                                          |
| j i–vi             | Accounting policies for securitisation activities                                                                                                                                                          | Not applicable                                                                                            |                                                                                                                                          |
| k                  | Names of the external credit assessment institutions (ECAIs) used for securitisations                                                                                                                      | Section: Credit risk, Table 3.23 Securitisation positions in the non-trading book by risk weight, page 51 |                                                                                                                                          |
| l                  | Description of the IRB approach                                                                                                                                                                            | Not applicable                                                                                            |                                                                                                                                          |
| m                  | Explanation of significant changes to any of the quantitative disclosures in points n–q since the preceding reporting period                                                                               | Not applicable                                                                                            |                                                                                                                                          |
| n i–vi             | Information on securitisation exposures in the trading book and in the non-trading book, broken down by exposure type                                                                                      | Section: Credit risk, Table 3.23 Securitisation positions in the non-trading book by risk weight, page 51 |                                                                                                                                          |
| o i–ii             | Additional information on securitisation exposures in the trading book and in the non-trading book                                                                                                         | Not applicable                                                                                            |                                                                                                                                          |
| p                  | Information on securitisation exposures in the non-trading book that are impaired/past due and the losses recognised during the current period, both broken down by exposure type                          | Not applicable                                                                                            |                                                                                                                                          |
| q                  | Total outstanding exposures securitised in the trading book and subject to a capital requirement for market risk, broken down into traditional and synthetic securitisation and by exposure type           | Not applicable                                                                                            |                                                                                                                                          |
| r                  | Where applicable, whether the institution has provided support and the impact on own funds                                                                                                                 | Not applicable                                                                                            |                                                                                                                                          |

## REFERENCE TABLE FOR CRR

| Article in CRR     | Description                                                                                                                                                                                                          | Reference in Risk and Capital – Information according to Pillar 3                                                                                                                                                                                         | Reference in Handelsbanken's Annual Report and interim reports or on the Handelsbanken website                                                     |
|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Article 450</b> | <b>Remuneration policy</b>                                                                                                                                                                                           |                                                                                                                                                                                                                                                           |                                                                                                                                                    |
| 1 a                | Decision-making process used for determining remuneration policy, and number of meetings held by main body overseeing remuneration during the financial year                                                         |                                                                                                                                                                                                                                                           | Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 63                           |
| 1 b                | Information on link between pay and performance                                                                                                                                                                      |                                                                                                                                                                                                                                                           | Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 63                           |
| 1 c–f              | Criteria for performance measurement, parameters and rationale for any variable component scheme                                                                                                                     |                                                                                                                                                                                                                                                           | Handelsbanken's Annual Report, section: Corporate Governance Report, which is part of the administration report, page 63                           |
| 1 g–i              | Aggregate quantitative information on remuneration, including breakdowns                                                                                                                                             |                                                                                                                                                                                                                                                           | Handelsbanken's Annual Report, section: Note G1, Note G8 and Corporate Governance Report, which is part of the administration report, page 84, 136 |
| 1 j                | Upon demand, total remuneration for each member of the management body or senior management                                                                                                                          |                                                                                                                                                                                                                                                           | Handelsbanken's Annual Report, section: Note G8 and Corporate Governance Report, which is part of the administration report, page 136              |
| 2                  | Quantitative information about remuneration to members of the institution's management body for significant institutions                                                                                             |                                                                                                                                                                                                                                                           | Handelsbanken's Annual Report, section: Note G8, Corporate Governance Report, which is part of the administration report.                          |
| <b>Article 451</b> | <b>Leverage</b>                                                                                                                                                                                                      |                                                                                                                                                                                                                                                           |                                                                                                                                                    |
| 1 a                | Leverage ratio                                                                                                                                                                                                       | Section: Own funds and capital requirement – Leverage ratio, Table 2.13 LRCOM Leverage ratio common disclosure, page 17                                                                                                                                   |                                                                                                                                                    |
| 1 b                | Breakdown of the total exposure amount                                                                                                                                                                               | Section: Own funds and capital requirement – Leverage ratio, Table 2.13 LRCOM Leverage ratio common disclosure, page 17                                                                                                                                   |                                                                                                                                                    |
| 1 c                | Where applicable, the amount of derecognised fiduciary items                                                                                                                                                         | Section: Own funds and capital requirement – Leverage ratio, Table 2.13 LRCOM Leverage ratio common disclosure, page 17                                                                                                                                   |                                                                                                                                                    |
| 1 d                | Description of the processes used to manage the risk of excessive leverage                                                                                                                                           |                                                                                                                                                                                                                                                           | Handelsbanken's Annual Report, note G2, section: Capital planning section describes how the Bank monitors capitalisation, page 133                 |
| 1 e                | Description of factors that had an impact on the leverage ratio during the period to which the disclosed leverage ratio refers                                                                                       | Section: Own funds and capital requirement – Leverage ratio, Table 2.13 LRCOM Leverage ratio common disclosure, page 17                                                                                                                                   |                                                                                                                                                    |
| <b>Title III</b>   | <b>Qualifying requirements for the use of particular instruments or methodologies</b>                                                                                                                                |                                                                                                                                                                                                                                                           |                                                                                                                                                    |
| <b>Article 452</b> | <b>Use of the IRB approach to credit risk</b>                                                                                                                                                                        |                                                                                                                                                                                                                                                           |                                                                                                                                                    |
| a                  | Competent authority's permission of the approach or approved transition                                                                                                                                              | Section: Credit risk – Calculation of capital requirements for credit risk, page 22                                                                                                                                                                       |                                                                                                                                                    |
| b                  | Explanation of the following:                                                                                                                                                                                        |                                                                                                                                                                                                                                                           |                                                                                                                                                    |
| b i                | Structure of internal rating systems and relation between internal and external ratings                                                                                                                              | Sections: Credit risk – Calculation of capital requirements for credit risk – Risk rating system, page 23<br>Credit risk – Calculation of capital requirements for credit risk – Risk classification methods – Comparisons with external ratings, page 25 |                                                                                                                                                    |
| b ii               | Use of internal estimates other than for calculating risk-weighted exposure amounts                                                                                                                                  | Not applicable                                                                                                                                                                                                                                            |                                                                                                                                                    |
| b iii              | Process for managing and recognising credit risk mitigation                                                                                                                                                          | Section: Credit risk – Collateral and actions that reduce the capital requirement, page 33                                                                                                                                                                |                                                                                                                                                    |
| b iv               | Control mechanisms for rating systems                                                                                                                                                                                | Section: Credit risk – Calculation of capital requirements for credit risk – Quality assurance of the rating system, page 25                                                                                                                              |                                                                                                                                                    |
| c i–v              | Description of internal ratings process, provided separately for each IRB exposure class                                                                                                                             | Sections: Credit risk – Calculation of capital requirements for credit risk – Exposure classes;<br>Risk classification methods, page 23                                                                                                                   |                                                                                                                                                    |
| d                  | Exposure values, provided separately for each IRB exposure class                                                                                                                                                     | Section: Credit risk – Capital requirements for credit risk – Exposure, exposure amounts and capital requirements, page 39                                                                                                                                |                                                                                                                                                    |
| e i–iii            | Total exposures, exposure-weighted average risk weight, and total amount of undrawn commitments by risk class for the exposure classes central governments and central banks, institutions, corporates, and equities | Section: Credit risk – Capital requirements for credit risk – Risk weight and breakdown into risk classes;<br>Table 3.18 EU CR6 - IRB approach - Credit risk exposures by exposure class and PD range, page 43–48                                         |                                                                                                                                                    |
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| g                  | Comparison of the daily end-of-day value-at-risk measures to the one-day changes of the portfolio's value by the end of the subsequent business day                                                                 | Not applicable                                                                                                                                                                                                                             |                                                                                                |

# Definitions and explanations

## ADDITIONAL TIER 1 CAPITAL

Additional tier 1 capital comprises perpetual subordinated loans which meet the requirements stated in Regulation (EU) No 575/2013 and can therefore be included in the tier 1 capital.

## AFR

Available financial resources (AFR) is the Bank's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

## BUFFER REQUIREMENT FOR SYSTEMICALLY IMPORTANT INSTITUTIONS

The buffer requirement for banks considered especially important to the financial system. For institutions that are systemically important on a global scale, the requirement can be up to 3.5 per cent. For other systemically important institutions, it can be up to 2 per cent.

## CAPITAL CONSERVATION BUFFER

The purpose of this buffer requirement of 2.5 per cent is to ensure that all banks maintain buffer capital exceeding the minimum capital requirements.

## CAPITAL REQUIREMENT

The statutory capital requirement means that an institution which is subject to CRR must have a common equity tier 1 ratio of at least 4.5 per cent, a tier 1 ratio of at least 6 per cent and a total capital ratio of at least 8 per cent. This means that own funds must be at least the percentage of the risk exposure amount specified for each ratio. For definitions of each of the own funds amounts, see Common equity tier 1 capital, Tier 1 capital, and Total capital. In addition to the general requirements, the supervisory authority may add institution-specific requirements in accordance with the second pillar of the regulations.

## COMBINED BUFFER REQUIREMENT

The sum of the capital conservation buffer, the countercyclical buffer, and the buffer requirement which is the higher of the requirement for systemically important institutions or the systemic risk buffer.

## COMMON EQUITY TIER 1 CAPITAL

Common equity tier 1 capital is one of the components of own funds and mainly comprises equity. Deductions are made for dividends generated, goodwill, and other intangible assets as well as the difference between an expected loss and provisions made for probable loan losses.

## COMMON EQUITY TIER 1 RATIO

Common equity tier 1 capital in relation to total risk exposure amount.

## COUNTERCYCLICAL BUFFER

A buffer requirement that varies over the business cycle to counteract excessively high credit growth. The level is set by the Swedish Financial Supervisory Authority and can be between 0 and 2.5 per cent.

## CRD IV

The EU Credit Institutions Directive: Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

## CREDIT CONVERSION FACTOR (CCF)

The factor used when calculating the exposure amount for unutilised overdraft facilities, committed loan offers, guarantees, and other off-balance-sheet commitments.

## CREDIT RISK PROTECTION

Risk-mitigation factors and measures, such as property mortgages.

## CREDITS IN DEFAULT

Impaired exposures that are also classified as 'defaulted' under Article 178 of CRR.

## CRR

The EU Capital Requirements Regulation for credit institutions and investment firms: Regulation (EU) No 575/2013 on prudential requirements for credit institutions and investment firms.

## CVA

The credit valuation adjustment (CVA) risk measures the risk that the market value of a derivative will decrease, owing to deterioration of the creditworthiness of the counterparty. The CVA is a component in the regulations for the valuation of derivatives. The adjustment in the value is based on the counterparty's creditworthiness. An exposure to a counterparty with weaker creditworthiness must have a lower carrying amount than the equivalent exposure to a counterparty with better creditworthiness. In this context, credit risk means that if a given counterparty's creditworthiness weakens, the balance sheet values of all derivative transactions with this counterparty with a positive market value decrease – and thus the Bank's equity decreases. To factor in this risk in the capital adequacy, the credit valuation adjustment risk has been introduced as part of the capital adequacy regulations.

## DEFAULT

An exposure to a specific counterparty is deemed to be in default if any of the following criteria are fulfilled:

- The institution deems it probable that the counterparty will not be able to fulfil its commitments towards the institution without the institution having to realise any collateral or take similar measures.
- The counterparty is more than 90 days past due with a payment, unless it is an insignificant amount.

## EC

Economic capital (EC) is a model for calculating economic capital which, in one measurement, identifies the Group's overall risks and indicates the capital which, with very high probability, will cover unexpected losses or decreases in value.

## EL

Expected loss (EL) is calculated by multiplying PD by LGD and the exposure amount.

## ELIGIBLE LIABILITIES AND OWN FUNDS

The sum of bail-in-able senior liabilities according to the definition in Swedish resolution law (SFS 2015:1016) and own funds.

## EXPOSURE AMOUNT

Exposure amount (exposure at default) is the amount which is subject to capital adequacy requirements. It is calculated including interest and fees. For off-balance-sheet items, the amounts are recalculated using the credit conversion factor (CCF). For derivatives, the exposure amount is calculated as positive MTM (mark-to-market) plus value change risk, that is, the nominal amount multiplied by the upward adjustment factor.

## EXPOSURE VALUE

Exposure value is the same as exposure amount. The exposure value concept is used in the standardised approach for credit risk.

## FORBEARANCE

Credit agreements that have been eased in credit terms through the modification of existing terms or new credit agreements with easements that have refinanced old contracts in whole or in part, if this has occurred because the borrower has faced / is facing financial difficulties

## IRB

Internal Ratings Based Approach.



**IRB APPROACH**

There are two versions of the internal ratings based (IRB) approach: the simplified version, the IRB approach without own estimates of LGD and CCF (in previous regulations called the foundation approach), and the more advanced method, the IRB approach with own estimates of LGD and CCF (in previous regulations called the advanced approach).

**LEVERAGE RATIO**

Tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated with conversion factors defined in the standardised approach and regulatory adjustments from own funds.

**LGD**

The loss given default (LGD) is the proportion of an exposure that the Bank will lose, on average, in the event of a default.

**LIQUIDITY COVERAGE RATIO (LCR)**

High-quality liquid assets in relation to an estimated net outflow of liquidity over a period of 30 days.

**LOAN LOSS RATIO**

Loan losses and changes in value of repossessed property in relation to loans to the public and credit institutions (excluding banks), and also repossessed property and credit guarantees at the beginning of the year.

**MREL REQUIREMENT**

Minimum requirement for eligible liabilities and own funds. Requirement is set annually by the SNDO, the resolution authority, according to Swedish resolution law (SFS 2015:1016).

**NPL NON-PERFORMING LOANS/NPE NON-PERFORMING EXPOSURES**

Non-performing loans/exposures are defined as defaulted exposures plus forborne exposures. A default shall be considered to have occurred when the obligor it's unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

**OWN FUNDS/TOTAL CAPITAL**

Own funds are the sum of tier 1 and tier 2 capital.

**PD**

The probability of default (PD) is the probability of a borrower defaulting within one year. For example, a PD of 0.2 per cent means that two borrowers of 1,000 are expected to default within one year.

**PERFORMING CREDITS**

Credits that are neither impaired nor defaulted.

**RISK EXPOSURE AMOUNT**

The capital requirement in accordance with CRR, multiplied by 12.5. The risk exposure amount is used in conjunction with market risk and operational risk.

**RISK WEIGHT**

A measure to describe the level of risk an exposure is expected to have under the capital adequacy regulations.

**RISK-WEIGHTED EXPOSURE AMOUNT**

Exposure amount multiplied by risk weight. The risk-weighted exposure amount is used in conjunction with credit risk including counterparty risks.

**SECURITISATION**

A programme whereby the credit risk associated with an exposure or pool of exposures is tranching, and the payments within the framework of the programme depend on the performance of the exposure or pool of exposures. The subordination of tranches determines the distribution of losses during the life of the programme.

**SPECIFIC CREDIT RISK ADJUSTMENT**

Specific credit risk adjustments consist of collective and individual credit risk adjustments. These apply to exposures covered by either the standardised approach or the IRB approach.

**STANDARDISED APPROACH**

The method for calculating and reporting credit risk according to CRR. This relies on standardised risk weights based on external ratings. The standardised approach is also applied for market risk and operational risk.

**SYSTEMIC RISK BUFFER**

A buffer requirement of 3 per cent for the largest banks in Sweden. The aim of the systemic risk buffer is to protect the banking system as a whole in times of financial instability.

**TIER 1 CAPITAL**

Common equity tier 1 capital including additional tier 1 capital.

**TIER 1 RATIO**

Tier 1 capital in relation to total risk exposure amount.

**TIER 2 CAPITAL**

Tier 2 capital is one of the components of own funds and mainly consists of subordinated loans which fulfil the requirements stated in Regulation (EU) No 575/2013 to be included as tier 2 capital.

**TOTAL CAPITAL RATIO**

Total capital in relation to total risk exposure amount.

**TOTAL LIABILITIES AND OWN FUNDS**

The sum of the Bank's total liabilities and own funds

**TOTAL RISK EXPOSURE AMOUNT**

The sum of risk exposure amount and risk-weighted exposure amount.

# Information items not disclosed under EBA/GL/2014/14

| Reference                 | Description                                                                                                                                                                                                                                                                                                                                                  | Reason for non-disclosure <sup>1</sup>                                                                                                                                                                                           | Reference to information which replaces non-disclosed information                                                                       |
|---------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| Table EU OVA, CRR 435 1 b | The approved levels for risk to which the institution is exposed.                                                                                                                                                                                                                                                                                            | Limit levels of the Bank's risk tolerance are strictly confidential. The information refers to business relationships that are of competitive importance.                                                                        | Key figures and risk measures on which the limit levels are based are stated in the report.                                             |
| Table EU CRC, CRR 453 d   | The description of the main types of guarantors and counterparties for credit derivatives and their creditworthiness.                                                                                                                                                                                                                                        | The Bank's guarantors and credit derivative counterparties are strictly confidential information. The information refers to business relationships that are of competitive importance.                                           | Key figures and risk measures that are affected by the Bank's guarantors and credit derivative counterparties are stated in the report. |
| Table EU MRA, CRR 455 c   | A description of the procedures and systems implemented to guarantee the opportunity to trade for the positions included in the trading book in order to fulfil the requirements of article 104. A description of the method used to guarantee that the guidelines and processes implemented for the general management of the trading book are appropriate. | The Bank's guidelines for risk-taking in the trading book and investment regulations for the liquidity portfolio are strictly confidential. The information refers to business relationships that are of competitive importance. | Footnote in Handelsbanken's Annual Report, table AR:22.                                                                                 |

<sup>1</sup> Non-disclosed information is available to the supervisory authority.

# Signatures of the CEO, CFO and CRO

The Information Policy for the Handelsbanken Group, adopted by Handelsbanken's Board, and the CEO's Guidelines for communication in the Handelsbanken Group are Handelsbanken's steering documents for compliance with the disclosure requirements in Regulation (EU) No 575/2013.

The control environment described in the Annual Report's Corporate Governance Report and in this report is fundamental to Handelsbanken's internal control of disclosures under Part Eight of Regulation (EU) No 575/2013: organisational structure, division of responsibilities, guidelines and steering documents. Another part of the internal control process is the identification and management of the risks that may affect the preparation of disclosures under Part Eight of Regulation (EU) No 575/2013 and the control activities incorporated in the process for preparing disclosures. The Bank has information and communication paths intended to promote the completeness, accuracy, meaningfulness, and consistency over time of disclosures under Part Eight of Regulation (EU) No 575/2013.

The responsibility for internal control of disclosures under Part Eight of Regulation (EU) No 575/2013 has been delegated from the CEO to managers who report directly to the CEO and who are in charge of internal control within their respective units.

We hereby declare that the disclosures under Part Eight of Regulation (EU) No 575/2013 have been prepared in accordance with Handelsbanken's internal control framework. The information which is provided under Part Eight of Regulation (EU) No 575/2013 is satisfactory, including in terms of control and frequency, in relation to the disclosure requirements in the Regulation and provides market participants with a comprehensive picture of Handelsbanken's risk profile.

STOCKHOLM FEBRUARY 2020

Carina Åkerström

*President and Group Chief Executive*

Rolf Marquardt

*CFO*

Maria Hedin

*CRO*

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